

Varroc Engineering (VARROC)

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To,
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The Listing Department,
National Stock Exchange of India
Limited
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NSE Symbol: VARROC The Manager – Listing
The Corporate Relation
Department,
Bombay Stock Exchange Limited
Phiroze Jeejeebhoy Towers,
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BSE Security Code: 541578

Sub: Transcript of Investor / Conference Call pertaining to Unaudited
Financial Results for the quarter ended on June 30, 2022

Dear Sir/Madam,

Please find Transcript of Investors / Conference Call held on Friday, August 12, 2022, in respect of the Unaudited Financial results for the quarter ended on June 30, 2022.

This is for your information and records.

For Varroc Engineering Limited

Ajay Sharma
Group General Counsel and Company Secretary
Encl: a/a

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"Varroc Engineering Limited 1QFY23 Earnings
Conference Call"

August 12, 2022

MANAGEMENT : MR. TARANG JAIN – CHAIRMAN AND MANAGING

DIRECTOR , VARROC ENGINEERING LIMITED
MR. CHRISTIAN PASCHEL – CHIEF EXECUTIVE
OFFICER , VARROC LIGHTING LIMITED
MR. ARJUN JAIN – WHOLE -TIME DIRECTOR , VARROC
ENGINEERING LIMITED
MR. T. R. SRINIVASAN – GROUP CHIEF FINANCIAL
OFFICER , VARROC ENGINEERING LIMITED
MR. BIKASH DUGAR – HEAD, INVESTOR RELATIONS
VARROC ENGINEERING LIMITED
MODERATOR: MS. NISHAT VAKIL – AMBIT CAPITAL PRIVATE
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Varroc Engineering Limited 1QFY23 Earnings Conference Call hosted by Ambit Capital Private Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nishat Vakil from AMBIT Capital. Thank you, and over to you, ma'am.

Nishat Vakil: Thank you, Nirav. Good evening, everyone. We have with us Mr. Tarang Jain, Chairman and Managing Director; Mr. Christian Päschel, CEO, Varroc Lighting; Mr. Arjun Jain, Whole -Time Director; Mr. T. R. Srinivasan, Group CFO; and Mr. Bikash Dugar, Head, Invest or Relations.

I now hand over to Mr. Tarang Jain. Over to you, sir. Thank you.

Tarang Jain: Yes. Thank you, Nishat, for hosting the call, and good evening to everyone. I would like to thank all of you for joining the 1QFY23 earnings call of Varroc Engineering Limited. 1QFY23 has started with a stable outlook for the Indian automotive sector on the back of the forecast of a normal monsoon. The growth is visible mainly due to a lower base of 1QFY22, which was impacted by COVID Wave 2. The semiconductor supply constraints continue to impact the premium 2 -wheeler production volumes, whereas the passenger vehicle manufacturers are seeing improvement in supplies.

In India, automotive production for all the segments in 1QFY23 rose on a year -on-year basis due to the lower base of last year, which was impacted by the COVID Wave 2. On a sequential basis, two -wheeler production grew by 8.4%, but other segments fell on a quarter -on-quarter basis due to the cyclicity which we generally see from 4Q to 1Q.

Against this backdrop, we are focused on completing the divestment of our 4 -wheeler lighting business in Europe and America as per time line. As stated earlier, this divestment will help the company to strengthen its balance sheet and invest in identified focus areas to drive future growth.

In terms of operations, revenue from continued operations grew by more than 36.3% to Rs. 16,283 million, despite our top customer production only rising by around 1% on a year -on-year basis. We continue to improve our profitability on a sequential basis as gross margin improved by more than 340 basis points. The EBITDA margin also improved by 210 basis points for the continued operations, and it came in at 8.2%.

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The operational PBT before joint venture for continued operations has become positive in the quarter and it is Rs. 138.3 million. The reported PBT was impacted negatively by mark -to-market on Forex items of Rs. 96.8 million and a JV loss of Rs. 45 million. The reported PBT is negative of Rs. 3.6 million.

It is heartening to see that all the businesses within our continued operations have shown improvement in EBITDA margin on a sequential basis. The India operations EBITDA margin improved by 20 basis points to 9.9% in 1QFY23. VLS remaining operations EBITDA margin improved by 290 basis points to 1.7%. For the remaining businesses, which is mainly the forging business in Italy, which is IMES. The EBITDA margin improved by 1,730 basis points and came in at 6.8%.

We continue to have strong order wins for new business in 1QFY23 across business units. This will enable us to continue to outperform the industry growth and in improving the profitability. During 1QFY23, lifetime revenue from new order wins is Rs. 14,673 million. And out of that, business wins from EV customers is Rs. 4,837 million.

Profitable business wins, appropriate capital allocation, sweating of our assets,

commerci

alization of our R&D efforts, and control on costs remain the focus of the company.

Mass production of traction motors, controllers and the telematics shows the capability of the team to industrialize a new product, first time right. The R&D team also developed the electronic fuel injection for an esteemed customer in record time, and the production has started from June 22.

Our effort remains to move to a double-digit EBITDA margin in the next 2 to 3 quarters. The focus on operating leverage and expansion in gross margin across businesses will help us in achieving the same. We remain committed to take the EBITDA margin to 12% and ROCE above 20% over the medium term.

In our financials, the business, which we are divesting is now accounted as discontinued operations and only the profit and loss from discontinued operations is shown as a one-line item in the income statement as per the accounting standards. Please also note that as per accounting standard 105, the assets which are held for sale cannot be depreciated. Thus, the depreciation for 1QFY23 from discontinued operations was nil. Here also, sequentially, we have seen improvement in the gross margin by 210 basis points in 1QFY23 as compared to 4QFY22.

With this, I am now handing over the call to Mr. Srinivasan, our group CFO, who will walk you through the presentation, which is already uploaded in our website and also in the stock exchange.

T. Srinivasan: Thanks, Tarang. Good evening, everyone. You already have the presentation with you, I presume. So I will just quickly take up on some key points. Starting with the highlights for the Varroc Engineering Limited
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quarter. So during the quarter, we started mass production for both traction motor and traction controllers for our anchor customer. And the value of these two products put together is more than Rs. 15,000 per vehicle. We also commercialized electronic fuel injection system for our largest customer in record time. Our R&D team was able to turn around this very quickly, which shows our technological capability. And so this will also lead to other businesses with the customer. So this is a big breakthrough for us.

In spite of, let us say, the market growth as well as the growth in volumes of our broadest customer not being so robust. We still managed to record a 36% year-on-year growth in terms of revenue, which is quite predictable. As Tarang mentioned, the EBITDA for continuing operations improved sequentially by 210 basis points to 8.2%. And during the quarter, we also won new business from various customers, totaling to Rs. 14.7 billion, out of which almost one-third of it was orders from 3 customers for EV 3-wheelers, both EV specific components and also other components like body parts, lighting and so on. So it is very heartening that the share of EV business in our new wins is going up, almost one-third now in the last quarter.

The second slide has overall industry performance volume performance. So the growth you see year-on-year is mainly because Q1 last year was impacted by COVID Wave 2, which is setting in good growth numbers for this year. But if you look at sequentially, slightly different, 2-wheelers still recorded a good growth, but 3-wheelers, passenger vehicle and commercial vehicles actually showed a decline, mainly because in Q4, typically, there is an uptick in volumes because of tax, in tax depreciation, many corporate customers do their purchases in Q4, but Q1 is comparatively especially slow. That is why it is replacing in that.

So 2-wheelers have started the year on a good note, which is very important for us as a segment. So we hope the festival season and going forward, the growth movement will pick up.

In the next slide, you will see a summary of the financials for continued operations. So you see revenue quarter-on-quarter was flat, but we are able to improve EBITDA mar

gin because of our

operational realization improved in this quarter. That is mainly because, as we all know, there is a one quarter lag normally between the commodity price increase and the price increase at some customers. So during the last quarter, commodity prices are more or less stable, but we got increases related to Q4 of last year. So this improves EBITDA margin.

That is why you see a better operational PBT. But during the quarter, we also recorded mark-to-market Forex loss of about Rs. 9.6 crores because of the weakening of the euro on the intercompany loan given to the VLS business to support them for the liquidity requirement. In the previous quarter, it was a profit of Rs. 11.9 crores with some mark-to-market at the moment notional.

And the China JV had some challenges in the overall performance still at a loss, but because of the lockdowns imposed in Shanghai and other places, the market volumes have not really picked
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up yet. But overall, PBT level, we were close to breakeven compared to incurred in the last quarter and also last year.

In the next slide, you will see the revenue breakdown in a different dimension. From a business unit perspective or a product perspective, PBU or plastic components from the largest part, accounting for more than 30% of the revenue. Lighting, which is a combination of 4-wheeler lighting in India, 2-wheeler lighting in India as well as the global 2-wheeler lighting business, we have in Italy, Romania and Vietnam, together accounted for almost 24%.

The electrical and electronics components in India was about 18%, metallic component, which is transmission-related component for walls together was about 12%. The aftermarket business, what we have mentioned in the earlier calls as well is paying a much faster growth and the profitability margins there is also pretty good. So that has now reached almost 10% of revenue of continued operations, which is a good sign. It is also helping the overall margin improvement for the business. IMES, which is under others for our reporting contributed 4.6%.

On the product segment basis, two and three-wheeler account for 63%, 4-wheeler is 32% almost one-third and the rest is others. From a geographical perspective, India, with the continued operations account for 80% and 20% of the revenue coming from outside India. And from a customer perspective, Bajaj on a total basis contribute to be more than one-third. In India, they are about 50% and the rest of the customers together about 30%.

In the next slide, we are trying to give a blueprint of the performance between the different business units or segments we have. The India operation, which is basically a 2-wheeler focused business, improved EBITDA margin from 9.7% to 9.9% despite top line being flat. The overseas operations remaining in the past, which we are not selling, which is a global 2-wheeler electronics and so on, and also that 4-wheeler lighting business in India together improved the EBITDA margin from a negative 1.2% to positive 1.7% an almost 3% improvement. And other operation IMES also witnessed a turnaround. There we were able to pass on the commodity rate increase as well as the energy cost increase to the customer because compensation prices that also include improving the margins there. So overall, for the continuing operations that resulted in a 210 basis point margin improvement.

Going a bit to net debt level, it remain kind of more or less constant over the last 3 quarters. So maintain this Rs. 27 billion on a net debt basis. A lot this about Rs. 1,000 crores in India, the rest is abroad. That will be fully repaid excluding working capital like we have communicated. That is the plan.

On the next slide, we have given kind of some insights into the new order wins. The new order wins will contribute revenue of, let us say, Rs. 212 crores

in current year and Rs. 780 crores

coming from the subsequent year. And if you fix the orders between EV and ICE vehicle, one-third of the new orders related to from EV vehicle manufacturers and the balance would have Varroc Engineering Limited

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coming from ICE manufacturers. Bajaj accounts for about one-third, the non-Bajaj in line with the revenue share and the new order wins in the two and three-wheeler segment is about two-third and one-third is from 4-wheeler, which is an encouraging sign for the 4-wheeler with both the new businesses and revenue is going up, and 4-wheelers typically have a better margin structure than two and 3-wheelers.

Then the next 2, 3 slides, we have tried to give you an insight into all the components we have available we are able to offer to the customer specifically from the EV segment. Obviously, had gone through in the previous quarters as well. The main highlight was the commercial production of traction motor and controller switch started during this last quarter.

And the following slide gives a status on the divestment. So we are on track to close the transaction by end of September. The shareholder approval was received sometime back. Lenders approval is an ongoing basis, but all lenders have supported. So the documentation is in progress. From a regulatory perspective, we have got the regulatory approval in 3 out of the 4 geographies, U.K., European Union and Morocco. Mexico is a pending one, which is also expected to come through end of this month or early next month. So right now, we are able to close the transaction by end of September.

The following slide gives a big overview of the financials for the discontinued operations breakup. So mainly we see the improvement is because of that we stop depreciation on the assets on the discontinued operation under IndAS 105. Otherwise, performance comparable to the previous product. So that is briefly quick recap of the performance. Now we can go ahead with the questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: My first question is on VLS. So Sridhar mentioned that the transaction is expected to close in

September. What about the cash flows by when we would see the cash flow coming to Varroc? And how much amount we have budgeted for cash burn? And is it in line with our estimates? And related question is that we also see that there would be a fundraise of about to the tune of Rs. 500 crores, what would be the objective of this fundraise?

T. Srinivasan: Fundraise part is purely an enabling resolution. So there is no specific plan to raise the funds at the moment. Specifically, if we do not take approval now in AGM then lead time to get approval at the time is more. That is why we are taking just an enabling thing. There is nothing more to it.

From a cash flow perspective, the money net of the escrow account and everything will come to us immediately, net of loan repayments and so on. So in sometimes early October can get the amount.

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Aditya Jhawar: Okay. My second question is on new order wins. So it is encouraging to see that we have one order for electric vehicle from other than our anchor customer. So for the 2 new customers other than our anchor, if you can highlight that what is the order win? Is it traditional product, existing product or there are EV components?

Bikash Dugar: These are our traditional product only. But the encouraging thing is that we have both incumbent as well as new customers on the EV side. So new and both incumbent customers are there for our product. So we have started engaging with them for our EV product related. So sooner or later, we will get orders for those also.

Aditya Jhawar: I just want

to check on one thing. So we also mentioned that the traction motor and controller for our anchor customer, we will be ramping up production. But when you look at Slide #13, where we have quantified that total revenue from EV could be at about Rs. 1,000 -odd crores. Here, we do not see mention of traction motor and controller?

Tarang Jain: It is mentioned out there, traction motors and controllers on next slide.

Aditya Jhawar: I mean, the order that you have quantified Rs. 700 crores and Rs. 300 crores, it is not against traction motor and controller?

Tarang Jain: No, I think that is just a combined number.

Moderator: Thank you. The next question is from the line of Ashutosh Tiwari from Equirus Securities. Please go ahead.

Ashutosh Tiwari: So firstly, if I look at this IMES operations where margins are improved YoY, QoQ, while revenues have dropped. Is it sustainable? What do happen over the year?

Bikash Dugar: So yes, the margins are more or less we would like to sustain it because we have got some customer price increase of last year in related to the energy cost and the metal prices, which have gone. Unlike in India, where the pass-through happens on a quarterly basis, in Europe, it is on an annual basis. And now we have got that price increase and we would like to sustain this kind of EBITDA margin and see that how can we utilize our capacity further to further bring the efficiency into that business.

Ashutosh Tiwari: But does this EBITDA also include some compensation for last year or this is normal for this quarter only?

Bikash Dugar: This is normal for this quarter.

Tarang Jain: That is something which is normal. It is a normal margin.

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Ashutosh Tiwari: And secondly, so VLS remaining operations there also, like, say, 1.7% margin this year despite almost a season higher revenue versus last year. So how should we look at those business? How should the margins improve over a year?

Tarang Jain: So see, the revenues here are coming basically from our lighting business, our two-wheeler lighting business abroad, which has got plants in Italy primarily and Vietnam, which continues to have a double-digit EBITDA. Our electronic business in Romania is on a ramp-up stage. And going forward, I think once it has capacity I mean we will see EBITDAs going up, up to probably up to 8%. And this is something which will mean a ISO PAT positive can operate performance from the EBU, and this is something which should happen probably in the coming months.

And thirdly is our VLS 4-wheeler lighting business in India, which also, I think we will see improved numbers. Here also, our target is that in the coming quarters, few quarters that we reach a double-digit EBITDA. So I think with all these together, I think going forward in the next quarters, we will be striving that we take this EBITDA up closer to a double-digit kind of a number for the VLS remaining operations, which are going to be our continued operations.

Ashutosh Tiwari: Okay. And in India, is there a possibility of margin improvement from here?

Tarang Jain: So we will be going up because we see our revenues increasing in the second quarter right from

July. So here, we will be definitely at a double digit, a double -digit EBITDA. And here, of course, like we have said before also in the medium term, we will be reaching this 12% EBITDA. Ashutosh Tiwari: The point is that despite this EBITDA improvement because of higher depreciation charges that we have now in remaining operations still, I think at the PBT level, the margin is not very good. So depreciation will also increase going there and how should we look at it? Like from the PBT margin improve significantly from here? Tarang Jain: Yes. So for sure because see here, the way I see it is that the EBITDA margins are going to grow across and especially in the bigger business

of India as well as the continued operation of VLS, we will see significantly improving margins. We will see from a PBT point of view, we will see there are interest costs both the transactions will drastically reduce, which is quite high today. So that is something which we see going down kind of considerably. So therefore, we are looking at obviously a good PBT performance post, I think, the transaction this thing happening. And here also, even in this June quarter, as you can see, we had a foreign exchange loss of about Rs. 97 million, which also was the reason why we had a small loss of Rs. 3.6 million for this quarter. Otherwise, we were actually our performance, gross of that Forex loss was positive. Ashutosh Tiwari: And lastly, I have missed the initial part of the call. But in terms of net debt after completion of dimension, how should we look at it, like say, considering whatever losses you are making right now and realize discontinuing the operations? Varroc Engineering Limited
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Tarang Jain: So we have already mentioned earlier that we will be net debt negative. So that is clear. So we are not just so we are going to be net debt negative if we have to take of a repayment of all the loans and also if we do not repay 100% loans because there is some working capital loans, we will have cash in the books. So we will be net debt negative on the whole as a balance sheet. Ashutosh Tiwari: Yes. But will the cash be like say, higher than Rs. 300 crores, Rs. 400 crores or it will be just getting net cash position? Tarang Jain: No, last time, we had said that we will be about Rs. 200 crores-plus, but there will be a little bit of a cash burn because that we do see because of the inflationary conditions in Europe. So that is something which should be there. There will be some adjustments. So probably a Rs. 200 crores could go down to Rs. 150 crores or things like that. And so we have to see how things pan out. It is a question of another 1.5 months. So it is not that long also at the moment. So we do see some this thing. But the main thing is that we will be net debt negative. That is our statement. A little bit here or there is something we can experience and we will come to know September end really where we are. But we already know our situation where we are today. And going forward, obviously, the focus is going to be a lot on the India side because that is going to be our major revenues. And there, we will see and there we have a strong growth potential going forward. We have a lot of business wins. And here, I mean, unlike probably maybe global markets, but in India, we continue to do kind of well. And here, we will see definitely improving margins also as we go along.

Moderator: Thank you. The next question is from the line of Abhishek Jain from Dolat Capital. Please go ahead.

Abhishek Jain: So what is your revenue guidance for the FY '23 and '24?

Tarang Jain: See, we have said like this year for our perimeter, we have said that not counting China because China is still in a JV that we will be at about Rs. 7,000 crores. And then we have said for the coming years, I mean, whatever the market growth is, we are going to be 8% to 10% more than the market growth. So we are going to perform better than the market by at least 8% to 10%. So that is our guidance for the coming 3 years.

Abhishek Jain: Okay. And the VLS remaining operational, which revenue stands at around Rs. 30-35 million on a quarterly basis. So what is your outlook for the revenue and the margin going ahead? As you have mentioned that you are looking a margin of 8% versus the 1.3% right now. So what is the road map for that?

Tarang Jain: So there the roadmap is that we will reach between 8% to 10% in the coming 2 to 3 quarters, we will achieve that percentage to EBITDA percentage to revenues.

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Abhishek Jain: And what would be the revenue size for FY '23 from the VLS remaining operations?

Tarang Jain: So here India, I think we had said close to about Rs. 5,500 crores and the balance without China was Rs. 1,500 crores. That is the breakup.

Abhishek Jain: Okay. And overall margin would be at 10% to 11% for FY '23?

Tarang Jain: Yes. So double digit is what we are trying to push for.

Abhishek Jain: Okay. And sir, currently, 4 -wheeler contribution is around 33%. So what mix you are targeting going ahead? If you can throw some more light on the winning new business in the 4 -wheeler lighting system and other part like in the polymer and metallic side?

Tarang Jain: Yes. So see, our focus is definitely when it comes to the India market, definitely, we expect future growth towards our India lighting business and also on the plastic side, the plastic interiors where we do quite a few products. We have also a lot of new technologies here, like 2K molding. We have some very unique parts like the roof rails, which are there for SUVs in the growing SUV market. Here, both for lighting as well as for our plastic interiors business, we see a huge growth. And it will be double -digit growth in the car market under these two segments. Other than that, we are also looking at some of the transmission parts, which are engine agnostic, even something to do with the EV whether it is two -wheeler shafts or there are other parts. So we are discussing with various customers on the export side, which is also a higher -margin business. And here, we are looking at, of course, the domestic market, but also more importantly, in the export market where as metallics is concerned. So probably going forward in the metallic side, we could in the coming years, see a shift more towards 4 -wheeler as compared to the 2 -wheeler as we move along.

Abhishek Jain: So recently, you have won the business for the 4 -wheeler lighting system in India. I think it is for the Mahindra & Mahindra and for the Tata motors . So if you can throw some more light on the winning new business in the lighting system and what is your revenue right now from the lighting part only?

Tarang Jain: So India lighting business, you can say we will be Rs. 500 crores -plus in revenues in this financial year. Our major customers in 4 -wheeler lighting business today are the Volkswagen Group, Mahindra & Mahindra and Renault Nissan. and also Tata. Tata is smaller.

So here, we are presently focusing on these customers. Of course, we are also looking at winning business with a few other 4 -wheelers where we are strongly engaged. So today, actually, frankly speaking, we are very well utilized in both our plants when it comes to both Pune, Pune being a larger plant 80%, and 20% in Chennai. And here, we are very much engaged with our customers for future business wins.

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And like I said, in lighting business also with these customers and a couple of other new customers whom we are talking to, which I cannot name at the moment, we are looking at a double -digit growth also in our lighting business going forward in India.

Abhishek Jain: And sir, my last question is related with your CapEx plan for the next 2 years?

Tarang Jain: So I think that when it comes to India, I think we are going to be at probably approximately about Rs. 200 crores or Rs. 2,000 million year -on-year. That is what we are looking at for the kind of growth I have mentioned. And abroad also, there will be a certain level of investment for the continued operations, which also could be another probably maximum it could be about probably up to probably Rs. 50 crores to Rs. 500 million, up to.

Abhishek Jain: So Rs. 250 crores sort of the CAPEX will be in the next 2 years, right, sir?

Tarang Jain: Yes. I mean, per year investments.

Abhishek Jain: Okay. Per year. And as you are

re targeting around Rs. 1,000 crores kind of the revenue by FY '25 in the EV segment. So most probably, the CAPEX would be at the higher side. to get this business?

Tarang Jain: No, we have already created a lot of capacities in our electronics factory on the SMT lines, and we also have a good capacity on the motor side. But yes, I mean, what I am talking about the growth, even if it is for the EV side, it will be within this investment. So it is mostly I think more of our investments will go more towards our plastics business and our electronics business.

That's where we see major investments going.

As we go along, it will be little bit less on the metallic side, we will leveraging more existing capacities to kind of utilize the capacities better, including for 4 -wheeler components in India or for exports. So we have still enough capacities available.

Abhishek Jain: Okay. And sir, after the closure the deal, so you are talking about that you will be a net cash company. So there would not be any debt on the books, right, sir? I mean in India business as well.

Tarang Jain: On a net debt basis, yes, on a net debt basis. Now we are not going to stop out of working capital lines. The working capital line will be there but I am saying to the extent cash available in the system. But we are not going to eliminate all our working capital limits. That will continue.

Abhishek Jain: Okay. And what would be the size of the working capital you would be required?

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Tarang Jain: I mean out of that, let us say, we have a net debt of the working capital continues working capital. I think it is normally Rs. 300 crores or so. Overall, I do not think it is going to be more than Rs. 300 crores or Rs. 400 crores that is the max I am saying on an overall basis.

T. Srinivasan: So adjustment between enterprise value and?

Tarang Jain: No. This is on a continued basis, what is the working capital.

T. Srinivasan: This is typically our receivable front, between 46 to 50 days. The inventory level in India is around 30 days on average, and payables are around 60 days. So that is the normal working capital cycle we have. So you can add just to the last thing.

Moderator: Thank you. Next question is from the line of Sachin Kasera from Svan Investment. Please go ahead.

Sachin Kasera: I just had two, three queries. One was you mentioned that while the net cash would be Rs. 200 crores post the transaction. The cash on the balance sheet will be a little higher because you will have some short-term working capital debt. So consider that normally, the yield that we get by putting it in treasury is normally lower than what you will pay on the negative carry. So do you have any perhaps because you mentioned that CAPEX is only Rs. 250 crores, which you may be able to fund from internal accrual? So this Rs. 400 crores, Rs. 500 crores of cash that will be remain on the balance sheet post the transaction, what is the thought process?

Tarang Jain: I mean that is something we will come out with some kind of a policy, I think, probably.

T. Srinivasan: First of all, last 3 years, we have not paid any dividend. I think it is time that we pay out some dividend, give some cash back to shareholders. So we will have to access this from the cash what we have is number one. And secondly, some way it is a good idea to keep some liquidity in the balance sheet. We do not want to be cut to cut come to the cash in the liquidity, which we learned the hard way during the COVID time. I think some liquidity buffer because you can never be sure what is around from the industry perspective, market perspective, from the economic perspective so some contingency buffer is always good.

The immediate focus is to now close the transaction so that we can move on with a strong balance sheet. And then we are parallelly working on our strategy 2030, which

also we had hoped to be

ready in the next 2 to 3 months. And then we will have a clear road map of how we are going to deploying the, let us say, the capacity we have on the balance sheet to invest.

Moderator: Thank you. The next question is from the line of Saurabh Jain from Ambit Capital. Please go ahead.

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Saurabh Jain: Yes. Sir, I just wanted to understand about the industry outlook. So if you could shed some light on how is the demand right now in the industry? Do you see the demand coming back strong or the uptick in the volume is largely due to the pent-up demand? And also, if you could shed some light on the European demand scenario, given that we are seeing high inflation and other political headwinds over there, so any color on those fronts would be helpful.

Tarang Jain: So on the India side, we definitely see a kind of a strong demand pull is there. Today, the limiting factor, frankly, is only the chips. And that I can say for a 2-wheeler sector and even the 4-wheeler sector. We see a strong demand for whichever customers, if their volumes are down is largely only because of the chips.

And I see that in this year, provided the chips are available for the various electronic products. I do not see really a problem in achieving a double-digit growth for the industry. So this, I clearly feel. So even in the first quarter, if there were issues in the growth in volume, it was largely overall because I feel because of chip shortage, not because of the demand. That is our view and going forward, we will have to see how things pan out.

But anyway, even in the coming years, I do feel, I do feel that there will be a growth in the Indian market of at least 7%, 8%. This is the way I am quite optimistic about the market growth going forward, both in 2-wheeler and the 4-wheel sector. We should not compare the India situation with the global situation is very different. We have our own demographics here. We have our own situation here, which is quite positive. So irrespective of the issues, we have inflation in India also.

Yes, it might affect a certain segment. But then overall, we do see a good growth because there is a demand, and I think that the monsoons also this year are quite good. And this is also going to help demand in the coming season. So I do see a good double-digit growth in this year in the remaining quarters. The first quarter was little muted. Yes, there are chip shortages still there, but it is improving.

So I do see a good growth in the Indian market, which will be for us the major play. When it comes to the European market, yes, I mean, it is impacted, I would say, I mean, by the Ukraine war. But there I do not really see and maybe Christian can also elaborate. I do not see really any softening of any volumes there or demand because of the moment at least I mean, I do not see it

but there is inflation. So there are cost pressures there. But I do not see really at the moment a problem of demand, at least in this year, in spite of so many things taking place, especially the war. Maybe Christian, you can maybe elaborate on the volumes in Europe?

Christian Päschel: Yes, so as you are saying, so the global situation, especially in Europe as well depending on the chip shortages. We are improving here but we have high inflation costs. We have to absorb the OEM as well as the war in Ukraine is intensifying.

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Saurabh Jain: And secondly, on the margin front, you did mention that we had a good 340 bps improvement on the gross margin front. And the primary reason, as you mentioned, was the further inflation pass-through that we received in this quarter. But if you could just help us out quantifying as in how much of this reported is slightly due to the pass-through effect? And have you seen any material improvement because o

f the correction in the commodity prices as well?

Tarang Jain: See, basically, as you know, we had got an overall 8%, 9% increase from January of '22 from all customers for VLS. Now in fact, what has happened is that so that has, of course, resulted in an improvement in the gross margin. But in fact, the gross margin should have been better than what we have actually achieved so far, but the problem was that there has been an inflation in the commodity prices. So in spite of that, there was an improvement in gross margin, otherwise, it could have been much better in our view.

And also, after the gross margin also, the re was an impact mainly because of some labor cost increases and importantly, energy costs. They have gone up quite a bit because of the war. And that has resulted in the kind of performance in the VLS discontinued operations. They have been a little bit impacted, but we are not seeing really a problem in the overall volume. The demand has still been there. It is just that there has been the price increase, which we are expecting, if there was no war, I think the performance would have been better because there will be not so much of inflation, which we are experiencing.

But having said that, we have again asked some of our customers for some price increases from April, and we do expect a settlement of some price increases from April onwards in the month of September because unfortunately, August is a holiday period in Europe. And of course, all our decision makers are also on leave at the moment.

Bikash Dugar : And in India, the gross margin has also improved because of the internal efficiencies, which we are trying to bring in the system, be it our sourcing, be it addition value engineering. So that we are continuously doing and that we will continue to do for the rest of the year so that our gross margins further improves from this level.

Moderator: Thank you. The follow-up is from the line of Sachin Kasera from Svan Investments. Please go ahead.

Sachin Kasera: Yes. Just one question on the lighting part of the business. So if we both in 4-wheeler and 2-wheeler, if you could tell us where do we stand in terms of the LED part of the Lighting business? How do we see the market evolving? And what is the type of market share gains we are looking there in the next two, three years?

Tarang Jain: Yes. Maybe Arjun, you can answer that.

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Arjun Jain: Yes. So I think from an India specific standpoint, I think really today, if you look at whether on the 2-wheeler lighting side or the 4-wheeler lighting side, I think in the premium segments of the market, I think we are doing very, very well.

Now when I say premium segments, what I really remain is if you look at 250 CC plus, where you really have full-fledged Class D homologated headlamps, today, we occupy all Bajaj, KTM, or other KTM brands as well also. And I think we do fairly strong volume there. Even the new Pulsar that have launched, we supply the bi-functional LED there as well.

So from a passenger car standpoint, I think a lot of the new models that have launched over the last 12 months, especially the XUV700 and all the Skoda and VW models that have launched, we do a very large portion of the lighting. So XUV700, we do almost all the lights that are around that vehicle.

So when we think about the technology that we already have on the road, I think it definitely places us in a very good position as more and more vehicles move towards LED. Ultimately, today, we are fully localized whether in terms of design, development, manufacturing for these technologies, we are also vertically integrated with the electronics manufacturing, which is really around 50%, 60% in the now. So we feel we are in a very competitive place and I think that is really what we would have moving forward as well.

Sachin Kasera: You mentioned three

e customers. So these are probably three, right now we are working on the LED? Or are we also working with some newer clients? And hence, the client addition could be there for two and four -wheeler as you go ahead.

Arjun Jain: Okay. So if I talk about passenger car, our customer base is quite competitive. So I spoke about Mahindra and VW because they are the largest customers. But we also do LED headlamps and tail lamps for Renault Nissan. So both Magnite and Kiger. We also have LED contract with Tata, especially in terms of DRLs like on Harrier and Safari.

We also have other non-LED businesses also with all of these customers, right? But from a 2-wheeler perspective, other two-wheeler, let us say, we do Bajaj, KTM, Ducati, Hero. So we truly have a very comprehensive portfolio across technology segments. The question was more specific about LED. So I spoke more about the customers where we are supplying high-end LED product.

Sachin Kasera: Can you assure your LED market share in 2-wheeler and 4-wheeler? And how do you see that in the next 3 years?

Arjun Jain: So honestly, I do not have numbers on the top of my head. A gain, I think when you think about the LED market I will absolutely share that

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Sachin Kasera: Are you in the top 2 or top 3 players or how many players are there if you can just. And how are we positioned if not a specific market? We are #2, #3, #4 in LED lighting today in both 2- and 4-wheelers?

Arjun Jain: So I think 2-wheelers, especially if you think from a value perspective rather than a volume perspective, I would say we are definitely in the top 3. Passenger car, we are basically the high supplier. So where a top 5, the exact number, I would not know the top of my head right now.

Sachin Kasera: Okay. But do you even especially on during internal budgets where we are looking at some significant market share gains in this segment in LED two and 4-wheeler segment?

Arjun Jain: So I think for us, again, I would repeat, right? I think we are in a good place because we have been early entrant and a market leader in terms of bringing this technology to the Indian market, right? And I think when we look forward, we would expect that customers will trust the supplier, we have already done it rather than the supplier whom we are hoping to do.

So that is a trend that we hope to find a product on the road back to whether we read in all these magazines like Autocar or Overdrive, et cetera. We have all the lights we supply are be extremely, extremely well whether from a performance standpoint or reliability standpoint, again, we do very well. So the expectation is that, that is a trend we will be able to capitalize on further.

Sachin Kasera: Sure. My second question is regarding the overall evolving of the auto ancillary architecture in India and globally. As we see the world ahead, it is becoming more and more about engineering technology software. And hence, it has also become imperative for all the auto ancillary players to spend a significant portion of their revenues on R&D and innovation. So where are we in that journey today? How much do we spend or intend to spend on R&D and innovation as a percent of sales in absolute number? And how do we see that number in the next 2 to 3 years?

Arjun Jain: Should I take this also or?

Tarang Jain: Yes.

Arjun Jain: Okay. So I think I can speak more specifically about India and I think anybody else on the call can also add about the rest of the world and the continued perimeter. But I think in terms of engineering, I think really as we have always spent on engineering. It is not a new thing, right? We have always been self-sufficient when it comes to technology.

So almost all the products we see in the road, all the products that we supply is technology that we have developed in ourselves. Now of course, over

the last few years, whether as a result of BS-VI and Euro-VI coming to 2-wheeler and also now with EV, there has been a need to drive further investment. But in my view, I think we have already done that.

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And so in a lot of ways, this investment has already been driven. Of course, as technology continues to evolve, we will stay with it because for our customers, ultimately, we are the supplier. And I think both our CFO and our CMD talked about how we were able to ramp up a fuel injection system in 3 months, and we supply 50,000 a month now. So definitely, I think the technology capability is something that we have always had. We built it on further and something like by our customers.

Sachin Kasera: That's fair. But I was looking more for some numbers first. So if you could tell a number of engineers in R&D innovation and how much do we spend yearly and what is the intent next 2, 3 years? That would be more helpful.

Arjun Jain: So number of engineers today, I would say, at the Indian Engineering Center for electric - electronics alone would be somewhere around 450. I think globally we will continue perimeter add approximately 750 engineers. In terms of the total R&D spends, I would not know that number on the top of my head.

Tarang Jain: It will be about 2%. I think in our perimeter, now it will be around 2% to 2.5% of revenue.

Sachin Kasera: And we intend to keep it there? We intend to increase it as a percentage of revenue going ahead?

Tarang Jain: We do not need to increase it. I think this is enough.

Moderator: Thank you very much. I now hand the conference over to the management for closing comments.

Tarang Jain: So I just want to thank all of you again for joining in, listening to us and asking your various questions. The trust and faith of our stakeholders is what motivates us to pursue excellence in our day to day life. So thank you very much.

Moderator: Thank you very much. On behalf of Ambit Capital Private Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Oct 2022

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VARROC/SE/INT/2022-23/82 October 10, 2022

To,
The Manager- Listing
The Listing Department,
National Stock Exchange of India
Limited
Exchange Plaza, Plot No. C/1,
G Block, Bandra-Kurla Complex,
Bandra (East), Mumbai-400051.

NSE Symbol: VARROC The Manager – Listing
The Corporate Relation
Department,
Bombay Stock Exchange Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai-400001.

BSE Security Code: 541578
[Debt: 973454 & 973455]

Sub: Transcript of Investor / Conference Call held on October 7, 2022

Dear Sir/Madam,

Please find Transcript of Investors / Conference Call held on Friday, October 7, 2022.

This is for your information and records.

For Varroc Engineering Limited

Ajay Sharma
Group General Counsel and Company Secretary
Encl: a/a

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"Varroc Engineering Limited's Conference Call"

October 07 , 2022

SPEAKERS : MR. TARANG JAIN – CHAIRMAN & MANAGING
DIRECTOR , VARROC ENGINEERING LIMITED
MR. K MAHENDRA KUMAR – GROUP CHIEF FINANCIAL
OFFICER , VARROC ENGINEERING LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Varroc Engineering Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation conclude. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Tarang Jain, the Chairman and Managing Director. Thank you . And over to you sir.

Tarang Jain: Thank you. Tarang Jain here. Good afternoon to everyone and I would like to thank you all for joining the call of Varroc Engineering Limited . We're having this call to appraise our stakeholders about the divestment of the four-wheeler lighting business in Europe and America . We will also talk about how the continued business is progressing for the company. Firstly, in respect of this divestment, I would like to highlight some important changes. The continuation of the Russia -Ukraine war leading to higher inflation, the consequent tightening by the central banks and the semiconductor supply shortages continue to impact both the supply and demand. This has resulted in lower demand, higher raw material prices and labor cost during the current year, especially the operations which are based in Europe and America. Economists are also forecasting recessionary trends in developed countries in the near future. On the backdrop of this and to take care of the buyers' concern, we had to amend the enterprise value from €600 million to €520 million.

Further, we strongly believe the patent infringement cases which were filed by Valeo will be nullified by the German court. The independent third -party opinion which we obtained also supported this view. However, this nullification process requires a further 12 -to-18 months of time. Considering the urgency of concluding this deal, we had to agree for an out -of-court settlement for a higher value of €51 million.

Moreover, the debt and debt-like items have further added up to approximately €56 million compared to an earlier estimate of €25 -to-€30 million. Details of the same are given in the presentation. Hence, as communicated in the AGM, the leftover equity value will be significantly lower than what we had estimated earlier. The net cash accretion excluding escrow will be also lower at €5 -€9 million as compared to €160 million estimated earlier. As a result of this, the continued operations debt will only come down marginally though there will be a significant reduction in the consolidated debt. These changes will result in write -down of investments and advances. We will also have another €28 million in the escrow account and most of that is expected to flow to us in the near future.

Conclusion of the deal will result in avoidance of further debt burden on Varroc India enabling us to focus on high growth and profitable segments of our continued operations.

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Some of the highlights I would like to share some positive developments in our continued businesses. The operation performance of the continued business is steadily improving. Firstly, the Indian operations revenue for this Q2 FY'23 will be the highest ever in the history of Varroc. Secondly, we continue to see strong new business wins from incumbents as well as new players. Thirdly, the VLS remaining operations is also improving its operating performance. Lastly, the forging business in Italy, which is called IMES , started delivering positive EBITDA margin as we have seen in Q1 FY'22.

In our future strategy, prudent capital allocation and free cash flow generation will get a lot of focus.

I will now request our group CFO to walk you through the presentation which has already been

uploaded in our website and on the stock exchange. Over to you, Mahendra.

K Mahendra Kumar: Thank you, Tarang. Good afternoon, everybody. Welcome to this call once again. I am happy to talk to all of you once again in my new role here.

As Mr. Tarang explained, the presentation has been uploaded on the website already. I think some of you or all of you might have seen it. I will take you through the presentation right now. In slide #2, we tried to explain what the initial assumption or proposal was when we actually started the deal a few months ago. On the right side in slide #2, we explained the changes which have happened in the final settlement. So, as you can see and as Mr. Tarang also explained earlier in the call, the €600 million and face value had to be brought down to under €520 million. Considering the current economic scenario across the globe, as you also might have noticed in various press releases and news item, across the globe, the merger and acquisition activity has come down significantly. In fact, I was reading new reports that between US and Europe, the merger and acquisition activity went down this year by close to 50% -60% compared to last year. So, our focus was mainly to basically save this deal or conclude this deal. And also, the continuing outlook also seems to be somewhat a matter of concern. Because all of you know that Europe is going through a lot of recessionary fears. So, to accommodate these requests and the concerns of the buyer, we had to bring down the value from €600 million to €520 million. And then this out-of-court settlement also had to be finalized for €51 million though we had a strong case to fight it out. Again, in order to conclude the deal, we had to agree for this high Varroc Engineering
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amount of settlement. But the good thing is this will actually put rest to all these disputes which have been hanging for some time.

And then the net cash accretion to Varroc will now come down to €5 million to €9 million. I will explain the walk in the subsequent slides.

Another positive thing here is the escrow which was earlier pegged at €35 million has now been brought down to €28 million.

So, with this, we concluded the deal yesterday and the settlement also has happened. And the overseas debt and debt-like items are approximately €400 million have been settled. Now, this is another positive development for us the way I see it. Because this much of debt burden or debt-like items burden has been washed away from the consolidated balance sheet which should give us good kind of relief going forward.

I will take you to slide #3. This explains the walk what we presented earlier versus what it is now, just so that all of us are clear about the walk. Previously, as you might remember, the enterprise value of €600 million after all these adjustments for debt and debt-like items is supposed to result in net cash accretion of about €157 million to €161 million. With this reduction from €600 million to €520 million and the value settlement coming in, the net cash accretion will now come to €5 million to €9 million.

On the enterprise value reduction, we already talked about. So, because of all these economic factors and the cost pressures, the raw material inflation and labor costs also have gone up in European countries. So, that created some kind of a bleak outlook for the future for these operations. So, to allay the fears of the buyer, we had to go for this kind of a correction.

And the patent infringement, as Mr. Tarang also explained earlier, we had a strong case to fight it out, we had certain legal options also supporting our case. But then again to conclude the deal, and to avoid further delay in the deal, we had to reach this out-of-court settlement and come out of these disputes.

And then there were a few other adjustments like working capital changes and license cost

and

lease liabilities which we had to correct. So that resulted in a reduction of equity value of about €188 million.

The escrow amount earlier pegged at €35 million has now been brought down to €28 million.

Because this €35 million earlier also had a value-related escrow of close to about €10 million.

Now that we reached a settlement, so that has gone out.

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And then similarly, the debt repayment is now €33 million. Earlier, it was €62 million. But some of the debts have been repaid in the last few months. Now, this is again a good relief for the continuing operations. So, from the continued businesses, €33 million of this debt is going to be paid out. That will reduce the burden on continued operations. That leaves out about €5 million to €9 million as the net cash accrual to us.

Now, all this will result in some kind of write-down or impairment of the investments in VH BV. But this is under evaluation right now. We will have to take into consideration the various factors here because some of the VH BV. investments are into both continued and discontinued businesses. Now, we are in the process of doing a fair value assessment of some of those continuing businesses. We will see where the net impact ends up. And anyway, we will be

completing audit by end of this month. So, when we talk about the Q2 results, we will explain what the net impact could be.

Now, I will take you to slide #4. So, this gives the status of net debt. Previously, I think when we talked about the net debt levels as of 30th June, we indicated that we continued operations in INR15.2 billion which will now come down to about INR13 billion. So, that's one good development. That's about the deal and the impact of the overall debt level.

And talking about these continued operations, of course, the things are looking bright for the existing businesses. We could actually improve profitability in Q1 for continued businesses. In fact, the momentum is continuing. Both in August and September also, we could have recorded one of our highest ever revenues for Indian operations. Of course, we will talk about the full results with the Q2 final results.

We also added three new significant customers in the last six months in the EV business and the ramp up of existing EV component business which we obtained earlier is also happening.

And then of course the new orders with a life-time value of close to Rs.1,500 crores have been won in Q1. Q2 status also we will report later. The aftermarket business continues to grow healthy at about 20%.

Now, one important thing we would like to bring to your notice is going forward we will be focusing heavily on free cash flows and return on capital employed improvements. We will be very prudent in our capital deployment strategies also.

So, in a way, this is like a new beginning for Varroc. The significant burden in terms of overseas operations and the cash flows has been now taken away. So, it enables us to focus now on the existing businesses which are profitable. So, we will be focusing on free cash flow generation

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going forward and see how to actually properly deploy it going forward. And we will also be focusing significantly on integrating our remaining overseas VLS operations in the coming weeks and months.

With that, I will stop. We will now take your questions and clarify any doubts that you may have. Thank you.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Aditya Jhawar from Investec Capital. Please go ahead.

Aditya Jhawar: I have two questions. #1, on the debt side, for the next couple of years, what is the line of sight of debt repayment in FY'23 and '24? What could be the CAPEX for continued operations?

Tarang Jain: Aditya, as far as the debt is concerned,

now I would say that the debt is under more manageable

levels. You see a very high growth in the Indian market in spite of what's happening in the rest of the world. India continues to grow, and we are also growing in some of these growing segments like EV, electronics and light weighting. So, this augurs well for us. So, we are quite confident that over the next couple of years, we will be bringing this debt down considerably. Our focus definitely like what you correctly mentioned will be on two areas. One is of course, prudent capital allocation. I am talking now only about India and Europe. We do not say that the CAPEX going forward will be more than probably around Rs.300 crores or a little bit more in that range. Whatever else with the rising EBITDA which we expect with the rising sales, we are going to focus that we have a quarterly reduction in our debt as we go along. We are really focused on how we are managing to still become a net debt negative company going forward in the next couple of years.

Aditya Jhawar: My second question is specifically for EV components, have we got any visibility or order wins from other than Bajaj?

Tarang Jain: In the recent months, whether it be the incumbent companies or new ones, we got three large EV players that we have won business. We are not allowed to disclose the names and the details at the moment. We will try to see if we can share with you at the time of the Q2 results. But we have now three companies and things are looking very good for us going forward on the EV space, whether it's for the power train or whether it's for the other components.

Moderator: The next question is from the line of Abhishek Jain from Dolat Capital. Please go ahead.

Abhishek Jain: Sir, you mentioned that after this deal, debt would be to reduce Rs.13 billion. So, how much is from the India continued operations and the overseas operations?

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K Mahendra Kumar: Most of it will be in India operations or will be only very little left for overseas.

Abhishek Jain: So, how much debt will be left from overseas operations? Earlier, in the last quarter, it was around Rs.5.3 billion.

K Mahendra Kumar: In terms of INR equivalent, it will be close to about Rs.100 crores.

Abhishek Jain: After this deal, you will have a balance of around €120 million. Out of that, you will pay around €52 million. So, net cash flow should be around €70 million and out of that €30 million for the escrow account. Still, you should have around €40 million no sir? You are now talking about the €5 million to €6 million only.

K Mahendra Kumar: We are not counting on the escrow money now. So, that's why these levels what we are indicating now is excluding the escrow realization.

Abhishek Jain: After excluding escrow realization, we have a calculation that you should have around €50 million because you had paid around €400 million as a debt, so balance would be around €120 million and out of that it will be around €52 million because of this Valeo litigation?

K Mahendra Kumar: I think we gave the details in the slide. You can see the details there. So, what we are saying is after all these, equity value will be close to around €66 million to €70 million. Out of that, if we take escrow of €28 million out, we will be left with around €42 million, out of that €33 million will go to repay the continued operations of overseas debt of about €33 million, so that leaves out anywhere between €5 million to €9 million for the other things with the accounting on escrow.

Abhishek Jain: What is the future of the China VLS business after this deal? Most probably, that will be scrapped because there will be a competition with the other players also?

Tarang Jain: On the China piece, as you know that Plastic Omnium has not bought into our JV. So, JV is still continuing in China, which is between the TYC and us. We

have been in the discussions for the

last couple of years for a split between us and those discussions are progressing. We are hoping that we are able to reach a conclusion within this financial year '23 so that then we can also get the China operations within our continued operations going forward from the next financial year.

Abhishek Jain: Because of this Valeo litigation, is there any impact on the four-wheeler India lighting business which is giving good business from many OEMs?

Tarang Jain: No, not really, because firstly, on this Valeo litigation, frankly, our case was very strong. But like Mahendra said that we had to kind of reach the settlement in the interest of concluding on Varroc Engineering

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this deal. This is the total settlement for the past, any so-called alleged patent infringements and also, we have a license for all the current products till end of life. This covers everything and it includes also all the entities of Varroc which are remaining with us, whether it's India or it's China or elsewhere under the future license.

Abhishek Jain: The deal was completed on 1st October. Have you not incurred any further loss in VLS for the first half FY'23?

Tarang Jain: As you know that on the discontinued operations, that's not coming in our results. We are only kind of bringing the results of the continued operations.

Abhishek Jain: What is your revenue, EBITDA target for FY'23 and debt payment target for the next year?

Tarang Jain: For this financial year, we already said that for the continued operations, not including China till it's in place, we were looking at about Rs.7,000 crores of revenue. And on the EBITDA side, I think we would be trying to achieve around 9%. Indian segment now will be a mainstay almost about 80% of revenues and here like we said that we will grow 10% more than the market growth and definitely going forward we are looking at a double-digit EBITDA, but our target is of course going forward to be between 11% and 12% in the next financial year for the whole of continued operations. On the debt repayment schedule, that is something which we are actually working on, and we will see like I said quarterly reduction in debt as now we are in control it's going to reduce, that's something I think we can probably a little bit more share with you when we are announcing the Q2 results. But definitely, I think we will be in a healthier space as we move along with debt is concerned, that's something which is also on top of our agenda.

K Mahendra Kumar: Abhishek, just don't take these things as any kind of revenue guidance or profit guidance, these are like our estimates.

Moderator: The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.

Jyoti Singh: My question is on the similar side of the debt of around Rs.1,553 crores in FY'22. After this deal, how much we are expecting it will reduce by '23 and '24 if you can guide us?

K Mahendra Kumar: So, as I explained earlier in my presentation, after this deal, we will end up with net debt of about Rs.13 billion or round about Rs.1,300 -1,350 crores.

Moderator: The next question is from the line of Karan Kokane from Ambit Capital. Please go ahead.

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Karan Kokane: My first question is on growth. You mentioned that you are planning to grow 10% ahead of the industry. Could you please elaborate on what would be the key drivers of this?

Tarang Jain: I am talking of our India which we have a larger play. So, in India, we see a lot of premiumization in the two-wheeler market and there is a content growth which is happening, for example, when it comes to Bajaj Auto, we have seen that Pulsar family; they have models between 125 cc to 250 cc in the Pulsar range. Other than 125 cc, all the others have come out with new models of above

125 cc, with today code name K17, it will be called something. And here, the premiumization is a lot, when it comes to electronics, when it comes to even the use of plastics, the use of paint in the plastics, so there is a lot of premiumization which is already happening for example. Lot of our entry into more of a four-wheeler plastics business in India on the interior components side and generally obviously the EV side growth will lead to a lot of additional business because when it comes to the scooters and three-wheelers where we see lot of EV happening at least in our case, our share of overall this thing is not more than 10%, 12% for scooters and on the three-wheelers side. And here whatever comes out of the EV side is all additional revenue for us and also huge content growth for us. So, therefore, we see that from a revenue standpoint, we can say that even if the market grows next year from 5% to 7% or whatever, we will be 10% more. We are very confident going forward that the revenues will be realized, and we have already won in this financial year, last financial year a lot of business when it comes to plastic products, polymer products, electronics, lighting, two-wheeler and four-wheeler lighting. So we remain quite bullish over here and also when it comes to our foreign two-wheeler lighting business when it comes to Italy and Vietnam, in Vietnam, we see a quite of good growth going forward, in Italy, yes, we have to get in some more revenue, that's something now we will focus in a bigger way, and, of course, the four-wheeler electronics which we have a plant in Romania, we will also see a certain level of focus coming in there. So, I am just saying on the back of India, we see a good level growth and what we are talking about 10% more for the Indian market, not for Europe.

Karan Kokane: My second question is on the EV components. Many auto component players nowadays have been manufacturing components like motors, controllers, BMS, all those components. My question is what is our key competitive advantage in these components and what do OEMs look for, what is the differentiating factor in these components and why we will gain market share?

Tarang Jain: On the EV powertrain, I think the main products which we have are the motor, controller, DC-DC converter and our telematics control unit. We do some others also. I am just saying for the EV powertrain. And there, there are two models: One is a build-to-print model which sometimes the customers want to give their design. And the second model is that we have already developed the motor, motor controller. DC-DC converter obviously and telematics control unit is our own proprietary technology, that we supply. For motor, motor controller which are the two main

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model products in the two and three-wheelers EV. Both the models what we bring in is that we have put up a very-very robust manufacturing process when it comes to electronics or on the motor side, so we bring in very strong QCD, very reliable and sustainable products to the market, that is one thing. Secondly, of course, we remain very competitive in our pricing in this segment, whether it's for build-to-print or whether it's for our products. So, people see us that we have proprietary technology, we have a strong R&D when it comes to advancement, when it comes to development of the EV products, and we have already started powertrain quietly one customer and people know about this and we have a very strong performance track record for overall products and customers know that. So, we see a lot of interest coming to Varroc and the way I would say is that we are selecting and going forward with whom we consider are the winners in the market.

Karan Kokane: You have spoken about double-digit margin. Currently, we are at a single digit. So, apart from commodity benefits

, what would be the key drivers of margin improvement from these levels, and do you have any ROCE target in that?

Tarang Jain: One is of course the general stuff that we are improving operationally year-on-year and like to correct this on material side. Main, I think driver is volume growth. So, with the volume growth, firstly, there is a better control on the fixed cost. Secondly, obviously, you can realize better deal when it comes to buying of raw materials or vendor parts. So, these are the two main drivers more than anything else. Of course, more we do on the electronics side, it's anyway better margins for us. So, therefore, we feel comfortable to say that we will be moving forward to achieve the double-digit margins. And ROCE, for sure, is going to be more than 20% as we move forward, that is our minimum target that we have to have a pre-tax ROCE of 20%, but like what Mahendra also showed in his presentation earlier, our big focus is going to be other than ROCE, on free cash flow. That is something which is going to be the most important. Its prudent capital allocation, Yes. For some time now we have to also repay our debts, because still they

are on a balance sheet. So, we will be extremely focused on free cash flow and on ROC E as we go forward.

Karan Kokane: You said that you are seeing a 20% kind of CAGR in the aftermarket segment. So, what is driving the 20% growth?

Tarang Jain: We have a strong team in the aftermarket, for the domestic market and as well as for the exports.

Largely, the products which we manufacture is in our own in-house and also, we do trading in items. That is something we are seeing that we are getting better penetration in various tier -2 and tier -3 cities year-on-year. So, our reach is actually increasing in a whole network, which is what is helping us. And also, we are adding a few more newer products. Our reach is growing up in India and exports also I think more countries in Africa, in South America, Southeast Asia,

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we are adding a couple of countries, and also growing the current markets abroad. So, here, if you see the past few years track record, we are growing more than 20% and that's something we feel we will continue to do as we move forward, we are confident.

Karan Kokane: IMES was reporting operating losses and also plans of hiving this business. So, how is this business doing and are we planning to hive it off, will that bring in more cash flows?

Tarang Jain: I agree with you that it's not a core part of our business, because we are largely to the auto market when it comes to cars, commercial vehicles or two and three wheelers. This is more non-auto to do with oil and gas industry and Caterpillar and these kinds of customers. But presently, what is happening is that our focus today on an immediate term is to improve the profitability. So, higher EBITDA margins, achieving PAT here. And we are working with our existing customers on more revenues and also better operational performance. Our focus is actually on that at the moment. And yes, let's see how it goes. Immediately, in the current environment especially in Europe, things are so bad, I don't see really sale taking place to be honest. So, our focus has to be that we make this plan stronger in the near future and when the environment gets better, and when the business is stronger, then we can look at probably a possible kind of M&A or something at that point of time, but immediately, we are not looking at it.

Moderator: The next question is from the line of Vishal S from Svan Investment. Please go ahead.

Vishal S: I have two questions. First question is regarding the impairment on the investment. How much as per your estimation will be the impairment? I know the estimation is WIP. but what can be the magnitude? And when this impact will flow in our books ... do you expect it to flow

in FY'23

or going forward?

K Mahendra Kumar: Vishal, as I mentioned earlier in my presentation, we are currently assessing it. I don't want to put a number to it because it is subject to audit also. So, we will come back to you anyway at the time of Q2 results. To answer your other part of a question, yes, we will recognize this impact during Q2 results.

Vishal S: My second question is by when the escrow amount will flow into our books and what do we expect, it will be 80% or 90% which is stated currently or what can be a ballpark number of this what you have stated??

K Mahendra Kumar: We want to stay conservative at this moment. So, we are not banking on this escrow amount when we reported this net debt of Rs.13 billion. But having said that, we are expecting that more than 50% of this at least should come to us during this financial year, but again, there are certain

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conditions and all. We need to see how actually things progress in the coming months and when the time is appropriate, we will come back to you with more details on that.

Moderator: The next question is from the line of Basudeb Banerjee from ICICI Securities. Please go ahead.

Basudeb Banerjee: A few things to understand. With this change in valuation of selling off, to balance that out, how quickly one should expect IMES stake sale to balance off the increase in debt in balance sheet?

Tarang Jain: To answer the first question, presently, we are not looking at a sale because I don't think in the current environment in Europe, we are going to find a buyer. And I think the focus now is on operational improvement and we are getting some good results. We are talking about now recessionary trends setting in Europe. I don't know how long it's going to go on also.

Immediately, we can't be thinking on those lines. So, our focus would be on operational improvements and if that opportunity comes in the near future, then we can look at it. But presently, we are not looking at the sale of IMES. And frankly speaking, I don't know. Yes, I mean, going forward, but I saw that we are going to get some big kind of a value out of it even if we have to sell it, I don't think it's going to be a big value transaction that is going to impact us in a very significant way. But yes, I do agree that it is not a part of our core business and that's something in our mind that we have to deal with it at some point of time in the future.

Basudeb Banerjee: Post this deal, now what level of interest outgo for Q 2 and guiding for next three, four quarters?

K Mahendra Kumar: As I mentioned, we are now having a debt of close to Rs.1,300-1,350 crores. So, we will of course make some efforts to reduce the debt levels in the coming quarters like what our chairman explained. Of course, on the current cost of borrowing, give us sometime and we will anyway work out some kind of a plan and we will continue to reduce the debt levels as we go forward.

Basudeb Banerjee: With the steel, aluminum, copper, so much of correction in the commodity basket, for your core India legacy business, what kind of margin uptick which can be from the present levels of 9% - 10%?

Tarang Jain: With all these commodity prices going up and down, we have an understanding with all our customers in India mostly for a quarterly adjustment. For many quarters earlier, we saw an upswing in all the commodity prices and we had to absorb one quarter of this upswing in commodity cost. But after that, we also saw a little bit of softening on the commodity side and there were some gains also over there, so, our risk over there is limited. So, therefore, I think this up and down in commodities are not going to really impact too much our margins overall with whatever our objectives around the margins. With the growth which we are envisaging going forward, we do expect that we should be able to kind of realize

whatever our goals are.

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Moderator: The next question is from the line of Deepak Pawar from Vasuki India Fund. Please go ahead.

Deepak Pawar: My question is what would be the expected EBITDA of India business for this financial year and what are you expecting the EBITDA on the EV components business as standalone?

Tarang Jain: Like I said, we are going to be striving for the continued operations at about 9%, India could be this thing higher than Europe and for the other business of four-wheeler lighting in India. What was your second question?

Deepak Pawar: Estimated EBITDA, any ballpark figure only on the EV components business and standalone?

Tarang Jain: That is something we really cannot share, but I saw that the margins whatever are there on the electronics side of the EV, on the other electronics that the same thing we are getting over there. So, it's not that the margins are much higher, but because the content is very high, it is quite beneficial for us. So, overall revenue growth is what is helping our margins also probably.

Deepak Pawar: So, any ballpark on only India standalone business?

Tarang Jain: On the EV side of the business, the powertrain, I can only say that it will be a double-digit, but I cannot share the number.

Moderator: We have our last question from the line of Shweta from ICICI Bank. Please go ahead.

Shweta: Just one small question on the semiconductor chip shortage issue. So, will Varroc continue to face this shortage issue in the coming future or what do you envisage in this manner?

Tarang Jain: What we see is the shortage issue is actually improving, but it's not gone away. So, we do expect that probably in next six to 12-months, there will still be shortages for us, but somehow, we are very closely working with all the electronics buyers, and we have very good understanding. So, in our case, largely, we are able to manage quite well for all the chips. In some cases, where there are some shortages, we are now pushing for higher allocation because the issue is that the growth is very high in India. So, we have to see, and we are giving projections for next one and a half years to all the electronics supplies. So, we have to make sure that we are managing the growth, that's more important because whatever the volumes today we are somehow able to manage, I would not say, very comfortably, most of this thing, but in some cases there are some shortages which we manage in the end may be some hand-to-mouth kind of a situation, but largely I see that the situation is improving.

Moderator: I now hand over the call to Mr. Tarang Jain for closing comments. Over to you, sir.

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Tarang Jain: So, I would like to thank again everyone for joining, listening and asking the various questions. The trust and fate of the stakeholders are what motivates us to pursue excellence in our day-to-day life. Thank you once again and all the best.

Moderator: On behalf of Varroc Engineering, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

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VARROC/SE/INT/2022-23/93 November 18, 2022

To,
The Manager- Listing
The Listing Department,
National Stock Exchange of India
Limited
Exchange Plaza, Plot No. C/1,
G Block, Bandra-Kurla Complex,
Bandra (East), Mumbai-400051.
NSE Symbol: VARROC The Manager – Listing
The Corporate Relation
Department,
Bombay Stock Exchange Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai-400001.
BSE Security Code: 541578
[Debt: 973454 & 973455]

Sub: Transcript of Investor / Conference Call pertaining to Unaudited
Financial Results for the quarter and half year ended on September 30, 2022

Dear Sir/Madam,

Please find Transcript of Investors / Conference Call held on Monday, November 14, 2022, in respect of the Un-audited Financial Results for the quarter and half year ended on September 30, 2022.

This is for your information and records.

For Varroc Engineering Limited

Ajay Sharma
Group General Counsel and Company Secretary
Encl: a/a

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Conference Call "
November 14, 2022
MANAGEMENT : MR. TARANG JAIN – CHAIRMAN & MANAGING
DIRECTOR, VARROC ENGINEERING LIMITED
MR. ARJUN JAIN – WHOLE TIME DIRECTOR,
VARROC ENGINEERING LIMITED
MR. K. MAHENDRA KUMAR - Group CFO, VARROC
ENGINEERING LIMITED
MR. B IKASH DUGAR - HEAD, INVESTOR RELATIONS,
VARROC ENGINEERING LIMITED
MODERATOR : MR. KARAN KOKANE – ANALYST , AMBIT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the Varroc Engineering Limited 2QFY23 Conference Call hosted by Ambit Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * and then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Karan Kokane from Ambit Capital. Thank you, and over to you.

Karan Kokane : Thanks. Good evening, everyone. I welcome you to the Varroc Engineering 2Q FY23 Results Conference Call. From the management, we have today Mr. Tarang Jain – Chairman and Managing Director, Mr. Arjun Jain – Whole Time Director, Mr. Mahendra Kumar – CFO, and Mr. Bikash Dugar – Head, Investor Relations. I'll now hand over the call to Mr. Bikash Dugar. Thanks, and over to you.

Bikash Dugar : Thank you. Welcome everyone and thank you for joining us for the quarter end 30th September 2022 earnings call for Varroc Engineering. Please note that the results presentation and press release have been uploaded on the website and also in the stock exchange.

Before we begin the call, please note that some of the matters we will discuss on this call, including business outlook are forward-looking. These are subject to known and unknown risks, the risks and uncertainties are included, but not limited to what we have mentioned in our prospects filed with SEBI and subsequent annual reports, which are available in our website. With that said, I now hand over the call to our Chairman, Mr. Tarang Jain to begin the proceedings.

Tarang Jain : Thank you, Bikash, and thank you, Team Ambit for hosting the call, and good evening to everyone. Before talking about the operational performance of 2QFY23, I would like to again inform that we have completed the divestment of our four-wheeler lighting business in Europe and the Americas on the 6th of October 2022. As communicated earlier, this has resulted in an impairment due to the lower equity value we received. In our consolidated books, we have booked a loss of Rs. 5,709 million against the net assets of the VLS business, which we have divested. With the transaction now behind us, team in Varroc can now totally focus on the continued operations to strengthen its balance sheet and invest in identified focus areas to drive future profitable growth.

Talking about the operational performance. In India, automotive production for all the segments in Q2 FY '23 rose on a year-on-year basis as well as on a quarter-on-quarter basis. The main reasons are due to the lower base of last year and the early festive season. On a year-on-year basis, 2-wheeler production grew by 7.7%, 3-wheelers by 24.3%, passenger vehicles by 38.1% and commercial vehicles by 36.2%.

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In terms of our operations, I am happy to inform you that we grew the revenue from continued operations by 21.2% to Rs. 18,399 million on a year-on-year basis. This is the highest ever revenue generated by entities in the continued operations in any quarter. We improved our profitability on a sequential basis with improvement in the EBITDA margin by 100 basis points. This is the second consecutive quarter when the EBITDA margin has expanded and it came in at 9.2%. The operational PBT before JV profit for continued operations has also improved sequentially by more than 294% in the quarter and it is Rs. 545 million. The reported PBT of Rs. 307 million was impacted negatively by net mark-to-market FOREX impact of Rs. 242 million, mainly on intercompany loans. We continue to have strong order wins towards new business in H1 of FY '23 across business units,

enabling our future growth.

During H1 FY '23, lifetime revenue from new order wins is Rs. 25,476 million. Out of this, business wins from 5 prominent EV customers is Rs. 8,676 million. Profitable business wins, improving of the contribution margin, focusing on PBT instead of EBITDA margin, sweating of assets, inventory reduction, commercialization of our R&D efforts, control on costs, growing free cash flow, debt reduction and prudent capital allocation remains a focus of the company.

I am now handing over the call to MK, our group CFO, who will walk you through the presentation, which is already uploaded in our website and in the Stock Exchange also.

Mahendra Kumar : Thank you, Tarang. Good evening, everybody. I think the presentation is already uploaded in the website. Let me start with the highlights. The last quarter, Q2 was an important quarter for us where we completed this transaction. Of course, we explained the highlights of the transaction in our previous call. But I'd still remind you all that we completed this on 6th October and some of the other highlights have already been explained by our Chairman, but just to highlight once again, the growth was pretty strong last quarter at 21.2% on a year-over-year basis. And sequentially also, I think we grew by close to 12%. And this quarter had the highest ever revenue for continued operations in Q2.

In terms of the new orders won also, it was pretty good. We had new orders total in H1 adding up to about 25.5 billion including about 8.7 billion coming from 5 EV customers, including 2 prominent EV customers and 3 new players also. The EBITDA margin also continues to improve. It reached 9.2% last quarter. Again, it was a good improvement from last year same quarter and also quarter-over-quarter. So, with the completion of the transaction, we now have a cleaner balance sheet where we remove debt and debt-like items adding up to close to 34 billion which included about 26 billion of debt items and about 8 billion of debt-like items. So, that was a major cleanup, which our balance sheet had undergone. And of course, we also had to pick up the impairment impact because of that. Now with all these changes with improved profitability, we are now in a better position to service and reduce the debt levels going forward.

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Going to the next slide, in terms of the overall industry trends, Q2 again, has been pretty good for the entire industry. Both 2-wheeler and passenger vehicles registered significant growth. Two-wheeler of course, grew by close to 8%, but passenger vehicles grew by almost 38% year-over-year. Quarter-over-quarter sequential basis also the 2-wheeler market grew by about 17%, and passenger vehicles grew by 14%. Of course, there are some positives and negatives here when it comes to the industry trends. The semiconductor constraint seems to be easing now, so that can help the industry in terms of volumes going forward. At the same time, we also need to see how the overall demand scenario pans out. We see some kind of softening of demand at the low end of the spectrum. So, we need to see how these things pan out in the coming quarters. Now in the next slide, of course, we expand the overall structure of Varroc now, after the divestment. As again, we explained in the previous presentations also. Now basically comprises 2 geographical segments, India and rest of the world. This business is, of course, all of you can actually go through and understand.

And then coming to the next slide where we presented the consolidated financials of continued operations. You may notice that the EBITDA margin improved to 9.2% from 8.2% in previous quarter and also in Q2 of last year. And then in terms of the overall PBT margin, it is close to about 3% now during Q2 of FY '23. Of course, we also had to put this FOREX loss, which is what

our Chairman was also explained in his speech. So, with all this, the reported PBT stood at about Rs. 31 crores or 307 million.

One important point to be noted here is the tax, you might have noticed a negative PAT here, but this is because of a couple of reasons. One is the notional exchange losses, which we had to pick up in Q2 and also in Q1 are not actually tax deductible. So, because of that, there will be higher tax incident plus whatever deferred tax assets we had earlier on a similar item at global level also had to be reversed because the transaction values changed subsequently. So, because of that, you'll see a negative PAT. But in terms of PBT, it was at about Rs. 31 crores.

Now in terms of the split between India operations and overseas operations, you might notice in the next slide that it now adds up to about 9.8% of adjusted EBITDA margin in Q2 this is for India operations compared to 8.9% sequentially last quarter. In terms of overseas also, the adjusted EBITDA margin works out to about 3%. Of course, it was higher in Q1 at about 4.5%. The impact of inflation in the overseas markets, particularly in the European markets had some impact here. We are hoping that going forward, it should look better. So, with all this, the overall continued operations reported 9.2% of adjusted EBITDA margin.

Now one important question that we all have is, okay, what does this do to the debt position and the overall leverage? As you might notice in the next slide, the net debt is about Rs. 1300 crores or INR 13 billion, which is what we indicated in the last call also. Now the consolidated equity

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stands at about Rs. 900 crores or Rs. 899 crores to be precise with an annualized adjusted EBITDA of about Rs. 672 crores, the ratios are now looking far more comfortable. The net debt to equity works out to about 1.45 after the divestment. As on 30th September, it was 1.75 because the transaction was closed only on 6th October, it still carries the debt which we subsequently repaid. So, that's why from 1.75 it came down to 1.45 after the repayment of about 33 million in the overseas operations.

So, the net debt to equity now stands at 1.45 on a consolidated basis. Net debt to EBITDA is also close to 2x now or we can say 1.9x, just below 2, let us say about 1.9. This is on the consolidated basis. Even on a stand alone basis also if we see, post divestment, it now stands at 1.7 for VEL stand alone. So, that's also a comfortable ratio. We will try to improve this as we move forward.

So, on the right side, on the extreme right, you might notice the 31st March scenario, which have

both continued and discontinued operations. You might notice the kind of debt we had at the time of close to INR 26.5 billion. Now this is without even considering the debt-like items. If you include that also, you can understand that what happened during this Q2 divestment was a significant relief in terms of the overall divestment of the overall debt burden. And in terms of the serviceability also, I think it's significantly improved.

Going to the next slide in terms of the overall revenue breakdown. Of course, these details. I think they more or less remain the same from the earlier trends, except that in terms of the product segments, 2-wheeler and 3-wheeler now add up to about 68%. Four-wheeler expanded to close to 28% and others at about 4%.

And geographical spread, if you see close to 20% of the revenue comes from outside. This is including the overseas continued operations plus exports from India. And in terms of customer concentration, you can see that Bajaj accounts for about 39% of the overall revenue and others about 61% or 62%.

Going to the next slide, which is about the new lifetime orders, which we won in H1. This is how the split is. The lifetime revenue from customers; if you really see the customer concentration part, the orders won from Bajaj adds up to only 18%. The remaining orders from other customers add up to about 82%. And other interesting point here is the new orders from EV segment constitute about 34% of the total. So, that is also a strong positive thing which we are looking at. And then in terms of the 2-wheeler and 4-wheeler, it is now a split like 44% and 56%, 56% in 2-wheeler and 3-wheeler and 44% from others.

Of course, on the next slide, we have given these EV opportunities, the portfolio of products which we have, which I think we shared in the previous presentations also. Same is the case with Varroc Engineering Limited

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the next slide where we talk about what it means to FY '25 revenue in terms of 2-wheeler and 3-wheeler products.

So, finally, coming to the future focus areas of Varroc, this one gives a good picture of what we are planning to attempt in future. These are the 5 parameters, which we will be continuously monitoring. We will definitely focus a lot on revenue growth, which would be supported by volume growth as well as in any kind of pricing. And that will be followed by strong contribution margin improvements. That's what we are focusing on. This will enable us to strengthen the business, make the business more robust. This should all translate into a good PBT growth. Here again, we need to have a tighter control in fixed costs, so that the improvement in contribution margin translates into PBT growth.

Now obviously, this PBT growth should convert into FCF conversion also, which is going to be a focus area for us. Now once we complete all this, we generate cash, which can be used to reduce the debt levels going forward. And once we actually bring down debt to reasonable levels, we can then think of where to invest. But going forward, our capital deployment will be based on some prudent principles so that this deployment again generates revenue growth and the cycle continues. So, that's going to be a focus area for us going forward.

So, with that, I'll bring this presentation to an end, of course, we have other slides are about the CSR initiatives and all which we have taken up recently. So, with this, I hand it over to you. We can take up any questions which the investors may have. Thank you.

Moderator : Thank you. We have the first question from the line of Arvind Sharma from Citibank. Please go ahead

Arvind Sharma : Sir, my question is on this tax issue that you spoke about, will they continue over the second half as well? And if not, then what's the expected tax rate, if yes, then how much more of these additional taxes could the company be paying?

Mahendra Kumar : No, these are not like additional taxes or something, like what I explained, these were the deferred tax asset kind of things which we accumulated earlier as an asset thinking that there will be a good consideration and good profit on sale of divestment, which did not happen, so we had to reverse it. So, that's one. Second thing was there were these exchange losses which we had booked. So, that reduced the profits but reduced the reported profits earlier. But the tax calculation doesn't recognize this. So, we still have to pay tax on that. So, there's no additional tax or anything here. And going forward, we won't be having significant intercompany loans to these overseas entities. So, we don't expect this kind of impact going forward.

Arvind Sharma : So, going forward, taxation should be done at the corporate tax rate, right?

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Mahendra Kumar : Correct. Going forward, it should normalize.

Arvind Sharma : Sure. My second question would be on the margins. I'm including both of them. So, first, on the

overseas operations we see the margins have gone down from 4.5% to 3%. Could you please explain the reasons behind that ? For the new operations, since you c

ited, there are some issues

in terms of demand going ahead? If you could elucidate upon that and the possible impact on margins, we could see in India operation, which have been fairly strong at 9.8%. But going forward, what kind of an impact could directionally we see on these margins if the demand is soft?

Mahendra Kumar : Sorry, your question is about the overseas operations?

Arvind Sharma : Both. First overseas operations, the reason behind the 150-bps quarter -on-quarter decline. And for the India operations, the impact of a softer demand.

Mahendra Kumar : Yes. So, as far as the overseas operations are concerned, I think I explained in my presentation also, there was this high inflationary scenario in the overseas markets, particularly in Europe.

So, that had some impact on the profitability. So, we should see how it behaves going forward.

As far as India operations are concerned, of course, we don't want to give any guidance here, but our effort is always to improve margins from where we are.

Arvind Sharma : Alright, sir. So, this 9.8% margin, of course, you won't give guidance, but you don't see too many headwinds to this number ?

Mahendra Kumar : Yes. I mean we still need to see how Q3 pans out. We are in the middle of Q3. So, we should see how the demand scenario behaves in the coming 1.5 months or 2 months. So, based on that only, we can see how that's going to have an impact. But as it stands now, we don't see any kind of thing to worry about.

Arvind Sharma : Sure, sir. And sir, just one final, not a question but just an observation. There has been a fair bit of restructuring in the way you report numbers. So, is this the way that we'll be reporting here on?

Mahendra Kumar : Yes, we split it between India operations and overseas operations. Yes, that's how we are going to report in future also.

Arvind Sharma : Sure, sir. Because as per your 1Q FY '23 numbers and your operations were 12.7 billion, but now we see 14.1 billion. So, I mean there has been some regrouping, but this is how you'll report hereon, right?

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Mahendra Kumar : See, the major difference is the VLS lighting business in India was not reported as part of India business earlier because this geographic segmentation is something which we bringing in only now. Yes, going forward, this is how it will be .

Moderator : Thank you. We have the next question from the line of Abhishek Jain from Dolat Capital. Please go ahead.

Abhishek Jain : Congrats for the decent set of the number in tough time. Sir, my question is related to the overseas operations. So, what is your road map to improve your revenue and the margin for the overseas operation for the next 2 years? And what sort of the target do you have in your mind?

Tarang Jain : So, see, basically, what has happened is that the business, which is in Europe today, other than our forging business units , which we continue to improve operationally. We have a 2 -wheeler lighting business. 2 -wheeler lighting business we've had for the last 10 years and this business has got plants in Italy, Romania and in Vietnam. So, overall, I think this business is quite a steady business , it has a revenue annually at probably between 45 million Euros to 50 million Euros a year for a steady business. And this is something we have to see because we have the confidence of all the customers in the 2 -wheeler business, whether it's in Southeast Asia or in Europe. So, going forward, I see in the next couple of years, we see a good traction in our Vietnam business in Southeast Asia because that's where we see where the Asian markets, I see more of a better growth potential as compared to Europe. So, Europe, we'll have to see how it pans out. The country , there are these headwinds because of the war , the Ukraine war. So, we have to really see what really happens in the coming months, but then the wa

re is on, we cannot really predict

how the volumes will pan out for us at least in the coming year. But I think that so also let's say, if the war is on in Europe, we still expect to grow in a smaller way, probably anywhere between probably 3% to 5% is what we're looking at. But when it comes to our Vietnam facility, that's where our focus is going to be a little bit more on our 2 -wheeler lighting business. And that's where we are now active at the moment working on growth opportunities over there also with the Japanese OEMs. And that's where we are looking that probably we are having growth between 5% to 10% growth in the Southeast Asian market as we go along . So, overall our 2-wheeler lighting business is something where we feel more confidence in Southeast Asia rather than Europe. And when it comes to our new business of electronics, which is in Romania. This business, of course, at the moment, we have a revenue of about close to 25 million Euros a year. Here, we are supplying the electronic assemblies to Plastic Omnium for the lighting business.

Here is where we are now looking at future growth , I cannot say at the moment, we're looking at a strategy for growth. But yes , this is also a business we want to grow this thing going forward. So, at the moment, I think we'll probably be clearer in the next quarter. You know that about we are building on a strategy now of how we want to grow our European business, both on a 2 -wheeler lighting and the electronics side. But yes, there will be a growth. How much growth, Varroc Engineering Limited
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I'm not very clear at the moment. This is something we'll be more clear within the next one quarter.

Abhishek Jain : And for FY '23, it will be tough to make a margin of 5% kind of the numbers from the overseas business because there will be continued pressure because of this R M and the wage inflation?

Tarang Jain: So, I think that we will definitely make a margin. We'll definitely make an EBITDA margin, it's very difficult to really predict how this inflation pans out going forward. It's really uncertain, but we are confident that we'll make a positive E BITDA for sure in this business .

Mahendra Kumar : Yes, that's clear. Our efforts will continue, but it's difficult to predict the macro economic scenario. So, let's leave it at that.

Abhishek Jain : But sir, we are seeing the impact of the RM inflation in the bottomline, but not in the topline, even the top line has gone down in this quarter despite the capacity additions in the electronics business in Romania and plus that some ramp up in the other 2 -wheelers business. So, what is the reason that we are not able to do topline growth?

Tarang Jain : See top line also, to an extent, does get impacted because what we are servicing in the 2 -wheeler is also on the premium side and the and also the entry level. So, there is some impact which has come in. And also, we have to remember that the month of August normally is a holiday in Italy. And normally, we don't have more than one week of sales. So, both our forging plant as well as our lighting plant in Italy, both have been impacted by lower sales in August. And therefore, overall, the sales has been impacted for the quarter.

Abhishek Jain : And sir, in India business, we have seen a basic growth in your electronics business because you have started supply the motor and controller DC -DC converter to the Bajaj Chaser . So, just wanted to know how much content per vehicle? And are we also looking to supply to other 2-wheelers brands?

Tarang Jain : Yes, we do, I mean. And in fact, we're increasing our volumes with Bajaj Auto on the motor, motor control and other products for the EV , so those volumes are going up on a consistent basis.

And also at the same time, yes, like we mentioned that even for the EV powertrain , we are in discussion with other customers. And we are hoping that

we are going to be winning some

businesses also where it comes to the EV powertrain and, of course, also the other products around the EVs, whether it's lighting, switches or plastics or other products.

Abhishek Jain : So, what kind of the growth we are looking from the electronics business for FY '23?

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Mahendra Kumar : So, I think we are growing with the market. And today, I think we are one of the early starters and I think that we have efforts, we have a focus approach to EV now, we have sales on EV side and therefore we will see a good momentum and good percentage of EVs growing quarter -on-quarter.

Abhishek Jain : Sir my other question is from the lighting business so how the current contribution in a lighting business from two-wheeler versus four-wheeler side?

Mahendra Kumar : We do not comment on individual sub segment level data.

Abhishek Jain : And sir you want many new business in the four-wheeler lighting side, so can you throw some light over there, what is the content per vehicle there and who are the key customers and what can be the opportunity size?

Tarang Jain : See I cannot mentioned about the content per vehicle for lighting, but today our major customers today are Mahindra, Volkswagen and Renault Nissan and we also supply something to Tata Motors and we are now looking at driving sales with another couple of customers as we move forward and we are quite confident that we will grow our over four-wheeler lighting business in a very positive manner going forward.

Abhishek Jain : And what is the current revenue from the four-wheeler lighting business?

Mahendra Kumar : Again, we do not disclose that sub segment information.

Abhishek Jain : And my last question is related with your outlook for the polymer and the metallic business what sort of the roadmap you have to improve these business?

Tarang Jain : So, the polymer business we are both on the two-wheeler side and the four-wheeler side. I think in two-wheeler side we have got substantial good market share across all customers in India on a two-wheeler side most customers I would say and that is something probably we have a range

of products we are looking at probably at cross selling also the products other than Bajaj to cross sell with other customer that is something which already are in process and we continue to grow on that side, but I think more of our major focus is going to be on the four-wheeler plastics and that is why we will see that we focus little bit better on the four-wheeler side or plastic and we grow that business on a Pan India basis as we move forward that is the focus area where it comes to metallic side we see anywhere growth year-on-year for a next few years for what is the investments we have already made, we are seeing a good growth going forward in metallics, but we are like I have said in the earlier calls we are being very cautious because most of our metallics business is all ICE engine related so like we do transmission part and we do engine valves. So, here we are very particular that we have to look at ROCE being over 20, over 22 and Varroc Engineering Limited
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unless ROCE are there in this any new business wins we are not really willing to invest further on the metallic side, but here also the metallic side our focus would be a little bit more on the export where we see better contributions towards the margins.

Moderator: We have the next question from the line of Vinay Jain from Karma Capital. Please go ahead.

Vinay Jain: So, wanted to ask question on the India business so if you I look at other than electrical and electronic business all the other business segments has actually if I look at on a sequential basis the growth is lower than the industry growth with which we have seen be it two-wheeler, four-wheeler or three-wheeler, and

any specific reason for that because again for us there would be a component of maybe partial price increase as well coming through in the current quarter?

Tarang Jain: See what I see is that we have grown both in our electrical electronics business and the polymer business. So, both I think sequentially the revenues have gone up if you really go to the details yes metallics on a metallic side yes we have not really grown on a metallic side and because metallic side also does a significant amount of exports which has been impacted because of the situation in Europe.

Vinay Jain: Lightning business if you could comment so because on a consolidated basis the lightning business is also down around 5% sequentially, so is it largely attributed to the overseas business?

Tarang Jain: I think we are doing fairly well I think on the growth in India on four-wheeler lighting business I think that is a business a customers coming to grow over there. So, I do not think we have anything to do with these local domestic markets there I think we are continuing to grow in this lighting business even in the last quarter.

Vinay Jain: So, a gain on the overseas part also on the way we are reporting it now sequentially the revenues have come off around 50 odd crores and the margins also off, so what are we guiding for on the overseas business or India business from a medium-term perspective, so are we still track on achieving that 8% to 10% margin over the next say three to four quarters?

Tarang Jain: See we are definitely going to be striving for that. See the issue in Europe is the Ukraine war and inflation that is the biggest issue here that is why it is very difficult to kind of predict what is going to happen on the margins, it is not that easy and that is what the early participant also asked the same question. So, definitely it is very difficult to give guidance in Europe on the margins and also the volumes I would say considering the situation in Europe at the moment.

Vinay Jain: And how is the ramp up for the Romania facility coming up so it is that also getting delayed because of the situation which is happening in Europe?

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Tarang Jain: At the moment what is happening we already have a set business where we are supplying from a SMT lines to plastic omnium for the lighting PCB that business is going on presently the volumes are okay fair, but yes one is impacted by inflation in that business also, but like I said earlier we are now strategizing with some other customers and trying to focus on more business wins going forward. So, we are looking at growth also in the electronics business going forward, but presently we are in the stable situation at the moment, but the revenues we are doing at present. So, it takes some more for growth to take place on the Romania electronic side, but we are definitely working towards winning some new businesses over there. The overall revenue of overseas business is just about 10% of the total.

Vinay Jain: But in terms of profitability is it still loss making or is it in the black?

Mahendra Kumar: I think we already explained it earlier in the presentation so it is not loss making, it is making profits. At EBITDA level we showed 3% EBITDA in here.

Vinay Jain: So, over the years we have accumulated losses with respect to the VLS business and also we have taken an impairment charge on the asset side, so do we expect any benefits to accrue on the actual tax to be paid in future years or you are expecting a normalized tax rate going ahead?

Mahendra Kumar: No as of now we are not expecting any benefits to come from there that is the reason we reverse

the accumulated deferred tax as such going forward it should be the normal tax rate.

Moderator: Thank you. We have the next question is from the line of Rishi Vora from Kotak Securities. Please go ahead.

Rishi Vora

ra: First question you did eluded to the fact that you want to improve the contribution margin of the business now if I just specifically talk about the polymer business that business even if I look at before 2019 -20 have been doing let us say high single digit EBITDA margins with a ROCE of less than mid too high single digit, going forward what are the key initiatives which you will be taking in order to improve the profitability of the business and the ROCE of the business?

Tarang Jain : So, today we have already like you said we have made a lot of investments in the past and today we are still not at full capacity utilization. So, therefore I feel there is scope with whatever the capacities we have today to improve to load more business over here and we are growing there as such and also whatever for the investments we are making we are looking at a consent approach I mean we are going to be very careful when it comes to capital intensity that something we are going to be extremely careful going forward. Other than that, already we have been working a lot and we are very focused on basically operational efficiencies, how to drive for OEs control, your variable cost and also better sourcing with the growth we are taking place, how to do better sourcing from the market. So, definitely we want to drive our contribution
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margin up as our CFO has mentioned in his presentation. So, the focus is on improving this contribution margins to better control on a manufacturing plants mainly a lot on the variable cost and including also the material cost and I think that somewhere where we are actually getting good traction there also we are also working on trying to recover wherever the material increase are taking place, the kind of recovery from the customer on a regular basis so there is we are actually pushing the customers to compensate us for whatever the material cost increases including the electronics, price increases which takes place. So, we are trying to get a better recovery from customers also which was not that strong probably pre COVID, but that is something we have taken it in a much stronger way.

Bikash Dugar : And moreover, it is last four, five years the business mix for the India operation is drastically changing. Now we have growth coming from the electrical business then you have four-wheeler polymer business and aftermarket. So, that mix has the better profitability in the industries as compared to the other businesses and this is what will drive the business margins going ahead. Internally a lot of work is being done to control cost and increase the efficiencies.

Rishi Vora: And what will be the capacity utilization in your polymer business is it currently?

Tarang Jain: I think depending we have got a total of about 13 plants. It could be anyway depending on the plants; it would be probably anywhere between 55% to 75% it depends on which plant.

Rishi Vora: And sir going forward as you have also several EV orders for EV components obviously the margin profile of those components would be very different ROCE the asset terms would be different, how will your margin profile in ROCE seems to, is the components in the higher margin equivalent or lower margin front your current business and my sense is asset terms are much higher than the current business line, so will it be margin dilutive but ROCE accretive or we have got margin also?

Tarang Jain : Definitely see electronics E V components definitely helping us drive better ROCE and better margins going forward and that is what and this is a future electronics and the EV part is the future along with the four-wheeler business what we do and this is something where I mean there is a very good focus so you are right I mean yes may be pre COVID we did not see that kind of ROCE, but I think going forward we are moving towards the target

of at least 22 ROCE and also better double digit margins that is something we would have focus on.

Rishi Vora: And sir last question what would be CAPEX guidance for this year?

Mahendra Kumar : See for the remaining 6 months it could be somewhere between 100 to 150 crores.
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Moderator : We will move on to the next question we have the next question from the line of Basudeb Banerjee from ICICI Securities. Please go ahead.

Basudeb Banerjee : I have few questions one just in the last question you said second half CAPEX plan is 125 crore how much was the CAPEX in first half?

Bikash Dugar : In India operation it was around 70 crore odd only.

Basudeb Banerjee : And consol ?

Bikash Dugar : Consol I think it will be less than 100 crores.

Mahendra Kumar : Consol anywhere it is not the right way to compare now because it had discontinued operations also.

Basudeb Banerjee : So, the SEBI format reported consol number included this quarterly profit ?

Mahendra Kumar : Correct.

Basudev Banerjee : So, overall, for the full year you are expecting around 250 crore?

Mahendra Kumar : Yes I think the right way to see it just let us look forward I think that is the right way to actually think about it. So, going forward it will be 100 to 150 crores in H2.

Basudeb Banerjee : Just trying to see that now in today's presentation this 1,300 crore of net debt which was expected to be net cash a few months back and your trajectory of per annum free cash flow just trying to understand how much time will it take that to net cash levels at this level of margins or you are already at record revenues, so what kind of sustainable CAPEX to produce that you will be looking forward to?

Mahendra Kumar : So, like what I have mentioned you know our current EBITDA margins on the current run rate in terms of revenue so you can compute it. As far as CAPEX is concerned I mentioned 100 to 150 crores next 6 months after that also it could be in the range of maybe 200 crores to 250 crores the following year. So, we have very tight control on CAPEX going forward so based on that we can work out we do not want any guidance here, but we are very focused on containing our CAPEX, improving profitability and also improving the free cash flow situation overall.

Basudeb Banerjee : And then the debt also?

Mahendra Kumar : Yes all that will flow into debt reduction.

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Basudeb Banerjee : Sir like in this quarter interest outgo which was 49 odd crore now after the debt reduction with on this level of debt what will be the sustainable interest outgo?

Mahendra Kumar : Like what I mentioned you know the net debt levels and you know the average rates right now. So, I think when compute as we continue to generate that will come down, but based on the current levels we can compute the interest burden for the remaining 6 months.

Basudeb Banerjee : So, including discontinued business where overall working capital to sales used to be almost zero or negative and now under this new business do you see any chances of work cap to sales structurally changing and because why I am asking is already generating free cash flow and reducing debt is of paramount importance in case working capital reverses structurally how one should look at it?

Tarang Jain : I think we will continue to have good control on the working capital going forward. We do not want to give any kind of indications or estimates now, but that certainly one of the focus areas in order to generate good free cash flow we need to have working capital also under tight control we are focusing on that.

Basudeb Banerjee : In the earlier part when we said three weeks of manufacturing holidays in August or European operations, so what kind of such holidays one should expect in the Christmas month?

Bikash Dugar : Once again

another 15 days of holidays generally within Europe .

Tarang Jain : Normally December in India is also one of the weaker months and when it comes to Europe obviously 10 to 15 days there is no working days practically. So, obviously month of December you do see an impact.

Basudeb Banerjee : So, broadly holidays from a QoQ perspective will broadly remain similar so no incremental benefit or damage because of holidays on revenues?

Tarang Jain : Yes there is no incremental damage it is a way it has been in the past years. I am not talking about the COVID years, but generally.

Basudeb Banerjee : And last question sir like we were discussing earlier that suppose the fire accident the new facility of four-wheeler lighting will come up somewhere end of CY22, what is the progress with respect to that and how you are improving the utilization of Chennai facility as some key OEMs are plan to get added, so what is the status there?

Tarang Jain : So, basically when it comes to a new facility in Pune I do not think we mentioned that we are going to be ready in 22 I mean we are going to be looking at SOP somewhere around April 23 that is what we are looking at I mean the plant is moving in a very fast pace. So, I think we

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should do SOP I think it will gain some more benefits on single piece and yes we are looking at of course more business in Pune. When it comes to Chennai Renault Nissan is a main customer we have there today other than Daimler where we are exporting for bus lighting, but Renault Nissan recently also we won another very big business of about 70 crores of business annually a year in this last quarter and I think Chennai plant is playing along well. I would say we are growing a revenues also in Chennai and going forward we are in touch with also another large

customers and we are hoping that we see some good traction with this other customer also moving forward i n Chennai.

Moderator : Thank you. I would now like to hand it over to the management for closing comments.

Tarang Jain : So, thank you and thanks again for joining, listening and asking questions . We continue to pursue excellence in our day -to-day life for creating value for all you stakeholders. Thanks.

Moderator : Thank you. On behalf of Ambit Capital that concludes this conference. Thank you for joining us and you may disconnect your lines

Call: Feb 2023

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VARROC/SE/INT/2022-23/114 February 10, 2023

To,
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Limited
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BSE Security Code: 541578
[Debt: 973454 & 973455]

Sub: Transcript of Investor / Conference Call pertaining to Unaudited
Financial Results for the Quarter and Nine Months ended on December 31, 2022

Dear Sir/Madam,

Please find Transcript of Investors / Conference Call held on Tuesday, February 7, 2023, in respect of the Un-audited Financial Results for the quarter and Nine months year ended on December 31, 2022.

This is for your information and records.

For Varroc Engineering Limited

Ajay Sharma
Group General Counsel and Company Secretary
Encl: a/a

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3QFY23 Results Conference Call "
February 07, 2023
MANAGEMENT : MR. TARANG JAIN – CHAIRMAN AND MANAGING
DIRECTOR – VARROC ENGINEERING LIMITED
MR. ARJUN JAIN – WHOLE -TIME DIRECTOR –
VARROC ENGINEERING LIMITED
MR. MAHENDRA KUMAR – CHIEF FINANCIAL OFFICER
-VARROC ENGINEERING LIMITED
MR. BIKASH DUGAR – HEAD INVESTOR RELATIONS –
VARROC ENGINEERING LIMITED
MODERATOR : MR. KARAN KOKANE – AMBIT CAPITAL

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Moderator : Ladies and gentlemen, good day, and welcome to Varroc Engineering Limited 3QFY23 Results Conference Call hosted by Ambit Capital. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Karan Kokane from Ambit Capital. Thank you, and over to you, sir.

Karan Kokane: Yes. Thank you, Operator. Good evening, everyone. I welcome you all to the Varroc Engineering 3QFY23 Results Conference Call. From the management team, we have with us Mr. Tarang Jain, Chairman and Managing Director; Mr. Arjun Jain, Whole -Time Director; Mr. Mahendra Kumar, Group CFO; and Mr. Bikash Dugar, Head, Investor Relations. I'll now hand over the call to Mr. Bikash. Thanks and over to you, sir.

Bikash Dugar : Thank you, Karan, for hosting the call. Just a small disclaimer before we start the call that today's call might include the statement which might constitute forward -looking statements, all statements that address expectation or projection about the future, including but not limited to statement about the strategy for growth, business development, market position, expenditure and financial results are forward -looking statements. Forward -looking statements are based on certain assumptions and expectations of future events and involve known and unknown risks, uncertainties and other factors.

The company cannot guarantee these assumptions and expectations are accurate or exhaustive or will be realized. The actual result or performance or achievements could differ materially from those projected in such forward -looking statements. No obligation is assumed by the company to update the forward -looking statement contained herein. Thank you. I will now hand over the call to our CMD, Tarang Jain, for his opening remarks.

Tarang Jain: Thank you, Bikash. And thank you, Team Ambit for hosting the call and also a very good evening to everyone. Before talking about the operational performance of Q3 FY '23, I would like to again inform you that we have completed the divestment of our 4-wheeler lighting business in Europe and America on the 6th of October 2022. With the transaction behind us, the team in Varroc is now totally focused on the continued operations to reduce costs and invest in identified focus areas to drive future profitable growth. Speaking about the operational performance, in India, the automobile production for all the segments in 3QFY23 fell on a Q -on-Q basis because of the early festive season and reduction of inventory at the channel partners. On a year -on-year basis, we saw good growth in most of the segments due to easing of the semiconductor issues and improving economic activity. But 2 wheelers saw tepid growth as the lower end of the segment is still not picking up. 2 -wheelers production grew only by near 0.5%, 3-wheelers by 13.13%, passenger vehicles by 21.4% and commercial vehicles by 12% on a year -on-year basis. In terms of our operations, our revenue from operations grew by 15.3% to INR 17,228 million on a year -on-year basis. Our EBITDA margins came in at 7.8%, and it improved on a year -on-year basis by 140 basis points due to improvement in the overseas performance. Sequentially, the EBITDA margin has fallen due to lower revenue in India operations, whereas overseas operation EBITDA margin has improved. The reported PAT for the quarter was INR 218 million. We continue to add strong order wins for new businesses in the 9 months FY '23 across business units, enabling our future growth in India. During

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the 9 months FY '23, lifetime revenue from new order wins is INR 35,653 million. Out of this, business wins from 5 prominent EV customers is INR 8,917 million.

The order books also reflect our effort to diversify, as you see nearly 48% lifetime order wins from the 4 -wheeler segment and 52% from the 2 and 3 wheeler segment. Diversification can also be seen in the order book from a customer perspective as the top customer new order book is only 19%. As stated previously also, profitable business wins, improving of the contribution margin, focusing on profit before tax instead of EBITDA margins, sweating of the assets, inventory reduction, commercialization of our R&D efforts, controls on overall costs, growing free cash flows and debt reduction and prudent capital allocation remains the focus of the company.

I'm now handing over the call to MK, our Group CFO, who will walk you through the presentation, which has already been uploaded in our website and also in the stock exchange. Over to you, MK.

Mahendra Kumar: Thank you, Tarang. Good evening, everyone. So let me take you through the highlights first. If we go to Slide number 3 in the presentation. As our Chairman once again pointed out, we completed the sales transaction on October 6, so that's behind now. In terms of the revenue growth, we grew by about 15%, though the industry went down sequentially and of course certain segments grew year -over-year. So the revenue came in at about INR 1,723 crores. In terms of lifetime business won also, I think we could get about INR 35 billion of lifetime revenue

through the orders, which we booked in the last 9 months.

Of that, nearly INR 9 billion is relating to the EV customers. EBITDA margin was about 7.8%, which is still 1.4% above what it was last year same time. Though sequentially, it went down or that's largely driven by the impact of the operating leverage caused by the lower revenue levels compared to previous quarter. Coming to the rating agencies, rating outlook, they actually rated it stable outlook. Earlier it was kept under watch because of the completion of the transaction. As some of you might have noticed already, India Ratings has given A1 rating to us on the commercial papers. This is, of course, ICRA was A2 or A2 plus. So India Ratings gave A1 for our commercial papers. So on the whole, as we explained earlier, now we are in a far better position to service our debt levels. And also, we are focusing heavily on improving profitability and cash flow. So going to the next slide, this is about the overall industry trend. As I explained earlier, the 2-wheeler grew marginally, we're about 0.5% or more or less flat. 3-wheeler and of course, other segments had double-digit growth compared to last year.

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On quarter-over-quarter, of course, every segment had only a degrowth, which is the reason why we also had some impact on the revenue. Now going to the next slide, Slide #5, where we talked about the overall consolidated financials. On a revenue of INR 1,723 crores we reported EBITDA margin of 7.8%, a PBT of INR 114 million or INR 11.4 crores and a PAT of INR 21.8 crores.

Now the reason why PAT was more than PBT was, we also had a couple of changes in the tax assumptions. We actually reflected the deferred tax asset in VPPL, our polymers business, which is basically a reflection of the lower tax rate from 35% we move to a 25% tax regime there. And then similarly, we also recognized the benefit of deduction on forex losses, which we booked last year. So because of that, the benefit actually resulted in a good PBT of INR 21.8 crores.

Then on the next slide, we give the overall business split. Of course, 2 and 3 wheelers constitute 70% of the total business.

Bajaj, as a percentage of total business is now at 38%. Geographically, if you see, the total earnings coming in foreign currency

constituted about 19% of the total. The remaining 81% is domestic. And if you see the business split also PBU accounts were 32%, almost 1/3 of the total. EBU and lighting account for 22% each, and metallics accounts for 12%, aftermarket 9% and the overseas IMES operation is about 4%. Going to the next slide, on Slide #7, we give the split of the total order book, which we got in the last 9 months.

The lifetime revenue is about INR 3,565 crores. Nearly 1/4 of this is relating to the electric vehicles. And in terms of the 2-wheeler, 3-wheeler split also if you really see, nearly half of it is from 2-wheeler and 3-wheeler and the remaining half comes from passenger vehicles and commercial vehicles. And similarly, if you will see the overall split also in terms of customer concentration. On these orders, Bajaj accounts for only 19% of the total.

So the other slides, of course, are backup slides only, which you would have seen earlier also.

So let me stop at this level now, if you have any questions, we can take on. Thank you.

Moderator: The first question is from the line of Aditya Jhawar from Investec.

Aditya Jhawar: My first question is on EBITDA margin. If you can help us give a breakup of what is the EBITDA margin of India business and overseas business, which was not provided in this quarterly presentation, it would be good.

Mahendra Kumar: Yes. See, the reason why we see this is previously, of course, we had this confusion between continuing and discontinuing. Now it is largely India business only. So the EBITDA margin on overseas business certainly improved compared to what it was in Q2. But it is still a very small number compared to the overall scheme of things. So that's the reason we did not give the split. But compared to Q2, there was improvement.

Aditya Jhawar: I mean so I think this is the third time we have slightly changed the disclosure of India and overseas, both in terms of revenue and margins. Earlier we used to have discontinued plus IMES

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separately disclosed. From a modeling perspective, incrementally, what should we expect? Do we plan to report numbers separately, revenue as well as on EBITDA?

Mahendra Kumar: No, no, we don't intend to report separately for overseas hereafter. It will be reported at the total level only. And if you see our segmentation also, we do it only like automotive and others. So we don't do the geographical split in our segmentation. Again, once it becomes significant level, we'll start reporting, but as of now, it's not at all significant.

Aditya Jhawar: And what would be your share of -- so you mentioned that Bajaj's share in overall order book is about, say, 19%, what would be Bajaj's share in EV order book?

Mahendra Kumar: I don't think we will give that customer-wise specification on the new orders. So you have given it for new orders for total for a specific customer for -- similarly for EV. Yes, that's somewhat

confidential. We don't want to give that kind of breakup between the sub -segment. We will give it at the total level.

Aditya Jhavar: And what is -- so Tarang if you can tell us, what is the road map of debt reduction that we have planned in FY '24 and '25?

Mahendra Kumar: Yes. See, as of now, we are focusing on improving profitability and improving free cash flow generation also. But any concrete debt reduction, I think, will most probably happen only next year or I would rather say maybe after H1 only. So in between, of course, we'll continue to improve operations, but a significant reduction, if we want to see, I think, it will start happening only from H2 onwards.

Aditya Jhavar: Sorry, from H2 of FY '24.

Mahendra Kumar: Correct.

Aditya Jhavar: Final question is about our capex plan for this year and next year, if you can give some sense.

Mahendra Kumar: Yes. This year, we may end up at around INR 150 crores of total

capex . Next year, maybe

slightly higher, maybe somewhere between INR 200 crores to INR 250 crores is what we may end up at.

Moderator: The next question is from the line of Anand Trivedi from Nepean Capital.

Anand Trivedi : Congrats on a good set of numbers. Just following up on the earlier question, what do you expect to end up this year within the debt side -- the debt number?

Mahendra Kumar: The net debt will more or less be around the current levels. So I think we have been maintaining it at INR 1,300 crores since the -- our divestment. It will more or less be around those levels. It may slightly go up or down by about INR 30 crores to INR 50 crores, depending upon various other factors. But there won't be a significant change from the current levels.

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Anand Trivedi : And I just want to understand the concept of lifetime new orders, what does lifetime mean?

Mahendra Kumar: Yes. So generally, we assume that there's a 5 -year life cycle of the product, whatever we get. So we basically conclude what could be the probable revenue over the next 5 year period, once we start making the product.

Anand Trivedi : The numbers that you have in the presentation, they are value over the next 5 years.

Mahendra Kumar: So from the time they start -- so we have given the commencement of production also in the table.

Anand Trivedi : Right. So from, for example, we have 14,26 0 from FY '23 onwards. So that is what you expect starting from FY '23 over the next 5 years ?

Mahendra Kumar: That is correct.

Anand Trivedi : And one last question from my side, for Tarang. Obviously, the 2 -wheeler segment has been challenging. Are you seeing any green shoots what do you think will cause a turnaround? Just what's the macro view on this?

Tarang Jain: You're talking about the 2 -wheeler segment?

Anand Trivedi : Yes.

Tarang Jain Yes. The 2 -wheeler segment actually is definitely subdued, as we know, and post this festive season. And I really don't see much of a -- though we see some improvement in January on the volume side. But frankly speaking, we'll wait and watch, I think, till the first quarter of FY '24.

Because at the moment, I don't really see increasing volumes presently, because except maybe on the premium side of the 2 -wheelers where we see a level of growth.

But a larger portion, which is up to this 125 cc, I mean, there, we don't really see much of a traction at the moment. So we have to wait and watch how maybe we get into a monsoon season, and then there's an improvement . I don't really -- the moment we feel confident that things are going to really drastically go up. It will go up from the level of November and December, what we saw in the last quarter, but then that's not significantly up. So maybe we'll wait probably till the monsoons to really see a kind of a change happening. So that's what I feel at the moment. I don't really -- the next 3, 4 months, I don't really feel things are going to really change much.

Anand Trivedi : What do you attribute the slowdown to business? There's no pick up, in like you said, the premium side, there's been a pick up in EV side. Is there something that's holding this recovery back?

Tarang Jain: I think it's more the entry level, right? I think people are really saving the money. They do n't want to, I mean, the lower middle class or other sections, they don't want to really -- they want

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to postpone the investment in 2 -wheelers because maybe real incomes have not really gone up.

And today, they have to save for health and other important reasons. And today that's why they're postponing that buy as such. So that's where it is. And therefore, you see that everybody who's in the entry level is impacted. The other issue is, obviously, as you know, the exports are really down for every

one because of forex issues abroad. I mean, because of this issue, the war in Europe and for many other reasons and the oil prices going up. I mean, people are constrained.

In African countries, South America and other places, even in South Asia, I mean there are challenges. And therefore, the volumes that we have seen really degrow in this financial year. So that's the other impact which is happening also on the 2-wheeler, which is also in a way the lower end of the segment, largely, especially for us. So the export side and even the domestic side, both are challenged, I would say, yes, the challenge is today, we have faced some more of the reduction in the export volumes of our customers. But even on the domestic side, there is pain. There is pain for the reasons I mentioned.

Moderator: The next question is from the line of Rishi Vora from Kotak Securities.

Rishi Vora: Just on quarterly performance. If I look at your gross margins, it has declined on a sequential basis. So is it more to do with, let's say, product mix/geographical or business mix? Because I would have expected some RM benefit to come through in this quarter. So what has happened on the gross margin side for this quarter?

Arjun Jain: So it's primarily driven by the fact that we still have material and forex pass-throughs that need to go through forex, in particular, I think have seen a steep increase. But I think we should recover this over the course of the next few quarters.

Rishi Vora: So like next quarter also, you don't expect a material benefit because of RM market decline?

Arjun Jain: It will be spread over a period. Of course, every customer takes differing amounts of time, but we're confident we will recover, but hard to comment exactly when.

Rishi Vora: And this INR 9 billion of lifetime revenue from EV players. Can you just give us some indication on breakup for your order wins for EV component specific and not your ICE business per se?

Arjun Jain: So as our CFO has already said, we are not commenting on sub segments.

Moderator: The next question is from the line of Chirag Shah from Nuvama.

Chirag Shah: I have 2, 3 questions. First question is the order book data that you have.

Moderator: Sir, your audio is not clear, it's coming very muffled.

Chirag Shah: No, is it better now?

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Moderator: Yes, much better.

Chirag Shah: Sir, first question is the order book that you have shared, where you've indicated 48% from P V. Now this is significantly higher than your current revenue mix. So when do the transition start happening? Or is this a one-off event, where there is such a high order book in favor of PV or this is a new trend that one should look at?

Tarang Jain: See today, see, we are very much focused on also in the 4 wheeler segment. Yes, you are right, that 2 - and 3 -wheeler segment for us historically and even in the future will remain, of course, core to us. But at the same time, there are these product segments like lighting, the lighting space and the plastics space where actually we are a full -service supplier. And that where we are actually driving a lot of growth. And we are also getting a lot of traction with all the customers with a lot of the customers in India. And this is where we see a lot of order wins coming in, in the past 9 months. And this is going to continue going forward that you will see our order book on the 4 wheeler side, especially for lighting and polymer in these 2 product groups, very significantly improving.

Chirag Shah: So this order book is largely domestic, right? This doesn't include any exports to international business or anything like that?

Tarang Jain: No, this is domestic what we are stating here is largely domestic. But yes, we also have exports also, including mainly for maybe metallic products and electronics, which we are now exporting.

But presently, this order book on 4 wheelers largely more to do with these 2 product segments of lighting and plastics, plastic molding.

Chirag Shah: The general perception is that the profitability in 4 -wheeler, you expect it to be lower than 2 -wheelers, given your legacy with 2 wheelers?

Tarang Jain: No, no, it's the other way around. It's the other way around. 2 -wheeler is a very competitive business. I would say relatively 4 -wheeler business, for us, is better.

Chirag Shah: The second is on the EV side, again, now, while I'm not interested in knowing the broad breakup, but on one of the slides, you have indicated the different components of EV, where you have won the business. Is it fair to assume that the INR 900 crores order that you indicated represents

all the components? Or is some of the components are in early stage of development? .

Tarang Jain: So today, you can say that we are present and so these order wins -- I mean, we are today present in all these segments, what we have mentioned. And depending on which EV customer, whether it's startups or OEMs, the current OEMs, we are driving sales for -- particularly EV powertrain parts as well as the other parts, which are other electronics or plastics or seating, everything. But today, I'm saying already, we are supplying products like this for customers and whatever we have won for the future is across all these product lines.

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Chirag Shah : So it's across like right from traction motors to battery management and even on both chargers and all those stuff.

Bikash Dugar : Nearly 80%, 90% of all this what we have mapped, we have got the order books. On some of the new products are still under testing and validation at the customer end like BMS and chargers. But other than that, whether that is traction motor controller, DC-DC converter, telematics, other things or all the polymer and other legacy products. For most of the products we have got orders from the customers.

Chirag Shah: And sir, second question is, if you would wish to address that, how many EV customers did you have on board, including this order, in terms of number of EV customers, if you can highlight?

Mahendra Kumar: We have said that.

Tarang Jain: We have won from 5 EV customers, and we are also discussing with another 4 to 5.

Moderator: The next question is from the line of Vishal from Swan Investments.

Vishal: Sir, just one question regarding our demerger. It was said that there was some EUR 28 million, which were in the escrow account. So just wanted to have the status on that.

Mahendra Kumar: Yes, I think that will -- it will take some more time because there is some kind of cooling off period after the closure of the transaction. So most probably in Q4, we will have some indication of that amount. Actual cash flow may happen later, but at least the discussions will happen in Q4.

Vishal: Whether -- do you see the same thing happening in FY '24? Or it will be in '25?

Mahendra Kumar: It's difficult to predict now unless we see the details from the other side, maybe in the next call, we'll be able to provide some details.

Vishal: Sir, the second question is regarding the divestment plans of your IMES business or the Chinese operation, so can you throw some light where are we in those plans or we have shelved off?

Tarang Jain: See, IMES for us is presently see, we've been focusing of a better operational performance in IMES, and we have been able to do that I mean, we have been doing quite well in the past months. Our performance has been quite strong in IMES. Having said that, okay, from a future angle, it's not really a core business for us. So we have to see how things kind of progress. And if you talk about from a long-term angle, yes, it's not really a core business for us IMES. We'll see, as things go along. At the moment, it's not really

lly the right time to do anything because of

the war in Europe. So things are not looking so good. Those are, of course, we are doing quite well because it's more of a non-auto business, and that's doing fairly well.

Coming to the China side, the China side, today, we have a joint venture partner. And this process is taking long, we are splitting from our joint venture partner in China. And this process

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will take another probably 1 to 2 quarters to materialize. I know we were expecting things to happen sooner. But yes, these things do take its time. But from a long-term future angle, China will be for 4-wheeler lighting, it will be a part of our overall business. Today, we don't consolidate it. But post-split, with our partner, it will be 100% subsidiary, a part of the company. So we are looking at, of course, China as a good growth market going forward, on the 4 wheeler lighting side.

Vishal: Sir, whether the China business whether it will be a ROC E accretive or a ROC E dilutive business going ahead in , if you foresee the plan for FY '24 and '25.

Tarang Jain: See China is that way a very profitable it's the most important market in the world. And we have a very good business model in China. So I would say that it would be over accretive only to our overall business. It will be a positive once we consolidated that to our rest of the business.

Moderator: We'll move on to the next question that is from the line of Basudeb Banerjee from ICICI Securities.

Basudeb Banerjee: Three questions. One, if I look at your P&L in the initial comments, you said net debt is still somewhere around INR 1,300 crores, INR 1,350 crores, am I right?

Tarang Jain: Yes, that's right.

Basudeb Banerjee: Last 2 quarters, if I look at average interest outgo is roughly INR 50 crores, annualized INR 200 crores. So on an INR 1,300 crores debt, INR 200 crores interest outflow implies a rate of almost 16%-odd. So where is the misconnection if you can help. And post debt reduction after selling off of VLS interest was expected to go down. So when should we expect that? And what should be a stable level of interest outlook?

Mahendra Kumar: Yes. Thank you, that's a good question. See in addition to the debt, we also do the discounting of receivables wherever needed. So the discounting charges are also grouped there. So that's on top of that, and IND AS 116 accounting requires the lease rentals to be split between depreciation and interest. So the interest component also goes up. So it's a combination of everything. Yes. But bottom line, yes the interest rate also, of course, have gone up in the last 6 months. So this also contributed to it. So it's a combination of all these factors.

The second question, when it is going to go down. Of course, initially, as you all know, we expected that the net debt will be zero, but it did not happen that way. So now of course, we are working on operational improvement as we explained here in this call. But all those efforts to materialize and convert into cash will take some time. That's how, earlier in the call, to other questions I mentioned that if you want to see some significant net debt reduction, we should wait until H2 of next year.

Basudeb Banerjee: Next question is, sir, if I look at your revenue trajectory is more or less somewhere around that INR 1,650 -odd crores centered in last 4 quarters. So whereas...

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Tarang Jain: Can you speak louder.

Basudeb Banerjee: If I look at your revenue figure, it's more or less centered around INR 1,650 crores, INR 1,700 crores for last 4 quarters. And so whereas in Q3, you see that staff cost has moved up almost to INR 183 crores, which is the highest in last 4 quarters. So any one-off in this line

item because

Q2 revenue declined and Q-o-Q staff cost is up some 5%, 6%. So any one-offs in that, sir?

Mahendra Kumar: No in terms of our revenue recognition in this quarter, these are all operational revenue only.

Basudeb Banerjee: No, because I was asking where revenue is slightly down or seasonally down, right way to put - staff cost is up and highest in last 4 quarters. So is this the quarter of annual pay hike for bonuses or any one-off is that from a staff cost line item perspective?

Mahendra Kumar: Okay. Sorry, I'll take your -- so your question was about employee costs?

Basudeb Banerjee: Yes, sir.

Mahendra Kumar: Yes. So employee cost was higher during this quarter for a couple of reasons. One, we also added some R&D resources in the overseas markets. So we strengthened the R&D resource skills there. If you attended the auto show, I think you would have seen the products which we showcased there. To support all those products, we have added some R&D resources. Plus in Q2, there was also some kind of transfer of costs to the buyer as part of the transaction. So there were some credits also. So it's a combination of both. But primarily, it's because of the resources which we added.

Basudeb Banerjee: And last question, sir, as I don't want to go into the deeper disclosures.

Moderator: Mr. Banerjee, sir, your audio is breaking up.

Basudeb Banerjee: No, it's fine now.

Moderator: No, sir, it's still the same. May we request that you use the handset mode while speaking and not the speaker phone.

Basudeb Banerjee: So it is audible?

Moderator: Yes sir, please go ahead.

Basudeb Banerjee: Yes. So last question, I just don't want to dig deeper as per disclosures are concerned, but I just wanted to understand like as per past disclosures, our India margin is to hover around that 9.5% - odd, where it is now this quarter?

Mahendra Kumar: Yes. See, whatever EBITDA margin we represented there is largely driven by India only. So the overseas thing is very negligible.

Moderator: The next question is from the line of Priya Ranjan from HDFC AMC.

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Priya Ranjan: So just one thing, I mean, what should we look at your future direction of margin? Should we just consider it like say, high single-digit margin company now? Or I mean, can we consider it, say, lower double-digit a little? Because I mean after say split also, we have not seen meaningful improvement in operating leverage of operational efficiency, although we have been keep

talking about operational efficiency, et cetera, but we have not seen any kind of improvement in that. So can you just throw some light on the margin trajectory?

Mahendra Kumar: Yes. So there are 2 parts to it. One is, of course, driven by the volumes. So definitely, Q3 being a very low quarter for the industry as a whole. This is not the right quarter to actually look at improvement so because of the operating leverage working against us, there was a dip in margins. But having said that, yes, we are also working on operational efficiencies. But as you know, these things don't happen overnight. So we'll have to put the structure in place. We need to keep working on the various actions. Over a period of time only, we will see the benefits. So most probably in the later part of next year, I think we should see some kind of improvement, but we are working on that.

Priya Ranjan: And in terms of the cash flow, so how should we look at the improvement in free cash flow generation because that is also crucial for your future deleveraging because whatever deals, et cetera, has happened has already happened. So I mean, the smaller pieces are actually left. So we can't get significant amount of deleveraging from those assets?

Mahendra Kumar: Yes. See, the free cash flow improvement, as you know, depends upon various factors. First of all, I think

we need to get the revenues up and we need to improve the profitability. So that remains the focus area. We are also taking various actions to limit our working capital. In fact, we are trying to reduce them from the current levels, things like inventory reductions, collection of our due receivables.

So these are the areas which are getting a lot of focus. Plus, we are also now very prudent on capex. As I mentioned earlier in the call, we are limiting the capex of this year to about INR 150 crores. And next year also, it could be may be around INR 200 crores to INR 250 crores. So with all these actions, and of course, the improved operating leverage giving us the benefit from increased volumes next year. I think we should expect some kind of decent free cash flow generation next year. But again, we have to wait for a couple of quarters to see a concrete reduction in debt a concrete improvement in the free cash flow.

Priya Ranjan: And in terms of the last one, on the new lifetime order wins. So you have indicated around INR 35 billion of worth of new order. So when can we expect revenue growth. I mean, whatever order you have already won, when can we expect that those numbers will be coming into your number? I mean, the top line?

Mahendra Kumar: I think that's explained in the slide, we gave a table when that revenue will commence, and we gave the number also. You can refer to that slide. So we explain how much will come next year and the following year.

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Priya Ranjan: And these are mostly incremental or how much is replacement and how much is incremental?

Bikash Dugar: These are all new. So nothing replacement. And that's why you see that our revenue growth has been better than the industry. That is the trend which you can see in terms of our revenue growth. And this gives us the confidence that our revenue growth will be better than the industry. But then it's not a guidance, but this is our expectation.

Moderator: The next question is from the line of Abhishek Jain from Dolat Capital.

Abhishek Jain: Sir, you have started supplying motor and controllers to Bajaj Auto and the content per vehicle is around INR 15,000 to INR 17,000. So have you started to supply these products to other players?

Mahendra Kumar: So just can you please repeat your question?

Tarang Jain: Audio is not clear, I'm sorry.

Abhishek Jain: As you started supply motor and controller to Bajaj Auto and that content per vehicle is around INR 15,000 to INR 17,000. Have you started to supply these products to other players?

Tarang Jain: No, we've not entered batch production for any other player so far.

Abhishek Jain: So you have a right to start production for the other players of these products, motor and controller?

Tarang Jain: Yes, yes, of course.

Abhishek Jain: So Bajaj is the only player to whom you are supplying motor and controller, right?

Mahendra Kumar: We don't know want to give that kind of customer breakup, but yes, predominantly yes.

Abhishek Jain: And sir, what is the current revenue from the EVs on a quarterly basis?

Mahendra Kumar: As of now, it is just about 2%, very specific number, but it is set to reach higher levels in the coming quarters, coming years.

Abhishek Jain: So what is the -- what is your target for the FY '24 in overall revenue terms in -- from EVs? And what would be the breakeven points in EVs?

Mahendra Kumar: Yes. So it's difficult to put a number to it because we continue to win these orders. So all these things add up to the revenue potential for the future. But maybe a couple of years down the line, we should see around INR 1,000 crores revenue coming from EV products.

Tarang Jain: Definitely, it's a growing -- as you know that there is it's a growing segment, the EV segment for 2-wheelers. And also now the 3-wheelers also where we are present, that

also will start next

year. So definitely, whatever we're doing it, we do expect the revenues from EVs to actually

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double for us. So it's going to be a growing market for us. And like by FY '25, we've already said the 2 and 3 wheeler segment, we will get almost INR 1,000 crores in revenue just from the EV side.

Abhishek Jain: And in terms of the gross profit and EBITDA, what is your target on the INR 1,000 crores kind of the revenue?

Mahendra Kumar: No, we do not give any guidance on the segment level.

Tarang Jain: We can only say that it's a fair margin. It's a fair margin, and we are happy with those margins, which we can derive out of the products.

Abhishek Jain: But most probably that margin would be lower than the existing business?

Tarang Jain: No, no. The margin won't be lower than the existing business.

Abhishek Jain: And sir, in electronics and components business, how is the current revenue mix in 2-wheelers and 4-wheelers? And how do you see the changes going ahead?

Tarang Jain: Are we talking about electronics in general over all.

Mahendra Kumar: Yes, you are talking about the outlook for electronics business?

Abhishek Jain: Sir, actually, I want to know the -- what is the mix in terms of the 2-wheelers and 4-wheelers and how the mix will change in the coming days?

Mahendra Kumar: See, we explained this trend at the total level, but not at the segment.

Abhishek Jain: And how is the trend now on a total level, sir?

Mahendra Kumar: The total level, as I explained on the slide, about 70% comes from 2 and 3 wheelers. The remaining 30% comes from others.

Abhishek Jain: And what is your target by '25 or '26 to change the overall revenue mix?

Mahendra Kumar: I think there is no target as such and as you can see, the order books reflect that we are getting more orders from 4-wheeler. So gradually, our dependency on 2-wheeler will reduce. But as a company, there is no target, our motto remains to improve the performance and the profitability of the company.

Operator : The next question is from the line of Jyoti Singh from Arihant Capital Markets Ltd.

Jyoti Singh: Sir, my question is on the inventory loss side. So sir, how much inventory we lost during the quarter, if you can comment on that?

Mahendra Kumar: Inventory loss. What do you mean by that?

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Tarang Jain : I couldn't understand. There is no inventory loss.

Jyoti Singh : Sorry, you did mention starting -- when the call started.

Tarang Jain: No, we said that we are working on to improve our net working capital .

Mahendra Kumar: Inventory reduction, you mean.

Tarang Jain: Reduction in our inventory levels. The free cash -- to improve our cash flows. That's what we mentioned.

Jyoti Singh: So like how much inventory reduction we did during the quarter?

Mahendra Kumar: We don't want to put a number to it, but we are looking for a significant reduction. So -- but it takes time. So we need to see how it develops.

Jyoti Singh: And sir, what's your view for the Q4 FY '23?

Mahendra Kumar: Sorry, what is the -- you're asking about the forecast? No, no, we don't give that kind of guidance. But yes, it depends upon how the industry performs. Generally, Q4 should be better than Q3.

That's the way it has been. So obviously, the benefits of operating leverage should help us, but we don't want to give any guidance.

Jyoti Singh: So sir, as we are targeting to reduce our 2-wheeler revenue mix going forward. And 2-wheeler is also not doing very well. So can I expect going forward in Q4 and Q1 FY '24, we will see a reduction on 2-wheeler revenue mix side and increase on the other segments like passenger vehicle and EV side? And -- or still we have time to decide on that?

Mahendra Kumar: Yes, it will take some time. I don't think

it changes so drastically in the near term or short term.

So maybe over a period of time, the mix may change as we continue to win more orders in our passenger vehicles. But definitely not in the next 1 or 2 quarters.

Jyoti Singh: And sir, currently, how much we are doing on the capacity utilization front?

Mahendra Kumar: See it varies from plant to plant, product to product. But broadly, we can say in the range of around 70% to 75% across multiple businesses.

Operator : The next question is from the line of Deepak Pawar from Vasuki India Fund.

Deepak Pawar: Congratulations on a good set of numbers. My question would be in line with the previous question, which was asked, but can you give us an idea that splitting up the China JV and still remaining -- continuing your business in China. So you will be doing it on a stand-alone basis by year 1?

Tarang Jain: Yes, that's right.

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Deepak Pawar: And what kind of business -- I mean, as the split has not been disclosed, what kind of percentage of the bottom line that contributes from China?

Mahendra Kumar: Too early to add on that. I think we should wait for the split to happen. So maybe once we are close to the reality, then we will talk about it.

Deepak Pawar: I might have missed this part, but the current revenue share or for the 9 months revenue share, whatever you have, we have what -- which -- how much part or how much percentage does it come from EV?

Mahendra Kumar: EV. I think rightly currently now, it's about 2%. That's what we mentioned.

Deepak Pawar: 2% for 9 months also, the complete 9 months?

Mahendra Kumar: Yes, yes, correct.

Moderator: The next question is from the line of Chirag Shah from Nuvama.

Chirag Shah: Sir, I had a question on inventory, which can be. So one, what is this nature of high inventory that you have? Is it finished products or it's more raw material. And secondly, either you shouldn't be sitting on a very high inventory, right? Yours is a B2B business. So you can adjust your production schedules based on OEM indication, right? So why are you running with -- what is driving your high inventory? If you can explain.

Mahendra Kumar: Yes. See, the inventory obviously comprise of all the components, including raw material, work in progress and finished goods also, maybe more in terms of raw materials and work in progress, that's in terms of finished goods. Yes. So ideally, what you are speaking about is an ideal world, but it's not so perfectly linked in terms of OEM schedules. So at times, there will be some fluctuation, which is what we are trying to correct and bringing it down.

Arjun Jain: If I go a step further, right, in general, the supply chains that we operate in have been fundamentally challenged, right. I think that in particular, I think is an extremely well-known issue. And for us, if we are looking at customer lines growing, it invariably also help drive sales for ourselves. Which meant that we were on higher inventory levels for a while. Also, I think, as you know, I think the market has also been challenged versus what has been the expectation. However, I think that is the trend now we look to correct. So that is really what is giving the reduction in inventory now going forward.

Chirag Shah : This is more of finished goods that is there, right? Or more semi-finished goods? It's not raw material.

Tarang Jain: No, it is. Honestly, it is -- it will be a split in the rate that you would normally assume a split. But in general, we've been holding higher levels of inventory.

Mahendra Kumar: It will be more in raw materials that's what we are trying to tell.

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Moderator: The next question is from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer: My question is on the debt side of it. I just

wanted to know what is the cost of debt, as things

stand. And is there any -- and I wanted to know about this INR 695 crores loan that is due in next 12 months. Are we planning to refinance or anything of that sort?

Mahendra Kumar: Yes, yes. So see, interest rates, you know where they are right now. Most of them are in the range of 9% to 9.5%. Coming to this refinancing, yes, we are working on the refinancing option.

A major part of this INR 695 crores is in NCDs, which are coming up for repayment in Q1 and Q2 of next year. Further than that, we have a few more loans there. But we are working on various proposals. We already got a few proposals from the bankers. So we are working on them. We are trying to optimize them.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for their closing comments.

Tarang Jain: So thanks again for joining, listening and asking all your questions. We continue to pursue

excellence in our day -to-day life for creating value for our stakeholders. Thank you.

Moderator: Thank you, ladies and gentlemen, on behalf of Ambit Capital, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

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VARROC/SE/INT/2023-24/31 May 28, 2023

To,
The Manager- Listing
The Listing Department, National Stock Exchange of India
Limited Exchange Plaza, Plot No. C/1,
G Block, Bandra-Kurla Complex, Bandra (East), Mumbai-400051.
NSE Symbol: VARROC The Manager – Listing
The Corporate Relation Department,
Bombay Stock Exchange Limited Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai-400001.
BSE Security Code: 541578 [Debt: 973454 & 973455]

Sub: Transcript of Investor / Conference Call pertaining to Audited Financial
Results for the quarter and ye ar ended on March 31, 2023.

Dear Sir/Madam,
Please find Transcript of Investors / Conference Call held on Tuesday, May 23, 2023,
in respect of the Audited Financial results for the quarter and Year ended on March
31, 2023.

This is for your information and records.
For Varroc Engineering Limited

Ajay Sharma
Group General Counsel and Company Secretary
Encl: a/a

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“Varroc Engineering Limited
4QFY 23 Results Conference Call ”
May 23 , 202 3

MANAGEMENT : MR. TARANG JAIN – CHAIRMAN AND MANAGING
DIRECTOR – VARROC ENGINEERING LIMITED
MR. ARJUN JAIN – WHOLE -TIME DIRECTOR –

VARROC ENGINEERING LIMITED
MR. MAHENDRA KUMAR – GROUP CHIEF FINANCIAL
OFFICER – VARROC ENGINEERING LIMITED
MR. BIKASH DUGAR – HEAD INVESTOR RELATIONS –
VARROC ENGINEERING LIMITED

MODERATOR : MR. KARAN KOKANE – AMBIT CAPITAL

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Moderator : Ladies and gentlemen good day, and welcome to the Varroc Engineering Limited 4QFY 23 Conference Call hosted by Ambit Capital. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Karan Kokane from Ambit Capital. Thank you, and over to you, sir.

Karan Kokane : Yes. Thank you, operator. Good evening everyone, and welcome you all to the Varroc Engineering FY 23 Results Conference Call. From the management team, we have with us Mr. Tarang Jain, Chairman and Managing Director; Mr. Arjun Jain, Whole-time Director; Mr. Mahendra Kumar, Group CFO; and Mr. Bikash Dugar, Head, Investor Relations. I'll now hand over the call to Mr. Bikash. Thanks and over to you, sir.

Bikash Dugar : Yes. Thank you, Karan, and Ambit team for hosting the call and I welcome all the investors and analysts in this call. Before we start just a small disclaimer, that today's discussion may include statements which may constitute forward-looking statement. All statement that address expectations of projection about the future including, but not limited to statements about the strategy for growth, business development market position and financial results are forward-looking statements.

Forward-looking statements are based on certain assumptions and expectation of the future event and involves known and unknown risks, uncertainties and other factors. The company cannot guarantee that these assumptions and expectations are exhaustive or will be realised. The actual results, performance or achievement could thus differ materially from those projected in such forward-looking statements. No obligation is assumed by the company to update the forward-looking statement contained today in our discussion.

So with this, I would like to hand over the call to our Chairman. Over to you, sir.

Tarang Jain : Thank you Bikash, and thank you team Ambit for hosting the call, and a very good evening to everyone. At the outset, I would like to highlight some positive developments of FY 23. Firstly, the revenue from continued operations grew by 17.5%. The EBITDA margin improved to 8.7% versus 6.6% in FY 22. Reduced net debt by INR220 million, since the divestment on October 6, 2022.

15 patents, including 5 patents overseas were filed by the Group. Commercialization of new products developed by R&D, divested the loss-making European and American four wheeler lighting businesses, integrating the remaining overseas operations under one Varroc and have built a strong order book in the new businesses.

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Now talking specifically about this quarter, that is Q4 FY 23, the automotive production in India during Q4 FY 23 grew on a year-on-year basis for most of the segments due to the easing of the semiconductor issues and improved economic activity. However, the segment from which we generate around 70% of the revenues, that's 2-wheeler saw a degrowth as exports are impacted by geopolitical issues and domestic demand was impacted due to lower consumption in rural areas.

On a year-on-year basis, 2-wheeler production degrew by 3%, whereas 3-wheeler grew by 7%, passenger vehicles by 13% and commercial vehicles by 6.4% on a year-on-year basis. On a quarter-on-quarter basis also, 2-wheeler degrew by 5.1%, whereas passenger vehicles grew by 11.9% and commercial vehicles by 22.6% due to prebuying before OBD-2 norms came into effect and Q4 is seasonally a stronger quarter for four wheelers.

In terms of operations in 4QFY 23, our revenue from operations

ions grew by 2.6% on a year -on-year basis to INR17,011 million. Our EBITDA margin was at 9.5% and it improved on a year -on-year basis by 340 basis points due to a business mix , recoveries and operating leverage. Sequentially also, the EBITDA margin has gone up by 170 basis points QoQ due to a business mix and recoveries.

The reported PBT for the quarter was INR411 million. We could reach agreements with our customers on various claims , which have been pending for some time and the benefit was recognized in the Q4 results. On anticipation of moderate inflation , as well as early si gn of rural consumption increasing, we will contin ue to build the momentum in FY 24 factoring in seasona lity.

In India, we continue to have a strong ord er wins for new business in FY 23 ac ross business units. During FY 23, li fetime revenue from new order wins is INR51,782 million. Out of this, business wins from 7 prominent EV customers is INR17,968 million. The order book also reflects our efforts to diversify that we see nearly 56% of lifetime order wins from the 4 -wheeler business and 44% from 2 -wheelers and 3 -wheelers.

As stated earlier, our effort to strengthen our R&D capability is showing resul ts as not only -- we have filed 15 patents in FY 23 from the Group, but also commercialized products developed by R&D in this financial year. During the current financial year, our businesses will continue to focus on profi tability improvement, free cash flow generation and debt reduction.

We also got A + stable outlook rating from India Ratings.

Finally, I would like to keep you all updated on the final adjustments to be made to the escrow amount and the sale consideration f or a deal with plastic Omnium . The information was already given by us on 17 May 2023 to the stock exchange. The buyer submitted the final adjustment but failed to provide the necessary supporting details to enable the company to understand these adjustmen ts. Hence, w e have disagreements with the buyer on the proposed adjustments.

Both the parties have now mutually agreed to attend the resolution of the disagreement in accordance with the provisions of the SPA. A qualification was added to this effect and i t is not Varroc Engineering Limited

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possible to ascertain the exact outcome of the negotiations at this stage. We will keep you inform once the negotiations reach conclusion on this matter.

Now I'll ask MK, our group CFO, who will walk you through the presentation, which is already uploaded on our website and submitted to our stock exchanges also. Over to you.

K. Mahendra Kumar: Thank you. Thank you, Tarang. Good evening, everybody. So since our Chairman explain ed the highlights and the industry performance. I will s traightaway go to slide number 3 in the presentation, which is about the consolidated financials. So as our Chairman highlighted, in Q4 of this year, we actually reported a PBT of about INR41 crores and a PAT of about INR 40 crores. EBITDA was 9.5%.

But the important thing here to note here is , on a full year basis, we actually reached about 8.7% of EBITDA or close to INR600 crores of EBITDA in absolute terms on a full year basis. The reported PBT was about INR83 crores. N ow one point I would like to highlight here is , this is after suffering a onetime exchange loss in the first of half of about INR56 crores. So after that, the reported PBT came at about INR83 crores and PAT at about INR39 crores. So that's about the consol idated numbers.

In the next slide, of course, we give the revenue breakdown. No significant change compared to last quarter. So we continue to be predominantly a 2 -wheeler and 3 -wheeler player , with close to 72% coming from that segment and about 25% comi ng from 4 -wheelers. In terms of business unit mix, PBU continues to be the largest one with close to 1/3 of the revenue coming from there. EBU gives about 22%

light ing about 2 1% and MBU about 12 %, aftermarket is close to 9%.

In terms of customer mix, Bajaj, of course is our largest customer with close to 38%, 37.5% revenue coming from Bajaj and the remaining coming from various other customers. In terms of geographical distribution, about 82% comes from India and the rest come s from outside India . So now going to the next slide, which is about the net debt movement. I'd like to highlight that equity now touch ed again back to INR1,000 crores plus. You may recollect that because of impairment, we had to take some kind of beating earlier. So back to INR1,000 crores of equity. Of course, EBITDA annualized is close to INR600 crores, like what I mentioned. The net debt level ended up at around INR1,278 crores. Here again, all of you may recollect that when we actually did the divestme nt on October 6 , the net debt was close to INR1,300 crores. So we brought it down to INR1,278 now. And i n terms of net debt to equity, it actually means we are close to about 1.27x, net debt -to-EBITDA is slightly above 2.13 x. So that's on the debt-related numbers.

Coming to the order wins, of course, our Chairman explained that close to INR5,200 crores of order wins or INR5,178 crores of order win was there in FY '23. And then most of it came from

the 4-wheeler, 56% came from 4-wheelers and about 44% only came from 2-wheelers. And similarly, nearly close to 1/3 of it is electric vehicles. In terms of Bajaj versus non-Bajaj also, I think you can see that 86% of these lifetime revenue is going to come from non-Bajaj customers. So again, going to the next slide, which is what we have been highlighting earlier also that, these focus areas continue to be very important for us. We are focusing on revenue growth. On top of Varroc Engineering Limited
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that, a contribution margin improvement is the next focus area. So these two with the stringent control on fixed costs should actually result in PBT growth. And then on top of this, we are putting robust working capital management and of course, strong control on capex also. This should all convert into a free cash flow generation, healthy free cash regeneration, which will be prudently deployed. Our initial focus will be debt reduction. So that's how we are going to follow in the near future.

So with that I will stop here. I think the next slide is about awards and CSR initiatives, which you can see from the presentation. And the back up details about our company or the overall corporate presentation is also attached in the subsequent slides. So let me stop here. We'll be happy to take your questions. Thank you.

Mod erator : The first question is from the line of Nikhil Rungta from Nippon India Mutual Fund. Please go ahead.

Nikhil Rungta : Sir, two, three questions from my side. First is, if you can give slightly more details on this auditor's opinion and the details which were provided on stock exchange on 17th, like what exactly are the disagreement and because of that, will the consideration come down further or increase or what exactly it is?

K. Mahendra Kumar: Yes. So let me answer this question. As we mentioned in the stock exchange announcement, it's too early to comment on the amount or the direction of the se adjustments . As per the agreement, we left about INR28 million escrow with the buyer. And it is also subject to some final adjustments, which should be done 90 days after the closure date. So those adjustments have been submitted by the buyer, but we find some of them to be not backed up by enough details. So that's the reason we actually refuted those. And then we actually asked for more details. Those details are yet to come to us.

So now we are going to have a discussion in person maybe sometime in June, first week or second week. So , after that only, we'll get some clarity about what's going to be the future state. So that's

the position as of now.

Nikhil Rungta: So basically, this issue is only for the escrow amount. There is no issue on the deal. The deal has been completed, right?

K. Mahendra Kumar: Yes, of course, deal is completed, but the escrow amount -- so indirectly, when the escrow is adjusted, the consideration also may get adjusted. I think that's the meaning. So yes, the deal is not under question. It is the amount, which is what we need to finalize.

Nikhil Rungta: Okay. Got it. So t he amount can be higher or lower which might lead to further , I mean, onetime loss or profit in our numbers, right?

K. Mahendra Kumar: Yes. I mean we never know . We need to conclude these discussions then only we will get to know. But yes, correct. Traditi onally, yes.

Nikhil Rungta: Got it. Sir, second question is what type of capacity utilization are we currently working at? And still, what level can we be? I mean in terms of revenue, we are already at INR6,900 crores, Varroc Engineering Limited
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wherein our margins is 8.7%. So in wh at level can we go in current capacity? And what would be the margin there?

Tarang Jain: Yes. So our capacity utilization presently for whatever we have invested, and all of the investments were actually done also in FY '19. So we are, today, I would say, on an average, not more than 60% or 62% of the total. So there's a real upside which is possible. And as you know, we are largely dependent in the 2-wheeler sector, about 70%, and that has unfortunately not performed very well, including our main customer. For the reason -- that's the reason why we are at about 60%, 62% of our capacity utilization.

So there's a huge scope. So we are actually -- so our main focus to hit the nail on the head, our main focus is capacity utilization. We can go up to 80% to 85% at least of this utilization. So you can no w see the revenue we are at today, you know that you can get a sense of what we can really -- what kind of revenues we can we try all of our existing investments we already have. And -- but in any case, I thin k in the coming year, we are looking at a robust double -digit growth

overall from whatever the revenues we have achieved in FY '23.

Nikhil Rungta: And what type of margins are we looking at, at that time?

Tarang Jain: So see, I mean, like we have said, we are striving for overall double digit, and that's something we will also strive for in the coming year. And that's something we feel is possible. So therefore, that's going to be our objective.

Nikhil Rungta: Got it. Sir, last question from my side. The debt levels, say, by end of FY '24? And what would be the capex for FY '24?

K. Mahendra Kumar: Yes. Mahendra here again. As far as capex is concerned, I think it's a bit close to maybe about INR200 crores at the total level, including overseas. Coming to the debt level, like what I mentioned last time, it's maybe still too early to comment. We expect most of the reductions happen on the H2. But yes, that's our main focus area. We won't be able to give a number or guess a number now. But as you have already seen, we reduced by about INR22 crores. So we'll continue to put in those efforts. We will see the results in H2.

Moderator: We have the next question from the line of Vinay Jain from Karma Capital Advisors Private Limited. Please go ahead.

Vinay Jain: Just had a couple of questions. So firstly, in the opening remarks, we mentioned that there was some benefit of pending claim settlement with various customers during the current quarter. So can you quantify the amount?

K. Mahendra Kumar: Yes, Vinay, this is Mahendra here. So basically, like how we have said in last call, this is an annual exercise, which keeps happening in this particular industry. And when it happens, it happens across several products and across multiple customers on an accumulative basis. So it is very difficult to slice it for each

quarter separately. So that's the reason. I think the best thing would be to see it as an annual number. If you want to look at the margins instead of looking at quarterly numbers to better to see the annual number. I think that will give a better indication.

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Vinay Jain: So this would be part of the overall revenues, right? It can be in that line?

K. Mahendra Kumar: Yes.

Vinay Jain: Understood. And the second question was regarding the China JV. So we had plans of consolidating that JV into our numbers. So any progress we have made on that front?

K. Mahendra Kumar: Yes. See, as of now, we have taken the numbers based on what they declared in the arbitration proceedings. So based on that, we actually took it, but we don't have the audited numbers yet. So that's the reason we did not formally consolidate. Once the arbitration proceedings come to an end or we reach some kind of settlement with them that's when we'll be able to formally consolidate based on audited numbers. But we'll continue to get the information built on these arbitration rulings. So that's how we will do it in the near future.

Vinay Jain: Understood. And lastly, again, so if you see on a full year basis, we would be at a gross margin of around 35.5%. So hopefully, like we should be improving on this number, as you also rightly mentioned in the opening remarks that the focus is on improving the contribution margin. So this number should improve in the coming quarters and years, right?

K. Mahendra Kumar: Yes. I mean we have various cost reduction efforts, which our teams are working on. But yes, traditionally, yes, should improve but we also need to see what kind of inflationary pressures coming in future and how much we'll be able to pass it on. But yes, directionally, what you said is right.

Moderator: The next question is from the line of Vishal from Svan Investments. Please go ahead.

Vishal: Sir, one question regarding you said that utilization levels are around 60% to 62% currently. But I'm seeing in the cash flow statement, there is a capex material plant and machinery of approximately around INR530 crores. So can you throw some light on this number?

K. Mahendra Kumar: Yes, Vishal. So my suggestion would be that we should not go by the cash flow statement because this includes continued operations also. So it has the effect of discontinued operations number also for the year for 6 months. So if you want to get a sense of how much capex we incurred in the continuing operations, I think it could be close to INR200 crores last year.

Vishal: Okay. Okay. Great, sir. And sir, regarding -- there is one more item, cost incurred on intangibles, which was INR200 crores last year, and this year also it is INR68 crores?

K. Mahendra Kumar: Are you referring to the cash flow again?

Vishal: Yes. Yes.

K. Mahendra Kumar: Yes. So like what I said, don't go by the cash flow numbers. That again includes the discontinued numbers also.

Moderator: The next question is from the line of Jyoti Singh from Arihant Capital Markets. Please go ahead.

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Jyoti Singh: Sir, my question is on the net debt side, what's our view going forward? And second is on the growth outlook side. So like this time, we did it around 17% for FY '23 levels. So what's the view going forward?

K. Mahendra Kumar: Yes. So like what our Chairman explained. So definitely, growth is a focus area for us. So we will continue to aim for strong growth going forward. Of course, it also depends upon -- part of it depends upon the industry growth and part of it on content growth. But that is certainly a focus area, but we won't be able to give you a number, if that's what you are expecting.

Jyoti Singh: Okay. And sir, like earlier we had discussed like we were going to diversify from our 2-wheeler to other

segments also. So how these things going on, on that front? And what are the strategies that we are following for that?

K. Mahendra Kumar: There's no specific strategy to diversify, like how we explained based on the order win, if you really look at the new orders, I think most of them are coming in the 4-wheeler segment only. So I think it naturally happens because we are now giving a lot of importance to the 4-wheeler segment also, both in terms of lighting products and other products. So that will eventually happen over a period of time. But immediately, you won't see a big swing in the 2-wheeler versus 4-wheeler percentage because of this.

Jyoti Singh: So sir, like just kind of assumption, if you can give us -- tell what time we will see our company in a better level to reducing the debt and making companies better and profitable?

K. Mahendra Kumar: Yes. See, profitable, of course, I think we have already done. Of course, we need to now continue this. Now, as far as the debt reduction is concerned, like how I mentioned in my previous calls also, we have to be a little bit patient. We are hoping that H2 will then I think we can see some kind of good reduction because we continue -- the existing operations don't need any more debt or any kind of debt support.

So it's on the generation, which comes from operations, which we have been used to repay is there. Of course, we need to see the other areas. For instance, let's say the China settlement comes to some kind of a shape, we may have to invest some amount there. So those kind of nonoperating areas may have some kind of impact on debt levels. But for operations, the focus continues to be debt reduction.

Jyoti Singh: So sir, is there any...

Moderator: May I ask to request you to please rejoin the queue for further questions. The next question is from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: My first question is just to better understand the new order wins of this INR5,200 crores, if you can split us between the completely new order wins and rewins it would be quite helpful.

Bikash Dugar : Aditya, we report only new wins, we don't report a replacement order.

Aditya Jhawar: So this is completely new order pick up?

Bikash Dugar : Yes.

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Aditya Jhawar: Okay. Okay. Fair enough. My second question is on the China JV. So where are we? I mean what is the status with regard to separation of the JV partner? If you can throw some light on the revenue growth margin expansion that we have seen. So this quarter, clearly, the performance of China JV was quite encouraging. Was there any one-off in this quarter? Will you throw some light on that?

K. Mahendra Kumar : Sorry, you're talking about the sale China JV...

Aditya Jhawar: Yes. Yes.

K. Mahendra Kumar: China JV, see the arbitration proceedings are in progress. So I think they may go on for maybe another 1 year or so, 1 to 2 years. But then having said that, the arbitrator is also encouraging the respective parties to sit and discuss and then come to some kind of a settlement. So those things may happen in the coming quarters. So that's on the status. Sorry, what was your second question?

Aditya Jhawar: Business in China.

K. Mahendra Kumar: I think that's doing pretty well. I think last year, as you all know, had a COVID impact for 2 to 3 months. But now I think the business is back in full action.

Tarang Jain: So Aditya, in China, being the largest car market and the penetration of EVs being the highest in the world. I would say, as a JV, both the factories have been performing fairly well. And we do see a good level of growth also in the coming year. So definitely, we do expect the performance from the JV to do well. So what you see actually in this quarter is something which should continue. So we're hoping for actually good results also in FY '24.

from our China JV.

But of course, our effort is that like we said earlier, that the arbitration proceedings are on probably it could continue for probably up to maybe 9 months or so. So our objective is that maybe reach an out-of-court settlement with our partner sooner than later, that's also something which has come out of the arbitration proceedings that we tried to kind of settle amongst ourselves sooner than later.

So that's where the effort is now that we try to culminate or other split at an earlier date so that we can then focus ourselves of future growth in China, which we expect to be a good market for Varroc.

Aditya Jhawar: Okay. That's quite helpful, Tarang. Clearly, there is no one-off in the quarter, right, because it's almost about 20% of our PAT, the China JV number?

Tarang Jain: No, it is not a one-off. This is something which will continue.

Aditya Jhawar: Okay. That's very good to hear. The next question is, if you can highlight any breakthrough into OEM for our EV component in this quarter?

Tarang Jain: So maybe Arjun, do you want to take this?

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Arjun Jain: So let me say before, and we continue to be based with actually five now different OEMs locally and abroad with respect to the portfolio, there is something to report for obviously, we will report it.

Tarang Jain: So we are very hopeful, Aditya. I think every so engaged, we have very strong, highly efficient products, which we have developed. And we're engaged with some of the prominent 2-wheeler OEMs in this regard. And we are hoping for some results in this financial year.

Aditya Jhawar: Okay. Perfect. My final question is to Mahendra. So if you can highlight what should be the tax rate assumption in FY '24?

K. Mahendra Kumar: Final tax rate assumption?

Aditya Jhawar: Yes.

K. Mahendra Kumar: FY '24, basically, if you really look at the applicable tax rates, V EL at 35% plus of course surcharge and all. And VPL, which is a subsidiary, is at 25% plus surcharge.

Aditya Jhawar: So on a blended basis, how much should we consider, sir?

K. Mahendra Kumar: See, if you are looking at the exact impact on P&L, it is difficult to predict because it also depends upon the movement in deferred tax. It's difficult to actually put a number to it in terms of what could be the effective tax rate. But if you really look at the normal applicable tax rate, and then you can broadly make it out and VPL is roughly about one third of our business. So then we can compute this on that.

Operator: We have the next question from the line of Aashin from Equirus Securities. Please go ahead.

Aashin: My first question is on the other income number. So that seems to be high this quarter. So is there any one-off? And what sort of other income we should take going forward?

K. Mahendra Kumar: Yes. Mahendra here. So there are basically two major components in it. One is the government incentive, which we get from state government for our operations. So that we recognized the over the period based on the volumes of the respective business. So that's one reason. Second reason, of course, every year-end, we also do some clean-up in provisions and liabilities there's anything which is outstanding for too long a period, we generally reverse it. But these are the main things.

Aashin: Okay. Okay. And my next question is on the lighting business. So this quarter, the lighting business, there was a sequential drop in the lighting business this quarter. Could you give us a sense on how the global 2-wheeler lighting business is doing? And how is the Indian lighting business doing? And what sort of growth do we see in both of them going forward?

Tarang Jain: I think our lighting business, when it comes to India, we are both in the 2-wheeler lighting and the 4-wheeler lighting business. And we have seen actually a good growth, I would say,

when it

comes to our both lighting business in India. Both 2-wheeler, 4-wheeler. We have 1 on the 2-wheeler side, we continue to win the various programs India and abroad from various customers.

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And the 4-wheeler also even recently, we have won some very prominent business for the EV vehicles on the 4-wheeler lighting side.

When it comes to abroad our lighting business is mainly 2-wheeler lighting as we have exited from the 4-wheeler lighting business. So there, we have our plants in Italy and Vietnam and also in Romania. There we are seeing actually a good performance. And also, yes, the growth has been a little bit subdued in the last 1, 2 quarters abroad. But that's something now we see when

we will see a growth in this coming year moving forward.

So overall, I would say India as well as our businesses abroad in Europe in Vietnam, we expect to see actually a good level of traction in our overall lighting business, because we do possess a very robust and a good level of technology in both these sectors.

Aashin: And sir, a third question is on the order book side. So this quarter, we have seen very good addition of orders on the 4-wheeler side. And if we compare the whole year as well, the 4-wheeler orders have been very strong. So what's -- I mean, what sort of ramp-up do you see -- do we see on the 4-wheeler side? And where are these orders coming from this segment?

Arjun Jain: So our passenger car offerings are across lighting and polymers and I think a big reason why we've been able to win incremental business is because we've been early to launch a fair amount of technology over the last 18 months. General development time for a passenger car vehicle doing 24 to 30 months, now in 20 to 30 months. So I would put a specific on sort of quarter on it, but there is the time line in which we would expect the ramp-up of these programs is taking place.

Aashin: Okay. Okay. And my last question is EV revenue, which reported INR100 crores. So could you give us a split on what would be our conventional product and what would be a new product? And what sort of growth do we see in this number going ahead?

Bikash Dugar: It's a 80% & 20%, 80% is our new products and 20% is our conventional products.

Moderator: Thank you. The next question is from the line of Bharat Sheth from Quest Investment Advisors. Please go ahead.

Bharat Sheth: So our Chairman made a remark that this year, we expect to grow around double digit. So when our 70% of business is coming from a two-wheeler, which is expected to do single-digit as well as around 20% of business is from global. So if you can give a little more color to what will drive our growth in double digits?

Arjun Jain: I think, it's the same trends that have driven our growth in this year also, right, because the product portfolio and the strategy that we pursued over the last few years has been to drive content growth. And the primary content growth that is taking place in the two-wheeler and also, I would say, in a passenger car is with respect to electronics.

And this is where whether or an IC engine, whether on an EV, we enjoy extremely strong position. The further topic also is even when we look at the segments, we still see the premium segment in two-wheelers doing well, which is again where we have a significant amount of Varroc Engineering Limited

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content. So in our expectation, even as we look at the year going forward, these the new technologies, the new programs, we continue to grow in size.

Bharat Sheth: Is it fair understanding that these are more profitable than our traditional business so which can help us, I mean, apart from operating leverage to achieve a double-digit kind of EBITDA margin?

Arjun Jain: So I would not comment maybe on profitability of specific products and pr

ograms. But in

general, right, as you said, greater the operating leverage, the better position, the better the position it puts us in.

Moderator: Thank you. We have the next question from the line of Prateek from Nippon Asset Management. Please go ahead.

Prateek: Just still fair to say that Q 4, when I look at your performance, it's very similar to how the automotive markets have behaved. This is primarily because of a largest customer expect that there would have been growth Q-o-Q? So what I'm trying to get to is, basically, I can't see the benefit of content flowing through despite having a very poor and despite the automotive markets is on doing well, is this only because of Bajaj?

Tarang Jain: No, I would say that the content growth actually has, in a way, helped us reach a certain level of revenue, otherwise, like you know the Bajaj volumes were quite low. They were quite negative actually for the whole year, including in Q4, but it was the content growth, what earlier was mentioned that because of electronics is the reason why we've been able to reach a certain level of revenue and on a very low capacity utilization. So therefore, I think that this content growth is really helping us in driving at least a certain minimum level of performance in the market.

Prateek Poddar: Got it. The second question is more on your direction or strategic initiatives of increasing contribution margins reducing fixed cost. Could you just talk a bit about how much of that or has any of the strategic initiatives play in this quarter? Because the gross margins have improved.

I understand there are some one-offs over there. But even if you see sequential EBITDA margins have expanded. So I'm just trying to get to whether it is mostly attributable to the one-offs, or there has been some improvement in terms of controlling fixed cost/improving country margins?

K. Mahendra Kumar: Yes. The efforts related to our cost reduction including the fixed cost control, I think just beginning -- they have just started. So we'll see most of the benefit may be in the current year.

But I won't be able to put a number to it, but yes, definitely that we should see some improvement

this year.

Prateek Poddar: Got it. And Mahendra just by your guidance of repaying debt in H2, it looks like most of these benefits will start showing in H2, the improvement in margins, which will help to reduce debt?

K. Mahendra Kumar: Correct. So on top of that, I mean, we are not just relying on profitable improvement alone for debt reduction. In fact, there is enough to be done in working capital side also, so that continues to be our effort. And second thing is if you really see our capex versus depreciation, so we don't need to really invest INR330 crores, INR340 crores, which is our depreciation number. So to the extent, there will be -- that will reflect in the FCF generation also, which should help us the debt reduction.

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Prateek Poddar: Last question, what's your effective cost of interest cost, effective interest cost and where can you get this down to with improved mainlined cash flows?

K. Mahendra Kumar: If I really look at the recent deals, which we are getting, I mean they are anyway between like, 8% to 9.25%, that's the range. So obviously, we are trying to keep it at the minimum as far as possible. I think, we are getting some good positive reaction and maybe this kind of improved profitability will strengthen our case further.

Prateek Poddar: Would it be possible for you to call out fixed cost initiatives or fixed cost reduction initiatives/improvement in contribution margins, is it possible?

K. Mahendra Kumar: No, we don't want to give any guidance ledger. And again, let's wait for a couple of quarters to see them materialize and then talk about them.

Moderator: Thank you. The next question is from the line of Pradyumn

a Choudhary from JM Financial.

Please go ahead.

Pradyumna Choudhary: So my first question when you speak about new order wins, when you give a number, how does the calculation takes like what kind of growth do we assume for the product or the model that we're supplying? Just wanted to get some clarity on that.

Arjun Jain: Generally, any order wins is reported based -- as reported based on what is the customer expectation of the volume that they will achieve on that particular model. Of course, we will temper it with again, there is no, let's say, a precise science to be will temper it with what is the reality that we see in the market today also. Generally, we've end of that. I think that is something I can give you.

Pradyumna Choudhary: Understood. And secondly, regarding the EV products like traction motors and DC/DC converters and all these. So we see quite a few companies talking about manufacturing. So how are we really differentiating ourselves, especially, when it comes to pitching ourselves to customers outside our anchor customer?

Arjun Jain: As I said there's two major points of differentiation. I think the first one, and I think I cannot state enough in terms of how much of an advantage it is we actually engage with customers is that we are already completely localized when it comes to manufacturing. So it's when we have enough product in the field. We have been manufacturing now for more than 12 months. So that is definitely a significant advantage for us.

And the second major advantage on the product label is around efficiency, I think the most expensive component in the EV is the battery and all of our products are geared towards ensuring very good to maximize range based on any particular battery size.

Bikash Dugar: And thirdly, the R&D setup, which we had which helps us to develop and commercialize the product very quickly.

Arjun Jain: Yes, of course. I should mention that also. I think when I say localization, one is, of course, manufacturing localization, but also, let's say, the engineering and development capability,

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localization is these comprehensive. I think, we have said it before also, but EV products today are not necessarily mature technologies. But I think the validation and testing setups that we have allow us to move through generation of maturity very, very quickly. And again, we were engaged with the multiple customer engaged something that they really like.

Moderator: Thank you. The next question is from the line of Arjun Khanna from Kotak Mutual Fund. Please go ahead.

Arjun Khanna: My first question is just a follow-up to a question by an earlier participant. You talked of a cash release from working capital. When I look at your balance sheet or inventory plus receivable equal to payable. So in a sense, you're running an extremely tight ship, probably best-in-class compared to even most of our peers. So just curious, how do you intend to release cash from

even this position?

K. Mahendra Kumar: Yes. So there are two, three things we are trying to do. One is, of course, inventory, there is still enough scope for the reduction. Actually, we started this about six months back. I think we achieved some success last year already. But still, there is more to be taken there. And second thing is if you really look at our payment terms also, I think still there is some scope for improvement in that area again. Plus there is something in various other categories, like we have other current assets where certain deposits are locked up. There are certain GST input credits need to be fully utilized. So there's a big shopping list, which we are working on. So it doesn't come from one single area but across multiple areas were being implicated.

Arjun Khanna: Sir, my second question is in terms of capex, while we brought out roughly INR200 crores of capex, how

much would be spent to India and how much outside India? Do we have a breakup there?

K. Mahendra Kumar: Most of it in India is almost 80% to 85% in India only the remaining 15% may be abroad.

Arjun Khanna: Sure. So our Romanian unit would be fully built up in terms of SMT lines and new lines you are looking at scaling up on?

Arjun Jain: So I think the way to think about scaling in SMT plant is there is definitely space to scale further. And for the business that we have, across our different SMT plants, we have enough capacity. Of course, if you have significant order win etcetera, that would lead to cost for the capex also.

Arjun Khanna: Sure. Sir, my final question is probably I haven't understood it as well. In terms of China, you mentioned in arbitration, and we have used those numbers. So aren't we in control of the plants? Why would we have to use numbers from arbitration on people be on the ground?

K. Mahendra Kumar: Yes. So it isn't like this. So what deals under our control is one plant, but that is the step-down subsidiary. So for consolidation, we need a holding company level. So we are a 50% partner in a joint venture. And this particular plant, which is under our control is a subsidiary of that particular JV. Unless we get a JV consolidated number, we won't be able to consolidate here.

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Arjun Khanna: Sure. Perfect. Understood. And the second part, this is in terms of the auditor qualification, just to reiterate, it's only the escrow amount that under consideration, or it is even the EV value that could be under consideration or reconsideration?

K. Mahendra Kumar: See, as per the agreement, the EV consideration is also a subject matter of discussion. But having said that, we have a significant amount of escrow there of 28 million. So which way it goes, we need to wait and see, we need to wait for the negotiations to come through and then see which direction in progress and what kind of impact it will have.

Arjun Khanna: So theoretically, it could be lesser than 28 million or even more than 28 million, is that the right understanding?

K. Mahendra Kumar: And politically speaking, we shouldn't be talking about that because it comes in the public domain and the other party also may be seeing it.

Moderator: Thank you. The next question is from the line of Abhishek from Dolat Capital. Please go ahead.

Abhishek: Yes. So what would be the key revenue drivers for the polymer business? If you can throw some more light on new business wins and new product addition in this particular segment? And how do you see RM trend and margin outlook in this segment?

Arjun Jain: The key drivers for the business again, right? I think over the last two years, we have been able to -- we have productionized multiple processes for the first time in India. So whether it is 2K moulding with technology, topics like roof rails. These are really first time products, these are really first time products. So that within that within these processes and the product line that this process is build where we expect to see the growth is where we will see the growth.

And then first -- and then there is also the ability to drive further value-add also for example, whether it is painting, whether it is the integration of other filtering other featurization, door panel, which customers are increasingly looking for because there is clearly an increase in the standard of the cabin that OEMs are looking to achieve. So directionally, I would say, this is where the growth for polymer is. This is where the growth of the polymer business is coming.

Abhishek: How do you see RM trend margin outlook in this business? Because earlier the raw materials prices are quite high and that was impacting the margin, but now it is going down. So how do we see benefit of it?

Arjun Jain: So we don't comment specifically on pro

duct-specific margins.

Abhishek: Okay. And sir, in metallic business, which is a high-margin business for you. There are highly stronger EVs for accelerations. So what is your plan to de-risk it? Have you added new products on this particular segment?

Arjun Jain: Yes. So I think when we talk about EV penetration versus the capacity that we have versus the

overall split of the business, I think, we feel we are quite comfortable where we are at right now. Even within the metallic business, it's not like the entire metallic business is at risk, and EV also
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we need to quite likely going forward to transmission assemblies. So there is enough -- we are quite comfortable with the amount of capacity reusability that we have.

We also already build, we already supply certain metallic products into EV as part of the for example, for the motor, the shaft we made in-house. So from that perspective, we don't see a major threat to the capacity at least in late over the next two to three years as a result of EV.

Abhishek: So supplying this motor, motor control to the Bajaj Chetak. So you have also started to supply this to other 2-wheeler brands?

Arjun Jain: No. As of now, we are focused on Bajaj and Bajaj only.

Abhishek: Okay. And sir, my last question on this performance of the VLS remaining business, this comprises who we are lighting to 2-wheeler manual electronics. You have mentioned around 18.3% revenue from the global business. Is it the VLS remaining business revenue?

Tarang Jain: We could not hear you very clearly, sorry. Can you please repeat it?

Abhishek: So you have mentioned 18.3% revenue from the global business. Is it the VLS remaining business revenue?

Bikash Dugar: That is VLS remaining business and also the export which we do from India.

Abhishek: And how much classification in terms of the export from India and VLS remaining business of 18.3%?

Bikash Dugar: Again, business point, we don't want to talk about that. This is what we have been reporting and this is it. But export overall is not significant.

K Mahendra Kumar: Yes. It's predominantly all the business outside, export not so significant at this stage. There is scope for improvement there.

Moderator: The next question is from the line of C A Kanwaljit Singh from Balaji Investment. Please go ahead.

C A Kanwaljit Singh: My question is so what are the new avenues that the company is on looking forward in the next 3 years? And at what will be the capex for next year?

Arjun Jain: I think the capex question, CFO already answered, we would expect it to be around INR200 crores. I don't think there is necessarily as many new avenues we need to pursue. I think we will continue to pursue the existing avenues that are driving growth for us, which would primarily be around passenger car and the businesses that we win in polymer and lighting as a result of the first mover advantage we have on certain technologies over there.

And secondly, as a result of premiumization and content growth within 2-wheelers, whether that the EV components or higher and electronic components or higher in electronic components on premium 2-wheeler.

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Moderator: Sir, the current participant in the queue seems to have dropped from the queue. We will proceed to the next question, which will be from the line of Vishal from Svan Investments. Please go ahead.

Sachin: This is Sachin here. Congrats on financial improvement over the EBITDA margin. My question was even if the segmental numbers. In the other segment, we had resumed primarily first of the Italian operation, there's a good improvement quarter-on-quarter. So if you could tell us a bit more is there some one-off in days or is there some structural change in the business has become applicable.

Management: Yes.

Sorry, that was not very clear, but I guess you're asking about the overall margin improvement, right?

Sachin: Sir, my question was, when we look at the segmental numbers, the other segment, which I think primarily refers to your Italian operation, there also, we have seen a sequential improvement in profitability. So are there some one-offs in that or if we have no structural changes has been competitively that has improved?

Management: Yes, there is no one-off, but I think over the last 1 year or so, Italian operation has been doing well.

Sachin: And what is the long-term strategy in terms of the Italian operations as we continue to run them the way they are with focus or not, just improving the profitability or at some point of time, we will look also in terms of the strategy Italian operation?

Tarang Jain: So every operation, you are talking, I think, about the lighting business. Yes. So see, presently,

frankly, we're not thinking too much ahead. So we are just thinking that how we improved the operations, and we have, as you know, significantly improved the profitability in this pausing business of ours.

We still have some certain capacities which are underutilized. So our basic focus now is that how can we get in more revenue in this plant at the moment and at the same time, drive also further operational improvements, which are possible.

So the focus will be revenue growth as well as profitability improvement coming through driving further operational efficiencies. So this is our focus at the moment. We are not looking at something more at the moment.

Sachin: Sure. Second question on the contribution from electric vehicles. You have mentioned in the presentation that we close around 1.5% approximately INR100 crores. Considering the strong growth in the EV segment, can you give us some sense and the ordering that we have, what type of growth we could see for overall EV business come in here, maybe over a 2, 3-year period?

Tarang Jain: This revenue was largely coming, I think, from 1 major customer presently. And talking about - lastly, we were talking about the EV powertrain because we've already said that if you were to talk about other products, whether it's polymer or lighting and everything, then obviously, we

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have won a lot of business last year, more than 1,700 of lifetime revenue orders from the EV space.

But talking about the EV powertrain, we expect a good level of growth in this EV powertrain from 1 customer we have today. And we're already seeing a growing momentum coming in from this 1 customer on their model. And we are hoping that the growth will be quite significant in this financial year.

Sachin: Sure. So my next question on working capital, as mentioned by the CFO, that there are lot of this inventory. So if you could give us some sense that are we looking at some good number? Or is it just being some efficiency in the overall working capital or the raise of working capital could be taken as there could be perceptible improvement in the net debt because of the release of working capital?

Management: No, it won't be a very significant number because part of it was taken in '23 already, but still there is some more left. So I would not be able to put a number to it. But there is there's enough scope for improvement. It may not be -- we're expecting it to be a 3 digit number. It may not be.

Sachin: Sure. I just last question to one of the previous query in you mentioned that the ratio of 2-wheeler and not change significantly. But when you look at your order book, this year. Then when we see the share of passenger vehicle and commercial vehicle is almost like 50%. So I'm a little confused as to the order being set so strong from the non 2-wheeler segment while ratio in terms of where revenue should not change a little bit more in favor of PV and CV

or other 4-wheelers.

K. Mahendra Kumar: No, what I meant to say was, it will change over a period of time it won't change immediately. The same trend continues for, let's say, a few years, then it will change significantly, but not immediate.

Moderator: Ladies and gentlemen, that will be our last question for today. I now hand the conference over to the management for closing comments. Over to you, sir.

Tarang Jain: So thank you. Thank you, and thanks to everyone, again, for joining and listening and asking your relevant questions. We, at Varroc continue our journey towards generating strong financial performance and creating value for our stakeholders. Thank you.

Moderator: Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

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VARROC/SE/INT/2023-24/31 May 28, 2023

To,
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The Listing Department, National Stock Exchange of India
Limited Exchange Plaza, Plot No. C/1,
G Block, Bandra-Kurla Complex, Bandra (East), Mumbai-400051.
NSE Symbol: VARROC The Manager – Listing
The Corporate Relation Department,
Bombay Stock Exchange Limited Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai-400001.
BSE Security Code: 541578 [Debt: 973454 & 973455]

Sub: Transcript of Investor / Conference Call pertaining to Audited Financial
Results for the quarter and ye ar ended on March 31, 2023.

Dear Sir/Madam,
Please find Transcript of Investors / Conference Call held on Tuesday, May 23, 2023,
in respect of the Audited Financial results for the quarter and Year ended on March
31, 2023.

This is for your information and records.
For Varroc Engineering Limited

Ajay Sharma
Group General Counsel and Company Secretary
Encl: a/a

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“Varroc Engineering Limited
4QFY 23 Results Conference Call ”
May 23 , 202 3

MANAGEMENT : MR. TARANG JAIN – CHAIRMAN AND MANAGING
DIRECTOR – VARROC ENGINEERING LIMITED
MR. ARJUN JAIN – WHOLE -TIME DIRECTOR –

VARROC ENGINEERING LIMITED
MR. MAHENDRA KUMAR – GROUP CHIEF FINANCIAL
OFFICER – VARROC ENGINEERING LIMITED
MR. BIKASH DUGAR – HEAD INVESTOR RELATIONS –
VARROC ENGINEERING LIMITED

MODERATOR : MR. KARAN KOKANE – AMBIT CAPITAL

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Moderator : Ladies and gentlemen good day, and welcome to the Varroc Engineering Limited 4QFY 23 Conference Call hosted by Ambit Capital. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Karan Kokane from Ambit Capital. Thank you, and over to you, sir.

Karan Kokane : Yes. Thank you, operator. Good evening everyone, and welcome you all to the Varroc Engineering FY 23 Results Conference Call. From the management team, we have with us Mr. Tarang Jain, Chairman and Managing Director; Mr. Arjun Jain, Whole-time Director; Mr. Mahendra Kumar, Group CFO; and Mr. Bikash Dugar, Head, Investor Relations. I'll now hand over the call to Mr. Bikash. Thanks and over to you, sir.

Bikash Dugar : Yes. Thank you, Karan, and Ambit team for hosting the call and I welcome all the investors and analysts in this call. Before we start just a small disclaimer, that today's discussion may include statements which may constitute forward-looking statement. All statement that address expectations of projection about the future including, but not limited to statements about the strategy for growth, business development market position and financial results are forward-looking statements.

Forward-looking statements are based on certain assumptions and expectation of the future event and involves known and unknown risks, uncertainties and other factors. The company cannot guarantee that these assumptions and expectations are exhaustive or will be realised. The actual results, performance or achievement could thus differ materially from those projected in such forward-looking statements. No obligation is assumed by the company to update the forward-looking statement contained today in our discussion.

So with this, I would like to hand over the call to our Chairman. Over to you, sir.

Tarang Jain : Thank you Bikash, and thank you team Ambit for hosting the call, and a very good evening to everyone. At the outset, I would like to highlight some positive developments of FY 23. Firstly, the revenue from continued operations grew by 17.5%. The EBITDA margin improved to 8.7% versus 6.6% in FY 22. Reduced net debt by INR220 million, since the divestment on October 6, 2022.

15 patents, including 5 patents overseas were filed by the Group. Commercialization of new products developed by R&D, divested the loss-making European and American four wheeler lighting businesses, integrating the remaining overseas operations under one Varroc and have built a strong order book in the new businesses.

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Now talking specifically about this quarter, that is Q4 FY 23, the automotive production in India during Q4 FY 23 grew on a year-on-year basis for most of the segments due to the easing of the semiconductor issues and improved economic activity. However, the segment from which we generate around 70% of the revenues, that's 2-wheeler saw a degrowth as exports are impacted by geopolitical issues and domestic demand was impacted due to lower consumption in rural areas.

On a year-on-year basis, 2-wheeler production degrew by 3%, whereas 3-wheeler grew by 7%, passenger vehicles by 13% and commercial vehicles by 6.4% on a year-on-year basis. On a quarter-on-quarter basis also, 2-wheeler degrew by 5.1%, whereas passenger vehicles grew by 11.9% and commercial vehicles by 22.6% due to prebuying before OBD-2 norms came into effect and Q4 is seasonally a stronger quarter for four wheelers.

In terms of operations in 4QFY 23, our revenue from operations

ions grew by 2.6% on a year -on-year basis to INR17,011 million. Our EBITDA margin was at 9.5% and it improved on a year -on-year basis by 340 basis points due to a business mix , recoveries and operating leverage. Sequentially also, the EBITDA margin has gone up by 170 basis points QoQ due to a business mix and recoveries.

The reported PBT for the quarter was INR411 million. We could reach agreements with our customers on various claims , which have been pending for some time and the benefit was recognized in the Q4 results. On anticipation of moderate inflation , as well as early si gn of rural consumption increasing, we will contin ue to build the momentum in FY 24 factoring in seasona lity.

In India, we continue to have a strong ord er wins for new business in FY 23 ac ross business units. During FY 23, li fetime revenue from new order wins is INR51,782 million. Out of this, business wins from 7 prominent EV customers is INR17,968 million. The order book also reflects our efforts to diversify that we see nearly 56% of lifetime order wins from the 4 -wheeler business and 44% from 2 -wheelers and 3 -wheelers.

As stated earlier, our effort to strengthen our R&D capability is showing resul ts as not only -- we have filed 15 patents in FY 23 from the Group, but also commercialized products developed by R&D in this financial year. During the current financial year, our businesses will continue to focus on profi tability improvement, free cash flow generation and debt reduction.

We also got A + stable outlook rating from India Ratings.

Finally, I would like to keep you all updated on the final adjustments to be made to the escrow amount and the sale consideration f or a deal with plastic Omnium . The information was already given by us on 17 May 2023 to the stock exchange. The buyer submitted the final adjustment but failed to provide the necessary supporting details to enable the company to understand these adjustmen ts. Hence, w e have disagreements with the buyer on the proposed adjustments.

Both the parties have now mutually agreed to attend the resolution of the disagreement in accordance with the provisions of the SPA. A qualification was added to this effect and i t is not Varroc Engineering Limited

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possible to ascertain the exact outcome of the negotiations at this stage. We will keep you inform once the negotiations reach conclusion on this matter.

Now I'll ask MK, our group CFO, who will walk you through the presentation, which is already uploaded on our website and submitted to our stock exchanges also. Over to you.

K. Mahendra Kumar: Thank you. Thank you, Tarang. Good evening, everybody. So since our Chairman explain ed the highlights and the industry performance. I will s traightaway go to slide number 3 in the presentation, which is about the consolidated financials. So as our Chairman highlighted, in Q4 of this year, we actually reported a PBT of about INR41 crores and a PAT of about INR 40 crores. EBITDA was 9.5%.

But the important thing here to note here is , on a full year basis, we actually reached about 8.7% of EBITDA or close to INR600 crores of EBITDA in absolute terms on a full year basis. The reported PBT was about INR83 crores. N ow one point I would like to highlight here is , this is after suffering a onetime exchange loss in the first of half of about INR56 crores. So after that, the reported PBT came at about INR83 crores and PAT at about INR39 crores. So that's about the consol idated numbers.

In the next slide, of course, we give the revenue breakdown. No significant change compared to last quarter. So we continue to be predominantly a 2 -wheeler and 3 -wheeler player , with close to 72% coming from that segment and about 25% comi ng from 4 -wheelers. In terms of business unit mix, PBU continues to be the largest one with close to 1/3 of the revenue coming from there. EBU gives about 22%

light ing about 2 1% and MBU about 12 %, aftermarket is close to 9%.

In terms of customer mix, Bajaj, of course is our largest customer with close to 38%, 37.5% revenue coming from Bajaj and the remaining coming from various other customers. In terms of geographical distribution, about 82% comes from India and the rest come s from outside India . So now going to the next slide, which is about the net debt movement. I'd like to highlight that equity now touch ed again back to INR1,000 crores plus. You may recollect that because of impairment, we had to take some kind of beating earlier. So back to INR1,000 crores of equity. Of course, EBITDA annualized is close to INR600 crores, like what I mentioned. The net debt level ended up at around INR1,278 crores. Here again, all of you may recollect that when we actually did the divestme nt on October 6 , the net debt was close to INR1,300 crores. So we brought it down to INR1,278 now. And i n terms of net debt to equity, it actually means we are close to about 1.27x, net debt -to-EBITDA is slightly above 2.13 x. So that's on the debt-related numbers.

Coming to the order wins, of course, our Chairman explained that close to INR5,200 crores of order wins or INR5,178 crores of order win was there in FY '23. And then most of it came from

the 4-wheeler, 56% came from 4-wheelers and about 44% only came from 2-wheelers. And similarly, nearly close to 1/3 of it is electric vehicles. In terms of Bajaj versus non-Bajaj also, I think you can see that 86% of these lifetime revenue is going to come from non-Bajaj customers. So again, going to the next slide, which is what we have been highlighting earlier also that, these focus areas continue to be very important for us. We are focusing on revenue growth. On top of Varroc Engineering Limited
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that, a contribution margin improvement is the next focus area. So these two with the stringent control on fixed costs should actually result in PBT growth. And then on top of this, we are putting robust working capital management and of course, strong control on capex also. This should all convert into a free cash flow generation, healthy free cash regeneration, which will be prudently deployed. Our initial focus will be debt reduction. So that's how we are going to follow in the near future.

So with that I will stop here. I think the next slide is about awards and CSR initiatives, which you can see from the presentation. And the back up details about our company or the overall corporate presentation is also attached in the subsequent slides. So let me stop here. We'll be happy to take your questions. Thank you.

Mod erator : The first question is from the line of Nikhil Rungta from Nippon India Mutual Fund. Please go ahead.

Nikhil Rungta : Sir, two, three questions from my side. First is, if you can give slightly more details on this auditor's opinion and the details which were provided on stock exchange on 17th, like what exactly are the disagreement and because of that, will the consideration come down further or increase or what exactly it is?

K. Mahendra Kumar: Yes. So let me answer this question. As we mentioned in the stock exchange announcement, it's too early to comment on the amount or the direction of the se adjustments . As per the agreement, we left about INR28 million escrow with the buyer. And it is also subject to some final adjustments, which should be done 90 days after the closure date. So those adjustments have been submitted by the buyer, but we find some of them to be not backed up by enough details. So that's the reason we actually refuted those. And then we actually asked for more details. Those details are yet to come to us.

So now we are going to have a discussion in person maybe sometime in June, first week or second week. So , after that only, we'll get some clarity about what's going to be the future state. So that's

the position as of now.

Nikhil Rungta: So basically, this issue is only for the escrow amount. There is no issue on the deal. The deal has been completed, right?

K. Mahendra Kumar: Yes, of course, deal is completed, but the escrow amount -- so indirectly, when the escrow is adjusted, the consideration also may get adjusted. I think that's the meaning. So yes, the deal is not under question. It is the amount, which is what we need to finalize.

Nikhil Rungta: Okay. Got it. So t he amount can be higher or lower which might lead to further , I mean, onetime loss or profit in our numbers, right?

K. Mahendra Kumar: Yes. I mean we never know . We need to conclude these discussions then only we will get to know. But yes, correct. Traditi onally, yes.

Nikhil Rungta: Got it. Sir, second question is what type of capacity utilization are we currently working at? And still, what level can we be? I mean in terms of revenue, we are already at INR6,900 crores, Varroc Engineering Limited
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wherein our margins is 8.7%. So in wh at level can we go in current capacity? And what would be the margin there?

Tarang Jain: Yes. So our capacity utilization presently for whatever we have invested, and all of the investments were actually done also in FY '19. So we are, today, I would say, on an average, not more than 60% or 62% of the total. So there's a real upside which is possible. And as you know, we are largely dependent in the 2-wheeler sector, about 70%, and that has unfortunately not performed very well, including our main customer. For the reason -- that's the reason why we are at about 60%, 62% of our capacity utilization.

So there's a huge scope. So we are actually -- so our main focus to hit the nail on the head, our main focus is capacity utilization. We can go up to 80% to 85% at least of this utilization. So you can no w see the revenue we are at today, you know that you can get a sense of what we can really -- what kind of revenues we can we try all of our existing investments we already have. And -- but in any case, I thin k in the coming year, we are looking at a robust double -digit growth

overall from whatever the revenues we have achieved in FY '23.

Nikhil Rungta: And what type of margins are we looking at, at that time?

Tarang Jain: So see, I mean, like we have said, we are striving for overall double digit, and that's something we will also strive for in the coming year. And that's something we feel is possible. So therefore, that's going to be our objective.

Nikhil Rungta: Got it. Sir, last question from my side. The debt levels, say, by end of FY '24? And what would be the capex for FY '24?

K. Mahendra Kumar: Yes. Mahendra here again. As far as capex is concerned, I think it's a bit close to maybe about INR200 crores at the total level, including overseas. Coming to the debt level, like what I mentioned last time, it's maybe still too early to comment. We expect most of the reductions happen on the H2. But yes, that's our main focus area. We won't be able to give a number or guess a number now. But as you have already seen, we reduced by about INR22 crores. So we'll continue to put in those efforts. We will see the results in H2.

Moderator: We have the next question from the line of Vinay Jain from Karma Capital Advisors Private Limited. Please go ahead.

Vinay Jain: Just had a couple of questions. So firstly, in the opening remarks, we mentioned that there was some benefit of pending claim settlement with various customers during the current quarter. So can you quantify the amount?

K. Mahendra Kumar: Yes, Vinay, this is Mahendra here. So basically, like how we have said in last call, this is an annual exercise, which keeps happening in this particular industry. And when it happens, it happens across several products and across multiple customers on an accumulative basis. So it is very difficult to slice it for each

quarter separately. So that's the reason. I think the best thing would be to see it as an annual number. If you want to look at the margins instead of looking at quarterly numbers to better to see the annual number. I think that will give a better indication.

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Vinay Jain: So this would be part of the overall revenues, right? It can be in that line?

K. Mahendra Kumar: Yes.

Vinay Jain: Understood. And the second question was regarding the China JV. So we had plans of consolidating that JV into our numbers. So any progress we have made on that front?

K. Mahendra Kumar: Yes. See, as of now, we have taken the numbers based on what they declared in the arbitration proceedings. So based on that, we actually took it, but we don't have the audited numbers yet. So that's the reason we did not formally consolidate. Once the arbitration proceedings come to an end or we reach some kind of settlement with them that's when we'll be able to formally consolidate based on audited numbers. But we'll continue to get the information built on these arbitration rulings. So that's how we will do it in the near future.

Vinay Jain: Understood. And lastly, again, so if you see on a full year basis, we would be at a gross margin of around 35.5%. So hopefully, like we should be improving on this number, as you also rightly mentioned in the opening remarks that the focus is on improving the contribution margin. So this number should improve in the coming quarters and years, right?

K. Mahendra Kumar: Yes. I mean we have various cost reduction efforts, which our teams are working on. But yes, traditionally, yes, should improve but we also need to see what kind of inflationary pressures coming in future and how much we'll be able to pass it on. But yes, directionally, what you said is right.

Moderator: The next question is from the line of Vishal from Svan Investments. Please go ahead.

Vishal: Sir, one question regarding you said that utilization levels are around 60% to 62% currently. But I'm seeing in the cash flow statement, there is a capex material plant and machinery of approximately around INR530 crores. So can you throw some light on this number?

K. Mahendra Kumar: Yes, Vishal. So my suggestion would be that we should not go by the cash flow statement because this includes continued operations also. So it has the effect of discontinued operations number also for the year for 6 months. So if you want to get a sense of how much capex we incurred in the continuing operations, I think it could be close to INR200 crores last year.

Vishal: Okay. Okay. Great, sir. And sir, regarding -- there is one more item, cost incurred on intangibles, which was INR200 crores last year, and this year also it is INR68 crores?

K. Mahendra Kumar: Are you referring to the cash flow again?

Vishal: Yes. Yes.

K. Mahendra Kumar: Yes. So like what I said, don't go by the cash flow numbers. That again includes the discontinued numbers also.

Moderator: The next question is from the line of Jyoti Singh from Arihant Capital Markets. Please go ahead.

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Jyoti Singh: Sir, my question is on the net debt side, what's our view going forward? And second is on the growth outlook side. So like this time, we did it around 17% for FY '23 levels. So what's the view going forward?

K. Mahendra Kumar: Yes. So like what our Chairman explained. So definitely, growth is a focus area for us. So we will continue to aim for strong growth going forward. Of course, it also depends upon -- part of it depends upon the industry growth and part of it on content growth. But that is certainly a focus area, but we won't be able to give you a number, if that's what you are expecting.

Jyoti Singh: Okay. And sir, like earlier we had discussed like we were going to diversify from our 2-wheeler to other

segments also. So how these things going on, on that front? And what are the strategies that we are following for that?

K. Mahendra Kumar: There's no specific strategy to diversify, like how we explained based on the order win, if you really look at the new orders, I think most of them are coming in the 4-wheeler segment only. So I think it naturally happens because we are now giving a lot of importance to the 4-wheeler segment also, both in terms of lighting products and other products. So that will eventually happen over a period of time. But immediately, you won't see a big swing in the 2-wheeler versus 4-wheeler percentage because of this.

Jyoti Singh: So sir, like just kind of assumption, if you can give us -- tell what time we will see our company in a better level to reducing the debt and making companies better and profitable?

K. Mahendra Kumar: Yes. See, profitable, of course, I think we have already done. Of course, we need to now continue this. Now, as far as the debt reduction is concerned, like how I mentioned in my previous calls also, we have to be a little bit patient. We are hoping that H2 will then I think we can see some kind of good reduction because we continue -- the existing operations don't need any more debt or any kind of debt support.

So it's on the generation, which comes from operations, which we have been used to repay is there. Of course, we need to see the other areas. For instance, let's say the China settlement comes to some kind of a shape, we may have to invest some amount there. So those kind of nonoperating areas may have some kind of impact on debt levels. But for operations, the focus continues to be debt reduction.

Jyoti Singh: So sir, is there any...

Moderator: May I ask to request you to please rejoin the queue for further questions. The next question is from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: My first question is just to better understand the new order wins of this INR5,200 crores, if you can split us between the completely new order wins and rewins it would be quite helpful.

Bikash Dugar : Aditya, we report only new wins, we don't report a replacement order.

Aditya Jhawar: So this is completely new order pick up?

Bikash Dugar : Yes.

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Aditya Jhawar: Okay. Okay. Fair enough. My second question is on the China JV. So where are we? I mean what is the status with regard to separation of the JV partner? If you can throw some light on the revenue growth margin expansion that we have seen. So this quarter, clearly, the performance of China JV was quite encouraging. Was there any one-off in this quarter? Will you throw some light on that?

K Mahendra Kumar : Sorry, you're talking about the sale China JV...

Aditya Jhawar: Yes. Yes.

K. Mahendra Kumar: China JV, see the arbitration proceedings are in progress. So I think they may go on for maybe another 1 year or so, 1 to 2 years. But then having said that, the arbitrator is also encouraging the respective parties to sit and discuss and then come to some kind of a settlement. So those things may happen in the coming quarters. So that's on the status. Sorry, what was your second question?

Aditya Jhawar: Business in China.

K. Mahendra Kumar: I think that's doing pretty well. I think last year, as you all know, had a COVID impact for 2 to 3 months. But now I think the business is back in full action.

Tarang Jain: So Aditya, in China, being the largest car market and the penetration of EVs being the highest in the world. I would say, as a JV, both the factories have been performing fairly well. And we do see a good level of growth also in the coming year. So definitely, we do expect the performance from the JV to do well. So what you see actually in this quarter is something which should continue. So we're hoping for actually good results also in F Y '24

rom our China JV.

But of course, our effort is that like we said earlier, that the arbitration proceedings are on probably it could continue for probably up to maybe 9 months or so. So our objective is that maybe reach an out-of-court settlement with our partner sooner than later, that's also something which has come out of the arbitration proceedings that we tried to kind of settle amongst ourselves sooner than later.

So that's where the effort is now that we try to culminate or other split at an earlier date so that we can then focus ourselves of future growth in China, which we expect to be a good market for Varroc.

Aditya Jhawar: Okay. That's quite helpful, Tarang. Clearly, there is no one-off in the quarter, right, because it's almost about 20% of our PAT, the China JV number?

Tarang Jain: No, it is not a one-off. This is something which will continue.

Aditya Jhawar: Okay. That's very good to hear. The next question is, if you can highlight any breakthrough into OEM for our EV component in this quarter?

Tarang Jain: So maybe Arjun, do you want to take this?

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Arjun Jain: So let me say before, and we continue to be based with actually five now different OEMs locally and abroad with respect to the portfolio, there is something to report for obviously, we will report it.

Tarang Jain: So we are very hopeful, Aditya. I think every so engaged, we have very strong, highly efficient products, which we have developed. And we're engaged with some of the prominent 2-wheeler OEMs in this regard. And we are hoping for some results in this financial year.

Aditya Jhawar: Okay. Perfect. My final question is to Mahendra. So if you can highlight what should be the tax rate assumption in FY '24?

K. Mahendra Kumar: Final tax rate assumption?

Aditya Jhawar: Yes.

K. Mahendra Kumar: FY '24, basically, if you really look at the applicable tax rates, V EL at 35% plus of course surcharge and all. And VPL, which is a subsidiary, is at 25% plus surcharge.

Aditya Jhawar: So on a blended basis, how much should we consider, sir?

K. Mahendra Kumar: See, if you are looking at the exact impact on P&L, it is difficult to predict because it also depends upon the movement in deferred tax. It's difficult to actually put a number to it in terms of what could be the effective tax rate. But if you really look at the normal applicable tax rate, and then you can broadly make it out and VPL is roughly about one third of our business. So then we can compute this on that.

Operator: We have the next question from the line of Aashin from Equirus Securities. Please go ahead.

Aashin: My first question is on the other income number. So that seems to be high this quarter. So is there any one-off? And what sort of other income we should take going forward?

K. Mahendra Kumar: Yes. Mahendra here. So there are basically two major components in it. One is the government incentive, which we get from state government for our operations. So that we recognized the over the period based on the volumes of the respective business. So that's one reason. Second reason, of course, every year-end, we also do some clean-up in provisions and liabilities there's anything which is outstanding for too long a period, we generally reverse it. But these are the main things.

Aashin: Okay. Okay. And my next question is on the lighting business. So this quarter, the lighting business, there was a sequential drop in the lighting business this quarter. Could you give us a sense on how the global 2-wheeler lighting business is doing? And how is the Indian lighting business doing? And what sort of growth do we see in both of them going forward?

Tarang Jain: I think our lighting business, when it comes to India, we are both in the 2-wheeler lighting and the 4-wheeler lighting business. And we have seen actually a good growth, I would s

ay, when it

comes to our both lighting business in India. Both 2-wheeler, 4-wheeler. We have 1 on the 2-wheeler side, we continue to win the various programs India and abroad from various customers.

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And the 4-wheeler also even recently, we have won some very prominent business for the EV vehicles on the 4-wheeler lighting side.

When it comes to abroad our lighting business is mainly 2-wheeler lighting as we have exited from the 4-wheeler lighting business. So there, we have our plants in Italy and Vietnam and also in Romania. There we are seeing actually a good performance. And also, yes, the growth has been a little bit subdued in the last 1, 2 quarters abroad. But that's something now we see when

we will see a growth in this coming year moving forward.

So overall, I would say India as well as our businesses abroad in Europe in Vietnam, we expect to see actually a good level of traction in our overall lighting business, because we do possess a very robust and a good level of technology in both these sectors.

Aashin: And sir, a third question is on the order book side. So this quarter, we have seen very good addition of orders on the 4-wheeler side. And if we compare the whole year as well, the 4-wheeler orders have been very strong. So what's -- I mean, what sort of ramp-up do you see -- do we see on the 4-wheeler side? And where are these orders coming from this segment?

Arjun Jain: So our passenger car offerings are across lighting and polymers and I think a big reason why we've been able to win incremental business is because we've been early to launch a fair amount of technology over the last 18 months. General development time for a passenger car vehicle doing 24 to 30 months, now in 20 to 30 months. So I would put a specific on sort of quarter on it, but there is the time line in which we would expect the ramp-up of these programs is taking place.

Aashin: Okay. Okay. And my last question is EV revenue, which reported INR100 crores. So could you give us a split on what would be our conventional product and what would be a new product? And what sort of growth do we see in this number going ahead?

Bikash Dugar: It's a 80% & 20%, 80% is our new products and 20% is our conventional products.

Moderator: Thank you. The next question is from the line of Bharat Sheth from Quest Investment Advisors. Please go ahead.

Bharat Sheth: So our Chairman made a remark that this year, we expect to grow around double digit. So when our 70% of business is coming from a two-wheeler, which is expected to do single-digit as well as around 20% of business is from global. So if you can give a little more color to what will drive our growth in double digits?

Arjun Jain: I think, it's the same trends that have driven our growth in this year also, right, because the product portfolio and the strategy that we pursued over the last few years has been to drive content growth. And the primary content growth that is taking place in the two-wheeler and also, I would say, in a passenger car is with respect to electronics.

And this is where whether or an IC engine, whether on an EV, we enjoy extremely strong position. The further topic also is even when we look at the segments, we still see the premium segment in two-wheelers doing well, which is again where we have a significant amount of Varroc Engineering Limited

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content. So in our expectation, even as we look at the year going forward, these the new technologies, the new programs, we continue to grow in size.

Bharat Sheth: Is it fair understanding that these are more profitable than our traditional business so which can help us, I mean, apart from operating leverage to achieve a double-digit kind of EBITDA margin?

Arjun Jain: So I would not comment maybe on profitability of specific products and pr

ograms. But in

general, right, as you said, greater the operating leverage, the better position, the better the position it puts us in.

Moderator: Thank you. We have the next question from the line of Prateek from Nippon Asset Management. Please go ahead.

Prateek: Just still fair to say that Q 4, when I look at your performance, it's very similar to how the automotive markets have behaved. This is primarily because of a largest customer expect that there would have been growth Q-o-Q? So what I'm trying to get to is, basically, I can't see the benefit of content flowing through despite having a very poor and despite the automotive markets is on doing well, is this only because of Bajaj?

Tarang Jain: No, I would say that the content growth actually has, in a way, helped us reach a certain level of revenue, otherwise, like you know the Bajaj volumes were quite low. They were quite negative actually for the whole year, including in Q4, but it was the content growth, what earlier was mentioned that because of electronics is the reason why we've been able to reach a certain level of revenue and on a very low capacity utilization. So therefore, I think that this content growth is really helping us in driving at least a certain minimum level of performance in the market.

Prateek Poddar: Got it. The second question is more on your direction or strategic initiatives of increasing contribution margins reducing fixed cost. Could you just talk a bit about how much of that or has any of the strategic initiatives play in this quarter? Because the gross margins have improved.

I understand there are some one-offs over there. But even if you see sequential EBITDA margins have expanded. So I'm just trying to get to whether it is mostly attributable to the one-offs, or there has been some improvement in terms of controlling fixed cost/improving country margins?

K. Mahendra Kumar: Yes. The efforts related to our cost reduction including the fixed cost control, I think just beginning -- they have just started. So we'll see most of the benefit may be in the current year.

But I won't be able to put a number to it, but yes, definitely that we should see some improvement

this year.

Prateek Poddar: Got it. And Mahendra just by your guidance of repaying debt in H2, it looks like most of these benefits will start showing in H2, the improvement in margins, which will help to reduce debt?

K. Mahendra Kumar: Correct. So on top of that, I mean, we are not just relying on profitable improvement alone for debt reduction. In fact, there is enough to be done in working capital side also, so that continues to be our effort. And second thing is if you really see our capex versus depreciation, so we don't need to really invest INR330 crores, INR340 crores, which is our depreciation number. So to the extent, there will be -- that will reflect in the FCF generation also, which should help us the debt reduction.

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Prateek Poddar: Last question, what's your effective cost of interest cost, effective interest cost and where can you get this down to with improved mainlined cash flows?

K. Mahendra Kumar: If I really look at the recent deals, which we are getting, I mean they are anyway between like, 8% to 9.25%, that's the range. So obviously, we are trying to keep it at the minimum as far as possible. I think, we are getting some good positive reaction and maybe this kind of improved profitability will strengthen our case further.

Prateek Poddar: Would it be possible for you to call out fixed cost initiatives or fixed cost reduction initiatives/improvement in contribution margins, is it possible?

K. Mahendra Kumar: No, we don't want to give any guidance ledger. And again, let's wait for a couple of quarters to see them materialize and then talk about them.

Moderator: Thank you. The next question is from the line of Pradyumn

a Choudhary from JM Financial.

Please go ahead.

Pradyumna Choudhary: So my first question when you speak about new order wins, when you give a number, how does the calculation takes like what kind of growth do we assume for the product or the model that we're supplying? Just wanted to get some clarity on that.

Arjun Jain: Generally, any order wins is reported based -- as reported based on what is the customer expectation of the volume that they will achieve on that particular model. Of course, we will temper it with again, there is no, let's say, a precise science to be will temper it with what is the reality that we see in the market today also. Generally, we've end of that. I think that is something I can give you.

Pradyumna Choudhary: Understood. And secondly, regarding the EV products like traction motors and DC/DC converters and all these. So we see quite a few companies talking about manufacturing. So how are we really differentiating ourselves, especially, when it comes to pitching ourselves to customers outside our anchor customer?

Arjun Jain: As I said there's two major points of differentiation. I think the first one, and I think I cannot state enough in terms of how much of an advantage it is we actually engage with customers is that we are already completely localized when it comes to manufacturing. So it's when we have enough product in the field. We have been manufacturing now for more than 12 months. So that is definitely a significant advantage for us.

And the second major advantage on the product label is around efficiency, I think the most expensive component in the EV is the battery and all of our products are geared towards ensuring very good to maximize range based on any particular battery size.

Bikash Dugar: And thirdly, the R&D setup, which we had which helps us to develop and commercialize the product very quickly.

Arjun Jain: Yes, of course. I should mention that also. I think when I say localization, one is, of course, manufacturing localization, but also, let's say, the engineering and development capability,

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localization is these comprehensive. I think, we have said it before also, but EV products today are not necessarily mature technologies. But I think the validation and testing setups that we have allow us to move through generation of maturity very, very quickly. And again, we were engaged with the multiple customer engaged something that they really like.

Moderator: Thank you. The next question is from the line of Arjun Khanna from Kotak Mutual Fund. Please go ahead.

Arjun Khanna: My first question is just a follow-up to a question by an earlier participant. You talked of a cash release from working capital. When I look at your balance sheet or inventory plus receivable equal to payable. So in a sense, you're running an extremely tight ship, probably best-in-class compared to even most of our peers. So just curious, how do you intend to release cash from

even this position?

K. Mahendra Kumar: Yes. So there are two, three things we are trying to do. One is, of course, inventory, there is still enough scope for the reduction. Actually, we started this about six months back. I think we achieved some success last year already. But still, there is more to be taken there. And second thing is if you really look at our payment terms also, I think still there is some scope for improvement in that area again. Plus there is something in various other categories, like we have other current assets where certain deposits are locked up. There are certain GST input credits need to be fully utilized. So there's a big shopping list, which we are working on. So it doesn't come from one single area but across multiple areas were being implicated.

Arjun Khanna: Sir, my second question is in terms of capex, while we brought out roughly INR200 crores of capex, how

much would be spent to India and how much outside India? Do we have a breakup there?

K. Mahendra Kumar: Most of it is in India is almost 80% to 85% in India only the remaining 15% may be abroad.

Arjun Khanna: Sure. So our Romanian unit would be fully built up in terms of SMT lines and new lines you are looking at scaling up on?

Arjun Jain: So I think the way to think about scaling in SMT plant is there is definitely space to scale further.

And for the business that we have, across our different SMT plants, we have enough capacity.

Of course, if you have significant order win etcetera, that would lead to cost for the capex also.

Arjun Khanna: Sure. Sir, my final question is probably I haven't understood it as well. In terms of China, you mentioned in arbitration, and we have used those numbers. So aren't we in control of the plants?

Why would we have to use numbers from arbitration on people be on the ground?

K. Mahendra Kumar: Yes. So it isn't like this. So what deals under our control is one plant, but that is the step-down subsidiary. So for consolidation, we need a holding company level. So we are a 50% partner in a joint venture. And this particular plant, which is under our control is a subsidiary of that particular JV. Unless we get a JV consolidated number, we won't be able to consolidate here.

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Arjun Khanna: Sure. Perfect. Understood. And the second part, this is in terms of the auditor qualification, just to reiterate, it's only the escrow amount that under consideration, or it is even the EV value that could be under consideration or reconsideration?

K. Mahendra Kumar: See, as per the agreement, the EV consideration is also a subject matter of discussion. But having said that, we have a significant amount of escrow there of 28 million. So which way it goes, we need to wait and see, we need to wait for the negotiations to come through and then see which direction in progress and what kind of impact it will have.

Arjun Khanna: So theoretically, it could be lesser than 28 million or even more than 28 million, is that the right understanding?

K. Mahendra Kumar: And politically speaking, we shouldn't be talking about that because it comes in the public domain and the other party also may be seeing it.

Moderator: Thank you. The next question is from the line of Abhishek from Dolat Capital. Please go ahead.

Abhishek: Yes. So what would be the key revenue drivers for the polymer business? If you can throw some more light on new business wins and new product addition in this particular segment? And how do you see RM trend and margin outlook in this segment?

Arjun Jain: The key drivers for the business again, right? I think over the last two years, we have been able to -- we have productionized multiple processes for the first time in India. So whether it is 2K moulding with technology, topics like roof rails. These are really first time products, these are really first time products. So that within that within these processes and the product line that this process is build where we expect to see the growth is where we will see the growth.

And then first -- and then there is also the ability to drive further value-add also for example, whether it is painting, whether it is the integration of other filtering other featurization, door panel, which customers are increasingly looking for because there is clearly an increase in the standard of the cabin that OEMs are looking to achieve. So directionally, I would say, this is where the growth for polymer is. This is where the growth of the polymer business is coming.

Abhishek: How do you see RM trend margin outlook in this business? Because earlier the raw materials prices are quite high and that was impacting the margin, but now it is going down. So how do we see benefit of it?

Arjun Jain: So we don't comment specifically on pro

duct-specific margins.

Abhishek: Okay. And sir, in metallic business, which is a high-margin business for you. There are highly stronger EVs for accelerations. So what is your plan to de-risk it? Have you added new products on this particular segment?

Arjun Jain: Yes. So I think when we talk about EV penetration versus the capacity that we have versus the

overall split of the business, I think, we feel we are quite comfortable where we are at right now. Even within the metallic business, it's not like the entire metallic business is at risk, and EV also
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we need to quite likely going forward to transmission assemblies. So there is enough -- we are quite comfortable with the amount of capacity reusability that we have.

We also already build, we already supply certain metallic products into EV as part of the for example, for the motor, the shaft we made in-house. So from that perspective, we don't see a major threat to the capacity at least in late over the next two to three years as a result of EV.

Abhishek: So supplying this motor, motor control to the Bajaj Chetak. So you have also started to supply this to other 2-wheeler brands?

Arjun Jain: No. As of now, we are focused on Bajaj and Bajaj only.

Abhishek: Okay. And sir, my last question on this performance of the VLS remaining business, this comprises who we are lighting to 2-wheeler manual electronics. You have mentioned around 18.3% revenue from the global business. Is it the VLS remaining business revenue?

Tarang Jain: We could not hear you very clearly, sorry. Can you please repeat it?

Abhishek: So you have mentioned 18.3% revenue from the global business. Is it the VLS remaining business revenue?

Bikash Dugar: That is VLS remaining business and also the export which we do from India.

Abhishek: And how much classification in terms of the export from India and VLS remaining business of 18.3%?

Bikash Dugar: Again, business point, we don't want to talk about that. This is what we have been reporting and this is it. But export overall is not significant.

K Mahendra Kumar: Yes. It's predominantly all the business outside, export not so significant at this stage. There is scope for improvement there.

Moderator: The next question is from the line of C A Kanwaljit Singh from Balaji Investment. Please go ahead.

C A Kanwaljit Singh: My question is so what are the new avenues that the company is on looking forward in the next 3 years? And at what will be the capex for next year?

Arjun Jain: I think the capex question, CFO already answered, we would expect it to be around INR200 crores. I don't think there is necessarily as many new avenues we need to pursue. I think we will continue to pursue the existing avenues that are driving growth for us, which would primarily be around passenger car and the businesses that we win in polymer and lighting as a result of the first mover advantage we have on certain technologies over there.

And secondly, as a result of premiumization and content growth within 2-wheelers, whether that the EV components or higher and electronic components or higher in electronic components on premium 2-wheeler.

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Moderator: Sir, the current participant in the queue seems to have dropped from the queue. We will proceed to the next question, which will be from the line of Vishal from Svan Investments. Please go ahead.

Sachin: This is Sachin here. Congrats on financial improvement over the EBITDA margin. My question was even if the segmental numbers. In the other segment, we had resumed primarily first of the Italian operation, there's a good improvement quarter-on-quarter. So if you could tell us a bit more is there some one-off in days or is there some structural change in the business has become applicable.

Management: Yes.

Sorry, that was not very clear, but I guess you're asking about the overall margin improvement, right?

Sachin: Sir, my question was, when we look at the segmental numbers, the other segment, which I think primarily refers to your Italian operation, there also, we have seen a sequential improvement in profitability. So are there some one-offs in that or if we have no structural changes has been competitively that has improved?

Management: Yes, there is no one-off, but I think over the last 1 year or so, Italian operation has been doing well.

Sachin: And what is the long-term strategy in terms of the Italian operations as we continue to run them the way they are with focus or not, just improving the profitability or at some point of time, we will look also in terms of the strategy Italian operation?

Tarang Jain: So every operation, you are talking, I think, about the lighting business. Yes. So see, presently,

frankly, we're not thinking too much ahead. So we are just thinking that how we improved the operations, and we have, as you know, significantly improved the profitability in this pausing business of ours.

We still have some certain capacities which are underutilized. So our basic focus now is that how can we get in more revenue in this plant at the moment and at the same time, drive also further operational improvements, which are possible.

So the focus will be revenue growth as well as profitability improvement coming through driving further operational efficiencies. So this is our focus at the moment. We are not looking at something more at the moment.

Sachin: Sure. Second question on the contribution from electric vehicles. You have mentioned in the presentation that we close around 1.5% approximately INR100 crores. Considering the strong growth in the EV segment, can you give us some sense and the ordering that we have, what type of growth we could see for overall EV business come in here, maybe over a 2, 3-year period?

Tarang Jain: This revenue was largely coming, I think, from 1 major customer presently. And talking about - lastly, we were talking about the EV powertrain because we've already said that if you were to talk about other products, whether it's polymer or lighting and everything, then obviously, we

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have won a lot of business last year, more than 1,700 of lifetime revenue orders from the EV space.

But talking about the EV powertrain, we expect a good level of growth in this EV powertrain from 1 customer we have today. And we're already seeing a growing momentum coming in from this 1 customer on their model. And we are hoping that the growth will be quite significant in this financial year.

Sachin: Sure. So my next question on working capital, as mentioned by the CFO, that there are lot of this inventory. So if you could give us some sense that are we looking at some good number? Or is it just being some efficiency in the overall working capital or the raise of working capital could be taken as there could be perceptible improvement in the net debt because of the release of working capital?

Management: No, it won't be a very significant number because part of it was taken in '23 already, but still there is some more left. So I would not be able to put a number to it. But there is there's enough scope for improvement. It may not be -- we're expecting it to be a 3 digit number. It may not be.

Sachin: Sure. I just last question to one of the previous query in you mentioned that the ratio of 2-wheeler and not change significantly. But when you look at your order book, this year. Then when we see the share of passenger vehicle and commercial vehicle is almost like 50%. So I'm a little confused as to the order being set so strong from the non 2-wheeler segment while ratio in terms of where revenue should not change a little bit more in favor of PV and CV

or other 4-wheelers.

K. Mahendra Kumar: No, what I meant to say was, it will change over a period of time it won't change immediately. The same trend continues for, let's say, a few years, then it will change significantly, but not immediate.

Moderator: Ladies and gentlemen, that will be our last question for today. I now hand the conference over to the management for closing comments. Over to you, sir.

Tarang Jain: So thank you. Thank you, and thanks to everyone, again, for joining and listening and asking your relevant questions. We, at Varroc continue our journey towards generating strong financial performance and creating value for our stakeholders. Thank you.

Moderator: Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Sep 2023

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VARROC/SE/INT/2023-24/54 August 12, 2023

To,
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The Listing Department,
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G Block, Bandra-Kurla Complex,
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NSE Symbol: VARROC The Manager – Listing
The Corporate Relation
Department,
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Mumbai-400001.
BSE Security Code: 541578
[Debt: 973455]

Sub: Transcript of Investor / Conference Call pertaining to Unaudited
Financial Results for the quarter ended on June 30, 2023

Dear Sir/Madam,
Please find Transcript of Investors / Conference Call held on Wednesday, August 9,
2023, in respect of the Unaudited Financial results for the quarter ended on
June 30, 2023.

This is for your information and records.

For Varroc Engineering Limited
Ajay Sharma
Group General Counsel and Company Secretary
Membership No. A-9127
Encl: a/ a

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"Varroc Engineering Q1 Earnings Conference Call"

August 9, 2023

MANAGEMENT : MR. TARANG JAIN -- CHAIRMAN AND MANAGING
DIRECTOR , VARROC ENGINEERING LIMITED
MR. ARJUN JAIN -- WHOLE -TIME DIRECTOR , VARROC
ENGINEERING LIMITED
MR. MAHENDRA KUMAR -- GLOBAL CHIEF FINANCIAL
OFFICER , VARROC ENGINEERING LIMITED
MR. BIKASH DUGAR -- HEAD, INVESTOR RELATIONS ,
VARROC ENGINEERING LIMITED

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Moderator : Ladies and gentlemen , good day, and welcome to the Varroc Engineering Limited Q1 FY '24 Earnings Conference Call hosted by Investec Capital Services. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aditya Jhawar. Thank you, and over to you, sir.

Aditya Jhawar : Thank you. Good afternoon to you all. From Varroc, we have with us Mr. Tarang Jain, Chairman and Managing Director; Mr. Arjun Jain, Whole -time Director; Mr. Mahendra Kumar, Global CFO; and Mr. Bikash Dugar, Head, Investor Relations.

We'll start the call with a brief opening remark from the management followed by a Q&A session. I would now like to hand over the call to Bikash to take it forward. Over to you, Bikash.

Bikash Dugar : Thank you, Aditya. Thank you, Investec, for hosting the call.

Before we ask the Chairman for his "Opening Remarks ", just a small disclaimer that today's discussion may include statements which may constitute forward -looking statements. All statements that address expectations or projections about the future, including but not limited to, statements about the strategy for growth, business development, market position, expenditure and financial results are forward -looking statements.

Forward -looking statements are based on certain assumptions and expectation of future event and involve known and unknown risks, uncertainties and other factors. So , the actual result or performance or achievement may differ materially from those projected in any such forward -looking statements. So , no obligation is assumed by the company for the forward -looking statement made during the call.

So, over to you, sir.

Tarang Jain : Thanks, Bikash. Thanks, Aditya. And good evening to everyone and thank you to Investec for hosting the call. To start with, speaking about the global economy, it has been more resilient despite monetary tightening by most of the central banks as core inflation remains above the targeted levels. Despite turmoil in the financial markets, we still see a strong labor market and consumption in the developed economies.

The Indian economy, on the other hand, has sustained its growth momentum in FY '24 so far. Core inflation has started to moderate, which is helping RBI not to increase the interest rate

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further, thus supporting the economy. The automobile production in India during Q1 FY '24 grew on a year -on-year basis for most of the segments as momentum in economic activity is sustaining.

Two-wheeler has grown by 1.3%, passenger vehicles by 7%, 3 -wheeler registered a strong growth of 24.3% and commercial vehicles showed a negative growth of 1.5% as we witnessed some pull ahead in buying activity in Q4 FY '23 due to the OBD 2 norms.

Generally, Q1 is sluggish and Q4 is the strongest quarter for automotive sales in any financial year, and the same has been witnessed in Q1. On a quarter -on-quarter basis, commercial vehicle has fallen by 12.7%, passenger vehicles by 6.4% and 3 -wheelers saw a decline of 2.3%. Only 2 -wheeler saw a growth of 12.1% on a Q -on-Q basis as demand was sluggish for 2 -wheelers, both in domestic as well as the export markets in the previous period.

In terms of our operations in Q1 FY '24, we continued our journey of improving the performance. Our revenue from operations grew by 10% on a year -on-year basis to Rs. 17,924 million. Our EBITDA margin was at 10% in the quarter, and it improved on a year -on-year basis by 180 basis points due to improvement in Indian and the overseas

operations and certain incentives from government. Sequentially also, the EBITDA margin has gone up by 50 basis points. The reported PBT for the quarter was Rs. 652 million, which includes profits from our joint venture of Rs. 61.3 million.

The ongoing monsoon and festive season will be key to watch out for the Automobile sector to continue its momentum. The reduction in FAME 2 subsidy from 1st June 2023 for EV vehicles impacted EV volumes sharply, but we are cautiously optimistic about the recovery in volumes in the coming months.

Our revenue from supplying to EV players in Q1 FY '24 was approximately Rs. 651 million, which is 4% of our overall revenue. We continue to build strong order wins in our operations in Q1 FY '24. Lifetime revenue from new order wins is Rs. 9,552 million in Q1 FY '24. Our effort to increase our technical capability was further enhanced in Q1 FY '24 as we filed 4 patents in India and 1 overseas.

We also have got approval from the Board to invest for procuring renewable energy of more than 37 megawatts received through Open Access under captive route. This will not only help increase our consumption from renewable sources but result in reducing the power costs from the next year.

Finally, we reached a settlement on the final closing adjustments with Plastic Omnium for the 4-wheeler lighting businesses, which we sold during October 2022. Based on that company has Varroc Engineering Limited
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received EUR 13 million from the escrow amount. After meeting the cost of sales to the extent of EUR 5 million, we will be using the balance amount to reduce our net debt levels.

Our focus will remain to strengthen our competitiveness in India and globally by developing world-class products and services. We will enhance and leverage our global footprint as we are a global company with strong roots in India. During the current financial year, our businesses will continue to deliver growth and returns while maintaining strong fiscal discipline.

With this, now I'll ask MK – our Group CFO, who will walk you through the presentation, which is already uploaded on our website and submitted to the stock exchanges also.

Mr. Mahendra Kumar : Thank you, Tarang. Good evening, everyone. Let me just take you to the highlights slide, which is Slide #4 in the Presentation. As our CMD mentioned, the industry growth was some kind of dull during Q1. So, despite that, I mean, the 2-wheeler grew only by 1% and then the passenger vehicle by 7%. Compared to that, we grew about 10.4% with a revenue of Rs. 1,806 crores approximately.

The EBITDA margin was at 10%, up by 1.8% compared to last year and about 50 basis points more compared to Q4 on a sequential basis. Our lifetime business won was about Rs. 9.6 billion, and then the revenue from EV customers contributed about 4% of our total revenue. Our net debt reduced by about Rs. 50 crores. We are now at about Rs. 1,228 crores. As you may recollect, when the divestment happened, we were at about Rs. 1,300 crores. So, from that time, we've reduced it by about Rs. 72 crores so far. Of course, this is without considering the inflow from the divestment settlement transaction, which happened in Q2. So, this is as of Q1 end.

On the last one, last highlight of the quarter is about the settlement, the divestment process. As we indicated earlier in our declaration to the stock exchanges, there was some kind of a dispute earlier, which we could amicably settle. So, that brought in about close to EUR 13 million of inflow into the Company. Of course, we have some expenses to be met. So, net of that, I think close to \$6 million to \$7 million is what we are expecting to see in India, which can reduce our net debt further.

So, going to the next slide, this is about the overall industry trend. Like what I mentioned earlier, the 2-wheeler grew quarter-on-quarter by about 12% and 3-wheeler

and other segments actually

had a degrowth compared to the previous quarter, which is Q4. But on a year-over-year basis, we really see 2-wheeler grew by about 1.3%. Three-wheeler and passenger vehicles also registered good growth. Commercial vehicles had a negative growth.

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So, going forward, the monsoon and festival demand will actually decide the momentum in Q2 and Q3, but we are expecting that that should actually continue the current momentum, but we need to keep a watch on that.

And then coming to the financials on the next slide. Of course, we talked about the revenue growth of 10.4%. In terms of the other financials, we really see EBITDA percentage terms came to 10%, just close to about Rs. 180 crores, which is the adjusted EBITDA.

Another important point this time is the PBT of 3.6%. And you might have also noticed a reduction in interest cost for the first time after many quarters. So, that's an interesting point to be noted. Of course, we are expecting that it will come down further in the coming quarters as we continue to repay the debt through cash generation from operations.

Then in the next slide, we have the business breakdown like how we had showed earlier. We see a marginal uptick in the Bajaj share of the business to about 42%. Earlier, it used to be below 40% because of the increased supplies to the electric vehicles. Then on the new lifetime order win, it is about Rs. 955 crores of lifetime win, which we did in Q1 in terms of new orders.

And predominantly, if you really see, more than 70% of that is in 2-wheeler space this time. In terms of other way of looking at it, there's about close to 60% comes from non-Bajaj customers and about 40% comes from Bajaj, and EV-related orders constitute about 11% of the total.

So, let me stop with this, and then we are happy to take any questions. Thank you.

Moderator : Thank you. Ladies and gentlemen, we will now begin with the question-and-answer session.

First question is from the line of Aashin from Equirus Securities. Please go ahead.

Aashin : So, sir, my first question is regarding the lighting business. So, the lighting industry is seeing good tailwinds and it could shift towards LED. So, could you please help us understand how much of the lighting industry is from India and how much from Europe? And what sort of a growth do we see in this business considering that the industry is growing pretty strongly over there? That's my first question.

Arjun Jain : Hi, this is Arjun. So, I think in terms of product wise or segmental revenues for specific geographies of revenue. However, in general, right, I think as in India, in particular, industry moving towards LED. And that generally implies significant content growth per vehicle and that is very much a story that we are a part of, we've been a part of it from 2016, and we continue to be a part of it even today, whether in 2-wheeler or whether in passenger car.

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Aashin : Sure, sir, and my second question is regarding this, so EV now contributes approximately 4% of our revenue. So, this bump up is majorly because of pre-buying in EVs and what sort of a revenue from EVs do we expect going ahead?

Tarang Jain : So, here, like, we said in the last quarter also that we are expecting revenues to be Rs. 1,000 crores in FY '25, and we do see the momentum going up. Going forward, we know that this FAME 2 subsidies have gone down in June announced by the government. But I think a lot of the OEMs are actually innovating. The lithium prices have also gone down. So, we do feel that the volumes will return. And we are also winning further businesses, whether it's on the EV powertrain or otherwise or the EV programs, whether it's 2-wheeler, 4-wheeler. So, we are quite confident that we'll achieve a Rs. 1,000 crore revenue out of our

EV business in FY '25.

Moderator : The next question is from the line of Abhishek from Dolat Capital. Please go ahead.

Abhishek Jain : So, in the 4-wheeler business, we have seen a very fast growth quarter-on-quarter. Is it because of the revenue growth in the lighting business?

Tarang Jain : Can you repeat it? You're saying on the four-wheeler side, we've seen a growth in our business?

Abhishek Jain : Yes, sir. In quarter-on-quarter, we have seen a very impressive growth. Is it because of the revenue growth in the lighting business?

Bikash Dugar : Year-on-year or Q4 over Q1, you are saying?

Abhishek Jain : Q4 over Q1.

Bikash Dugar : Q4 over Q1 is mainly because of our BD2 operations overseas. So, January, February, March is a little dull, and then it picks up. And, so our Romania business has done better as compared to the previous quarter.

Abhishek Jain : Hello?

Bikash Dugar : Yes. So, it's mainly the Romania business in our overseas operation, which is mainly supplying to 4-wheeler, that has grown.

Abhishek Jain : In the lighting business, how much contribution from the domestic versus export now, domestic versus overseas?

Bikash Dugar : That's what Mr. Arjun said that further split on the domestic and overseas, we would not like to comment at this moment of time.

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Abhishek Jain : So, you have most of the business from 2-wheelers in the domestic side or you are winning the new business in the 4-wheeler as well?

Arjun Jain : So, over the course of the last financial year, I think we won businesses in both 2-wheeler and 4-wheeler. And I would say the split in revenue between 2-wheeler and 4-wheeler lighting is pretty even.

Abhishek Jain : And in the polymer business, you are showing a degrowth. How do you see business ahead?

Mr. Mahendra Kumar : Yes, in Q4, we had some tooling revenue and all, so that did not happen, or it came down actually in Q1. So, that's the reason.

Abhishek Jain : So, is it because of the fall in the net ASP, fall in this commodity prices?

Tarang Jain : Yes, that also will have some impact. The fall in commodity prices will have some impact also.

Bikash Dugar : And also, if you look at 4-wheeler sales from Q4 to Q1 has fallen by minus 6%. So, that has also resulted in polymer business not to grow in line with the other segment.

Abhishek Jain : Okay. And sir, in electronics business, your growth is quite impressive, around 21% Y-on-Y. So, just wanted to understand that what are the key triggers behind that, and how much the contribution from the instrument cluster had from this business?

Arjun Jain : Yes. So, in general, our electrical-electronics business, as we've talked about before, right, I think we have been very focused in 2-wheeler in terms of driving a content growth strategy. So, when I say content growth, really, the product lines that have grown significantly for us would be things like for IC engine, things like fuel injection, also more LED headlamps that had done

very well for us.

Further, from an EV perspective also, I think we see significant growth in revenue versus the past period. So, I would say content growth in existing vehicles and a lot of the launches, not on the new product launches that we've had last year, starting to see some level of incremental sales and also EV volumes growing for us since. Cluster, I would say, of course, as part of content growth, Cluster have also seen some level, but really the more significant for us would be fuel injection and EV components.

Abhishek Jain : And in electronics business, basically, you are targeting around Rs. 1,000 crore kind of the revenue from EVs from FY '25. So, what would be the contribution from this motor and controller segment out of the Rs. 1,000 crore?

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Arjun Jain : So, motor and motor control

lles, I would say, are really primary products for us. But again, I think more than a number is that we've already talked about. I don't think we're not providing any further breakup. It's a majority.

Abhishek Jain : And then my last question is on the metallic business. In metallic business, what is your revenue target for FY '24 given the pricing of metal is going down? And what is the current margin in this business?

Mr. Mahendra Kumar : No, we don't give those guidances by business. But yes, in every business, we are aiming for growth only. At the total company level, of course, we continue to aim for double-digit growth, but we don't give guidance for each segment separately.

Abhishek Jain : So, what would be the triggers for this double-digit growth, sir, in terms of the capacity addition or the product additions?

Mr. Mahendra Kumar : Yes. Basically, about the content growth, like how we explained earlier, both in terms of electric vehicles and also in terms of the ICE products also.

Tarang Jain : We have said that we are going to grow 8% to 10% more than the industry growth, and that's what we are trying to achieve as we move forward and largely because of the content growth strategy, which comes a lot out of the electronics side.

Moderator : The next question is from the line of Aditya Jhawar. Please go ahead.

Aditya Jhawar : My first question is that, recently, we have seen product launches by Bajaj, specifically Triumph and Hero's Harley. So, if you could give us some sense, are we present in these vehicles and what kind of content per vehicle EV are there in these two models?

Arjun Jain : So, we are present on both models. I would say the content on Triumph's would be quite significant. We have content on Harley, but it would not be as significant as the content that we would have on Triumph.

Aditya Jhawar : Yes. Arjun, if you have the number in mind, like, is it about Rs. 30,000, Rs. 40,000 or something per vehicle?

Arjun Jain : Rs. 30,000, Rs. 40,000? I think for an IC engine vehicle, and I don't think anybody's content reaches that level. But really, in terms of technology components, like lighting, we supply the lighting for Triumph. We also, of course, supply all the painted plastics and mirror as well also, right. So, the content I think would be at approximately Rs. 8,000.

Aditya Jhawar : Sorry, how much?

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Arjun Jain : Approximately Rs. 8,000.

Aditya Jhawar : That's helpful. Any EV component order wins you would like to highlight where we have entered a new OEM, whether incumbent or a new age OEM?

Arjun Jain : No, I would give you the same answer I've been giving you for some time now Aditya, but I can promise. I think soon you will hear more.

Aditya Jhawar : Now we have spoken about double-digit margin, and we have already at about 10%-odd. So, how should we think about margin expansion from here and what would be the levers of margin expansion?

Mr. Mahendra Kumar : Yes. So, Aditya, like what we mentioned earlier, we don't give any guidance, so don't take this as a guidance, but yes, we continue to aim for double-digit EBITDA margin. Now in terms of drivers, if you really see, obviously, the operating leverage should actually help us to a large extent. Plus, there are also several cost reduction actions, which we are targeting internally, both from sourcing point of view and also in terms of efficiencies point of view. So, these things should actually drive us to go for higher levels of EBITDA margin in the coming quarters and maybe next year also.

Aditya Jhawar : Now, on China, what kind of timelines we should have in mind with regard to the transfer of owner shares and any potential value unlocking that we can see, if you can give some sense on

timelines?

Mr. Mahendra Kumar : So, it is difficult to put a timeline to it. But if you ask me, the arbitration process

should come to

a conclusion before end of this year, this financial year. but separately, there is a settlement activity also, which is parallelly progressing, but not at the estimated pace that we are expecting it to be at. So, it's difficult to put a specific timeline, but we would say maybe before end of the financial year, we'll have some good clarity.

Aditya Jhawar : Now, final question, if you can give some sense on what kind of CAPEX and debt repayment we should have in mind for FY '24?

Mr. Mahendra Kumar : Yes. So, first quarter, we spent about Rs. 50 crores. So, there could be maybe another Rs.100 crore to Rs. 150 crores of CAPEX in the remaining 3 quarters. So, that's on CAPEX . Debt repayment, I don't want to put a number to it, but then you have seen that about Rs. 50 crore repayment is what we did in Q1. So, all our efforts are basically to maximize the cash generation and then repay as much debt as possible before end of the year. But let's not put a number to it now.

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Moderator : The question is from the line of Basudeb Banerjee from ICICI Securities. Please go ahead.

Basudeb Banerjee : A couple of questions. One, if I look at for almost last 7 quarters, your other expenses are more or less flat at around Rs. 280 crore. And, in the meanwhile, revenues have also recovered quite a lot and that's how margin has moved up from the lows of 5% to now 9.5%.

Mr. Mahendra Kumar : Sorry, can you please repeat it? It's not very clear.

Basudeb Banerjee : Yes. Sir, for last 7 quarters in your reported numbers, other expense line item has been centered around Rs. 280 crore, whereas revenue has moved up from Rs. 1,500 crore to Rs. 1,800 crore as such on a quarterly basis and that has also helped the margin improve from 5% to 9.5%. And as we said, operating leverage, cost management initiatives, et cetera.

So, if you can highlight like how long the other expense line item can remain around this level so that one can have some idea about the incremental operating leverage benefit because 7 quarters is not a small -time gap.

Mr. Mahendra Kumar : Yes. See, other expenses is difficult to predict because, as you know, it comprises of both variable and fixed elements. So, there we have differently based on the scale-up operations. So, it is difficult to estimate how exactly it will move. It's a combination of both.

Bikash Dugar : And earlier said that certain efforts which the company is taken to reduce the fixed cost or reduce the variable component, it takes time to get a visibility on the effort to reduce other expenses. It will happen 2 quarters, 3 quarters down the line. So, yes, the other expenses have reduced, but as a percentage to the top line, but the efforts are there to further reduce and improve the profitability as the Group CFO said earlier.

Basudeb Banerjee : Sure. And second thing if I missed out, sir initially, you said EUR 13 million, you got back from the escrow account. And also, you said Rs. 50 crore of debt reduction. So, was this Rs. 50 crore exclusive of that EUR 13 million or that is because some mixed quarter will come because of that?

Mr. Mahendra Kumar : So, that money is yet to be considered because it happened only in July. So, we are talking about the numbers as of June end. So, that number is yet to be taken.

Moderator : Next question is from the line of Arvind Sharma from Citi. Please go ahead.

Arvind Sharma : Just wanted to understand the sale of the 4 -wheeler global lighting business. Now in this quarter, again, you've given some discontinued operation -related expenses. Now since you got some money after the quarter ended, so in the second quarter, would we see some discontinued operation -related income coming in? Just wanted more clarification on the accounting part.

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Mr. Mahendra Kumar : We do

not expect any income or expense from discontinued side hereafter. So, this particular adjustment which we took in Q1 was relating to some of those costs, relating to some management separations, relating to the erstwhile lighting business. Plus, earlier, we took a conservative view of how much we could get out of this escrow.

So, compared to that, that was about close to 1 million of shortfall, with this final settlement. So, that impact has also been taken. So, with this, as of now, we don't expect any further income or expense on account of discontinued operations in the coming quarters.

Arvind Sharma : Sure, sir. So, now that business is fully separated. Sir, I know it's a question which will be repeated, but if you could just give us a succinct sense of the total inflow that we've had after selling the business? How much has finally accrued to Varroc, including the initial cash payment

and the escrow? What has been the total cash inflow and what was the final equity value of the business?

Mr. Mahendra Kumar : Yes. See, let's talk about the equity first. Initially, we estimated the equity to be at EUR 69.5 million. So, after the EUR 15 million settlement which we did, it finally ended up at EUR 54.5 million. So, that is as far as equity is concerned. Coming to the cash flow part of it, I think it has 2, 3 different parts. So, I think we also need to see the cash which came in and which we used to repay the overseas debt at the time of the transaction. So, that will be a larger number. But let's only talk about the equity part, which is now finally at EUR 54.5 million.

Arvind Sharma : Okay. And this includes the escrow, which you've got now?

Mr. Mahendra Kumar : Correct.

Moderator : The next question is from the line of Nisarg Vakharia from NV Alpha Fund Management LLP. Please go ahead.

Nisarg Vakharia : Sir, just a small question on the interest payment that we have. So, we are paying about Rs. 50 crore interest per quarter. When will this start coming down?

Mr. Mahendra Kumar : Yes. So, I think like how we explained earlier, we are already seeing some kind of a reduction sequentially. If you really see, this quarter, the interest burden was lower by about Rs. 3 crores to Rs. 3.5 crores compared to the previous quarter. Of course, the inflow from the final settlement should actually reduce the debt further in Q2 also.

And as and when we generate cash from operations and free cash flow, once we get it, we continue to repay the debt. So, it should continuously go down here after is the expectation that we have. But we don't give any guidance here, but that's what we are targeting.

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Nisarg Vakharia : Sir, what is the net debt that we have today on our balance sheet?

Mr. Mahendra Kumar : Like how I explained earlier in the call, Rs. 1,228 crore is the net debt as of today.

Nisarg Vakharia : So, we are paying interest for a debt of almost Rs. 1,800 crore to Rs. 2,000 crore. Isn't it better to use the cash and pay off the debt and then get the interest cost down to Rs. 100 crores, Rs. 120 crores?

Mr. Mahendra Kumar : No, I don't understand this Rs. 1,800 crore number that you mentioned. But like what I said, we are anyway, that's what we are doing. As and when there is surplus cash, we are actually going and repaying the debt.

Nisarg Vakharia : Sir, I'm sorry, I'm going to repeat, maybe a little naive on my part, but I'm just trying to understand that if the net debt is Rs. 1,200 crore today, then why is the interest cost Rs. 200 crore, because the interest cost is not more than 10%, 11% anywhere.

Mr. Mahendra Kumar : No, the average interest cost comes to only around 9% to 9.5%, but it also has the discounting charges. So, we also do the discounting of the customer receivables. So, those discounting charges are also part of the interest costs.

Nisarg Vakharia : Okay. And what is the discounting

charges that we have per annum or per quarter approximately?

Mr. Mahendra Kumar : We don't give that kind of breakup, but we can broadly work it out, right? I mentioned the interest rate to you and the debt levels.

Nisarg Vakharia : And these discounting charges will continue, or you will stop doing them as your balance sheet strengthens because it's an expensive charge for us?

Mr. Mahendra Kumar : No. See, as it stands now, this is one of the cheapest modes of finance that we have. Of course, obviously, the customers are all big OEMs, so that way the risk is less, so the bankers are also willing to give it at lower rates. So, if I have to take it out, this will be the last one that I would touch. My first preference would be to reduce the high-cost debt. And then towards the end, we will stop this also.

Moderator : The next question is from the line of Abhishek from Dolat Capital. Please go ahead.

Abhishek Jain: Sir, in aftermarket business, we are seeing a strong traction. So, if you can throw some more light on the product and the network expansion in last 6 months?

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Tarang Jain : So, you see the aftermarket business continues to grow for us. Largely, we are more on the 2-wheeler products and whether it's for domestic or it's for export. And we continue to kind of increase the number of retailers or distributors we have on a quarterly basis, 6 monthly basis. So, we do see a good double-digit growth year-on-year, we're expecting as we move forward. And aftermarket for us is a profitable business, and that's something we will continue to do as we move forward. So, it's more like a steady growth that we are achieving in our aftermarket business, which today for us is maybe about 5%, 6% of our revenues.

Abhishek Jain: And in aftermarket business, how much is from the OEM channel, sir?

Tarang Jain : The aftermarket is purely non -OEM channel.

Bikash Dugar : The spare parts which we do to the OEMs is not included in the aftermarket.

Tarang Jain : That is not the aftermarket, and that's more like what you supply for their spares, OES market. So, that we count as OE business. This is purely through our retailers and distributors in India and for exports. This is what we call our aftermarket business.

Abhishek Jain : Okay. And, sir, your current capacity utilization is, I think, 60%, 65% and you are looking for another CAPEX of around Rs. 200 crores. So, is this CAPEX only for this EVs product expansion or in other segment as well?

Tarang Jain : So, here, I would say that this is more towards more our future products because for a lot of the traditional products, which we are doing, we are at 60%, 65%. So, it isn't only for more of the value -added products which we have. We see a future where we don't have a certain level of capacity, that those are the places actually, which includes EV also. So, those are the places where we are actually investing, and it includes also for tooling. So, basically, it is only largely more where we don't have a capacity which is more on the future product side, including EV.

Abhishek Jain : Sir, revenue from the non -Bajaj remained flat quarter -on-quarter. So, what is the reason and how would be the trend going ahead?

Bikash Dugar : Yes. So, it's not that it's remained flat. The growth in Bajaj has been higher than other customers because the supply of EV component to Bajaj has been much higher in Q1 as compared to Q4.

Other segment, other customer includes customers related to 4 -wheelers like Mahindra & Mahindra and VECV, Renault, Nissan and even Volkswagen Skoda and we know that passenger vehicle quarter -on-quarter has fallen by 6%. So, that's because of that.

Moderator : The next question is from the line of Prateek Poddar from Nippon AMC. Please go ahead.

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Prateek Poddar : S

ir, I just wanted to ask if you could split your capacity utilization business -wise, business unit -wise?

Tarang Jain : See, what we are saying is largely, you can say, as a company, we are at between 60%, 65% of capacity utilization. That means we have a big upside with the current capacity, maybe some small incremental investments. And today, our focus is how to fill up these capacities. And we are getting some traction there also as we are in the last many months.

So, we are trying to do that with various customers, largely, more on the 2 -wheeler side, some 4-wheeler also. So, this is where we have this kind of an upside available for us. So, whatever we fill up will be a big opportunity again for us. But singling out separately will be difficult for us to share.

Prateek Poddar : So, if I may ask the other way, because look, 60% would be a weighted average of all the 4 businesses. I'm just trying to understand, sir, where is the highest delta? In which business segment is the highest delta? That's my limited question.

Arjun Jain : So, if I was to take that for a second, right? I think the way to really think about it is, we supply almost 20 products into 2 -wheeler mobility, right, 2 and 3 -wheeler mobility. The capacities that we would have built over the years would have been for a certain level of industrial volume.

Now, of course, as you know, that level of industrial volume has not appeared since maybe FY '19. So, it's hard to, let's say, break it down specifically in terms of which product, which particular business unit, because every business unit also has several products within, right?

But 60% to 65% is a fair number where the investment level delta to productize that capacity would not be significant, right? So, again, I know I'm not giving you a clear answer. But really, what I'm trying to say is where the capacities are available, is generally where the 2 -wheeler market has been, for the kinds of capacities they've got, right, for a 2 -wheelers and 3 -wheelers.

Prateek Poddar : So, if the 2 -wheeler market, let's say, going to go to FY '19 levels in the next couple of years, you have enough capacity to cater to that, right, that's a fair understanding?

Arjun Jain: Exactly.

Prateek Poddar : Okay, fair enough. The second question is just on improving the EBITDA margins, which was one of the key focus areas. Q -o-Q, we had seen some moderation in employee expenses as well as other operating expenses. And I remember last quarter, MK talking about H2 of this year being very strong, wherein we could see sharp deleveraging. So, is it fair to say that the path

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continues in terms of operational improvement. And in H2 is where we start seeing a material improvement?

Mr. Mahendra Kumar : Yes, that's the plan as of now, but don't take it as a guidance. But yes, that's what we are aiming for.

Prateek Poddar : And last question, sir, if you can help me understand, look, on a Y -o-Y basis, when I see 2 -

wheeler industry growth and your growth, there has been a decent outperformance in terms of content or industry growth. But when I see it sequentially, two-wheelers on a Q-o-Q basis is up 12%, and we are up just 6% at least on the overall revenue side. And what am I missing, sir, if you can just help me understand this? That would be really helpful.

Tarang Jain : See, largely, just to let you know that we have seen a strong growth from our 2-wheeler segment. Most of our customers have grown quite well at a decent double-digit. But the problem has been more the commercial vehicle and passenger car where we have seen the degrowth. And that's on the average, it has only been 6.2% or 6.4% because of that reason because 2-wheelers do very well, also including EVs, but the same thing did not happen, unfortunately, this quarter on the 4-wheeler side, where we saw a very weak performance.

M

r. Mahendra Kumar : Industry itself.

Tarang Jain : Industry itself, overall, I would say.

Prateek Poddar : And lastly, when you start new orders worth Rs. 577 crore as called out in the presentation, is it fair to say that these orders would be margin accretive to you versus what the legacy orders are?

And to that extent, mix will help you and we'll see gross margin expansion?

Tarang Jain : Yes, definitely.

Moderator : The next question is from the line of Dhiral Shah from Phillip Capital PCG. Please go ahead.

Dhiral Shah : Ma'am, actually, I'm out, but just wanted to know, ma'am, what kind of increase we are looking in the content per vehicle over next 2 to 3 years?

Arjun Jain : So, again, I'll break that down. I think the way to think about it is, right, we look at EV separately and we look at IC engine separately. EV fundamentally, the content that as Varroc based on the product lines that we have, we could expect to have would be I think around Rs. 30,000 to Rs. 35,000 in the past, right? So, I think as EV grows, that is a content level that we can address in a vehicle and of course, we do contract businesses wins in different customers in line with that, right?

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But for example, again, on the Chetak, that would be the amount of content that we would have.

On an IC engine, really the technologies that drive content growth would be fuel injection, LED lighting, potentially electronics, and digital clusters.

So, as OEMs keep converting their 2-wheelers vehicles, if you look at new launches that OEMs have made, almost all of them generally come with this type of content, right? So, as they keep driving those vehicle launches, we expect our content to be growing. Beyond a point it's difficult for me to comment exactly when which OEM will look to convert which segment of vehicles into, let's say, LED, for example.

But as that takes place in the industry, we will definitely be at the forefront of it. All of that put together, I think the total addressable content that we could have on a 2-wheeler would be even, let's say, in mass volume segments around Rs. 10,000.

Dhiral Shah : So, this Rs. 10,000, is it currently the content per vehicle?

Arjun Jain : No, the average content per vehicle we would have today would be significantly lower.

Bikash Dugar : In Bajaj, it will around Rs. 6,000 to Rs. 7,000. With other customers, it's much lower.

Dhiral Shah : And sir, EV, you talked about the content per vehicle is Rs. 35,000, if I'm not wrong?

Arjun Jain : Yes.

Dhiral Shah : And sir, what kind of increase we are looking in the EV particularly?

Arjun Jain : So, we're very focused again on 2-wheeler and 3-wheeler, because that is our core market.

Today, EV 2-wheelers are generally scooters, right? So, that is definitely the segment of focus for us. The one other thing also that I will add from a content perspective is use of passenger car, right? We look to integrate our capabilities to drive more system-level solutions. So, for example, on a VW Tiguan. Today, the tailgate is a product that is built by both our polymer and lighting business, right? So, we integrate the rear lamps into the tailgate and supply the entire module to VW. Similar to that, we pursue further businesses also. So, that is outside of 2-wheeler and 3-wheelers in other vehicles, or in other, let's say, channel of content growth for us.

Moderator : The next question is from the line of Prateek Poddar from Nippon AMC. Please go ahead.

Prateek Poddar : Well, just, could you double-click on the kind of efficiency measures you are working at so as to improve our margins?

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Mr. Mahendra Kumar : Yes, let me answer this question. Of course, I don't want to give you any specific numbers here, but if you want to understand the areas we are looking at, Energy is one area w

here we are

looking at. Currently, the sourcing that we make from renewable energy is very less, so that we are trying to improve. There are also areas like packing material, logistics and of course, in the overall fixed cost itself is what we are actually looking at and various opportunities to reduce it. So, these are the main areas we are targeting.

Prateek Poddar : And just on fixed costs, sir, possible to double -click and help us understand how you try to reduce fixed costs?

Mr. Mahendra Kumar : I mean, there are various areas. We are looking at every single line item, whether it is consultants or retainers or advisers or there could be some opportunities to eliminate some discretionary elements. So, we are looking at every single line item and trying to see what could be a 0 -based kind of approach to the fixed cost here. And based on that, how much is the fact that we can actually cut. But this will take some time. It won't happen immediately. So, for the next 1 to 2 years, we are trying to actually reduce it as much as possible.

Prateek Poddar : That would also mean that the breakeven points reduce right?

Mr. Mahendra Kumar : Right, that's the intention.

Prateek Poddar : Okay. And what is the level of breakeven point today and where do you aspire it to be?

Mr. Mahendra Kumar : We can't reveal that, but I think you can work it out based on our annual report and financials.

Prateek Poddar : I can work out the current, but the aspiration is what I was trying to --

Mr. Mahendra Kumar : Our aspiration, again, I don't want to put a number, but we're aiming for significant reduction. But again, this won't happen in a month's time. Over the next couple of years, we are aiming for a significant reduction in the breakeven levels.

Bikash Dugar : And I will also emphasize in previous call, we have said that the first target remains to improve the PBT margin to 5%. Last year, we did 1.7%. So, our endeavor remains to go to 5% in the next 1 to 2 years and then to high -single -digit.

Moderator : The next question is from the line of Aditya Jhawar. Please go ahead.

Aditya Jhawar : Just had one question. So, post the sale of our global lighting business, how should we think about our aspirations in the 4 -wheeler lighting in India? Are we seeing engagement with customers on future product launches or are you seeing that there is an engagement with OEMs, Varroc Engineering Limited

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which are not present in India, you are having a dialog with them. How should we look at the space post -PLS sale?

Arjun Jain : So, again, I think the divestment that we drove was we hived out the geographies of Europe and North America, and we retained India and China. Now, today, in India, fortunately for us, maybe. But I think in particular, when it comes to technology in the future and largely LED, we have a significant amount of content that is already on the road, right? And I think customers really understand and appreciate that, right?

So, some of the products that we already have on the road would be on the XUV 700, we do all the lighting. On the 2 new Renault Nissan models that launched maybe 1.5 years ago, we do all the lighting. All the Skoda VW, we do tail lamps. So, this is really already localized capability across design, development, manufacturing, which customers can see and appreciate.

Even through last year, right, after it was clear that the divestment is going to take place, we've been able to continue to win programs. And further, from a technology perspective also, I think we are largely covered, and I think customers understand and appreciate that. So, there is no reason why we will not be able to capitalize on this early mover advantage that we have in the market already.

Moderator : Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Tarang Jain for his closing comments.

Tarang Jain :

Yes. Thank you, everyone, for joining the call. In the end, I would say that we are cautiously optimistic about our business and are working to further improve performance. We're grateful for your unwavering support in the past and I look forward for continued encouragement for an exciting journey ahead. Thank you.

Moderator : Thank you, members of the management team. Ladies and gentlemen, on behalf of Investec Capital Services, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2023

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Call: Feb 2024

(no extractable text — likely a scanned image PDF)

Call: Feb 2024

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Sub: Transcript of Investor / Conference Call pertaining to Unaudited
Financial Results for the Quarter and Nine Months ended on December 31,
2023

Dear Sir/Madam,

Please find Transcript of Investors / Conference Call held on Wednesday, February
7, 2024, in respect of the Un-audited Financial Results for the quarter and Nine
months year ended on December 31, 2023.

This is for your information and records.

For Varroc Engineering Limited

Ajay Sharma

Group General Counsel and Company Secretary

Encl: a/a

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"Varroc Engineering Limited
3Q FY2024 Earnings Conference Call "

February 07 , 2024

ANALYST : MR. AASHIN MODI – EQUIRUS SECURITIES

MANAGEMENT : MR. TARANG JAIN – CHAIRMAN & MANAGING
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MR. ARJUN JAIN – WHOLE TIME DIRECTOR &

CHIEF EXECUTIVE OFFICE R – PTI – VARROC
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MR. BIKASH DUGAR – HEAD INVESTOR RELATIONS
– VARROC ENGINEERING LIMITED
Varroc Engineering Limited
February 07, 2024

Page 2 of 21 Moderator : Ladies and gentlemen, good day and welcome to Varroc Engineering Limited 's Q3 FY2024 Earnings Conference Call hosted by Equirus Securities . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Aashin Modi from Equirus Securities . Thank you and over to you Sir!

Aashin Modi : Thank s Man av. Good evening all participants. Thanks to Varroc Engineering management for giving us the opportunity to host the call. We have with us the senior management represented by Mr. Tarang Jain , Chairman and Managing Director, Mr. Arjun Jain , Whole Time Director and CEO, BD-I, Mr. Mahendra Kumar Karumanchi , Group CFO and Mr. Bikash Dugar , Head Investor Relations . So I would now like to hand over the call to Tarang Sir for his initial opening remarks. Over to you Sir!

Tarang Jain: Thank you team Equirus for hosting the call and good evening to everyone for joining the call. Starting with the current macroeconomic situation the Indian economy continues to sustain its growth momentum with a GDP growth of 7.6% in Q2 FY2024 exceeding market expectation. The automobile production in India during Q3 FY2024 grew on a year -on-year basis for all the segments. Passenger vehicles grew by 5%, commercial vehicles grew by 5.9% whereas the three wheeler and two wheeler segments registered strong growth of 13.4% and 19% respectively. This growth was due to the strong economy and the late festive season this year. Sequentially there is quarter -on-quarter we have seen degrowth in all the segments. Commercial vehicles has degrown by 8.3%, passenger vehicles by 10.9%, three wheelers by 8.9% and the two wheeler saw a degrowth of 1.5%. The degrowth on a quarter -on-quarter basis seems to be mainly due to the year-end phenomenon .

Our operations

in Q3 of FY2024 mirror the industry situation. Our revenue in India grew by 20.1% which is higher than both two wheeler and passenger vehicle industry growth on a year-on-year basis. However revenue from our overseas operations had a degrowth as two wheeler production levels went down in certain markets like Vietnam and Italy . In addition , our customer concentration in these markets impacted our revenue . As we look forward in our overseas business our focus is to drive customer diversification in the order book and hence mitigate our customer concentration risk. We also drive cost actions through insourcing and working capital optimization. These efforts are likely to lead to a gradual recovery in the overseas markets and improved financial performance in the medium term. Despite degrowth in the overseas markets in Q3 the overall revenue from operations grew Varroc Engineering Limited
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Page 3 of 21 by 9% on a year -on-year basis to Rs.18846 million. The reported PBT for the quarter was Rs.708 million which includes profit from our joint venture of Rs .250.7 million. The PBT margin improved by 300 basis points on a year -on-year basis and came in at 3.7%. Last year we created an impairment provision for the loan and equity invested in our Dutch entity VCHBV for a four wheeler lighting operations which we divested. We have now written off the loans in Q3 as we have completed the FEMA -related compliances for write -off with December 1, 2023 as the effective date. This is well supported by opinions from two independent senior legal counsels also. As a result the profit after tax was much higher due to recognition of the tax benefit from the aforesaid write -off.

We continue to have strong order wins from our customers in the nine months of FY2024. Our customers continue to trust us with sustainability for their new products. In nine months of FY2024 our new lifetime order win is Rs.67.57 billion and on an annualized basis Rs.11.99 billion. In Q3 of FY2024 our existing customers in the EV space have given us further opportunities as the market continues to evolve. These new orders will enable us to increase our revenue better than industry as the content remains five to six times higher than supplying to the ICE variants . Our revenue from supplying to EV vehicles in Q3 of FY2024 was approximately 5.3% of our overall revenue against 4.4% last quarter. Now I will ask Mr. K , our Group CFO who will walk you through the presentation which is already

uploaded on our website and submitted to stock exchanges also. Over to you !

Mahendra Kumar K: Thank you Tarang . Good evening everyone. I will first take you through the highlights slide which is slide number four. So as Tarang mentioned the year-over-year revenue growth was 9.4% in Q3. Indian operations grew by strong 20.1 %, this is in line with what we have been saying all along about Indian operations ; however, we had some challenges in the overseas businesses largely impacted by degrowth in certain markets in Europe and also because of lower offtake by major customers. The customer concentration is also a factor which impacted us this quarter. However we have been working on action plans to achieve gradual revival and we are hopeful of seeing gradual revival over the medium term with various actions put in place.

Coming to revenue from EV customers it was close to 5.3% during Q3, this is also helped by strong performance from some of the key customers in EV segment . Coming to profitability the EBITDA margin was slightly lower this time at 9.2% compared to close to 10% that we reported in the last two quarters, but this was again due to the impact of the overseas dip in growth and revenue , so the absolute EBITDA during Q3 was about Rs.173 Crores with PBT margin close to 3.7% which is still higher compared to last year by about 3%. As our CMD mentioned PAT was also helped

largely by the deferred tax asset creation

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Page 4 of 21 for the write-off of loans which we actually gave to the divested entities in the earlier year.

We created provision last year which is what we kind of get into write off I will explain about this in greater detail in the subsequent slides. In terms of lifetime business won in the nine months it was close to Rs.67 billion with annual peak revenue potential of close to Rs.12 billion .

Now coming to the industry numbers year-over-year business growth was good for all the industry segments. The two wheelers grew by 19%, three wheelers by 13.4%, passenger vehicles and commercial vehicles also grew by around 5% to 5.9%. However interestingly or unfortunately the quarter-over-quarter saw a degrowth in all the segments. Two wheeler had a degrowth of 1.5%, three wheeler 8.9%, passenger vehicles also went down by 11% so that is something to be noted. On nine months basis also most of the segments if not all the segments registered either single digit or double digit growth . Two wheelers grew by almost 6% or 5.7%, three wheeler by close to 19% and passenger vehicle by close to 6%.

Now going to slide number six where we showed the consolidated financials. The Q3 PBT was 3.7 % and of course EBITDA was 9.2%. Revenue growth of course we explained. PAT also we will discuss subsequently. There was an increase in net debt also which I will explain in the subsequent slides. Looking at the nine months performance the total nine months PBT was coming to 3.7% and EBITDA at 9.7% but if you really look at the cumulative year-over-year growth in nine months the revenue grew by close to 7.4%, EBITDA grew by 24% and PBT by almost 400% plus.

Moving to the next slide this is where we are talking about the net debt number. As you may recollect in the last investor call we mentioned that the net debt was pretty close to Rs.1000 Crores it was at Rs.1006 Crores . This quarter it actually went up marginally to Rs.1062 Crores an increase of about Rs.56 Crores. This was largely because of various reasons. One we also invested in renewable energy like how we explained earlier this was meant to achieve cost reduction which will help us in the next year and there were certain final payments to be made to the divestment-related consultants which is what we completed during this quarter . There is also temporary increase in working capital because we had to correct some of the GST rates on certain parts so there was some time lag between the payment to GST authorities and the collection from the customers, a major part of that has now been collected, part of it was done in Q3 and a significant part was also collected subsequent to Q3 in the current month. We are hopeful of collecting everything this quarter so that should actually correct the temporary mismatch in the working capital. There are also certain arbitration costs relating to China JV which we had to pay during the previous quarter so because of this there was an increase in net debt. We are hoping that this

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Page 5 of 21 should get corrected in the coming quarters , so because of this and also helped by the recognition of deferred tax asset and the improvement in net worth the net debt equity is now pretty comfortable at 0.7. Our net debt to EBITDA is below 1.5 . Return on capital employed of course had the impact of both on the numerator and denominator . Numerator because of the lower earnings and denominator of course now the capital employed is more because of the net worth addition which happened because of the tax benefit.

So going to slide number nine so this is where we explained the logic behind the write-off

of loans. We actually consulted a couple of eminent legal experts. We took opinion from Mr. Arvind Datar and Mr. Ajay Arora who represent Wis

e Associates. We have been working on this for some time now. We collected a lot of evidence to basically just file our case for opinion. We also consulted our authorized dealer to basically complete the formality in relation to FEMA regulations, so we would complete all this and based on this we actually took this benefit in Q3. The underlying logic was like these investments which we made in the overseas entities were more in the nature of trade investments. These were not made just for the sake of earning dividends or capital gains so that was the major underlying logic and similarly the Indian operations also benefited significantly in the past due to technology sharing between four wheeler lighting and two wheeler lighting operations. We also derived benefits from supply chain support and also the access to global OEMs under the Indian operations helped the Indian businesses. In addition to that the guarantee commission and interest earned on those loans they were actually offered for taxation in India in the earlier periods so that is also another reason why we think we can actually claim this reduction in India and one more thing is the divestment of course all of you know the kind of challenges we had at the time of divestment including macroeconomic scenario, so in a way the divestment of these businesses also helped safeguarding interest of India business, so considering all this the legal experts felt that we have a good case for claiming this reduction so based on this we went ahead and recognized this benefit.

Coming to slide number 10 which is about the revenue break down, the strong performance in India and of course the degrowth in the overseas business is a change of the business mix with respect to segments. The lighting business of course is now at close to 21% it used to be close to 25% earlier. Similarly the outside India business also shrunk now to about close to 14% it used to be about 18% to 19% earlier and the strong EV performance also resulted in Bajaj percentage going to 44% compared to 40% earlier. In terms of new lifetime order wins in the nine months we have close to Rs.67 billion of order wins. If you really look at the breakup Bajaj-related order wins was close to 54% and then interestingly the EV percentage of the total lifetime revenue is now close to 50% so which is a strong sign for Varroc Engineering Limited

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Page 6 of 21 our future growth. Then we have also certain awards which we won in different segments of the business, so let me close with this and now we can take some questions. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session. Ladies and gentlemen we will wait for a moment while the question queue assembles. We have our first question from the line of Abhishek from Dolat Capital. Please go ahead.

Abhishek: Thanks for the opportunity. Sir as there is a onetime tax reversal and write-off of loans of around Rs.2.96 billion will these flow into our balance sheet so just wanted to understand what is the impact on the BS and the cash flow of this particular write-off and tax reversal?

Tarang Jain : If I understood your question correctly you wanted to know the impact on balance sheet and cash flow am I right?

Abhishek: Yes.

Mahender K: In terms of balance sheet this will boost the net worth because to an extent of improvement in PAT it will result in improvement in net worth and then of course it also results in creation of deferred tax asset on the asset side. Coming to cash flow yes that is the whole intention is to save cash so that is why we are going for this.

Abhishek: So post these transactions what would be the cash in our books?

Mahender K : Yes this is basically about write-off of Rs.1350 Crores so we will be switching over to the new tax regime where the effective tax rate comes to about close to 25% so the

now you can

compute the benefit which will spread over the next two to three years based on how we grow our profits.

Abhishek: So in the next three years what would be the effective tax rate?

Mahender K : Switching over to the new regime but effectively our intention is not to pay actually tax in terms of cash flow for the next two to three years will be closer to Zero.

Abhishek: So the benefit will be flow for the next three years in terms of that tax benefit right?

Mahender K : Correct.

Abhishek: In non-Bajaj segment we have seen flat growth in nine months FY2024 so what's the reason for that?

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Page 7 of 21 Tarang Jain : If you really look at our business wins for the nine months which is almost Rs.1200 Crores

out of this 54% is Bajaj and it is also because of largely because of lot of the businesses we won with high content like EV and clusters and lighting but the other 46 % is actually a non - Bajaj which is also quite significant which is also close to almost Rs.550 Crores so we are actually growing our business wins also with other customers and whether it is on the two wheeler side our focus of course we have said always is that one is that for whatever the products we do today including our traditional products we are focusing on capacity utilization and of course this capacity utilization is not only coming from Bajaj Auto the two wheeler is coming from all the other customers two wheeler OEMs in India and on the four wheeler side also our focus is on the plastics and also on the lighting business where also we are kind of winning business and we are also kind of utilizing those capacities but yes going forward I think we have seen a lot of good interest from all the OEMs and also a few new startups permanent startups on our EV powertrain products and we had reported actually a couple of wins on the EV powertrain in the last quarter and we are strongly engaged with a few of her two wheeler OEMs also and we are hoping that in the coming months or coming quarters we will succeed in winning some more business when it comes to EV powertrain . When it comes to products like lighting and also the instrument clusters that is something we are anyway actually driving higher and higher sales and so basically whatever is the content based which is more to do with electronics and EV we are very well engaged with customers and we are winning businesses so I would like to say that when it comes to the India story it is very much intact and growth oriented. Even if you see our growth in Q3 our India operations has grown 20% year-on-year versus 15% for the overall industry and even at nine months we have grown 11% as against 6% of the industry growth so we have been actually growing quite well I would say when it comes to the market and yes Bajaj yes is our major customer and whatever we can do with Bajaj we will do but it does not mean that our efforts are not all with the other OEMs and going forward you will see that we have won some very interesting business with the other OEMs as well two wheeler and four wheeler .

Moderator : Thank you. We have our next question from line of Prateek Poddar from Nippon AMC . Please go ahead .

Prateek Poddar: I was saying you have won Rs.3000 Crores of orders this quarter right is that fair understanding?

Bikash Dugar : Yes.

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Page 8 of 21 Prateek Poddar: The second quarter is when I look at FY2025 I am on slide number 10 you say start of production from FY2025 is around Rs.4 600 Crores what is the average life of these orders in the sense in how many years or when does this peak out?

Bikash Dugar : That is what in initial speech also CMD spoke about that the peak annual revenue of this is around Rs.1199 Crores .

Prateek Poddar: By when do you get that like when do you achieve this?

Arjun Jain : Prateek the peak

will take place over different years. It depends on multiple factors but primarily also when the OEM will SOP and really when the OEMs would SOP but you could expect whenever an order win is declared you would expect it will be generally within let us say 12 to adverse case 30 months.

Arjun Jain : So here what happens I will tell you is that when it comes to the two wheeler market normally you normally it is much faster the development cycle so there I think it could be within a year also but when it comes to the four wheeler segment there it could even go up to one-and-a-half to two years because that is the way the order wins are and for four wheelers normally they take a longer time on the development compared to the two wheeler so that is the reason that we are giving the lifetime and we are also saying annualized basis but on annualized basis also you are right two wheeler and four wheeler if you break it up I think how much is the four wheeler out of the total business win.

Arjun Jain : Rs.1124 Crores.

Prateek Poddar: 16.6% yes it is there in your presentation slide 10.

Tarang Jain : So 16% to 17% would be more the four wheeler business win in this and the rest would be more the two wheeler and three wheeler.

Prateek Poddar: Which would ramp up fast right as you just explained 12 to 18 months?

Tarang Jain : Faster.

Prateek Poddar: The second question was on your China JV I have just seen the PAT has increased sequentially quite strong could you just explain this?

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Page 9 of 21 Mahender K : Yes so this is largely helped by the revenue growth as well as the margin improvement .

There were certain price increases also which happen so all this enabled us to throw a decent number.

Prateek Poddar: Is this sustainable Sir going forward also the Rs.25 Crores kind of run rate?

Tarang Jain : So normally what we see in the Chinese market, see for them it is more of a calendar year so the last quarter it is always very strong and then that would mean like January to March will be Q1 for them but because of the Chinese New Year obviously the sales would be less in the Q1 which is for us the Q4 but having said that yes it is not that the Chinese market the sales obviously you can see the market has not really been growing that well compared to the earlier years but we are concerned going forward I think that we have had some very interesting business wins so we are looking a decent growth in the coming year and years so it will be more like more of increase in our market share in the Chinese market but the growth of course it is not more than 5% in the Chinese market definitely .

Prateek Poddar: Understood that is very helpful. The third question was Sir on your other expenses I think we have been highlighting about reducing our fixed costs and that is an exercise which has started from may be start of this financial year but as of now I cannot see any improvement so how should I think about reducing your fixed costs?

Mahender K : See the other expenses are not entirely fixed cost as you know it has some variable costs elements also, in fact a significant part of that is variable cost including your fuel, freight, and packing cost but having said that some of the one time fixed costs also we had to pick up like I was explaining earlier that the arbitration -related cost and all we had to actually pickup so those things are more like one time they are not sustainable or continuing fixed cost so that should get corrected in the coming quarters.

Prateek Poddar: Can you call that out how much would be the arbitration costs for the one time fixed cost which have picked up this quarter?

Mahender K : For example it is close to about Rs.8 Crores to Rs.10 Crores.

Prateek Poddar: Got it . You also talked about in your presentation about lowering of electricity cost by investing in renewable energy and our

understanding was that should have started effecting from Q3 so has there been a delay over there or it is already getting reflected?

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Page 10 of 21 Tarang Jain : No it was not Q3. It was always scheduled for actually kind of commission around March but we should start seeing the benefit if not from April at least from May onwards.

Prateek Poddar: How much can this help us by?

Mahender K : We do not want to give micro level details but yes.

Tarang Jain : The numbers are quite interesting.

Prateek Poddar: The numbers will be?

Tarang Jain : They will be quite interesting for you. We do not want to let you know at the moment. I think let us first realize those numbers which we feel should properly materialize more from the month of May.

Mahendra Kumar K: Also it will come in phases. It is not just a onetime kind of . There is more to do in this area also but it will happen over a period of time.

Prateek Poddar: Got it. Sir with this creation of deferred tax asset obviously the cash which you pay does that mean the repayment of debt will be quite fast in the sense that let us say if you are planning in two years with virtually no tax payments for the next three years the cash payments we can assume a very fast debt repayment and may be by the end of next financial year we could be very close to net debt zero net debt?

Mahender K : I do not want to give a future prediction but yes that is the objective. The object of this is to conserve cash.

Prateek Poddar: Just a small book keeping question, we have seen a sharp increase in depreciation and the idea was always capex should be lower than the depreciation are there on e offs over here which you are writing it off?

Mahender K : It is not because of additional I would say capex -related depreciation but it is somewhat related to that. We commissioned a new plant in Chakan here in Pune so it was the leased facility so the leased depreciation and interest are accounted in both depreciation as well as interest so that is the reason.

Moderator : Thank you. We have our next question from line of Naveen Baid from Nuvama Asset Management . Please go ahead .

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Page 11 of 21 Naveen Baid: Thank you for the opportunity. Sir the speaker before me I was just confirming whether the orders for the quarter were to the tune of Rs.3000 Crores so if I look at the order bills for the past nine months that is if I look at order win for the past two quarters they are roughly Rs.47 00 odd Crores and for nine months it is Rs.67 00 odd Crores so the numbers are not

adding up so this quarter the orders are likely to be Rs.2000 Crores and not Rs.3000 Crores is that correct?

Bikash Dugar : This quarter the order has been around Rs.3000 Crores .

Naveen Baid: There have been some cancellation like how do we explain that?

Bikash Dugar : Six month numbers are around Rs.3700 odd Crores and this quarter it is closer to Rs.30 00 Crores .

Naveen Baid: This Rs.6700 Crores obviously includes the order win from the EV side?

Bikash Dugar : Yes.

Naveen Baid: Gross margins?

Mahender K : Gross margins from these orders ?

Naveen Baid: What is the gross margin this quarter?

Bikash Dugar : It is around 36.3%.

Naveen Baid: Thank you.

Moderator : Thank you very much. We have our next question from line of Jyoti Singh from Arihant Capital Markets Limited . Please go ahead.

Jyoti Singh: Thank you for the opportunity. My question is on the debt side like earlier a quarter we have committed like we have been going to reduce our debt but now it has increased this quarter so like what are the objectives going forward on the debt side?

Mahender K : No like how I explained in the earlier presentation, part of it was because of some temporary reasons because of the working capital mismatch which we had. It should actually go down fr

om here after that is our intention so the objective is still intact. We are very much working on debt reduction.

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Page 12 of 21 Jyoti Singh: Sir any target that we are keeping for the debt reduction that we can disclose it?

Mahender K : We do not want to give a number to it but what like we said there is no reason for us to borrow more for any of our business requirements so whatever cash that gets generated out of business will only go to reduce the debt.

Jyoti Singh: Thank you and Sir earlier also we commented that the H2 will be stronger but somehow Q2 quarter was not that great so what is the expectation for Q4 ?

Tarang Jain : You are talking about the topline ?

Jyoti Singh: Overall Sir I am talking about margin and topline .

Mahender K : We do not give any guidance like that but normally Q4 the industry should be reasonably well so that should also reflect in our performance but then like our CMD explained recovery in overseas segments will take some time.

Jyoti Singh: Thank you.

Moderator : Thank you. We have our next question from line of Tirth Gosar from Svan Investment . Please go ahead .

Tirth Gosar : Thank you for taking my questions Sir. Sir I have a couple of questions. My first question is relating to our growth so we have seen on quarter -on-quarter almost all segments have seen a slip , two wheelers have seen a better performance than the other segments and in fact if you see EV two wheelers have seen a growth across all your customer category so can you explain and we have gained some good order book also over a period plus we also dwelled upon that our content per vehicle or value per vehicle have also increased incrementally than the new order so can you explain why quarter -on-quarter the growth will be muted and what is going ahead, how do you see this movement ahead in the next three to four quarters going ahead?

Tarang Jain : So here I think it was more to do I think with the season and everything there was a degrowth in all segments so the way we see quarter -on-quarter the industry I am talking about India now the industry degrew 3% but we grew 3% and we have always maintained that we are going to be at least 4%, 5% and 6% more than the industry so that is intact and I think that today the auto market is still doing quite well and I do not see a reason why it will not continue to grow by what percentage I do not know but I think the growth story definitely is intact in India across segments even for commercial vehicle because our GDP

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Page 13 of 21 growth is quite good so I do not really see any kind of an issue really in future growth when it comes to the Indian market. We are quite bullish and like I said earlier we are very well engaged with all the customers on the two wheeler and on the four wheeler side and we feel pretty confident.

Tirth Gosar : Sir my second question is what do we expect your tax outflow percentage as we are moving towards the new regime for the next financial year ?

Mahender K : No we do not give any forward looking guidance like that. All that we can say yes our

intention is to conserve cash by taking this benefit but we do not give guidance on a future profit.

Tirth Gosar : Sir regarding our China JV arbitration which was there how is it moving forward; is there any positive news there?

Tarang Jain : So there is an arbitration on in Singapore with partners in between we have been trying to have a split with a partner , as you know that there are two plants and two entities we are trying to go in for a split but so far we have not been successful. I think the order on the arbitration probably will come in probably by July by ha If one so then we will probably know what the result is. We do not know what will really happen over here. Probably one partner buys the other or in between there is

a kind of conditions get created for a split so it all depends on the tribunal so the moment we do not know but largely I would say or the arguments and all on this in Singapore are basically largely done. There is probably one more I think hearing probably in the month of May or June and after that I think probably there will be that decision taken so we will come to know probably in the first half of FY2025 we will know the result of this JV.

Tirth Gosar : Sir what was the capex in the first nine months and what is the capex expected for FY2024 and FY2025?

Company Speaker : The first nine months with spent about Rs.125 Crores . We may finally close the year with about Rs.160 Crores to Rs.170 Crores kind of. This is for India n operations. Maybe another Rs.20 Crores for overseas so close to about Rs.180 Crores could be the number .

Tirth Gosar : 2025?

Company Speaker : It could be around this range only. We do not intend to take it beyond Rs.200 Crores .

Tirth Gosar : Thank you and that is all from my side. Thank you and all the best.

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Page 14 of 21 Moderator : Thank you Sir. We have our next question from line of Arvind Sharma from Citibank . Please go ahead .

Arvind Sharma: Good evening Sir and thanks for taking my question . Sir first question would be on the PLI incentives if you could share any views there, is there any accruals happening or when do you expect that I have second question on order books but first views on PLI?

Arjun Jain : We have not accrued anything for PLI yet but for certain products lines we would expect to do.

Arvind Sharma: Alright Sir. My second question will be on the order wins, we see the lifetime order of around Rs.67.5 billion that we have given are all these new orders so how many of them would be fresh orders and since you have shared the FY2024 and FY2025 onwards split is it possible to share till when what is the order life or what is the time these will be fructify?

Arjun Jain : So I will go one -by-one. This will be a combination of new, new programs as well as volume expansions on existing programs right or let me not necessarily call them existing programs but volume expansions where there is modification improvement so if we have declared X volume as an order win in the past and there is an expansion to that, that will obviously come that delta differential will come and what we will report now. The second one was in terms of the appropriate expectation I think we have already shared some information around when we expect peak to take place right .

Arvind Sharma: FY2025 onwards these things for how long it will continue?

Arjun Jain : So directionally like we said I think it depends on customers as well so two wheelers are generally a faster cycler, passenger cars are generally a longer cycle but they would generally take place within 12 to 13 months.

Arvind Sharma: 12 to 13 months?

Arjun Jain : Yes.

Arvind Sharma: Great. Thank you so much Sir. That is all from my side.

Arjun Jain : 12 to 13 months not from now but from the actual order book.

Arvind Sharma: Fine. Thank you.

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Page 15 of 21 Moderator : Thank you Sir. We have our next question from line of Prateek Poddar from Nippon AMC . Please go ahead .

Prateek Poddar: Just profitability of these new orders right we have won close to Rs.5000 odd Crores of orders may be slightly lower than that in the last six months the profitability is it could you just comment on it how should you think about it, is it higher or is it lower because the mix is quite interesting right in terms of EV players versus ICE so just trying to think about the profitability of these orders?

Arjun Jain : It is hard to comment on profitability specifically because every product line tends to have different product economics right really based on manufacturing process, e

ngineering

intensity, and overhead intensity so the way I would describe it is it is sustainable profitability right because we are strong in terms of threshold based on which we quote and that is what we respect.

Prateek Poddar: Just one small question and I am just going back to what even I was asking earlier in terms of the ramp up the way you are explaining that it takes 12 to 13 months from the start of production for the orders to ramp up it looks like FY2025 and maybe FY 2026 where we realize bulk of this Rs.5000 Crores of new orders in the last six months, it could be quite substantial so we could see a far higher outperformance over industry growth over the next two years versus what we would have seen in the past basis is that the order book which we have just gathered is that a fair understanding?

Arjun Jain : Yes that is our intention and we are hoping that whatever are the SOP dates the customers have told us if they get realized yes I think it will keep with our objective of actually kind of growing faster than the market . If a lot of these products are also high in content and next year we had mentioned probably in one of our earlier calls that our revenue towards EV we would like it to be Rs.1000 Crores and there is a very good possibility of achieving that in the next financial year .

Prateek Poddar: Understood. Thanks for this and best wishes for the future. Thank you.

Moderator : Thank you Sir. We have our next question from line of Abhishek from Dolat Capital. Please go ahead .

Abhishek: Sir what was the operating margin X overseas business ?

Mahendra Kumar K : No we do not give those subsegment level details .

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Page 16 of 21 Abhishek: So what is the margin for the domestic business right now ?

Mahendra Kumar K : Sorry we do not share.

Mahendra Kumar K : But see we told you that 85% of our revenues were from India.

Abhishek: So my question was related with this overseas business basically that was a drag for the company finances so can we expect some more write -off in the coming days ?

Mahendra Kumar K : No we do not see any need for write -off in fact our intention is to actually improve profitability and also growth in all these overseas markets so we do not see any need for any kind of write -off at this stage .

Abhishek: So how you will achieve the 10% kind of the margin target as there will continue to be pressure because of these businesses so what is your plan for that to achieving 10% or 11% kind of the operating margin?

Arjun Jain : So like our CMD already said right we work on diversifying the customer base . We have already made moves towards insourcing and hence improving let us say some of the material margins and also we work given that supply chains globally are slightly better especially from a semiconductor standpoint . We work on working capital optimization also .

Arjun Jain : Plus we continue to work on cost reductions across our businesses .

Abhishek: My last question on the electronic business unit where we have seen a 15% growth in nine months so how much is incremental revenue from the EV business in this year and what would be the target for the next year ?

Arjun Jain : What we explained at the total level EV revenue is about 5% of the total 5.3% and last year I think it was pretty negligible so the entire thing is incremental .

Abhishek: Thank you Sir.

Arjun Jain : It will grow as we move forward .

Abhishek: Thank you Sir. That is all for my side.

Moderator : Thank you Sir. We have our next question from line of Aashin Modi from Equirus Securities . Please go ahead .

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Page 17 of 21 Aashin Modi: Thanks for the opportunity . Sir my first question is regarding the India Lighting business so it is a very fast growing segment and with a lot of premiumization happening across so how do we

see that business growing and with competition intensity increasing over here how do we see that business growing because nine months performance has not been that strong in intensity?

Arjun Jain : So I think when you read that nine months performance that is our global lighting performance including India of course as a percentage of our total sale right. Now of course like we have talked about and as you also see overseas is reduced as a percentage so that obviously impacts lighting as well but in India we do not see any roadblocks to lighting growth at all. In fact our lighting business in India continues to do well and that is largely driven like we said before right by the fact that we have been very early mover if not first mover especially when it comes to LED lighting so we continue to have program wins and

we continue to see volume expansions whether in two wheeler, whether in passenger car and we expect that trend will continue.

Aashin Modi: Sure and Sir my next question is regarding the EV specific components so have we added any new products over there and where are we on the journey of adding other OEMs for our EV specific products?

Arjun Jain: So today practically in the product range that we already address and we already market, I do not want to add any products beyond that. In fact we are clear we will not add products beyond that. Like we stated last quarter we were able to add two customers two further EV customers for EV specific components and we will see those realizations over the next 12 to 18 months. Of course these components essentially when you are trying to supply the EV powertrain it is extremely engineering intensive component and is also a very long sourcing timeline kind of component so we continue to have strong engagement with multiple other customers and yes hopefully we should have over the coming quarters we should have more to report.

Aashin Modi: Do we have enough capacity to have the growth that our major customer receiving on the EV side or do we need to put in more capacity for the EV specific component?

Arjun Jain: So I think we have already given visibility around what our total capex numbers would be limited to and within those numbers we are able to support any expansion the customer would like.

Aashin Modi: Yes sure. Thank you. I will join back the queue.

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Page 18 of 21 Moderator: Thank you Sir. We have our next question from line of Priyaranjan from HDFC AMC. Please go ahead.

Priyaranjan: Thanks just couple of questions. One is on the EBITDA margin if I look at the quarter-on-quarter the topline was flat still there has been 60 basis points so is it largely because of mix or there is something more to it?

Mahendra Kumar K: Yes it is largely driven by these challenges we had in the overseas market so that had an impact.

Priyaranjan: Where is this Rs.10 Crores arbitration charges is booked is it part of the other expenses?

Mahendra Kumar K: Correct.

Priyaranjan: So that explains the because if I do the Rs.10 Crores in the EBITDA then I think 40 to 50 basis point impact is because of that right?

Mahendra Kumar K: No see there was arbitration expense in the previous quarters also. It is not that it was zero earlier. It was maybe to a smaller extent so last quarter it was close to Rs.10 Crores arbitration plus a couple of other consultancy-related expense.

Priyaranjan: This is going to continue for couple of quarters or this will now because I think most of the hearing is done?

Mahendra Kumar K: It should not be to this extent is our expectation because like what you said most of the arbitration hearings have been completed but it will come down gradually.

Priyaranjan: In terms of overall capacity utilization of different plants so if you can throw some light on what are our operating capacity utilization and how

much benefit as we enter next year with

a very good order book and the order ramp up so should we expect meaningful operating utilization level going forward I think FY2025 and FY2026?

Arjun Jain: Yes so I think like we said in the past I would our blended capacity utilization because of course we operate multiple different processes would be around 65% and some places maybe around 70% but again right I think we have the order book. We have defined what our capex outlook is for this year and also for next year and within that we believe we should definitely be able to execute the order book and of course that will also lead to an improvement in capacity utilization.

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Page 19 of 21 Priyaranjan: As we move towards the greener energy so what is our plan so how much greener energy in terms of our internal utilization, what should be the percentage share from that?

Mahendra Kumar K: The proposed one which is under implementation should be somewhere between 35% to 40% in terms of the overall sourcing from renewable energy.

Priyaranjan: This will be supplied back to the grid and then whenever you require so you can utilize it from the grid?

Mahendra Kumar K: Yes we will get bill for the net amount of consumption.

Priyaranjan: Understood and in terms of the cash conversion to EBITDA that has been not so strong so any specific region is I think the only working capital-related issues is there because your EBITDA was I think Rs.175 Crores to Rs.173 Crores this quarter I guess with around Rs.40 Crores will be primarily driven to the capex?

Mahendra Kumar K : You are right I think I also explained it earlier in the slides. The temporary working capital challenges this quarter created that kind of disparity but if you see the earlier quarters it was coming out nicely .

Mahendra Kumar K : Quarter -on-quarter is better cash conversion you should look for a longer period so nine month the numbers look good.

Priyaranjan: Thank you. All the best.

Moderator : Thank you Sir. We have a followup question from line of Prateek Poddar from Nippon AMC . Please go ahead .

Prateek Poddar: Sir may be if you could just spend some time explaining the overseas operations we have seen a very, very sharp decline let us say if I were to see from Q1 how should we think about its recovery I know you have explained it in bits and parts but the customer concentration risk which we have seen and you are trying to mitigate that how should we think about this business in the next two to three years or maybe next 12 months ?

Tarang Jain : There abroad the major area for us is Europe and of course we have also Vietnam so see here the issues have been largely to do with the European market where we are concerned whether it is to do with two wheeler or whether it is to do with the electronic products and of course this has been a little bit compounded by concentration on a few customers and basically what has happened is that when it comes to two wheelers our focus has been more Varroc Engineering Limited
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Page 20 of 21 on scooters and where scooters have actually degrown more than the motorcycles in that segment so what we are doing is that now we are also winning businesses on the motorcycle front where it comes to Europe and also when it comes to our Vietnam plant the focus is now going to be much more with the Japanese OEMs, so today the competition is more actually with some of the European OEMs even in that market . Yes we have Japanese customers but now we would like that we are focusing more with the Japanese OEMs and also strengthened our sales team also for Southeast Asia . We already have our office in Japan which is also closely working on seeing that a lot of these businesses are very converted into orders for us, so there is a lot of focus where comes through more I would say South

East Asia and where it comes to Europe yes the growth there will not be as high as Southeast Asia when it comes to two wheeler but when it comes to electronics our plant in Romania that is where we are looking at we are really focused on winning new businesses over there so one is of course the focus on sales wins on the overseas. The other is what we have done is that which includes China and also in Vietnam that we were so far though our margins were quite okay, I would say across distinct product lines but we did not have our own electronics so far when it comes to two wheelers products or the four wheeler lighting in China so now we have installed our own SMT to the extent of at least if it comes to two wheeler I think it will be almost 100%. When it comes to four wheeler it will be 30 % to 40% so this will also increase margins to the extent of at least 3 % to 4% so this is one big step so one is sales growth and utilization of capacities is there which we have seen in the last quarter go down and which will be impacted for the next few quarters also but we are working very proactively on sales wins which probably should happen probably let us say within a year's time that we will see that growth taking place . On the other hand cost controls and mainly on the bomb side SMT in house SMT is what is going to drive margins up which will help the overall situation of a business division abroad.

Prateek Poddar: Thanks .

Moderator : Thank you. Ladies and gentlemen that was the last question for the day and I would now like to hand the conference over to management for closing comments .

Tarang Jain : Thank you very much so I just want to kind of say that the focus of the company remains to further strengthen the Indian operations, bringing back the profitability in our overseas operations, control on overall capex and generation of free cash flow and reduction in net debt. So with this thank you for joining the call and we will again meet soon after one quarter . Thank you.

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Page 21 of 21 Moderator : On behalf of Equirus Securities that concludes this conference. Thank you for joining us . You may now disconnect your lines .

Call: May 2024

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VARROC/SE/INT/2024-25/28 May 21, 2024

To,
The Manager- Listing
The Listing Department,
National Stock Exchange of India
Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex,
Bandra (East), Mumbai-400 051.
NSE Symbol: VARROC The Manager – Listing
The Corporate Relation
Department,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai-400 001.
BSE Security Code: 541578
[Debt: 975062]
Dear Sir/Madam,

Sub: Transcript of Investor / Conference Call pertaining to Audited Financial
Results for the Quarter and Financial Year ended on March 31, 2024.

Dear Sir/Madam,

Please find Transcript of Investors / Conference Call held on Friday, May 17, 2024,
in respect of the Audited Financial results for the Quarter and Year ended on
March 31, 2024.

This is for your information and records.

For Varroc Engineering Limited

Ajay Sharma
Group General Counsel and Company Secretary
Encl: a/a

"Varroc Engineering Limited
Q4 FY'24 Earnings Conference Call "
May 17, 2024

MANAGEMENT : MR. TARANG JAIN – CHAIRMAN AND MANAGING
DIRECTOR – VARROC ENGINEERING LIMITED
MR. ARJUN JAIN – WHOLE -TIME DIRECTOR AND
CHIEF EXECUTIVE OFFICER , BUSINESS DIVISION I –
VARROC ENGINEERING LIMITED
MR. MAHENDRA KUMAR – GROUP CHIEF FINANCIAL
OFFICER – VARROC ENGINEERING LIMITED
MR. BIKASH DUGAR – HEAD, INVESTOR RELATIONS –
VARROC ENGINEERING LIMITED

MODERATOR : MR. AAKASH GOPANI – INVESTEC CAPITAL SERVICES

Varroc Engineering Limited
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Moderator : Ladies and gentlemen, good day, and welcome to Varroc Engineering Q4 FY'24 Earnings Conference Call hosted by Investec Capital Services. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aakash Gopani. Thank you, and over to you, Mr. Aakash. Aakash Gopani: Thank you, Steve. Good evening, everyone. Welcome to the Q4 FY'24 Earnings Conference Call of Varroc Engineering Limited. We have with us the senior management represented by Mr. Tarang Jain, Chairman and Managing Director; Mr. Arjun Jain, Whole -Time Director and CEO, Business Division I ; Mr. Mahendra Kumar, Group CFO; and Mr. Bikash Dugar, Head of Investor Relations.

With that, I would now like to hand over the call to Mr. Tarang Jain for his initial opening remarks. Over to you, sir.

Tarang Jain: Yes. Thank you, Aakash, and team Investec for hosting the call, and good evening to everyone for joining this call. The global economy continues to go through a significant shift in FY'24.

The initial stability post pandemic has been taken away by the intensified military conflicts during the year. The recessionary fear across the global economy due to high inflation, Central Bank tightening at the beginning of the year have moderated now and now the macroeconomic outlook is improving relatively. We hope that this is not taken away from the geopolitical issues. The Indian economy continues to outperform. And in Q3 FY'24, the GDP growth was at a robust 8.4%. The automobile production in India during FY'24 grew on a year -on-year basis for all the segments. Passenger vehicles grew by 6.9%. The commercial vehicles grew by 3% . Three -wheeler and two-wheeler registered a strong growth at 16% and 10.3%, respectively. The growing economy and stability in the Central Bank policy have driven this growth.

In Q4 FY'24, on a year -on-year basis, the automobile growth was strong in two-wheelers, which grew by 26.5%, three -wheelers grew by 8.4%, the passenger vehicles grew by 9.7%, and the commercial vehicles saw a marginal degrowth at 0.5%. For the full financial year '24, our India operations continued to outperform the industry growth with a growth of over 14.5%. The India operation helped the company to clock closer to a 10% growth in FY'24. Overseas business was impacted in FY'24 as two-wheeler automotive sales in the overseas market fell and the dependency on single customer impacted our revenue. The full year revenue was at INR75,519 million.

The PBT for the year was INR3,149 million, which includes profit from a joint venture of INR444 million. The PBT margin improved by 300 basis points on a year -on-year basis and came in at 4.2% PBT for the year, was also impacted by certain one -timers like the provision of INR160 million created for doubtful recovery of receivables from an EV customer.

In FY'24, the capex spend was only around INR2,016 million, that's better profitability, tighter control on capex and working capital enabled us to reduce the net debt to below INR10,000 million at INR9,826 million. The net debt -to-equity ratio improved 0.63 in FY'24 from 1.27 in FY'23. The loan servicing ability also improved as our net debt -to-EBITDA improved to 1.29 in FY'24 from 2.14 in FY'23.

We continue to win businesses for our focused product lines and increased the capacity utilization levels. In FY'24, our lifetime new business wins has been over INR87 billion. The annual peak value is around INR15 billion. These wins are likely to generate additi

onal revenue

of INR8.5 billion in FY'25.

It is very encouraging to see that more than 40% of these new wins have come in the EV category. Our revenue from supplying to EV players in FY'24 was approximately 5.3% of our overall revenue. As indicated earlier, we continue our endeavor to grow better than the industry in India. We are also taking several initiatives to grow our overseas business.

We are working with various customers on additional revenue opportunities. We are also driving cost reduction efforts in these markets to improve margins. The margin improvement efforts through backward integration initiatives like SMT lines are already in place. With these actions, we expect to see a revival of overseas business in the coming 1 to 2 years. We will also continue to strengthen our engineering capabilities and also focus on further cost reduction and working capital optimization for all our operations.

More business wins, gradual recovery in overseas market and the efforts taken by the company to reduce both fixed as well as the variable costs are expected to gradually improve the performance of the overseas operations in the coming years.

We have uploaded the investor presentation in the stock exchange as well as on the website. I will now ask MK, our Group CFO, to walk you through the presentation and give more insights on the financial performance. Thank you.

Mahendra Kumar : Thank you, Tarang. Good evening, everyone. Talking about the highlights for full year and also Q4 of FY'24. As our CMD explained, revenue came in at INR75 billion or INR7,551 crores with a growth of 9.6%. For the India business growth was much stronger at 14.1%.

Q4 revenue grew by 16% year-over-year, but here again, the India business grew significantly stronger by close to 24%. This was, of course, impacted by the overseas challenges which we have, which we explained in the previous quarter's communication.

In terms of the overall profitability, full year PBT came in at 4.2%, a significant improvement compared to previous year PBT of 1.2%. EBITDA also with regard to double-digit EBITDA, 10.1% for full year compared to 8.7% we had last year. Q4 PBT was 5.3% versus 2.4% we had same time last year. The EBITDA also was much stronger at 11.1% compared to 9.4% last year. Now all this also enabled us to strengthen the balance sheet further. The net debt came down below INR1,000 crores now at INR983 crores, which actually improved the net-debt-to-equity

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ratio to 0.63 from 1.27 that it was last year. Net debt to EBITDA also improved to 1.29 now compared to more than 2 that we had last year.

In terms of the business growth, the new lifetime orders now added up to INR87 billion for full year with more than 40% coming from EV-related vehicles and products. The total revenue from the EV-related components is now actually up to 5.3% of our total revenue.

And coming to the cost reduction efforts that we communicated earlier, the renewable energy projects, which we talked about in the previous quarter communications, they are now nearing completion. So most probably, very soon, we'll be seeing the benefits of these projects also. And then, finally, our Board also approved the major of the 100% subsidiary, VPL with VEL. This is expected to give us significant ease of operations.

Going to the next slide, which is about the industry trends. If you really see the Q4 performance of the industry. The 2-wheeler grew by 26.5% compared to same time last year, and 3-wheeler grew by 8.4%, passenger vehicle by 9.7%. But on a sequential quarter-over-quarter basis, 2-wheeler was more or less flat and passenger vehicle registered a significant strong performance by close to 17.6%.

And coming to the full year trends, the 2-wheeler industry gre

w by slightly about 10%, passenger vehicle by close to 7% and 3-wheeler by 16%. So going forward, we are hoping that the good monsoon and the strength in rural economy will further give that kind of a boost to the 2-wheeler industry and which in turn reflects in strong business growth. And then maybe later part of the year, we'll also see inflation easing out further at global level and also the interest rates coming down in the later part of the year.

The next slide, we will have the summary of the consolidated financials for Q4. As I mentioned earlier, the PBT came in at 5.3% and EBITDA at 11.1%. The overall revenue grew by 16%. In terms of the other items, as our Chairman explained, we also went ahead and create a provision for close to INR16 crores for provision for doubtful debts against one of the prominent EV customers we have to be on a consolidated basis.

And then the overall EBITDA and, of course, PBT derived benefits of operating leverage this quarter also. And this quarter, we also could see a reduction in interest costs and depreciation costs compared to the previous quarters. So that should continue going forward also. In terms of the full year numbers in the next slide, we are talking about a PBT of 4.2% on a full year basis. But more importantly, we have been communicating about the operating leverage benefit at every level. So that way, if you really see the revenue went up by close to 9.6%, but EBITDA grew much stronger at 27% supported largely by the contribution margin improvement. It all translated into a PBT growth of 280%. So this particular thing continues to be our focus in the near future also.

Coming to the balance sheet and ratios. So net debt was INR983 crores against equity of INR1,526 crores, so that enabled us to get to net debt-to-equity ratio of 0.64. Net debt to EBITDA improved to 1.29. And because of all this good performance, the return on capital employed annualized, it also goes up to close to 29% now.

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Coming to the revenue breakdown. The important point to be noted here is, of course, the large 2 segments, 37.8% coming from electrical and electronics lighting, plus the 32% comes from polymer. So these 2 add up to close to almost 70% of the total revenue. And in terms of geographical distribution, 87% comes from within India, 13% coming from outside. Segment-wise, product segment-wise, 2- and 3-wheelers added to close to 75%. And in terms of customer providing Bajaj gives us 42% of the total revenue.

Here in the next slide, we also added one more point analysis based on the earlier discussion. We are now giving the breakup of the order book. The new lifetime value of the order book, how it's going to help us in the revenue buildup in the coming years. So from this existing INR87 billion of order intake, which we took, nearly 8,500 million of revenue comes in FY'25 itself, about INR850 crores of revenue for this year, which will add up to INR1,450 crores INR1,750 crores in the next two years. Because all this assuming that the start-up production as indicated by the respective OEMs hold good and they actually happen on time.

In terms of the lifetime revenue by customer, if you see, 52% of this new order intake comes from Bajaj products and the rest from others. And another interesting point here is EV constituted nearly 43% of the new order intake, which is a positive sign. And most of it is 2-wheeler, 3-wheeler related, which is close to 81% of the total. And then we have these awards also some of the prominent awards which we got have been displayed here.

So let me stop here. We'll take questions. Thank you so much.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Krishna Kukreja from Lucky Investment.

Krishna Kukreja: Congratulations for a good set of numbers. My question

was based on capex. If you could give us an idea of what kind of capex we're looking for, for FY'25 and FY'26? And you have guided also that this will be less than the depreciation. So if you could also give us some color on what the depreciation for us is going to look like? Is it going to be in this INR333 crores, INR340 crores kind of range for the next couple of years?

Mahendra Kumar: Yes, Krishna. So like what we communicated earlier, we continue to keep capex in the range of about close to INR200 crores this year, most probably maybe around this level next year also or maybe slightly up, depending upon the requirement. But directionally, if you really see against our depreciation will up close to INR380 crores thereabouts. The capex spend going forward for the next two years also is going to be significantly lower only. So that should actually result in a gradual easing of depreciation build further. How much exactly? It's difficult to compute or comment at this stage. But directionally, yes, it should come down.

Krishna Kukreja: Right. And another one would be on the interest cost situation. So where do we see in terms of debt repayment, what are we kind of looking to repay in the next couple of years? Will it be similar to last year? And what kind of interest costs are we're looking at? Can we get some idea on that as well?

Mahendra Kumar: Yes. Directionally, that should come down because we hope to generate a good amount of free cash flow this year and next year also, which should obviously go to repay the debt only. So our idea is to bring it significantly down to half of EBITDA, maybe by next year.

Krishna Kukreja: Right. And just a final one on these EV products that now make up 5% of our revenue. If you could tell us exactly what these products are and what sort of segmentation we should look at them as? And what kind of growth we're looking at here based on our order book?

Arjun Jain: So when we say 5%, that is all products, whether EV powertrain products or engine-agnostic product that we supply into -- that we supply into EV models. In terms of the split in terms of what is engine-agnostic versus what is EV, I don't think we share that. But I think if you just look at the price points of the different product lines, the EV powertrain product will definitely make up a large portion of that.

Krishna Kukreja: On growth, if you could just comment on that.

Arjun Jain: So growth, of course, depends also on how much EV growth, but I think the trend of growth that you see already through the course of this year, I think it's a trend that I think we can definitely be comfortable in saying that over the next couple of years, there is a trend that will sustain.

Moderator: The next question is from the line of Basudeb Banerjee from ICIC Securities.

Basudeb Banerjee: Congrats, sir for a good set of numbers. A couple of questions. One is in this lifetime order wins slide where in the very first chart, you have put FY'25, 8,500; FY'26, 14,500. So is that the ITL revenue situation in rupees, crores for those years as per the order book you have received?

Arjun Jain: Yes. That's the additional revenue we are expecting from this order book for this year. And these numbers are in millions, not in crores.

Basudeb Banerjee: So which means, other than the organic growth of the business, which could have happened, this can be the additional revenue to that organic growth?

Arjun Jain: Correct.

Basudeb Banerjee: And second question, sir, in the reported number this quarter, your gross margin has jumped significantly sequentially or even compared to past many quarters. So did I miss out in your initial comments, anything there? Is this sustainable or just accounting change or one-off, how to look at it, sir?

Mahendra Kumar: Yes. So that's a good question. So what we would

like to suggest here is maybe you should look

at the full year gross margin improvement. I think you can still notice about 1.6% improvement there year-over-year. But out of that also, we have some of these one-timers, like the government incentive of last year, the last 2 years was accounted in 1 year. So there is 1 year extra benefit which we have taken.

At the same time, there was certain other one-timers also, which we actually provided for on the cost side. So net-net, if you really see out of 1.5%, close to 1% improvement will continue going

forward also is what we are estimating. The other remaining points, it could be because of all these other one-timers.

Basudeb Banerjee: So for this quarter, specifically, this 11.1% margin, how much would have been one-off?

Mahendra Kumar: My suggestion is, don't look at it on quarterly basis because there are several things which we accounted for on a full year basis also in terms of provisions and one-timers also. But directionally, we actually touched 10% on a full year basis. Out of that, close to about 0.5% to 0.6% could be because of these one-timers. The rest of it is the regular thing.

Basudeb Banerjee: Okay. So 10% reported full year, including 0.5 one-off. So directionally next year, one can expect it to operationally crossing double-digit revenue?

Mahendra Kumar: Yes, we don't want to give any guidance like that, but yes, our direction, our efforts will remain so.

Basudeb Banerjee: On the earlier question, you said capex outlook for FY'25 was what in absolute rupee terms?

Mahendra Kumar: Sorry, capex?

Basudeb Banerjee: capex plan for FY'25?

Mahendra Kumar: Yes. That would be close to INR200 crores.

Moderator: The next question is from the line Ankur Poddar from Svan Investments.

Ankur Poddar: I have 2 set of questions. There has been increase in the long-term debt compared to last year. So why is that increase the long-term debt has increased by almost from INR415 crores to INR651 crores. So why is that increase?

Mahendra Kumar: Yes. So, basically, you should look at the total debt profile. So if you really see from, I think,

INR1,635 crores or thereabouts, we brought it down to INR1,200 crores. If you really see last year's balance sheet, it was more of short term than long term, which was also creating significant stress on our liquidity also.

And that included the NCDs, which we actually repaid earlier last year, that is in FY'24. So what we did was we replaced some of the short -term debt with long -term debt just so that the liquidity pressure eases out over a period of time. In terms of the total debt, there was a significant reduction.

Ankur Poddar : Okay. Okay. So sir, in terms of total debt also, there has been sharp reduction, but on interest costs, we have not seen that direct impact, interest cost has remained similar compared to FY'23.

Mahendra Kumar: Yes, yes. So most of these reductions happened only in the recent times. So you should see that going forward. I think you would have already seen some good reduction this quarter in Q4. So that trend should continue going forward, assuming the business continues with this kind of performance.

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Ankur Poddar : Okay. Sir, also, there has been sharp increase in other expenses. Is there sort of one-off there? What run rate should we assume on a consistent basis?

Mahendra Kumar: Yes. So that includes some of these one-timers, which we talked about, the provision which we created. I mean one of the prominent EV customers, plus a few other provisions also which we provide on a consolidated basis.

Ankur Poddar : Okay. And sir, employee cost has remained on a similar level to the last quarter. So should we assume there will be some increase going forward in Q1 and so forth?

Mahendra Kumar: The

re may be some increase because Q1 anyway tests this merit increase impact and all. But otherwise, this should grow more or less in line with the top line.

Ankur Poddar : Okay. Sir, can you share what would have been our revenue from EV customers in FY'24 as a percentage?

Mahendra Kumar: We mentioned earlier in the call, 5.3% was the total revenue from EV-related.

Tarang Jain: Close to INR500 crores.

Ankur Poddar : Close to INR500 crores.

Mahendra Kumar: 5.3%.

Tarang Jain: 5.3% of INR7,500 crores.

Moderator: The next question is from the line of Aakash Gopani from Investec Capital Services.

Aakash Gopani: Yes, yes. Sir, just wanted to understand regarding the state incentive, which you highlighted. So the duration is, if I'm correct, 10 years. So any total incentive amount over here, which we will be receiving over the next 10 years?

Mahendra Kumar : Yes. The period of benefit is 10 years. So yes, it is distributed equally or recognized equally over 10 years.

Aakash Gopani: So would it be fair to assume around INR50 crores every year for the next 8, 9 years hereon?

Mahendra Kumar : Correct.

Aakash Gopani: Okay. Understood. And, sir, the next question is can you please give us some update on the China JV? Where are we in that process?

Tarang Jain: Yes. So there's no significant progress on that particular matter. As we indicated earlier, the arbitration proceedings on the final verdict is likely to come out maybe by end of H1. So that's when around that time, we'll have something to communicate on this.

Aakash Gopani: Okay. And lastly, on the EV order wins over the last quarter or so, have you seen any slowdown in order wins over there just because of general slowdown in the EV volume offtake or change in subsidies? Any incremental thing you would want to highlight over there?

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Arjun Jain: From a quarter perspective, I don't think that there is -- okay, if I put it differently if I answer the question really differently, I don't think there is a drop in engagement or a drop in interest from an EV product line perspective, of course, maybe market is a little bit slower, and I think we know subsidy is also reducing.

But OEMs look to continue to optimize also, right, which definitely creates opportunity -- which definitely creates opportunities for us. So I would say the engagement is still strong. And I think, at this stage, we are, I think, quite happy with the amount of program and the amount of work that we have to do.

Moderator: The next question is from the line of Sonal Gupta from HSBC Mutual Funds.

Sonal Gupta: Just clarifying, I mean this INR989 million of government incentives that you recognized this

quarter, how much would be FY'23 related?

Mahendra Kumar: It's 50 -50. It's equally distributed on these 2 years.

Sonal Gupta: And so going forward, would we be taking it on a quarterly basis? Or it will still be like you'll take it as a lumpy number?

Mahendra Kumar: Yes, we will do it on a quarterly basis.

Sonal Gupta: Right. And just on the INR16 crores -- I mean the INR16 crores receivable write -off, how -- I mean that's all coming in other expenses?

Mahendra Kumar: Yes, that's right.

Sonal Gupta: And would you be able to quantify because you said there are other write -off provisions as well.

So could you highlight what is the total quantum of these one -offs?

Mahendra Kumar: I don't want to call it out, but it's spread across multiple line items, but this is the most prominent one.

Moderator: The next question is from the line of Abhishek Jain from Alfa Accurate .

Abhishek Jain : Congrats on the strong set of number, sir. Sir, in this quarter, tax rate has gone up significantly.

So just wanted to understand what would be the effective tax rate for FY'25 and '26?

Mahendra Kumar: Yes. So this quarter, we again took some conservative calls because we we

re also considering

the deductibility of some of the expenses relating to R&D, which we incur for overseas. Plus the normal deferred tax charge, the asset charge that comes anyway. So in terms of the cash payout, if you really see, like how we communicated last quarter, we don't have to pay anything out in cash the next few years. But the normal deferred tax charge will, of course, continue to come in the P&L for the next few years.

Abhishek Jain : So what would be the effective tax rate for FY'25?

Mahendra Kumar: Would be maybe around 25%, 27%.

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Abhishek Jain : Okay. And sir, you have guided incremental revenue growth of around INR850 crores in FY'25 and INR1,450 crores in FY'26. How much would be from the EV side?

Mahendra Kumar: First of all, the INR850 crore s revenue is not a guidance. Second thing is the total revenue growth we are aiming for. This is only what is coming from the order book. Other than that, there should be regular organic growth anyway. Coming to the EV -related revenue, right now it is 5.3%, but gradually, it should move up to 10%, maybe by end of next year.

Abhishek Jain : Okay. And as the mix will change ICE versus EV, so what would be impact on the margin side, especially on the gross margin side? Because in EVs, most probably that gross margin would be lower in the initial years. So can you give some colors on that part?

Arjun Jain: So if -- I would say gross margin depends a lot more on the product lines rather than on the vehicle into which the product line is going, right? When I say that, what I mean is now, let's say it's in a forged part or an engine valve, the gross margin is always fundamentally superior versus if you look at an electronic assembly, the gross margin would actually be lower.

So I think it would be early to guide on a gross margin per se. But for sure, I mean, like we said before, we assess from a PBT standpoint, right? So from a PBT standpoint, we believe all growth will be healthy.

Mahendra Kumar: Also, as we communicated in the earlier calls, we continue to focus on these cost reductions and other initiatives. So our effort is always to improve contribution margin steadily over a period of time, close to about 1% per annum is what we are targeting.

Tarang Jain: So basically, when it comes to the EV, it's not that the EV gross margin is superior, but eventually, whether it's ICE engine parts or EV parts, overall, the trends are quite similar. So the pressures are there, both. But with whatever our cost initiatives are on a bill of material or on the variable costs, we do expect our gross margin and the contribution margin, like what our CFO said, a 1% improvement what we look to achieve year -on-year at least for the next couple of years. That's what we are targeting.

Abhishek Jain : Okay. And in this quarter, what is the adjusted EBITDA margin, excluding the government incentives?

Mahendra Kumar: We can compute it, 11.1% is a total adjusted EBITDA margin, which we showed in the slides also. But you shouldn't exclude the entire government incentive, what pertains to last year was only about half of it, which is close to over INR50 crores. So that you eliminate maybe about 0.2%, 0.3%.

Abhishek Jain : Okay. And sir, in this quarter, we have seen a very strong geography mix and a segment mix , because growth in the fourth quarter was very much strong in the domestic side. Further in the segment side also 4 -wheeler's growth was stronger. So how much benefit you got because of this mix? And will this EBITDA margin performance will continue or there will be a change on the mix?

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Tarang Jain: Yes. So the growth, like we have always said that, see, we are going to be 6% to 8% ahead of the overall market growth in the country on the automotive sector. So we -- and defini-

nitely, we

will see that our EBITDA is improving only as we move along. So this 10% will definitely go up as we go along. We are very confident, and we are also confident of our sales growth moving forward in FY'25.

Moderator: The next question is from the line of Vinay Jain from Karma Capital.

Vinay Jain: Congratulations on a good set of numbers. I just had one question. So if you see the revenue pie chart, which you have displayed in the presentation, there is a change in the mix. So now we are disclosing the domestic electrical and telecom business separately, along with lighting and overseas business. So if you could just give us a like-to-like number of how has been a growth for the full year for each of the 2 business segments? And maybe throw some color on how has been the sequential recovery in the overseas business? Those are my 2 questions, sir.

Mahendra Kumar: Yes. So coming to the sequential recovery in overseas business, it was good, better than the previous quarter, but not significantly better. So we'll have to give some more time to it. In terms of the segment-by-segment growth, maybe you should look at it on a full year basis. Most of the segments grew strongly, strongly well. The electrical electronics lighting and polymer business grew pretty well, strong double digits. The other businesses are moderate, maybe single-digit kind of growth.

Tarang Jain: Yes, just to add to what Mahendra just said. See, our focus in India has been more on electric electronics, lighting and polymer side, which has all grown very well in this previous year. And our metallic business has not grown as much by design. It's not just something by design if we want it even that could have grown more. But the design we have decided not to really invest too much on the metallic space, at least for the present.

And when it comes to the overseas, we have a very strong drive for new business wins, both in our 2W lighting business out of Europe and out of Vietnam and also on the electronics business in Romania. And I think there, we are making very good traction in our new business wins, and I'm quite sure that, going forward, at least from the second half of this financial year, we will see a good increase on the revenue side.

Vinay Jain: Just correct me if I'm wrong, but Mahendra said, did he mention that it will take 2 to 3 years to get back to our previous numbers when it comes to overseas business?

Mahendra Kumar: I said 1 to 2 years. So that is to see the full kind of recovery. What our CMD was mentioning, we will see signs of positive recovery starting from second half.

Tarang Jain: The second half of this year, we will see because we are very, very focused on the business wins there. And we are able to meet with some success. And we will see better numbers now just on the second half.

Vinay Jain: Understood. And lastly, on the China JV. So again, like there is this volatility in the share of profit which you have recognized. How do we go about it as far as the China JV concerned and the profit number?

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Mahendra Kumar: Yes. So China JV, of course, is somewhat seasonal in nature, particularly the Q4 had the Chinese New Year holidays and all. So because there was also lower volume. But I think we should see the full year number as a better picture of China numbers if we want to see it that way.

Tarang Jain: Q4 normally actually is the strongest, I think, quarter. And for them, for China, it's more like Q4 and for us is Q3. That's normally the strongest quarter and the Q1 for them and our Q4 is actually the weakest quarter because the Chinese holidays in February, almost there is very little revenue, maybe 50% or lower. So that definitely impacts the overall kind of results as such. But there also, I think there's a lot of very important business wins in the previous year, and we will see good growth in FY'25 as well when it comes to the China JV.

ow th in FY'25 as well when it comes to the China JV.

Moderator: The next question is from the line of Basudeb Banerjee from ICICI Securities.

Basudeb Banerjee: A couple of questions. One is how much is the receivables discounted end of this year?

Mahendra Kumar: See, on the average, you can say close to about INR600 crores of receivable discounting we have. It varies from week to week or month to month. But on the average, you can say it's about INR600 crores.

Basudeb Banerjee: Okay. So no major change from that, sir?

Mahendra Kumar: Yes.

Basudeb Banerjee: And second question, sir, if I missed out, is one -off write-offs which you accounted in the other expense for EV business. So which was the client name?

Mahendra Kumar: It's not appropriate on our part to disclose the name, but it is a prominent EV player, so you can guess the name.

Basudeb Banerjee: Can you discuss the reason behind writing off?

Mahendra Kumar: Yes. So we have waited long enough instead, as per the policy, we start providing for it after 1 year, 100%. So going by that logic also, it is enough for half of it, INR8 crores versus INR16 crores. But looking at the current scenario, we wanted to take a conservative approach provided for entire INR16 crores.

Basudeb Banerjee: Okay. So assuming that you are not in a position to get that.

Mahendra Kumar: Correct. We are still making efforts to recover it. So if it comes back later, then definitely, that's going to help.

Tarang Jain: We are still have not given up. I mean it's just that from an accounting angle, we've just been conservative here. But we are hopeful that there is some solution here on us recovering our amount.

Basudeb Banerjee: Sure. And last question, sir, from 5.3% of revenue being made, and on the other side, out of incremental order assets, I suppose you said almost 40% is from EV, am I right?

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Tarang Jain: Yes.

Basudeb Banerjee: So this whole transition from current mix to 40%. So what are the key areas which is driving this significant mix, is that motors or it's other parts can you highlight, sir?

Arjun Jain: So I'll clarify, when the 40% number is to do with the new business wins. So of our total new business wins, more than 40% is going into EV models.

Basudeb Banerjee: I did not mean that. I did not mean that, sir. Incremental order that 40% is a significant number. So can you highlight which are the key area products from this 40% of incremental order are these coming from?

Tarang Jain: So I can -- I'll tell you, if I would divide between 2-wheeler and 4-wheeler, 2-wheeler will be largely the electric powertrain where the motor and some of the electronics is major for our business customer as well as there are a couple of other customers where we have won the business win last year where the production will start later this year.

And in engine agnostic 2-wheeler also there would be other products like lighting and some of the other regular products we do on the EV, like seating, plastics, painting. So those kind of parts are there. And when it comes to 4-wheelers, it's to do with the lighting business as well as the plastic interiors, largely, like the top panels or the consoles or some of the painted parts, so that kind of business.

Basudeb Banerjee: So basically, there are various parts, which are powertrain agnostic that you are supplying to EV-specific models. And those products that you are separately classifying under EV orders, am I right?

Tarang Jain: Yes. So it would be both. It would be, of course, the EV powertrain products, which are largely two and three-wheeler driven. And there would also be -- there would be the other products, which are common to the ICE engine also would be in the EV and also, but the content of, I think, plastics, I think in EV product is, of course, significantly more because of lightweighting.

So there, we see a bigger business potential whenever we win a business.

Basudeb Banerjee: And would it be possible for you to highlight out of this 40% number of incremental order, how much is purely EV specific things and not seating or lighting or agnostic product part?

Arjun Jain: So directionally, it will be more than two-thirds is EV specific components

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Tarang Jain: So I thank you for all the questions, and thank you to everyone for joining this call and for your continuing support, and see you again once again after one quarter.

Moderator: On behalf of Investec Capital Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

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VARROC/SE/INT/2024-25/58 August 12, 2024

To,
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The Listing Department,
National Stock Exchange of India
Limited Exchange Plaza, Plot No. C/1, G Block, Bandra-Kurla Complex,
Bandra (East), Mumbai-400 051.
NSE Symbol: VARROC
The Manager – Listing
The Corporate Relation Department,
BSE Limited
Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai-400 001.
BSE Security Code: 541578
[Debt: 975062]

Sub: Transcript of Investor / Conference Call pertaining to Unaudited
Financial Results for the quarter ended on June 30, 2024 Dear Sir/Madam,
Please find Transcript of Investors / Conference Call held on Wednesday, August 7,
2024, in respect of the Un-audited Financial results for the quarter ended on June 30, 2024.

This is for your information and records.

For Varroc Engineering Limited

Ajay Sharma
Group General Counsel and Company Secretary Membership No. A-9127
Encl: a/a

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“Varroc Engineering Limited
Q1 FY '25 Post Results Conference Call ”
August 07 , 202 4

MANAGEMENT : MR. TARANG JAIN – CHAIRMAN AND MANAGING
DIRECTOR – VARROC ENGINEERING LIMITED
MR. ARJUN JAIN– WHOLE -TIME DIRECTOR AND CHIEF EXECUTIVE
OFFICER –BUSINESS -I – VARROC ENGINEERING
LIMITED
MR. K MAHENDRA KUMAR – GROUP CHIEF FINANCIAL OFFICER –
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MR. BIKASH DUGAR – HEAD INVESTOR RELATIONS –VARROC
ENGINEERING LIMITED

MODERATOR : MR. BASUDEB BANERJEE – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to Q1 FY'25 Post Result Conference Call of

Varroc Engineering hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Basudeb. Thank you, and over to you, sir.

Basudeb Banerjee: Thanks Sumit. Good evening all participants. Thanks to the management of Varroc Engineering for giving us the opportunity to host the call. We have with us the senior management represented by Mr. Tarang Jain, Chairman and Managing Director; Mr. Arjun Jain, Whole-Time Director and CEO of Business -I; Mr. Mahendra Kumar Karumanchi, Global Chief Financial Officer; and Mr. Bikash Dugar, Head of Investor Relations. So over to you, Tarang sir for initial comments.

Tarang Jain: Yes, Tarang Jain here. Thank you team ICICI Securities for hosting the call and good evening to everyone for joining the call. The Indian economy continues to perform well and the latest GDP growth for Q4 of FY '24 was a robust 7.8% for the quarter. This result confirms that India is the world's fastest-growing economy. The global economy continues to remain uncertain due to geopolitical issues in Europe and Asia and recession fears in the U.S. In Q1 FY '25, strong domestic macro factors resulted in most of the automobile segment growing on a year-on-year basis other than the commercial vehicle segment. The 2-wheeler segment grew by 19.6%, 3-wheelers grew by 9.4%, passenger vehicles grew by 5.8%, but the commercial vehicles degrew by 1.4%. On a quarter-on-quarter basis, we saw a degrowth in almost all segments other than 2-wheelers primarily due to the cyclical nature of the industry. 2-wheeler grew by 6.1%, 3-wheelers degrew by 1.4%, passenger vehicles degrew by 10.3% and the commercial vehicles degrew by 13.4%. The overseas market especially the U.S. and the European market also showed negative growth for 2-wheelers. In the Asian region, the growth was largely driven by low-end segments and the premium segment continues to struggle for growth in this region.

During quarter 1 of FY '25 despite negative growth in overseas operations which we explained in our previous calls and some commodity price adjustments the company registered a revenue of INR 18,989 million with a 5.2% year-on-year growth. The Indian business reported a growth of 11.3%. We remain confident that our business wins and EV volumes will be ramping up in the remaining part of this financial year. The profitability of the company was also impacted by the startup of cost owing to two plants -- two new plants in Maharashtra.

Despite these challenges, our company could registered a PBT of almost 3% during quarter 1 of FY '25. As indicated earlier, we are working on various special initiatives to achieve cost reductions across several categories of cost with special focus on fixed cost. We also mentioned earlier that we are increasing sourcing from renewable sources. The first phase of this initiative is expected to result in 36.6 megawatts of power of sourcing from solar power starting from quarter 2 of this year and is expected to give us an annual recurring saving of around INR 200 million.

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The Board has further approved Phase 2 to source another 14-megawatt power in this financial year. We are also implementing various initiatives in the overseas market also to reduce input costs and fixed costs. All these initiatives are expected to gradually improve our margins starting from half

2 of this year.

We also continue to remain prudent in our capital allocation and exercise tight control on working capital and capex. This resulted in a net debt reducing by further INR 668 million in quarter 1 of FY '25 and our net debt to equity has improved to 0.59. We remain committed to improving free cash flow generation and centering the balance sheet. In the past 2 years, we have seen our efforts resulting in a strong free cash flow generation and debt reduction, thereby tendering our balance sheet.

This improvement has resulted in an upgrade to the credit rating of the company by 1 notch to AA minus for long term, and our short-term rating is at a top notch, which is A1 plus. Our endeavour remains to continue this journey of improvement in coming years also. In quarter 1 of FY '25, our lifetime new business wins was over INR 7,959 million, the cumulative order wins are expected to result in an annual peak revenue levels of around INR 1,416 million, nearly 48% of our business wins in this quarter has come from the EV players revenue from supplying to EV players in quarter 1 FY '25 was approximately 8% of our overall revenues.

Looking ahead, while the global economic environment remains uncertain, we are confident in our ability to capitalize on opportunities. We continue to innovate by further strengthening our engineering capabilities team and operations through further cost reductions and working capital optimization. Our endeavour will remain to expand our presence through focused products to

drive sustainable growth and deliver value to our shareholders.

We also continue to focus more on export opportunities, growing our aftermarket business. We'll continue to build on our strengths, uphold our values and create value for all stakeholders. We have uploaded our investor presentation in the stock exchange as well as on the website. I will now ask MK, our Group CFO, to walk you through the presentation and give more insights on the financial performance for this quarter. Thank you.

K. Mahendra Kumar: Thank you, Tarang. Good evening, everyone. Let me reiterate some of these highlights. 11.3% was the India business growth during Q1. At the total consolidated level it worked out to 5.2%, largely because of the challenges which we have in the overseas markets. We explained it in the previous calls also that H1 is going to be tough for us for the overseas business. But thereafter, we should see a gradual recovery over the next 1 to 2 years.

Coming to the profitability, we reported 2.9% PBT in Q1 compared to 3.6% last year. And EBITDA was at 9.1%. Net debt continued the downward journey. So we reduced by about INR66 crores in Q1. So we are now pretty close to INR900 crores with just about INR916 crores kind of net debt level.

As our Chairman mentioned the rating upgrade happened to AA minus. In terms of lifetime business one also close to 8 billion of new lifetime orders is what we could win in Q1 and
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interestingly almost 50% or 48% of the business EV-related basis. And actually the revenue from EV-related business in Q1 added up to 7.8% of revenue.

Coming to the cost reductions, as our Chairman pointed out, the renewable energy is now going to yield results from Q2 onwards, which should actually give us INR20 crores of benefits on a recurring basis annually. Further, we are also trying to invest in Phase 2, which will get us another 14 million megawatts through renewable sources. That should also give about INR7 crores to INR8 crores of recurring savings per annum, once it is implemented.

Going to the next slide, which is about the automotive production trends. I think some of these numbers were mentioned by our Chairman already. So if you see the year-over-year growth, almost all the segments registered either single-digit or double-digit growth, 2-wheelers grew by almost

20%. Commercial vehicles alone had a negative growth. On a sequential quarter-over-quarter basis, two-wheeler grew by about 6%, and other segments had a negative growth. In the current quarter, on a sequential basis, EV 2-wheeler actually registered a growth of close to 6%, 6.4%.

And then coming to the consolidated financials. As mentioned earlier, it's a 5.2% growth in top line, 2.9% in terms of PBT. There are a couple of challenges, of course, which we briefly talked about earlier contributed to this kind of challenges in Q1. One is the -- in terms of profitability, if you really see the negative operating leverage in overseas operations had an impact, which we also indicated earlier.

In addition to that, there were a couple of new plants also, which have just commissioned operations in Maharashtra, so there are initial start-up costs, which impacted us in Q1. But here again, we should see gradual improvements in the coming quarters. So we are going to focus on ramping up of new volumes on the new order wins which we had in the recent times. So that should support revenue growth for the rest of the year.

In addition to that, as our Chairman also mentioned, we are focusing heavily on the cost reduction initiatives, particularly in fixed cost area. Coming to the balance sheet and ratios. As I mentioned earlier, the net debt is now close to INR916 crores. So that strengthens the ratios for us and the net-debt-to-equity is below 0.6% now, 0.59% and net debt to EBITDA is also just about 1.3%. And return on capital employed at about 16.3%.

The next slide, we have given the revenue breakdown. I think the key point to be noted here is the relative increase in size of electrical and electronics, plus also the polymers business. In terms of geography also, the India business strengthened further. And in terms of segments, 2- and 3-wheelers add up to now 78% of the total loan. And Bajaj business is now at 44.6%, close to 45%.

In terms of the order win close to 8 billion order win is what we are talking about. And this should result in an annual peak revenue of another INR142 crores. This is on top of what we announced earlier. And nearly close to 50% of this is in EV-related volumes. And another interesting point here will be 4-wheeler share is close to 71% of this total business strength. And the non-Bajaj part is almost like 85%.

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So the next slide is about our continuing philosophy of improving the top line growth, coupled with margin improvements and ensuring that everything converts into free cash flow and prudently gets deployed. So that philosophy continues for us. So the subsequent slides are more for information. So let me stop here. We'll be glad to take your questions from here. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: My first question is that if you can call out what was the impact of start-up costs in the -- for the two plants in Maharashtra?

K. Mahendra Kumar: Yes. So I mean, it's a significant number. I don't want to give the exact number, but it should actually improve it in the coming quarters.

Tarang Jain: It's a significant number. And these are two plants which we have started in our plastic moulding business and also we're doing some fuel tanks in Bajaj Auto. So these are the plants we've set up for Bajaj Auto within -- in Bajaj Auto. And this is where I think these are the start-up costs. But going forward, we see that these losses in Q2 will be significantly reduced. And then we start making margins from Q3 onwards.

Aditya Jhawar: Okay. Okay. Fair enough. As you explained, the growth between India and overseas market, it would be great if you can give some perspective on profitability of India and overseas. A related

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question is that how should we think about margin expansion from here on, if you can break it down between some geographic mix changes, certain overheads that will get better absorbed over a period of time, cost saving initiative, mix change, how should we think about margin? And also the spread of profitability between India and overseas market?

K. Mahendra Kumar: Aditya, Mahendra here. So to give you the overall picture, as far as the India business is concerned, I think the cost reductions are gradually falling in place. If you eliminate the impact of the government incentives in Q4, I think there was some improvement, some reasonable improvement in the gross margins already in this quarter. So in India business, that story continues. And we are also focusing on all these other fixed cost reductions in the coming quarters. So that should strengthen the Indian profitability further.

As far as the overseas thing is concerned, as we indicated earlier, the negative operating leverage is coming and hitting us, which is what we indicated in the previous quarters also. That will take some time. I think it should slowly improve, but for us to see any concrete improvement, I think it will take anywhere between 1 to 2 years. So what we are now heavily banking on is on the cost reductions, while we wait for the ramp-up to happen on the volumes.

Our heavy focus is now on reducing cost, both in terms of the regular supply chain cost reductions, which we anyway do. On top of that, we are also working on some cost reduction programs with some big 4 consultants. So that will enable us to see some good cost reduction starting from H2, but again, for you to see the full year benefit, I think it will obviously start from next year.

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Aditya Jhawar: And the number would you like to give what should we think about margin and the split between India and overseas

K. Mahendra Kumar: I mean, I don't want to put a number to it, obviously, but margins should certainly improve from the current level in the outer quarters as far as the India business is concerned. Overseas should more or less stay at this level. So on the whole, we should see improvement from the current levels.

Arjun Jain: And Aditya I would add. I think in India, I think we would expect incremental operating leverage also coming from the ramp-ups of the different launches that we've had, right? So of course, I think, in both different vehicles in the market that have launched, we have content over there. But also as EV volumes also continue to expand, I think all of that together would give us a fair amount of operating leverage also.

K. Mahendra Kumar: And what we have already announced, Aditya, is on the renewable energy part, which is like INR20 crores. So that itself is close to 0.3%. We want to be sure about the numbers. But the other things are still in the pipeline. -- maybe once we get clarity, we'll be able to share.

Aditya Jhawar: Okay. My final question is on order win. So if you see that EV is about 48% of lifetime order win -- and Bajaj Auto share in lifetime order win is sub -20%. So it would be interesting if you could highlight that what are the breakthroughs that we have had in EV orders in non-Bajaj customers and if you can highlight some products?

Arjun Jain: Yes. So it's -- so again, it's not necessarily just EV specific products, right? When we're declaring these order wins, we are bifurcating between what is going into an EV model versus what is going into an ICE model, right? Like we have declared before, we have 2 EV powertrain customers beyond Bajaj for whom development is ongoing. One is local, 1 is foreign.

So those SOPs also, we would expect within this financial year. Outside of that, there is a fair amount of business wins that have taken place across lighting, across painted plastics, across full-service ap

plied polymer parts into passenger car, right? So I mean to give you a little bit of color. I think that's basically the broad split of the order we have.

Aditya Jhawar: Sure. I'll take it offline. That's it for me all the best.

Moderator: Thank you. The next question is from the line of Vishal from Svan Investment. Please go ahead.

Vishal: Sir, this question is regarding our gross margin. We have seen a slip of almost 190 basis points in gross margin. Can you explain -- is there any component of start-up cost sitting there as well or basically -- is it because of raw material escalation or -- can you throw some light on that please?

K. Mahendra Kumar: Yes, Vishal. I think you're looking at it sequentially. What you need to do is you need to adjust for the one-time like government incentive which we had last quarter. So if we eliminate that from the revenue actually it improved by 1%.

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Vishal: Okay. Sir, one more question regarding our overall growth. So if we see almost 55%, 60% of our business comes from the 2-wheeler and except for 2-wheelers sequentially all the segments have seen marginally decline or a double-digit decline in case of CV we have seen a double-digit decline.

And for us, top line has degrown by almost 4%. So is it fair to assume that there has been no content increase as far as growth is concerned for us in this top line -- in this quarter?

K. Mahendra Kumar: No, Aditya, I think, again, you're seeing it sequentially last quarter was colored by the government incentives, which was a cumulative thing which we took last quarter. So if we eliminate that from the base, it was more or less flat or maybe slightly about 1% increase sequentially.

But that was again driven by various factors. I think 1 of them in the lower ramp-up in the EV segment also, which should now pick up momentum because of the same 2 incentive and the other uncertainties, the EV volumes of 2-wheeler did not grow much in the first quarter. So it should get corrected from now on.

Vishal: Okay. Okay. So sir, in normal conventional vehicle volumes, we have guided that in the incremental order book, our content increase is much higher. So as the execution on the new order has not begun to that extent where it will materially benefit our content. Is this understanding right?

Arjun Jain: No, I would say the execution, I think for a fairly large portion of our order book and for the launches that were to be expected so far, the execution has taken place. But in terms of the ramp-up of the volume for that execution and also sometimes the customer model also is a little bit delayed. That also -- I would say that also potentially sets us back a little bit. But -- but having said that, I think in terms of execution being on track, I would say execution is largely on track.

Vishal: Okay. So sir, going ahead, how do you see our content increase in coming quarters and for this year. And there is a lot of noise going around that for 4-wheeler segment this year is going to be a challenging year. So how do you see going forward, our top line growth for FY '25 first half and second half, perhaps if you can throw some light on that?

Arjun Jain: So okay. I think we are thinking through this content increase topic, I would break it up into 2 parts, right? I think one is with, let's say, the level of technology that is already executed on certain vehicles driving incremental market share gain, right? So some of our launches really enable us to drive a level of market share gain, right? So that is one part of the story. And really, I think in 2-wheeler, I would say that is a more applicable part of the story because practically, the total content that we have talked about in the past, we have launched a product for almost -- I mean, all of that content, we have a product on the road to address it.

When it comes

es to passenger car, for sure, there is a level of content increase that is taking place both further content increase that's taking place both in lighting and also in terms of polymer parts. And I think those are launches that -- I think those are launches that we would expect to see those are launches, especially in the whole service polymer parts that we would expect to see through the rest of the year.

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Vishal: Okay. Sir, in terms of -- we have seen there has been reduction in the debt levels. But our interest

cost remained around INR44 crores for the quarter. In fact, for last 2 years, there has been some notable decrease in the debt levels. But quarterly run rate of the interest costs have remained almost at similar levels of around INR45 crores, INR50-odd crores.

So when can we see -- sir, first question is why is it so, why it's not a notable decrease in the interest cost and when can we see some kind of substantial decrease in the interest cost from here on?

K. Mahendra Kumar: No. Here again, I think we need to compare apples to apples. If you see Q4 number, Q4 interest cost. It also had a benefit of reclassification of leasing interest between interest line item and the other rental expense. So that way, if you really see in terms of the actual interest cost, there was a reduction of about INR3 crores. already between Q4 and Q1.

So that way, I think the benefit has started flowing in. We should see this continuing and becoming even better as we continue to repay it.

Vishal: Okay. Sir, I was comparing in fact, from first 3 quarters of FY '24, there was almost around INR50 crores of interest cost, which has decreased to INR45 crores last quarter in Q4, and now it is around INR44 crores. So my question was -- and in this period, there has been substantial decrease in the overall debt level.

So and that meaningful decrease in the interest cost hasn't come. So that was my question. I was coming from that when can we see? So as you're saying, that from quarter -on-quarter, we will be seeing some material decrease in the interest cost. Is the understanding right?

K. Mahendra Kumar: Correct. We should see it. Another point is if you're comparing with 1 year ago. Some of these lease interest also got added, like what we mentioned, some of these new plants had leasing arrangements, plus we have an R&D center also which got into a leasing arrangement or renewed it. So those lease interests are also included in this line item.

On top of that, there is a loan prepayment cost also, which got included under this line item in certain quarters. Here again, it's all bunched up under this line item called financing cost. So maybe some of this noise will get eliminated in the coming quarters because there are no more such adjustments, which are likely to come in the near future. So as the debt keeps coming down now from now on, you should be able to see that kind of reduction.

Vishal: Okay. Sir, my last question, if I can take 1 more. Sir, regarding our other expenses and the employee cost, is it the same -- a substantial portion of the start-up cost is sitting in these items. Is the understanding right?

K. Mahendra Kumar: Yes, you're right. Plus, it also includes impacts of some of these power cost increases. Those kind of things. Yes.

Vishal: Okay. So this has been elevated for last 2 quarters. So gradually, we should see some sort of decrease as we go ahead in the upcoming quarters as things will be absorbed from the point of view of the 2 plants, right?

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K. Mahendra Kumar: Yes. So yes and no. The reason is, yes some of these start-up costs should come down going forward. But at the same time, as the scale goes up, it has both variable and fixed components. So some of the costs will also go up as the scale of operations goes

up. And if you're comparing with the previous quarter, previous quarter also had this onetime write-off, which we took on 1 of the EV customers.

That is also part of this. So that way the previous quarter number was pretty high. But the current quarter number also will go -- I mean, will go up and down depending upon the scale of operations going up plus some of the start-up costs getting reduced.

Vishal: Okay. Thank you so much sir and all the best. Thank you.

Moderator: Thank you. The next question is from the line of Vinay Jain from Karma Capital. Please go ahead.

Vinay Jain: Very heartening to see a gradual improvement in the overseas business top line, although not that incremental, but a gradual steady growth coming there and the gross margins improving on a sequential basis. What is somewhat concerning to me is if you look at the domestic electrical, electronics and lighting business. So that has grown in high single-digit versus -- again, our mix also was favorable with almost 78% coming from 2-wheeler, 3-wheeler.

So just wanted to understand what am I missing over here? So versus an industry growth versus our mix also being higher, why is the revenue growth slightly on the softer side?

Arjun Jain: Yes. So I would say two or three different reasons, right? I think, one, if you look at the volume growth in the 2-wheeler industry it's largely come in ICE scooters and some 125cc and below vehicles where I would say naturally, we have slightly lesser presence. I think where we have fundamentally far more presence is in the 150cc and above. And also we have significant presence on EV.

So I think as those segments continue to ramp up and our launches in those segments ramp up,

I think that is something that -- I think that is something that we will correct.

Further, I think, in this is also the passenger car -- passenger car lighting and passenger car for sure, I think, has been a little bit depressed in this quarter. So I would say that's really why in this quarter, you see that impact. But on the flip side, right, I think our polymer business given its pan -India presence and given significant volume presence across all segments of vehicles, I think you've seen that business do very well.

Vinay Jain: And Tarang, sir, in the opening remarks mentioned about the price -- commodity price adjustments also impacting revenue to a certain extent. So -- could you maybe dwell a little bit more on that aspect?

K. Mahendra Kumar: Yes. So these are some of the normal adjustments or price changes which keep happening in this industry, as you know. So this is again a transitory phase. So it should get corrected in the outer quarters.

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Tarang Jain: Nothing very special or significant or something. And I think we will see really a lot of improvements from Q2 onwards.

Vinay Jain: And lastly, on -- coming to the PV segment, again, if you see 4 -wheeler and others on a year -on-year basis, the degrowth seems to be quite sharp. So have we lost any business? So what is it pertaining to? Because if I see on a year -on-year basis, there is a drop of almost 19% coming on from the 4 -wheeler and other business segment?

Arjun Jain: Yes. So again, I think there are -- again, there are multiple topics at play. I think one in our overseas market also, I think there was definitely an element of -- significant element of sales into 4 -wheeler and then further, I would say, I think a lot of the growth that we've experienced - a lot of the growth that we experienced year -over-year has really come more from 2 -wheelers.

Tarang Jain: Basically, the degrowth was largely more, I think, in our foreign operations, not in the domestic operations, where it comes to passenger cars.

Vinay Jain: But just to better my understanding. So for the overseas, IMES would be largely contributing to this 4 -wheeler

segment, right?

Management: IMES is a non -auto segment. The overall export... .

K. Mahendra Kumar: Yes. It would be in the 4 -wheeler and others.

Management: IMES at the electronic part which we have in Romania.

K. Mahendra Kumar: Largely, it is this IMES facility and also our electronics plant in Romania where we have seen this kind of a degrowth.

Vinay Jain: Understood. Got it. That answers my question.

Moderator: Thank you. The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.

Jyoti Singh: Sir, my question is on the debt reduction side as we have reducing debt from last 2, 3 quarters, but if I see, it's not significant, we are doing in the range of 6% to 7%. So can I get some visibility on that side when we are going to reduce significant.

K. Mahendra Kumar: Sorry, I didn't get your question. What is the 6% to 7%.

Jyoti Singh: Debt reduction that we've done.

K. Mahendra Kumar: Yes. So interest cost, how I explained in the earlier part of this call, we should not compare this directly with the Q4 number because Q4 number also includes a onetime adjustment between interest cost and the other rental costs and other items. So if you eliminate it, there is actually -- there was actually INR3 crores reduction between the 2 quarters. So as we continue to reduce debt in the coming quarters, this should actually give more improvement.

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Jyoti Singh: Sir, my question is basically focused on the debt reduction side, like how much we are expecting further reduction.

K. Mahendra Kumar: Yes. So if you really see -- you might have seen what we reduced in the last 3, 4 quarters. So on the average, anywhere between INR50 crores to INR60 crores reduction per quarter has been the trend. So we should be able to continue this. Except that in between, we may have to invest some amount in terms of buying some additional land for our future growth. But otherwise, this should be the norm going forward.

Jyoti Singh: So we are -- I mean we don't -- we cannot expect significant, but it will be in this range only?

K. Mahendra Kumar: Yes. I mean, obviously, it has to come from free cash flow only. So -- so that's the kind of free cash flow generation anyway, which is what's going to happen going forward.

Jyoti Singh: Okay. And sir, another question on the PV content increase. So if you can shed some light on

the exact quantum, how much we have increased?

Arjun Jain: See, it's difficult to put -- I mean, it's difficult to put, how I say it, a number on it per se, right? Because the range can be extremely, extremely significant. Of course, I think with -- I mean, offline, I think Vikash can definitely drive some more color for you. But I mean, practically, you could -- you could have lighting, which is that you could have a full set for INR15,000, you could have a full set of INR50,000 also, right?

So -- in terms of -- similarly, I think even on the polymer, right, based on the level of finish requirement, based on what is the touch and feel expectation, whether for interior plastics, sometimes they maybe for exterior plastic, you can have a very wide range of that number it really depends on customer to customer requirement.

Jyoti Singh: Okay. And sir, just last question on the customer side. Like still Bajaj is contributing 45% of the revenue. So when we are targeting like other player in the industry that we can also then kind of that 15% from each customer. So when we can expect that?

Arjun Jain: Firstly, there is no stated desire to be at 15% from each customer. I think really the customer mix or even the segment mix, the derivative number based on what is the business that -- what are the businesses we have won, right? So I wouldn't say there is a strategy or a desire to reduce the share of Bajaj per se in some way.

Having said that, of course

re, today -- today in two-wheeler, we address and we supply to every customer in the market, every relevant customer in the market. So those touch points already exist. And I think if you see the order book also, I think the order book is definitely skewed a little bit -- the order book is skewed a little bit away from Bajaj. Further on passenger car as well, right? Today, if we look at the range of customers we have on passenger car, it is quite comprehensive right. We addressed Mahindra, we addressed Tata, VW, Renault, Nissan and then we have for the commercial vehicle -- MG Motors and then we have for the commercial vehicle customers also, right?

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Tarang Jain: So I mean, so as we move around, you will see that this not that we do not value the business of Bajaj Auto and that will keep growing. But yes, this percentage will probably keep coming down as we go forward. It's just that, okay, at present, I mean, it is at a higher percentage, but our efforts are on to win business from every single customer. So -- and that is also happening. And we've also won last year, substantial business from others and Bajaj Auto. So those will all come into play in this year and the coming years.

Moderator: Thank you. The next question is from the line of Vishal from Svan Investment. Please go ahead.

Vishal: Can you -- I missed the point where you explained that 4-wheeler segment the business has seen some declines. So Y-o-Y, if you see 4-wheeler and other segments I have seen some around 18%, 19% decline. So is it because of losing market share or some models which were being awarded to has not picked up? Or can you throw some light what happened there?

K. Mahendra Kumar: No. So like how Arjun explained earlier, this 4-wheeler segment includes the overseas business also, which witnessed significant degrowth as we explained earlier. So it's a combination of both.

Tarang Jain: So the significant decline happened actually in 2 of our plants abroad, 1 is EMIS and the other was in our Romania Electronics plant, where we saw a substantial decline in the volumes because of the situation in Europe.

Vishal: Okay. So can you throw some light in terms of domestic business, has it grown Y-o-Y and Q-on-Q? Or what is the status there for 4-wheeler business?

K. Mahendra Kumar: 4-wheeler business overall has remained muted only, not grown, not degrown in the India business.

Tarang Jain: At present. But we will see the growth happening in the coming quarters that this business will grow with all the business wins we have which we have had last year and year before last.

Vishal: Okay. Sir, just one request and suggestion from my side, and it will benefit everybody. If you can give a breakup of exports between 4-wheeler and how there has been trend on a quarterly basis in your presentation. If you add that slide and some color on your export business as well that will be really value add for us.

K. Mahendra Kumar: Okay fine. We'll do that.

Vishal: Thank you so much. Thank you and all the best.

Moderator: Thank you. That was the last question. I would now like to hand the conference over to the management for the closing remarks.

Tarang Jain: So thanks once again for all for joining the call and for your continuing support to our company.

Management: Thank you.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Dec 2024

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NSE Symbol: VARROC The Manager – Listing
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BSE Limited
Phiroze Jeejeebhoy Towers,
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BSE Security Code: 541578
[Debt: 975062]

Sub: Transcript of Investor / Conference Call pertaining to Unaudited
Financial Results for the quarter and half year ended on September 30, 2024 Dear Sir/Madam,

Please find Transcript of Investors / Conference Call held on Wednesday, November 13, 2024, in respect of the Un-audited Financial Results for the quarter and half year ended on September 30, 2024.

This is for your information and records.
For Varroc Engineering Limited

Ajay Sharma
Group General Counsel and Company Secretary
Encl: a/a

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“Varroc Engineering Limited
Q2 and H1 FY '25 Earnings Conference Call ”
November 13 , 202 4

DHRUV JAIN: MR. TARANG JAIN – CHAIRMAN AND MANAGING
DIRECTOR – VARROC ENGINEERING LIMITED
MR. ARJUN JAIN– WHOLE -TIME DIRECTOR AND
CHIEF EXECUTIVE OFFICER BUSINESS -I –VARROC
ENGINEERING LIMITED
MR. DHRUV JAIN – WHOLE -TIME DIRECTOR AND
CHIEF EXECUTIVE OFFICER OF BUSINESS II –VARROC
ENGINEERING LIMITED
MR. K MAHENDRA KUMAR – GROUP CHIEF
FINANCIAL OFFICER –VARROC ENGINEERING

LIMITED
MR. BIKASH DUGAR – HEAD INVESTOR RELATIONS
AND FINANCE CONTROLLER BUSINESS -II–VARROC
ENGINEERING LIMITED

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MODERATOR : MR. ADITYA JHAWAR – INVESTEC

Moderator: Ladies and gentlemen, good day, and welcome to Q2 and H1 FY '25 Earnings Conference Call of Varroc Engineering Limited hosted by Investec Capital Services. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aditya Jhawar from Investec. Thank you, and over to you.

Aditya Jhawar: Yes. Thank you. Good evening to you all. From Varroc Engineering, we have with us Mr. Tarang Jain, Chairman and Managing Director; Mr. Arjun Jain, Whole -Time Director and CEO of BD1; Mr. Dhruv Jain, Whole -Time Director and CEO of Business Unit II ; Mr. Mahendra Kumar, Group CFO; and Mr. Bikash Dugar, Head, Investor Relations and Finance Controller of Business -II

We'll start with the call with a brief opening comments from the management followed by Q&A session. I would now like to invite Mr. Tarang Jain for the opening remarks. Thank you, and over to you, Tarang.

Tarang Jain: Thank you, Aditya, and thank you, team Investec for hosting the call, and a good evening to everyone who has joined the call. To start with the India GDP growth for Q1 of FY '25 was at 6.7%. This was lower than the earlier projections given by the RBI and lower than the growth levels of the previous few quarters. While urban consumption is down, rural consumption has been improving during the financial year, which also reflected in the good growth seen in the 2 -wheeler industry.

During Q2 of FY '25, the 2 -wheeler and 3 -wheeler segments registered good growth; however, the passenger cars and the commercial vehicles remain challenged on a year -on-year basis. 2-wheelers grew by 12.5%, 3 -wheelers grew by 6.3%, passenger vehicles de -grew by 0.7% and the commercial vehicles de -grew by 13.3%. However, on a quarter -on-quarter basis, we saw a growth in almost all segments other than commercial vehicles due to the early festive season. The 2 -wheelers grew here by 6.8%, 3 -wheelers grew by 29.3%, passenger vehicles grew by 5.7% and the commercial vehicles de -grew by 5.2%.

De-stocking by dealers before Euro V plus and lack of growth driven by lower consumption is impacting the European and the American 2 -wheeler market. In the ASEAN region, the growth was largely driven by low -end segments and the premium segment continues to struggle for growth in this region.

During quarter 2 of FY '25, the company has registered a revenue of INR20,808 million with a growth of 10.3% year -on-year. The India business reported a growth of 13.4%. The profit before tax of the company was at 4.4% for quarter 2 FY '25 due to the positive operating leverage
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seen in the India operations. The consolidated profitability remains impacted by de -growth in the overseas businesses, R&D spending and overseas operations for future growth.

On a quarter -on-quarter basis, the company reported improvement all around. The revenue on quarter -on-quarter grew by 9.6%. The EBITDA margin improved by 60 basis points and the PBT margin by 150 basis points. The company's balance sheet continues to strengthen along with improvements in the return ratios. The net debt of the company in H1 FY '25 reduced by INR1,554 million and net debt to equity has reduced to 0.5x at the end of H1 FY '25 from 0.64x at the end of FY '24.

The absolute net debt figure is INR8,273 million. The annualized return on capital employed at the e

nd of H1 FY '25 stood at 19%. The capex spend in H1 FY'25 was INR1,030 million. The capex spending in H2 FY '25 will increase, driven by the need for additional SMT lines for electronics and the increased EV capacity needed.

We are also investing in land in southern and western part of India for future growth. As indicated earlier, we are working on various initiatives to drive cost reductions across several categories of costs with special focus on fixed costs. Some of these measures have already started showing impact on our bottom line, but most of them will fully get reflected by Q4 of FY '25. We have also rationalized headcount levels across businesses and functions. We continue to look at avenues to make the organization more lean, nimble, and agile and to increase speed in decision-making.

The order book for H1 FY '25 continues to remain healthy, and we continue to build the order book in both India and the overseas business. In H1 FY '25, we have achieved net new business wins with annualized peak revenues of INR6,046 million. The order book from EV models constitutes more than 37% of these wins. In the first half, we added various new-age technological advanced product portfolios in our business. We started the production of integrated starter generator and soft-touch door panels for Mahindra, whereas we won business for battery management systems for electric vehicles, thus further increasing our content in the electric vehicle space. We also won business for interior ambient lighting from a global player, which helps in increasing our offering for 4-wheeler vehicles.

We will continue to innovate by further strengthening our engineering capabilities streamlining our operations to further cost reductions and working capital optimization. Our endeavour will remain to expand our presence through focused products to drive sustainable growth and deliver value to our shareholders.

Beyond business, we continue to focus on various ESG aspects to make the organization more sustainable. We have published our first sustainability report, which can be accessed on our website. Our efforts towards giving back to society is also being recognized. The Kham River restoration in Aurangabad was recognized by the WRI Ross Centre for Sustainable Cities as 1 of the top 5 finalists globally for their prestigious award. This project also received globally recognized prestigious award that is The St. Andrews Prize for the Environment.

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With this, I will now ask MK, our Group CFO, to walk you through the presentation and give more insights into the financial performance. We've uploaded the investor presentation to the stock exchanges as well as on the website. Over to you.

Mahendra Kumar: Thank you, Tarang. Good evening, everybody. Let me take you through the highlights. Most of these points have been highlighted by our Chairman already. Basically, we had a revenue growth of 10.3% in Q2, but India business registered a strong growth of 13.4%. Profitability was at 4.4% at PBT level during Q2 versus 3.9% last year. EBITDA came in at 9.7%, marginally lower from 9.9%, which you saw last year.

The net debt reduction journey continues. So we brought it down to INR827 crores now by end of last quarter. In terms of lifetime orders, the cumulative H1 FY '25 lifetime orders were INR32.5 billion, which has the potential of annual peak revenue of INR6 billion. And more than 37% of this business is related to the EV vehicles.

The other highlights, of course, our Chairman covered already. I just want to bring your attention to the new products, which we listed out here. These are the 4 new products which we are working on, and

which are going to give us the future growth potential, which is basically the interior ambient lighting, soft door touch panel, battery management system and ISG, which is integrated starter generator.

Going to the next slide, which is about the industry trend. We really see the trend by segment. Year-over-year, 2-wheeler grew by 12.5% during second quarter. Three-wheeler also registered a growth of single digit, 6.3%. Passenger vehicles and commercial vehicles had a de-growth. Passenger vehicle de-grew by 0.7% and a commercial vehicle by 13.3%.

However, on a quarter-over-quarter basis, 2-wheelers grew by close to 7%, 6.8%; 3-wheeler by strong 29.3%; passenger vehicle grew by about 5.7% and commercial vehicle had a de-growth. EV 2-wheeler volumes on quarter-over-quarter grew by almost 74%. So those are the highlights. In terms of H1, again, 2-wheelers grew by about 15.8%, 3-wheeler by 7.6%, passenger vehicle by 2.4%.

Coming to the financials. The 10.3% growth in top line we talked about already. So this resulted in a 4.4% PBT for us. Our Indian operations, of course, grew by 13.4%. The profitability, of course, registered a significant growth compared to sequential quarter compared to Q1, the PBT went up by 62% and compared to the same period last year, the PBT went up by about 23%. So these are the significant growth numbers which we could see in the profit level. And if you really look at the H1 in total, all of you know that in Q1, we had some challenges in terms of the overall growth. So H1 growth came in at about 7.8%, PBT at 3.7%, more or less similar to what it was last year. Indian operations in total, of course, grew by about 12.4%. On the next slide,

we talk about the consolidated ratio on the balance sheet numbers. The net debt came down to INR827 crores, equity of INR1,640 crores. Some of you may remember that about 2 years ago after the divestment, it was the other way, we had debt of close to INR1,500 -plus crores . So, it actually now shifted the other way. So that's a significant development. Net debt to equity is

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now very comfortable at 0.5%. Net debt to EBITDA is at 1.11% based on the annualized EBITDA level. The return on capital employed is also strong at around 19%.

The next slide, we gave the revenue breakdown. We gave the breakup by business unit and also by segment and customer and geography. By segment, if you really, 75% comes now -- comes from 2 -wheelers and 3 -wheelers now. And India's revenue is close to about 88% of the total. Bajaj revenue, of course, strengthened from 40.6% to 45.3%, mainly because of the increase in EV business.

On the new lifetime order win, of course, we discussed this already, it's about INR32 billion, giving us INR6 billion of annual peak revenue potential. The lifetime revenue or breakup if you really see, 2 -wheeler and 3 -wheeler constitute about close to 46% of the total. And Bajaj at 47%. And interestingly, the EV part of the overall order intake is close to 37%.

In the next couple of slides we explain what these new products are all about. And then finally, we also gave some pictures of the new or additional capex , which we are going to spend basically for growth. We're going to invest in SMT lines to take the numbers from 10 to 15 to basically meet our demand for electronics. We're also expanding an existing plant to cater to the additional demand of EVs. And we are also acquiring land, both in south and also in the western part of India to further strengthen our relationship with a couple of OEMs to cater to their requirements. So that's broadly what it is. In the subsequent slides, of course, we explain each business separately. So let me stop here, and then we can take questions. Thank you.

Moderator: Thank you very

much. We will now begin the question -and-answer session. We'll take our first question from the line of Arvind Sharma from Citi.

Arvind Sharma: First question would be on the gross margin in this quarter was slightly on the weaker side quarter -on-quarter, so any specific reason for that?

Arjun Jain: Yes, I think there is a couple of reasons. I think, firstly, in IMES, we've had a change in our sales model to the customer, which has contributed to the gross margin fall. And then further, there's been a level of mix impact. And there are also some resin -related lags in our RM pricing or in resin -related RM pass -through lag.

Arvind Sharma: Got it. So is it going to stay at these levels or going forward, there could be a normalization, like an improvement in gross margin?

Arjun Jain: So the resin will, of course, normalize, but the notional impact in IMES due to the sales model to the customer, that is here to stay. But that does not impact the bottom line per se, it's only notional in the gross margin...

Mahendra Kumar: There's no impact on the absolute numbers. It is only the percentage which will look different .

Arvind Sharma: Got it. The second question would be on your outlook going forward, which segments are the ones where you believe that there could be significant growth?

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Tarang Jain: So I think what we see in Q2 is the programs that we had already -- or the businesses that we had already SOP'd and in particular, in EV are now seeing volume expansion, which is starting to flow into our revenue. And I think that is a trend that will only continue and strengthen.

Further, the order book that we have declared, I think the program launches are also now taking place. So , this is really across segments, across 2 -wheeler and passenger car both.

And I think that's also reflected in some of the business wins and SOPs that we've talked about even in terms of new technologies. So I would say it's a mix. I would say it's a mix between 2 -wheeler and passenger car. But yes, I think the order book is translating into -- the order book translates into real revenue now. But if you talk about the segments, of course, as you know, lighting is a very big segment all around.

So lighting will, of course, see with its 2 -wheeler and 4 -wheeler lighting will see a strong growth. Also on the plastic molding side, whether it's 2 -wheeler and the 4 -wheeler side. And like what Arjun mentioned, the EV side will see a growing momentum. All the EV powertrain and non -powertrain parts for 2 - and 3 -wheelers, especially we will see also quite a high growth in electronics in general.

So therefore, we were looking also earlier at investments coming in next year. But we had to

prepone some of the investments for our EV motors as well as for a lot of the electronics. So we are now postponing a lot of the capex in this regard now to at least 6 months earlier. So which is a good sign for future growth.

Arvind Sharma: Got it, sir. And just if I may ask on the tax part, tax rate was quite high. So any specific reason for that in this quarter? And what should be the normalized tax rate for second half and FY '26?

Mahendra Kumar: Yes. So there are a couple of reasons here. One is, of course, on some of these overseas businesses where we are actually incurring some losses, we haven't recognized the deferred tax asset as of now because we need to see the turnaround to actually get that confidence and give that confidence to the auditors. So once we do that, that will get corrected. But otherwise, it is the normal thing only. Going forward, the stable effective tax rate could be in the range of around 25-27%.

Moderator: We'll take our next question from the line of Aditya Jhawar from Investec.

Aditya Jhawar: Yes. A few questions here. On the new business wins, for example, the BMS order win, can you talk

a little bit more about it? Did you mention it is for M&M, number one?

Arjun Jain: No. It's for 2-wheeler customers.

Aditya Jhawar: This new BMS win is for a 2-wheeler customer. So if you can -- Arjun, if you can elaborate whether it's a new-age OEM, existing customer incumbent, and how do you see volume ramp up on this?

Tarang Jain: It is an existing customer. So it is an order, and it will be quite a large volume going forward, but it's from an existing customer.

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Aditya Jhawar: Okay. Okay. Fair enough. Similarly for this interior in-built lighting order win, if you can talk a little bit about, is it a domestic customer, overseas customer? And how do you see it ramping up? Do we need to set up a separate facility or will it be catered by existing facility?

Tarang Jain: So this, I think Dhruv will explain, but this is, of course, for our overseas business is for our overseas electronics plant in Romania. And it is from an American customer, but I think maybe Dhruv you can elaborate a little bit on that.

Dhruv Jain: Yes. So I think just to add to what my father just said. So this is for a North American EV customer, and this would be serviced out of our Romania electronics plant. And we're expecting the SOP in 2026.

Tarang Jain: Any major capex or anything over there in this regard?

Dhruv Jain: Yes., so there will be no major capex and in terms of any specific capex, this is also reimbursed by the customer.

Aditya Jhawar: Okay. Okay. Fair enough. And Tarang, you mentioned that there is some acceleration in capex that you have planned in the second half of the year. So for FY '25, what would be the total quantum? And directionally, if you can talk about what would be the capex in FY '26 as well?

Tarang Jain: So basically, I think we had given a guideline, and we were trying to also obviously be more careful on the capex, milk our existing assets. So we have given a guideline of INR200 crores.

But I think seeing this that we are investing now and including on the land also, so this could go up to this year INR260 crores, INR270 crores. And next year also, I think definitely, we would try to see that it is around INR200 crores, but it could also, depending on the growth and we are quite aggressive now on new sales wins, so there, again, it could go up to INR260 crores, INR270 crores next year also because we don't want to lose any opportunities in the marketplace at present.

Aditya Jhawar: Okay. Okay. Fair enough. And 1 question for MK. Clearly, I think debt reduction is going as per plan, very, very encouraging to see that. So is there any target in mind for second half of the year and you have set a target for debt for FY '26?

Mahendra Kumar: Yes. I mean, internally, we have aggressive targets, but I think we should end this year with maybe around INR700 crores to INR750 crores is what is possible. But we are trying to do something more than that also, but certain things need to fall in place.

Aditya Jhawar: Okay. Okay. Fair enough. Final question to Arjun. Arjun, if you can talk a little bit about this new product of integrated starter motor? What kind of order visibility we have and engagement with customers? And how do you see volume ramp up? Is it one customer, multiple customers you're engaging with on this product right now?

Arjun Jain: So for one customer, we've already SOP'd 2 models, and we have business wins from a further customer as well. And I would say we are engaged in discussion and really prototyping activity with 2 more customers.

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Aditya Jhawar: Okay. And if you can give some colour on whether it is incumbent, existing customer, new-age customers?

Arjun Jain: So, this is essentially an integration of the Magneto, the starter motor, and the RR. So these customers are gen

erally the traditional OEMs. And all that -- we supply the, let's say, older version of technology to practically every OEM in the country. So everything is through an existing OEM only.

Tarang Jain: But just to elaborate, I think, let's say, Arjun is talking about at least engagement with 4 customers, and we've already SOP'd with 1 and other 3 also will happen going forward.

So 2 for us -- I mean, so 2 could be -- you could say, could also be a partial replacement where we are already supplying magnetos and starter motors and RRs, but to an entirely an additional business where we don't supply a magneto or a starter motor or RR. So 2 will be totally additional. So that will give us an additional revenue stream, and it won't be a replacement.

Aditya Jhawar: Okay. Okay. Fair enough. My final question, Tarang, is there any update on arbitration proceedings in China? And was there any arbitration costs that we have incurred in this quarter?

Tarang Jain: So I think the arbitration costs, firstly, is minimal because all this arbitration is now kind of closed. Now we are just awaiting the final kind of this thing -- the verdict from the tribunal in Singapore. And in fact, it has been delayed.

But now, what we understand is that hopefully, this month itself, before the end of the month, we should be able to get a verdict, or it could spill into probably December. But in any way, in any case, we have been told it is not -- it will not pass December 31. But the signs are that we could get it at an early date now. And once that is done, there will be a lot of clarity on China, how to move forward in a more clear manner.

Moderator: We'll take our next question from the line of Vijay Pandey from Nuvama.

Vijay Pandey: Congratulations on successful quarter closure. I have 2 questions. One was on the order book. So after the presentation, the order book or the new order book points to INR22,000 crores in revenue in FY '27. So is it like your expectation? Or is it like a lifetime orders -- like how should we think about it?

Tarang Jain: So this is not INR22,000 crores. This is INR22,000 million.

Moderator: Sorry, sir, can you speak a bit louder, please?

Bikash Dugar : It's not INR22,000 crores. It's INR22,000 million. So it's INR2,200 crores. And the way to read that -- Exactly. And that is the annual incremental over the FY '24 closure level. So it's not lifetime, it's annual.

Vijay Pandey: Okay. Okay. Okay. There was one more thing I wanted to check on the luxury part. You said in your opening remarks that the luxury in ASEAN is on a weaker side. How much should we think about like in terms of revenue or in terms of exposure, is it less than 10%? Is it around 5% or -- if you can give a bit of idea on that, that would be helpful.

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Bikash Dugar : So the overseas business, as you know, for 2-wheeler lighting is less than 5%. And out of that, when we talk about Piaggio, the customer who is into this luxury 2-wheeler segment, they contributes around 50% of our sales. So that segment is getting impacted because the sales in the ASEAN region of the luxury scooters are less as compared to the mass segment vehicle sales.

So it's overall less than 2%, 3%.

Moderator: Next question is from the line of Vishal S from S van Investments.

Vishal S : Congrats on decent set of numbers. Sir, my question is regarding the top line increase we have seen quarter-on-quarter from INR1,900 crores to INR2,100 crores, which is a healthy growth.

But in terms of other expenses and employee expenses have remained to the similar levels of the last quarter. So just wanted to clarify, is this a one-off benefit here and gradually going forward, next quarter, there will be an increase from here on? That is my first question, sir.

Mahendra Kumar: Yes. So in terms of other expenses, in Q1, we had certain professional consultancy expenses,

which have come down now. So it should more or less continue at this level as a percentage of revenue. And then employee expenses, yes, it should only get better.

Vishal S : Okay. Sir, my next question is regarding our share of business from Bajaj. If you see year-on-year, it has grown almost around 23%, 24-odd percent. But except for Bajaj, the other customers, it has remained almost on a flattish trajectory year-on-year. So how do we see this going forward? Because when I see the order book and the trajectory has been increasing, the share of non-Bajaj is close to around 52%, 53%, and this has been every quarter in the presentation, which you published, it has been increasing. So when this number will start reflecting on the overall top line?

Arjun Jain: So from a timing perspective and especially given how dynamic the market has been, I think it's hard to, let's say, predict an exact FY when we will see some dramatic change in the Bajaj percentages. And even if we look at the business win ratio, Bajaj is a significant portion of that. So today, I think the way we think about it is the business win and the execution of the business win is far more important than really the customer split. And based on timing, based on how different markets perform, whether it's 2-wheeler ICE products, 2-wheeler EV products, how different subsegments in the market perform, how passenger car performs, those percentages can change significantly.

Mahendra Kumar: Yes. And also -- it's also because the EV content is pretty high. And as EVs become more and more prominent, obviously, the Bajaj percentage will go up. So it's not because we have started taking less from others, generally because of the change in the EV penetration, correct?

Vishal S : Okay. I was coming to this question because I just needed a clarification whether there has been some market share loss, one, or there has been some deferment or delay in the new launches from the non-Bajaj customers, which has resulted in this flattish trajectory. Just that clarification I wanted from you.

Arjun Jain: There is no market share loss for sure. I think -- but again, like I said, right, it's a timing topic, right? If you look at this quarter, our sale into EV models is 12%, right, which is materially higher than -- materially higher than any quarter before that. Now of course, a large portion of
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that goes to Bajaj, which means that their weight in our mix increases. Tomorrow, for example, if passenger car starts to do better, we'll see maybe a reduction in that -- maybe we'll see a reduction in the Bajaj weight. But directionally, this is a mix that -- this is a mix that will broadly -- if market continues to perform the way it is, it will stay and it will evolve in line with the percentages that we are forecasting based on our business wins. But tomorrow, 2-wheeler EV dramatically increases in size, of course, the Bajaj weight will become bigger.

Vishal S : Perfect, sir. Sir, my last question is regarding -- just wanted to clarify, INR700 crores debt you mentioned for FY '25 as a target, is it the number of net debt or gross debt?

Mahendra Kumar: Yes, net debt. It can be better also, but there are certain things which need to fall in place. We need to also collect some government incentives and all from the government. So if all that falls in place, it can be better than that. But as of now, to be on the safe side, that's the target we are mentioning.

Moderator: We'll take our next question from the line of Iqbal Khan from ICICI Prudential Life.

Iqbal Khan : Sir, just wanted to understand from your order win perspective, around 37% odd is from EVs, right? So can you please elaborate on what all products is there? And what is the market size of those products? And how much is Bajaj or how much is non-Bajaj or is it? Yes. So just wanted to

g

et more clarity and sense on this EV products, new order wins?

Bikash Dugar : When we say EV customers, so these are also -- we spoke about the interior lighting business, which we have won from U.S.-based EV 4-wheeler player. That is one thing. Then there are 4-wheeler customers in India also, especially for their polymer parts, they'll be supplying them starting this year. So that is also there. And yes, there are incumbent 2-wheeler EV players to whom we'll start supplying BMS. So that is also part of this.

Iqbal Khan : All right. And sir, just 1 last. About the net debt, you mentioned that INR700 crores, INR750 crores of net debt by the end of this year, is this what I heard is correct?

Mahendra Kumar: Yes, yes, that's right.

Iqbal Khan : It will be from your internal cash generation, right? I mean, nothing of -- or is there any other way you're planning to reduce it?

Mahendra Kumar: No, no, it's through internal generation only.

Moderator: We'll take our next question from the line of Jai Prakash an Individual Investor.

Jai Prakash : My question to the management is that since March 2018, last 4 years, there was no reward for the individual investors despite there is a growth in your top line as well as your bottom line also, whether you have any discussion or you are focused on the rewarding the investors, there is no dividend, there is no buyback, anything? That is my question.

Mahendra Kumar: Yes. Thanks for the question. So as of now, like how we communicated earlier also, we are first focusing on strengthening the balance sheet and reducing the debt. At the same time, we are also giving importance to growth. So these 2 happen anyway, the benefit will flow to the investors

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indirectly in terms of the value enhancement. But having said that, yes, at some point in time,

we will discuss this at Board level on when to declare dividends, and we will start that.

Moderator: Next question is from the line of Pawan from Geojit PMS.

Pawan : Just a couple of questions. One, with more and more EV business, how should you think about margins for this part of the business? Is it different from the existing business .

Mahendra Kumar: It's more or less similar to the existing business. It won't be very different.

Pawan : Okay. So from current levels, how should you think about margins for next, say, 1 or 2, 3 years?

Mahendra Kumar: Well, we don't give that kind of guidance, but definitely, the operating leverage should definitely help us as we continue to grow our business, particularly in the EV segment. So that itself should help us. On top of that, we are also looking at various cost reduction initiatives like how our Chairman explained in his speech. Most of these will start showing results from Q4 onwards. So it should get better from the current levels. That's where we would like to stop.

Pawan : Okay. And in terms of revenue growth, sir, if you could give any colour going ahead?

Tarang Jain: See, revenue, our stated position is definitely our effort is that we want to be at least 6% to 8% more than the market growth. We understand that, that's not happened at the moment so far. But

I think going forward, that is the direction we have that -- because we place the most importance to revenue growth. So growth is definitely on top of our minds besides the other initiatives we are anyway taking. So this is something we will keep driving. And we are seeing a good amount of success also when it comes to new business wins and engagement with various customers.

Mahendra Kumar: Again, please don't take it as a future guidance. Yes, and one more thing we would like to remind all of you is we also talked about the overseas challenges, which will take some time to stabilize.

Pawan : Almost 85%, 90% of the business is domestic. So sir, I mean, my question is that whatever orders we've won in

last, say, few quarters, does it give a visibility that we can achieve this industry higher -- 6% to 8% higher than industry growth for FY '26?

Mahendra Kumar: Yes, it does.

Moderator: We'll take our next question from the line of Rohan Vora from Envision Capital.

Rohan Vora: So just one question was the capex that we've preponed. So some colour on what are the products where we are seeing interesting demand trends? And what is the current capacity utilization for those products around that?

Arjun Jain: So like we've declared, the capacity constraints we face are on electronics and in particular, PCB assembly. This goes into many products, right? So it practically goes into maybe half our sales.

So that is where we need to drive capacity expansion, and we're driving significant capacity expansion there. And the other one is in terms of the EV product lines, where we are -- where we also now feel -- where we also now face the need to expand capacities.

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Yes. I'm sorry. And the third one is in terms of painting, in particular for the Northern region.

Tarang Jain: For the Northern customers.

Rohan Vora: Understood. Understood. And sir, in case of PCB assembly, so what is the current utilization and how long can the current capacity support before the new capex comes in?

Arjun Jain: So at this point, for PCB assembly, we are fully utilized, which is why we are driving the capacity expansion.

Moderator: We'll take a next question from the line of Vijay Pandey from Nuvama.

Vijay Pandey: Just wanted to check on the -- if you could give us an idea about the content for EV and ICE for your products

Tarang Jain: Sorry, can you repeat the question?

Vijay Pandey: If you can give an idea about -- Yes. If you can give a little bit of idea on the content per vehicle -- for electric vehicles and ICE given such a big order from electric vehicles?

Bikash Dugar : In 2-wheelers, if you look at -- if I compare the EV models with 125 cc vehicle, so the content on an average with our incumbent customer -- incumbent customer in 2 -wheeler ICE for 125 cc, it will be around INR4,000 to INR5,000 per vehicle, whereas for EV, it will be around INR25,000 to INR30,000 content per vehicle. So that's around 5 to 6x of the ICE content.

Vijay Pandey: Okay. And -- but the margin is broadly similar for both EV and ICE components?

Tarang Jain: Yes. Comparable, yes.

Moderator: We'll take our next question from the line of Nishant from Geojit.

Nishant: Sir, firstly on -- I think in Q1, you mentioned about some startup costs related to the new plants that were coming up in Maharashtra. So could you just help us understand, I mean, where are - - I mean those costs still reflected in Q2 and how they would be going ahead?

Arjun Jain: Yes. I think we are at a place of far more stability now versus Q1. However, of course, there is always room for improvement across all operations. But yes, I mean, in all seriousness, we are definitely past the initial startup costs now.

Nishant: Okay. Any number that you could put around I mean what percentage?

Mahendra Kumar: No, we don't give those specifics. As Arjun pointed out, it's getting better certainly.

Nishant: Okay. And secondly, I think there was some notional impact on gross margin that was mentioned earlier by Arjun. So could you just expand a little bit? I mean, I didn't get that part clearly.

Arjun Jain: So the notional impact is so previously in one of our foreign plants, we were selling x material. Earlier material was supplied by the customer. So, the revenue recognition was only the value

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addition which we were doing. However, that the customer has changed the model now. So the material cost is now once again a part of the price as we are procuring the material.

Mahendra Kumar: So

earlier, we were only getting the conversion cost. Now both material is part of the cost, and the corresponding revenue is also part of the revenue.

Tarang Jain: This is only for one of our major customers for one of the major customers in that plant, the forging plant.

Mahendra Kumar: So it's the arithmetical impact. Both numerator and denominator.

Nishant: Sorry, so that had some negative impact on our gross margin?

Mahendra Kumar: Yes. It's purely arithmetic. Both numerator and denominator if they go up by the same number, you will have some impact on the percentage.

Nishant: Okay. Okay. Fair enough. And lastly, sir, if you just help me with what would be our average interest rate on the debt side?

Mahendra Kumar: Right now, it's around 9%.

Moderator: We'll take our next question from the line of Shridhar Kallani from Axis Securities.

Shridhar Kallani: Kindly pardon me, I was a little late to join the call. On the EBITDA front, on the stand-alone basis, we can see that we have almost clocked 11.4%, 11.5%, but on a consol basis, it is lower than 10%. Now I understand that there was some gross margin impact on your international business. Just wanted to understand if there is anything else that has impacted the margins in the European business? And what steps are we taking to improve the same? This is my first question.

Mahendra Kumar: Yes. I think Arjun explained it earlier, maybe you weren't there at the time. So there are 2 factors here, which happened. One, of course, there was some change in the mix of businesses, plus there was also some lag in recovering some of the inflation cost in terms of input cost, which should get corrected over a period of time. The second part is the arithmetic part, which we just explained.

Shridhar Kallani: Okay. Understood. So currently, the EBITDA margin is, I think, in low single digits for your European business?

Mahendra Kumar: So I think we should look at it at the consolidated level. So consolidated level gives the right picture. It should get better going forward.

Shridhar Kallani: All right. And on the tax front, you had mentioned that this is a onetime deferred tax expense, right?

Mahendra Kumar: No, no, no. See, the deferred tax asset, which we created end of last year will have to be recognized or taken to the P&L every quarter or every month rather. So that is the impact which you see in the deferred tax line item. On top of that, where we are losing money or where we're incurring loss in some of these overseas operations, we haven't recognized the tax benefit on

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those losses as a deferred tax asset because that requires a strong confirmation that the future is going to be highly profitable to recover those losses. So once that confidence comes in, we will certainly recognize that particular asset also. So right now, it's on a conservative basis.

Shridhar Kallani: So the auditors have disallowed recognizing the DTA because of low visibility? Is the understanding correct?

Mahendra Kumar: No, it's not disallowing or anything. We also did not take it because we also wanted to see that positive news coming in, and then we'll start recognizing it.

Moderator: We have a question from the line of Pravin from Kotak Securities.

Pravin: I just have one question. So in the notes, it mentioned that the company received an order from GST for appropriation of GST dues, right, to the tune of INR63 crores -- yes, I was just referring to the footnote that the orders that you got from GST, right, pertaining to GST dues. If you can throw some colour while the company is planning to contest for the penalty and interest rate in the core, but what will be the likely impact in 3Q?

Mahendra Kumar: We don't expect any near-term impact here because the base duty has been paid already, so that is settled. The dispute is only about the interest

st and the penalty. And this is an industry -wide issue. It's not just -- not pertaining to us alone. So there is a classification confusion, which got created because of the inadequate explanation in the tariff courts, so which is being contested by many participants of the industry. So we will take the legal recourse for this. And once that issue is settled, this will get settled. But we don't see any immediate or near -term impact because of this.

Pravin: Okay. But the INR63 crores, whatever is paid, it will be recognized in the third quarter, right?

Mahendra Kumar: No, no, that is already done. I mean it is basically the GST, which we are recovering from customer and customers are taking credit. So there's nothing to be further recognized on the INR63 crores. It's only the interest on penalty, which is under discussion.

Moderator: We'll take our next question from the line of Ashwini Agarwal from Demeter Advisors -LLC.

Ashwini Agarwal: Regarding the earthmoving equipment and construction machinery business, you had hoped for an improvement in the outlook there. Are you seeing any green shoots there?

Mahendra Kumar: Can you please repeat it? I couldn't hear you.

Tarang Jain: We lost you in the beginning.

Ashwini Agarwal: I'm saying is that one of your European subsidiaries has an exposure to earthmoving equipment and the construction machinery business, right?

Tarang Jain: That's right.

Ashwini Agarwal: Are you seeing any improvement in the outlook there because you were hoping to see some turn there?

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Tarang Jain: Yes. So here with this company, we are definitely very strongly engaged for getting more business from them. There are large customers. So the discussions are on there, and we are hopeful that we will win some more business on an immediate basis. So those discussions are on with this customer already. And we are hoping that we are able to win some additional business from this customer.

Ashwini Agarwal: Okay. But nothing visible right now?

Tarang Jain: Nothing has been clarified. We know what is possible, and that's what we are discussing on, but it is confirmed, we are not -- we cannot say anything.

Moderator: Ladies and gentlemen, we'll take that as the last question for today. I would now like to hand the conference over to management for closing comments. Over to you.

Tarang Jain: So thank you once again to all for joining this call and for your continuing support. See you again in the next quarter.

Moderator: Members of the management team. On behalf of Investec Capital Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

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To,

The Manager- Listing

The Listing Department,

National Stock Exchange of India Limited Exchange Plaza, Plot No. C/1, G Block, Bandra-Kurla Complex, Bandra (East),
Mumbai-400051. NSE Symbol: VARROC

The Manager – Listing

The Corporate Relation Department,

BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street, Fort, Mumbai-400 001. BSE Security Code: 541578 [Debt: 975062]

Sub: Transcript of Investor / Conference Call pertaining to Unaudited Financial

Results for the Quarter and Nine Months ended on December 31, 2024

Dear Sir/Madam,

Please find Transcript of Investors / Conference Call held on Monday, February 10,

2025, in respect of the Un-audited Financial Results for the quarter and Nine months year ended on December 31, 2024.

This is for your information and records.

For Varroc Engineering Limited

Ajay Sharma

Group General Counsel and Company Secretary

Encl: a/a

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Q3 FY '24 Earnings Conference Call "

February 10, 2025

MANAGEMENT : MR. TARANG JAIN – CHAIRMAN AND MANAGING

MODERATOR : DIRECTOR – VARROC ENGINEERING LIMITED

MR. ARJUN JAIN – WHOLE -TIME DIRECTOR AND
CHIEF EXECUTIVE OFFICER , BUSINESS DIVISION I –

VARROC ENGINEERING LIMITED

MR. DHRUV JAIN – DIRECTOR AND CHIEF

EXECUTIVE OFFICER, BUSINESS UNIT II – VARROC
ENGINEERING LIMITED

MR. K. MAHENDRA KUMAR – GROUP CHIEF
FINANCIAL OFFICER – VARROC ENGINEERING
LIMITED

MR. BIKASH DUGAR – HEAD, INVESTOR RELATIONS
AND FINANCE CONTROLLER OF BUSINESS UNIT II –
VARROC ENGINEERING LIMITED

MR. MIHIR VORA – EQUIRUS SECURITIES

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Moderator : Ladies and gentlemen, good day, and welcome to the Varroc Engineering Q3 FY '25 Earnings
Conference Call. As a reminder, all participant lines will be in the listen -only mode and there
will be an opportunity for you to ask questions after the presentation concludes. Should you need
assistance during the conference call, please signal an operator by pressing star then zero on
your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mihir Vora from Equirus Securities. Thank you, and over
to you, sir.

Mihir Vora: Thank you. So good afternoon to you all. From Varroc Engineering, we have with us Mr. Tarang
Jain, Chairman and Managing Director; Mr. Arjun Jain, Whole -Time Director and CEO of
Business Unit I; Mr. Dhruv Jain, Whole -Time Director and CEO of Business Unit II; Mr.
Mahendra Kumar, Group CFO; and Bikash Dugar, Head, IR and Finance Controller of Business
Unit II. We'll start the call with brief opening comments from the management, followed by the
Q&A session.

I would now like to invite Mr. Tarang Jain for the opening remarks. Thank you, and over to you,
sir.

Tarang Jain: Yes. Thank you, Mihir. Tarang Jain here. Thank you to team Equirus for hosting the call, and a good evening to everyone.

The Indian GDP has slowed down a little as compared to the last year, but still remains strong as compared to the modest global growth. The rural consumption has remained strong in the past few quarters. The income tax cut by the government in the budget and interest rate reduction by the Central Bank augurs well for India as it will help in further improving the consumption of the discretionary goods like automobiles.

During quarter 3 of FY '25, the 2-wheeler, 3-wheeler and passenger vehicle segments registered moderate growth, whereas commercial vehicles and 3-wheelers showed degrowth on a year-on-year basis. 2-wheelers grew by 8%, passenger vehicles grew by 2.8%, commercial vehicles degrew by 1.8% and 3-wheelers degrew by 2.6%. However, on a quarter-on-quarter basis, we saw degrowth in almost all segments due to the early festive season and postponement of purchases due to the year-end. 2-wheelers degrew by 5.5%, 3-wheelers degrew by 16.2%, passenger vehicles degrew by 7.8% and only commercial vehicles grew by 4% quarter-on-quarter.

Before moving to the operational performance of the company, I would like to highlight a few events which have taken place. Firstly, the company received NCLT approval for amalgamation of Varroc Polymer Limited with Varroc Engineering Limited effective 1st April, 2024.

The effects of amalgamation are considered in the stand-alone financial statements. An exceptional cost of INR112.7 million is recognized towards estimated costs like stamp duties directly attributable to this merger. This merger simplifies the group structure and operations and further improves governance.

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Secondly, the China joint venture has been recognized as assets held for sale post the arbitration verdict, which requires us to sell the stake to the JV partner in lieu of RMB 310.5 million. An exceptional cost of INR796.5 million is recognized since the net realization, including the estimated taxes and other expenses will be lower than the carrying value of the investment. Now coming to the operational performance during quarter 3 of FY '25. The company registered a revenue of INR20,753 million with a growth of 10.1% year-on-year. Various new programs which we won in the past period moved to production during the quarter. Thus the tooling sales in this quarter was much higher. On the other hand, higher tooling costs had a one-time impact on our gross margin. Despite that, our EBITDA on a year-on-year basis remained the same at 9.2%, whereas on quarter-

on-quarter it fell by 50 basis points.

Our PBT before exceptional items and JV has improved by 80 basis points on a year-on-year, mainly due to control on capex and generation of free cash flow, which is resulting in lower depreciation and interest costs. On a quarter-on-quarter basis, the PBT has fallen, which is adversely impacted by forex translation losses.

The company balance sheet continues to strengthen along with improvement in return ratios.

The net debt of the company in 9 months FY '25 reduced by INR1,967 million and net debt to equity reduced to 0.5x at the end of 9 months of FY '25 from 0.64x at the end of FY '24. The absolute net debt figure was INR7,860 million. The annualized ROCE at the end of the 9 months of FY '25 was at 19.3%.

The order book for 9 months of FY '25 has further strengthened and we continue to build the order book in both India and in the overseas business. In 9 months of FY '25, we have achieved net new business wins with annualized peak revenues of INR10,847 million. The order book from EV models constitutes more than 55% of these wins.

It is more heartening to see business win in our overseas operations. We have 2 big business wins in our overseas operations. First one is front drive and rear drive inverter electronics for the electric passenger vehicle. The second one is the interior ambient lighting. The start of production will take place from FY '27. These wins are testament to our dedication to excellence and showcases our advanced electronics manufacturing capabilities.

In the Indian operation, the order book, which is worth mentioning is a win for power electronics that is traction motors and controller for a 3-wheeler player. The SOP of this will happen in the next calendar year. Our endeavor will remain to expand our presence through focused products to drive sustainable growth, improve the gross margin, keep control on fixed costs and optimize the working capital. All of this will help us deliver value to our shareholders.

With this, I will now ask MK, our Group CFO, to walk you through the presentation and give more insights into the financial performance. We uploaded the investor presentation to the stock exchanges as well as on the website.

Mahendra Kumar: Thank you, Tarang. Good evening, everyone. So let me take you through some of the highlights of Q3. The revenue grew at 10.1% year-over-year during Q3 at INR20.7 billion. Profitability for Q3 came in at 3.3% of PBT versus 2.4% during Q3 of last year. And the EBITDA remained flat

at 9.2% compared to same period last year. The journey on net debt reduction continues. So we have now reduced debt to INR786 crores.

In terms of the lifetime business won in 9 months, it was coming to INR59.74 billion with annual peak revenue potential of INR10.85 billion. The interesting point here is 53% of the business win is relating to the EV vehicles. This includes a significant win in overseas operations from a reputed OEM. So this will be operational or this will be starting production during FY '27. Another important point here is similar to what we indicated earlier, the revenue from EV -related products comes to about 10.5% of revenue now.

And if you take 9 months together also, it's pretty close to 10%. This is in line with what we indicated earlier. The arbitration verdict, of course, we disclosed and our CMD also talked about in detail. The NCLT approval is also in place now. So that removes a lot of complexity in terms of our internal operations in terms of treasury management and other things. And in terms of the new products, the interior ambient lighting and front drive and rear inverter, these are the new 2 products which we added in the overseas business.

Going to the next slide, this is about the industry performance. So if you compare it with the last year's same period, the 2-wheeler grew by about

8%, 3-wheeler had a degrowth of 2.6%, passenger vehicle grew by 2.8% and commercial vehicle had a degrowth of 1.3%. So it was like a mixed bag between growth and degrowth.

On a quarter-over-quarter sequential basis, if you really see, most of the segments had only a degrowth with 2-wheeler having degrown by 5.5%, 3-wheeler had a degrowth of 16.2%, passenger vehicle 7.8% and commercial vehicle alone grew by about 4%. The point to be noted here is even the EV 2-wheeler volume also on a quarter-over-quarter basis had a degrowth of 6.8%.

Going to the next slide, which is on consolidated financials. So the EBITDA came in at 9.2%, flat as last time. PBT at 3.2%. The exceptional item of INR91 crores includes basically 2 items. One is for the impairment for the China investment, which we have to recognize now based on the arbitration verdict; and also the expected stamp duty and other expenses relating to the amalgamation of VPL with VEL.

The next slide, looking at the 9-month performance, the PBT is coming to 3.5% before exceptional items. And the overall growth in terms of revenue, total revenue comes to 8.4%. India operations within this grew by about 11%. The PBT improvement year-over-year was like 0.5%, 3.5% compared to 3% last year same time. This was largely helped by lower interest cost and depreciation.

The next slide, we give the net debt levels. It's now -- it was at INR786 crores as of 31 December compared to INR827 crores at the end of Q2. And compared to the beginning of the year, we reduced debt by close to INR200 crores. So with this, the net debt to equity stands very strong at 0.5. Net debt to EBITDA is also very strong close to 1. And the return on capital employed annualized basis comes to about 19.3%.

Coming to the revenue breakdown in the next slide. For the 9 months, the business-wise break-up is given there. In terms of segmental break-up, 78.5% comes from 2-wheeler and 3-wheeler now compared to 75.2% last time. This is also because of strengthening of the 2-wheeler EV business. And then in terms of geographical distribution, 88% of revenue comes from India now and 12% from outside. Similarly, Bajaj share of the total also goes to 45.2%, again, because of the increased content on EV products.

The next slide on the total order wins. This is what we just spoke about. So INR59.7 billion in terms of total lifetime value with annual peak revenue of close to INR10.8 billion. With this significant order win in the recent times in the overseas markets, now the overall 2-wheeler and 3-wheeler comes down to 63.33% and 4-wheeler goes to almost 37%. And the EV-related percentage win also goes to almost 56%. And the non-Bajaj share of the total business comes to 68.66%.

On the next slide, we briefly explain the 2 new products which we recently won as an order, basically about the front drive and rear drive inverter and also the ambient lighting -- interior ambient lighting. Just some details about the products.

So that's it. Let me stop here, and we're happy to take your questions.

Moderator: Thank you very much. We will now begin with the question-and-answer session. We'll take the first question from the line of Aditya Jhawar from Investec.

Aditya Jhawar: My first question is on China JV. Now just a clarification. So we have accepted the offer given

by the verdict, right? Is that understanding correct?

Mahendra Kumar: Correct.

Aditya Jhawar: Yes. Now since the 45 days have lapsed, and I'm assuming that we haven't received any money and there might be further to and fro with the JV partner. So any timelines, MK, you can indicate in terms of how much and when we can get that money? And what could be the realization after net in hand?

Mahendra Kumar: Yes. So first of all, it is difficult to clearly put a date to it. But you're right, the 45 -day period is already over.

ver. It's already overdue. But having said that, both the parties are actively engaged in the discussions. There are certain procedural formalities to be completed, like for instance, how to determine the tax impact. And then we also need to create an escrow mechanism so that the documents and the money get exchanged. So those kind of things are under discussion. But yes, it's taking more time than what we initially expected, but the discussions are in progress.

Coming to the net realization, of course, the tax impact is still under discussion. But based on whatever opinion we got, I think there will be a 10% capital gains tax, which will be taken as withholding tax reduction, plus some cost and all. So broadly around INR320 crores to INR330 crores of net realization is what we should see.

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Aditya Jhawar: Okay, okay. That's helpful. Second question is on overseas operations. So very encouraging to see getting big orders in the overseas operation. Now it would be great if you can give a little bit of perspective. You mentioned that SOP is 2027.

So I'm assuming for both the products, ambient lighting as well as the inverter electronic SOP is 2027. So what would be the order size typically for this and the ASP and what opportunity size we are looking at? Any color? And I'm assuming that the manufacturing of this would be in Poland and any capex that we'll have to incur for supporting this order?

Tarang Jain: Yes. I think maybe Dhruv can reply.

Dhruv Jain: Yes, yes. So just to answer this question, so when we're expecting these businesses to go into production, it would actually be around middle of 2026. So it will be fiscal year 2027. However, it will be most likely calendar year 2027, at which point these businesses will hit their peak revenue. In terms of what we're expecting roughly in terms of annual revenue, it would be in the range of USD 30 million per year. So that maybe gives you some insight. And just to clarify, this would be produced in Romania, in our Romania electronics facility.

Aditya Jhawar: Okay. That's helpful, Dhruv. And what would be the capex for this?

Dhruv Jain: So in terms of capex -- yes. So in terms of the capex, we are expecting this to be -- I don't want to give you some wrong numbers, but essentially in the range of \$2 million to \$3 million.

Aditya Jhawar: Okay, okay.

Tarang Jain: Most of the infrastructure is already in place. Only certain program -related capex is what we need to incur.

Aditya Jhawar: Okay. That's helpful. Now just I think overall on overseas operation, if you split the business into 3 parts, the new products that we got and we have premium 2 -wheeler lighting and IMES.

So what we understand is that premium 2 -wheeler lighting was struggling a little bit because of end market and customer -specific issues. If you can give us an overall update that what should we expect in each of the 3 kind of businesses? So I think Romania, Poland is still relatively small, but what is the update on a premium 2 -wheel lighting and IMES?

Dhruv Jain: So maybe I'll just go first, Aditya, and I will talk more about the 2 -wheeler lighting in Italy and Vietnam. So here, we actually have also added some new customers this year. So we've had some success. We've added a major premium 2 -wheeler lighting customer. Having said that, if we look at the next 12 months, we're not really expecting any revenue increase. So we're expecting that the revenue that we have experienced in the last 12 months, it will be along the same levels. I think we are -- I think that's the answer to that question. But on IMES, perhaps...

Tarang Jain: So just to clarify, so see, what we are looking at -- now you said 3 businesses. See one is, of course, the electronics business out of Romania, which today, I mean, is very much underutilized probably at about 15%, 20% utilization, that we will start seeing utilization going up from July

of '26 and then reach -- in some months, it will reach that peak of \$30 million annually. So -- and that's good and that will occupy a large part of the capacity and maybe we can do even more

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in the current facility we have. But then, of course, it is fairly profitable with that level of revenue.

On the 2-wheeler lighting, of course, there has been this pain in Europe because we have 2 facilities there; one in Italy, in Turin and then one in Vietnam. So there, the larger customer has been so far over the years, Piaggio and we have seen some fall in sales with Piaggio. So going forward, we see sales in the next financial year to be similar in 2-wheeler lighting as the current year. But of course, the 2-wheeler lighting on a whole is profitable.

But we won orders already from one premium customer with a large order I mean, revenue size of almost EUR 3 million per year. That business will start in FY '27. And similarly, for 2-wheeler lighting, we are pursuing the Japanese OEMs also and also another European OEM out of Vietnam. So in the future, we see more revenue growth in Vietnam as compared to Italy because people want lower cost and everything. So we will see from FY '27 a good level of growth in Vietnam year-on-year in 2-wheeler lighting business. So we have -- that's what we see.

In the case of IMES, so IMES has been profitable year before last. But this year, it has been challenged because of the market situation. Our major customers there are the Caterpillar Group, and of course, the oil and gas business, whereas the oil and gas business has done well, but that's only about 20% of the revenues. 80% comes from the Caterpillar Group, and that's where the volumes have been lower. But we have been pushing for some more business with Caterpillar in this forging facility. So there is also a game of revenues.

We are expecting that next year, we should have a higher level of revenues. We've already seen some revenues go up from January, but it's not enough. So we do expect higher level of revenues from April overall. So with that level of revenues, I mean, our basic objective is that we try to reach at least a PBT neutral kind of a situation instead of a PBT negative which is there today in this financial year.

So there's a lot of effort going, plus we're also looking at more customers. So we are in discussion with a couple of more customers also for these kind of forgings. And there also, we are expecting some level of success where some business can also flow in next year, the second half. So there also, we are more optimistic that the results next year in IMES also should be better than the current this thing, financial year.

Aditya Jhawar: Yes. So Tarang, this IMES, it is in a way relatively lower synergy as compared to other businesses. So was there any thoughts or consideration to divest this business over a period of time or it's not on the table?

Tarang Jain: So presently, see, the point is, I agree with you, it's not a part of a core business. But in the current situation, current state, there won't be any buyers in this current state. And therefore, I think it is prudent as a company that we focus on increasing sales because the plant is actually quite good and the current customers also are very happy. The question is of sales. We have enough capacity.

So now the effort is more of a sales effort, I would say, that we are trying to see that we reach a certain level of sales and profitability. So at the moment, we are not really thinking -- though it's Varroc Engineering Limited

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-- I agree with you, it's a little bit of a non-core, but at the moment, we want to make it really profitable. Then once it's profitable, then we can think about these kind of things. But at the moment, we don't have that

thought process at all.

Aditya Jhawar: Sure. That's helpful. And finally, a question to MK. Any number that you would like to indicate in terms of capex for this year and next year as well as targets of debt reduction this year and next year?

Mahendra Kumar: So our regular capex will be just about INR200 crores plus we are also investing in land for this year. So finally, we may end up this year with about INR260 crores to INR270 crores. Next year also, the regular capex will be in the range of maybe INR200 crores to INR250 crores. But next year, again, if required, we may have to invest something in the land. So that's where it is.

Tarang Jain: No. So basically, Aditya, what is happening is that now we are nearing full capacity last few years, we have been adding to a capacity utilization in all the plants. The time has come that we need to buy more land. So definitely in the Pune region or in the northern region. So definitely, there will be a kind of a significant so we would have to budget.

Other than the INR250 crores, INR200 crores, INR250 crores for normal capex for some growth capex, we will I think have to budget next year at least I think close to INR150 crores at least of capex towards land because that's something which will be important, which can again last us for the next 7, 8 years at least. So that's something which will come in one-time next year as an extra capex.

Aditya Jhawar: Yes. And debt, MK?

Mahendra Kumar: Debt reduction, I think you've seen the number. We are right now at INR786 crores. So like what we indicated earlier, we may end this year with somewhere around INR700 crores to be the number. This is without considering the China realization. China realization when it comes, obviously, it will be less to that extent. So from there, I think whatever free cash flow we generate

next year minus the investment in land will decide the debt level for next year.

Moderator: The next question is from the line of Nishant Chauhan from Geojit.

Nishant Chauhan: So my question is related to the employee expense. So if I see quarter -on-quarter, I think we have been seeing an increasing trend of expenses towards the employees. So could you just help us understand, I mean, what is happening over here? And what would be the sustainable run rate of employee expense going ahead?

Mahendra Kumar: Yes. So a couple of things happened. This quarter, we also had some severance pay in some of these overseas locations. That's more like a one -timer. Plus last quarter, we also had certain credits, certain reversals of provision reversals, which we took. So because of that, the quarter -over-quarter will appear to be a big variance. Going forward, yes, we are also doing some kind of restructuring currently. So that will bring in some kind of reduction starting from March onwards. So that's how it develops from now on.

Nishant Chauhan: So any idea, I mean, where would this settle at a sustainable run rate of employee expense?

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Mahendra Kumar: More or less take the current level as the going in level. But what happens is next year, of course, obviously, there will be a merit increase also. That will be partly mitigated by the headcount reduction exercise, which we did recently. But yes, so other than that, more or less the current level of spending will continue.

Nishant Chauhan: Okay. And secondly, would it be possible to give out the number for -- I mean, what would be the 9 months revenue for our international subsidiaries, I mean, the lighting and the electronics business in Romania?

Mahendra Kumar: No, we don't give that kind of split. Yes. So for us, the entire business is the total business. But by segment, we have given anyway in our presentation.

Moderator: The next question is from the line of Mihir Vora from Equirus Securities.

Mihir Vora: So sir, my question was basically

on the integrated starter motor, the ISG thing which we are working on. And we can see fewer models right now in the industry, but there seems to be a good scope for that. So can you throw some light comparing it to the starter motor, how much the content increases here and what is the comparison? Like what makes the OEMs shift to this kind of the technology? And are we in engagement with any customers like multiple customers?

Arjun Jain: So we already have 2 customers for the product. One is already in SOP and the other one is in development. Fundamentally, I think there are 2 or 3 factors, right? I think one is there's definitely a gain in efficiency and in fuel efficiency. Secondly, I think the -- in terms of rider feel as well, there is an improvement. And thirdly, I think your total packaging space required also reduces from having 2 independent electrical machines to having 1 integrated electrical machine. So these are the broad benefits. In terms of the -- sorry, I think that was your question.

Does this address it?

Mihir Vora : Sorry?

Arjun Jain: Have I addressed everything in your question?

Mihir Vora : No, sir. Basically , the question was also on the content value part, like how would it fare against the starter motor ?

Arjun Jain: So stand -alone, I would say, probably around at least 15 -ish -- somewhere between 15% to 20% value increase.

Mihir Vora : Okay. Sure, sure. And sir, my second question was on the China JV part. So basically, we -- I assume that we would be having some synergies in terms of lighting technology from the China JV. So post this arbitration, post the stake sale, so how do we look at technology transfer or something like that from that China JV? So how does it impact our lighting business in domestic or, say, Romania?

Arjun Jain: So I can speak for India. I think one, from an India perspective, I think we are self -sufficient anyway in India, especially for the technology level required. And further for the future level of

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technology also required, I think whether across China or other parts of the world, broadly, we are protected. So we don't see any risk.

We do want to maintain a level of engineering in China for our 4-wheeler lighting, especially on the 4 -wheeler lighting part. So we will have a team -- and also for the ADAS electronics, which we already do today. So we do have some engineers who kind of drive our ADAS engineering over there. And plus, post the sale, we will want to maintain a strong level of team in China for engineering on the 4 -wheeler lighting side.

Mihir Vora : Okay, sir. And sir, my last question would be, are we seeing some traction on the 4 -wheeler lighting domestic part also like we predominantly have been a 2 -wheeler lighting company. But

is it that we are seeing some traction on the 4 -wheeler side as well?

Arjun Jain: I would say, we have a decently sized book of business. We continue to win business. We continue to deliver. I think most recently, we have executed -- we supported a customer with the localization of a full -fledged LED headlamp, which has been completely indigenized. So like with any, I would say, there is a good level of traction based on the service that we offer.

Moderator: The next question is from the line of Gautam Desai from Valence Capital .

Gautam Desai: My question was more on the slide which says the Varroc's EV product offering and that the total kit value is 35,000. So is it possible to give some kind of break -up of the -- value of each of these 7, 8 items? And the second question was that recently, Pricol has released its presentation, and they are doing the instrument clusters for the Bajaj Chetak and the 3 -wheeler. So -- and they plan to eventually go into e -cockpit as well as navigation. So my question was like we are also looking at the same space and they are also looking at getting

into BMS. So how

do we stand, especially with respect to Bajaj in the EV portfolio?

Arjun Jain: So again, I don't want to comment versus one competitor specifically per se. But I mean, like with any product group, there will be multiple players in each product group. I think the value that we speak about is really, I would say, a total addressable value within the vehicle, most of which is already captured. Now of course, program -to-program, product -to-product, there will be variations. So I would really look at that number that we state directionally in terms of the total addressable value within a vehicle.

And of course, like I said, in the case of certain customers and one customer in particular, we've already been able to capture a large majority of that value. I think that's how I would put it. Of course, the value can also range based on what exactly is the performance requirement of the vehicle and what exactly is the definition of the vehicle. The higher performance vehicle is generally higher value. Lower performance is generally lower value.

Gautam Desai: So I was asking from the perspective that some of our products, they are getting obsolete like valves and the RR and the CDI and these kind of products. And at the same time, there are new products that we are launching. So do we see a cannibalization of our revenue because of the loss of certain products?

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And at the same time, that loss is regained through the launch of more higher -value products. And in those high -value products that we get, how do we stand? That was like more what I was trying to figure out. And the second was the break -up of the cost of each of these 8 items. The value of each of these items.

Arjun Jain: Okay. So I'll go one by one at the questions. So there is different powertrain technology, right?

I mean, at the most simplified level, the way to think about it is, okay, you have an ICE engine, you have an EV, right? So different powertrains have different component requirements. Today, we have a strong portfolio across every powertrain, and I would include CNG also over there now. So for us, fundamentally, we are placed effectively regardless of which powertrain does well.

Now of course, I mean, it is obvious. If you have more EV, you will have lesser -- you have more EV or EV grows faster than ICE, you could make the suggestion that EV has potentially cannibalized some of ICE's growth. But that is not necessarily the way we think about it, right? The way we think about it is that you have to be prepared from a technology standpoint in each powertrain. Then within the ICE powertrain, because you talked about a product like a CDI, yes, the CDI has already largely converted to a fuel injection system.

Every domestic vehicle will really be -- will really have a fuel injection control unit, which is something that we do and which replaces the CDI. This is something that we already do. So within each powertrain, we drive technology progress to capture whatever is the technology level that is required now for the vehicle. So don't really have a concern around -- I mean, we don't really think about it from the perspective of cannibalization. We think about it from the perspective that we have an overall market and you have to be prepared to service each segment of the market.

Then in terms of the value of components, like I said, I mean, the value can range dramatically based on what is the performance requirement. So it would not be -- not necessarily be correct for me to give you a value. But I think in terms of the broad values, it's quite easy to find out what broad values for, let's say, an e -powertrain would be, what broad values for a charger would be, broad value for BMS would be at an individual component level.

Gautam Desai: Okay. That's helpful.

Tarang Jain: Also to add, actually, see, today, even

the current products like engine valves and all, there's a huge demand for these kind of products. Now today, in fact, we're in a situation where we don't

have capacity to actually offer to the customers. There's so much of demand because some of the people have exited this business. So there's a lot of demand and pressure on us to deliver. So that's not a business which is degrowing. Actually, it's a growing business for us.

Moderator: We'll take the next question from the line of Sanjay Chawla from Renaissance Investment Managers.

Sanjay Chawla: Can you explain a little bit more and can you quantify the impact of these tooling sales and margin impact? And what would the margins be like without this?

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Tarang Jain: Yes. See, tooling generally go with a lower margin than the regular product. So if you see the impact -- I mean, if you really see this quarter margin -- gross margin with last quarter, I think close to about 0.4% is because of the tooling sale impact.

Sanjay Chawla: And this is a Q -o-Q impact?

Tarang Jain: Q3, Q3 versus Q2.

Sanjay Chawla: Right. And also, you mentioned inventory correction. How much was the impact because of that?

Tarang Jain: See, there are -- these are normal corrections which we take whenever we do the fiscal verification. So there are 2, 3 reasons. One is this inventory correction, plus there are also certain one-timers in the base. So all these things contributed to the remaining gap when you see year - over-year. But quarter -to-quarter, this is the only one.

Sanjay Chawla: Okay. And can you give some indication or pointers as to where the margins are headed? You're also doing this cost optimization, headcount reduction exercise. So where do you see these margins being headed, let's say, next year?

Mahendra Kumar: It should certainly be better. We don't want to put a number and give a guidance to it. But yes, you're right, there are various actions which are in progress, the cost optimization things and we are also doing a Phase 2 in renewable energy, plus interest saving itself should be significant if we really end this year with below INR700 crores. Then similarly, depreciation should more or less stabilize at the current level until we do the next level of significant capex. So that way, I think all these things are positive trends for the coming year, but we don't want to put any number to it.

Sanjay Chawla: And any savings from this end of arbitration? Any sort of impact from that as well?

Mahendra Kumar: Yes. So the money inflow when it comes, obviously, it will reduce debt significantly. I'm not even counting...

Sanjay Chawla: I meant the impact on the EBITDA margin. Were you incurring any cost in the opex side from this arbitration which was going on?

Mahendra Kumar: We don't expect anything now. See, we actually incurred a significant level of arbitration legal costs last year itself. So this year, it is not so significant. There may be some closure -related cost once we complete the transaction. But other than that, we don't expect any significant.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Tarang Jain: Yes. So thank you once again to everyone for joining the call and for your continuing support to our company. Thank you.

Mahendra Kumar: Thank you.

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Dhruv Jain: Thank you.

Moderator: Thank you, members of the management. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Jun 2025

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ARROC/SE/INT/202 5-26/ 34 June 1, 2025

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Dear Sir/Madam,

Sub

: Transcript of Investor / Conference Call pertaining to Audited Financial
Results for the Quarter and Financial Year ended on March 31, 2025.

D

ear Sir/Madam,

P

lease find Transcript of Investors / Conference Call held on Thursday , May 29,
2025, in respect of the Audited Financial results for the Quarter and Year ended on
March 31, 2025 .

T

his is for your information and records.

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or Varroc Engineering Limited

Aja

y Sharma

Group General Counsel and Company Secretary

Encl: a/a

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Conference Call"

May 29, 2025

MANAGEMENT : MR. TARANG JAIN – CHAIRMAN AND MANAGING
DIRECTOR, VARROC ENGINEERING LIMITED

MR. ARJUN JAIN – WHOLE-TIME DIRECTOR & CHIEF
EXECUTIVE OFFICER (BUSINESS UNIT-1), VARROC
ENGINEERING LIMITED

MR. DHRUV JAIN – WHOLE TIME DIRECTOR & CHIEF
EXECUTIVE OFFICER (BUSINESS UNIT-2), VARROC
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MR. K. MAHENDRA KUMAR – GROUP CHIEF
FINANCIAL OFFICER, VARROC ENGINEERING
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MR. BIKASH DUGAR – HEAD IR AND FINANCE
CONTROLLER (BUSINESS UNIT-2), VARROC
ENGINEERING LIMITED

MR. VISHAL RAVAL – GROUP FINANCE CONTROLLER
(BUSINESS UNIT-1), VARROC ENGINEERING LIMITED

MODERATOR : MR . VIVEK KUMA R – ICICI S ECURITIES

Varroc Engineering Limited

May 29, 2025

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Moderator : Ladies and gentlemen, good day, and welcome to the Varroc Engineering Q4 and FY '25 Post Results Conference Call hosted by ICICI Securities Limited .

As a reminder , all participant s' lines will be in the listen -only mode and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vivek Kumar from ICICI Securities. Thank you, and over to you, sir.

Vivek Kumar: Thank you, Sruthi. Good evening, everyone, and welcome to the call. From the management side, we have with us Mr. Tarang Jain – Chairman and Managing Director; Mr. Arjun Jain – Whole -Time Director and CEO of Business Unit-1, Mr. Dhruv Jain – Director and CEO of Business Unit-2; Mr. Mahendra Kumar – Group CFO; Mr. Bikash Dugar – Head , IR and Finance Controller of Business Unit-2; and Vishal Raval – Group Finance Controller for Business Unit-1.

We will start the call with brief opening remarks from the management, followed by Q&A. I would now like to invite Mr. Tarang Jain for the opening remarks. Thank you, and over to you, sir.

Tarang Jain: Thank you, Vivek, and team ICICI Securities for hosting the call, and good evening to everyone, Tarang Jain here.

As you all know, India has now become the 4th largest economy, and the GDP had a steady growth of 6.2% in Quarter 3 of FY '25. Softening of inflation in the last few quarters and the interest rates reduction globally encouraged our Central Bank to reduce the repo rate by 50 basis points in their last 2 monetary policy committee reviews.

Weak growth in consumption, on top of global and regional conflicts and an uncertain tariff regime, may impact discretionary spending, which can have an impact on the automotive industry. However, we remain confident about the medium - to long -term growth p rospects of the automotive industry.

During Q4 of FY '25, all the segments registered moderate growth on a year -on-year basis. 2-wheelers grew by 5.8%, passenger vehicles grew by 5.2%, commercial vehicles grew by 3.1% and 3 -wheelers grew by 9.5%.

On a quarter -on-quarter basis also, almost all segments, other than the 2 -wheelers reported strong growth as normally Q4 is a strong quarter for India automotive industry every year. The 2 -Varroc Engineering Limited

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wheelers degrew by 1.2%, 3 -wheelers grew by 3%, passenger vehicles grew by 20.4% and CVs grew by 20.9%.

Now before discussing the operational performance of the company, I would like to highlight a few other aspects, which will help the company to become a more sustainable and enable value enhancement for the stakeholders.

- In FY '25, we filed 25 patents and were granted more than 10 plus patents. Thus, the total filings made now add up to more than 120 for the company, which will further strengthen the intellectual property of the company and help in developing technologically advanced products at an affordable cost.

- Secondly, we also completed the sale of our stake in the China JV , and realized the net proceeds of RMB 290 million during May 2025.

- Thirdly, our sourcing of electricity from renewable energy has been increasing throughout FY ' 25 and was around 31% for FY '25 as against 13% the previous year. For the month of March '25, it reached around 45%.

We are also working on commencement of Phase -2 of the renewable energy project, which will further improve this to greater than 50% in the coming year. These initiatives will boost our ESG credentials as well , besides giving us savings in our electricity cost.

Now coming to the operational performance during Q4 of FY '25 :

The company registered a consolidated revenue of INR

21 billion with a growth of 11% year -

on-year on a like -to-like basis, with Indian operations growing at 13%. Our EBITDA for the quarter was around 10.2% on the back of improvement in the gross margin and benefits of operating leverage.

Our PBT before exceptional items and JV profits was over INR 1 billion or 4.9% of revenue in Q4 of FY '25. As you all know, we have been working on structural changes like merger of

Varroc Engineering Limited and Varroc Polymer Limited and exiting from the China JV. We had to recognize certain onetime exceptional items primarily relating to these initiatives, which will simplify our operations and also improve our financial performance going forward. We continue to strengthen our balance sheet and return ratios. The net debt of the company in FY '25 reduced by INR 2,348 million. And as a result, the net debt to equity reduced to below 0.5x at the end of FY '25 from 0.64x at the end of FY '24. The absolute net debt figure was at INR 7,480 million. ROCE before tax for FY '25 was at 20.8% and the free cash flow generation was also healthy at INR 3,116 million or 3.8% of revenue before growth CAPEX in land. Looking at the free cash flow generation and lowering of debt, the Board of Directors have recommended 100% of the face value as a dividend for FY '25. In FY '25, we also achieved net -

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new business wins with annualized peak revenues of INR 11,734 million, with EV models constituting more than 55% of this. It is more heartening to see business wins in our overseas operations also, which will improve profitability from financial year '27 onwards.

Our continuing focus on revenue growth, improvement in gross margin, control on our fixed costs and optimization of CAPEX and working capital will enable us to generate healthy free cash flows in the future also.

With this, I will now ask MK – our Group CFO, to walk you through the presentation and give more insights into the financial performance. We have uploaded the investor presentation to the stock exchanges as well as on the website.

M. Kumar : Thanks, Tarang. Good afternoon, everyone. Let me take you through the highlights for Q4 of FY '25.

Now before I start, I just want to highlight one point, there were certain special items during this quarter and this year because of the structural changes, which we discussed earlier also in the investor calls. So for this reason, the numbers are not directly comparable with the previous periods. So I would like to explain the reasons also.

So first of all, this year, we carried out a couple of important changes to the group structure. One is exiting the China JV and recognizing the impact as an exceptional item. The second one is also the merger of Varroc Polymers with Varroc Engineering, which again has certain one-time cost impact. So these things have been recognized.

One more important point to be noted here is last year during Q4, we also had a significant amount of government incentives in the base, so which was actually pertaining to 2 financial years, which we received in 1 quarter. So if you adjust for these differences in the base and excluding these exceptional items, if you look at the financials, the Q4 revenue at INR 21 billion had a growth of 11% year-over-year, with the India operations registering a strong growth of 13%.

Now this needs to be seen in the context of a moderate growth in the industry also, which was moderate single-digit growth during Q4 for the industry. Similarly for the full year, if you really see at INR 81.7 billion, it amounts to a growth of 8.5% year-over-year, with India operations registering 11%.

Coming to profitability :

Q4 PBT was at 4.9% versus 5% in FY '24. Again, the 5% in FY '24 had the incentive impact. EBITDA was at 10.2% versus 11.1% last year same time. Net debt reduced by INR 2.3 billion. Now it stands at INR 7.5 billion

as of March. Subsequently, we got the inflow from China
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divestment. So that is not taken into account here. So that inflow was received only in the month of May. So considering the performance, the Board of Directors recommended a dividend of INR 1 per share for the year FY '25.

In terms of the order wins, the new lifetime order wins were INR 60.5 billion with annual peak revenue potential of INR 11.7 billion.

Revenue from supplying to EV customers continues to be strong. It crossed 10% last quarter. So it's 10.3% during Q4.

And if we take full year, it is close to 10%. Then as we explained and announced in the past, a petition to the arbitration verdict, the investment in China JV was categorized as held for sale. And the exceptional loss of INR 8.1 billion recognized for the year March 31, 2025. The sale of stake in JV has not been completed, like how I explained, and the amount of INR 340 crores, which is the net proceeds after deduction of withholding tax was received.

One more highlights of this year is the free cash flow generation. We had a strong free cash flow generation of INR 312 crores. This is, of course, without considering the growth CAPEX on

land. So it amounts to 3.8% of sales, which is pretty close to our PBT percentage also. And return on capital employed also strong at 20.8% before tax.

Another important highlight is like how our CMD just explained, the renewable energy sourcing, for the full year was at 31% against 13% last year. By the end of March, we even touched 45%, and it will go beyond 50% once we implement Phase -2 also. In terms of patents, we filed for more than 20 patents in FY '25.

Now coming to the automotive production :

If you see the industry trends during Q4, 2 -wheelers had only a moderate growth of 5.8% year - over-year, 3 -wheelers, of course, had a strong growth of 9.5%. Passenger vehicles had 5.2% growth. And if you see sequentially, 2 -wheelers has had a degrowth, maybe also because of the festival advantage impact in Q3. 3 -wheelers grew by 3%, but passenger vehicle registered a strong 20% growth.

And EV 2 -wheeler volumes grew by 5.5% sequentially. And if we take full year, 2 -wheeler grew by double digits, 11.3%, 3 -wheeler by 5.4% and passenger vehicle had a moderate growth of 3.3%.

Now coming to the consolidated financials for Q4 :

So EBITDA was at 10.2%, which translates to almost close to 5% PBT for the quarter. And again, like how we explained, if you adjust for the INR 866 million or INR 87 crores of additional government incentive to be in the base of revenue of last year, the growth was actually 11% this

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year compared to Q4 of last year. And within this, India business grew strongly at 13% despite a moderate market growth.

Now on top of the volume growth, the cost reductions and ForEx gains also enabled improved profitability versus what we saw in the previous quarter.

Now I will explain in detail some of these exceptional items in the subsequent slides. And then coming to the full year numbers :

The reported PBT before exceptional items and before JV was 3.8%. Again, if we eliminate the base impact because of government incentives, the growth was about 8.5%, with India business growing by 11.2%. The depreciation on interest burden came down significantly compared to last year, which also enabled improvement in the year -over-year profitability.

So coming to the exceptional items :

Basically, there are 3 categories here. The first one is relating to sale of investment in China JV operations. We updated the investors in the past that the arbitration verdict required us to sell our stake to the JV partner.

Finally, after significant delay because we could not see any progress also, we had to enforce the arbitration verdict in British Virgin Islands courts, which ruled in our favor. So

with that, we

could actually sell our stake to the JV partner. And after deduction of withholding tax, we realized about INR 340 crores. Out of this, nearly about INR 181 crores we brought into India and repaid loans in India as well as abroad. The balance amount is parked in foreign currency, which we will be using in the coming months or weeks.

In relation to the arbitration cost, there is about INR 44 crores of cost, which was awarded by the tribunal, which we need to pay. This amounts to about close to 56% of the total cost, which seems to have been incurred by the JV partner. We are still studying the claims and the details, and we are also checking the legal options regarding how we can contest the cost if we are not convinced.

The second category relates to the merger expenses of Varroc Engineering and Varroc Polymers. We took some impact in the previous quarter also, but we provided for something more because the stamp duties and other related costs were difficult to predict. Most probably in the next 2, 3 months, this will come to finality. And if there is any excess provision, we will reverse it at that time. But for the time being, we are being conservative. So we provided for total ly about INR 19.6 crores for the full year.

Another development was relating to KTM. There was a court -admitted insolvency proceeding, which required us to go for a haircut. So the cost of that haircut was close to INR 3.1 crores. So

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being an exceptional item, we provided for that also , as an exceptional item in the overall financials. So that adds up to close to INR 147 crores, which is an exceptional item.

Now out of this if we really see about INR 75 crores, which is related to the impairment adjustment which we took in Q3, not actually a cash impact. It's more like a book adjustment which we need to recognize in the value of the investment. Out of the remaining amount also,

some of these are provisions, not exactly cash outflows. But as we progress, we can update and let you know the status on what will be the actual cash outflow with ours.

Coming to the overall net debt levels. We are happy to inform you that we brought down the net debt level further down to INR 748 crores as of March 31. This is without considering the inflow from China stake sale, which came in subsequently. So with an equity of INR 1,594 crores, the net debt to equity is pretty strong already at 0.5x, which can improve further after the debt reduction using the China profits. Net debt to EBITDA also even at the March levels stands below 1.

The subsequent slides, of course, these are the similar slides which we explained earlier also.

This gives the business composition. And in terms of the lifetime order wins, it was about INR 60.5 billion for the year FY '25, with annual peak revenue potential of INR 11.7 billion.

Now in terms of the mix also, you can see that the share of 4-wheeler and others is increasing, compared to the revenue mix of 25% that we have. Similarly, the share of Bajaj in the overall pie of order wins also is significantly less than the business mix that we see in revenue. And similarly, EV as a percentage of total also is significantly high at 55%.

So with this, let me stop here. We are happy to take your questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Arvind Sharma from Citigroup. Please proceed.

Arvind Sharma: Hello, good evening and thank you for taking my question. 2 questions from my side, sir. First of all, on the employee expenses, there has been a reduction. What are the reasons for that?

M. Kumar: Yes. So a couple of reasons. One, of course, this is the year-end. So we take a realistic assessment of the variable pay levels and other things. On top of that, we also did a restructuring exercise last quarter.

The benefit of that for part of the quarter was realized in Q4 itself.

Arvind Sharma: Got it, sir. So this should be the ongoing run rate from here on?

M. Kumar: Yes. Of course, there will be a salary increment impact also from April, so it will be slightly up.

But yes, from this base, we will have to build on.

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Arvind Sharma: Sir, second question would be on the sale of stake in China JV. The INR 3.4 billion that would be an inflow, which you have highlighted, that would be an exceptional gain in 1Q FY '25? Is the understanding correct?

M. Kumar: Yes. So it is more like the cash inflow. So this is like sale of investment. So it's not actually a P&L benefit, but it is more like a cash inflow for sale of investment.

Arvind Sharma: Okay. So it will not be reflected in FY '26 or 1Q FY '26 P&L? That has already been accounted for is it?

M. Kumar: The benefit of that will come in. For instance, using this money if I repay the loans, when I repay the loans, the interest benefit on that will obviously come into P&L.

Arvind Sharma: Got it. So it's not an exceptional gain, it's more a cash in?

M. Kumar: Yes, correct.

Arvind Sharma: And sir, if you could just share the CAPEX guidance for FY '26 and '27, if possible?

M. Kumar: It will be in the range of maybe INR 225 crores to INR 275 crores, including some of the spending that we do for expanding capacity. Plus, we may also go for some land purchase also in and around Pune. So that may be maybe another INR 100-plus kind of crores.

Arvind Sharma: This is FY '26?

M. Kumar: Correct.

Tarang Jain: For the next 7 to 8 years, we are buying a big parcel of land in Pune. So this will be kind of a one-time CAPEX for us. Other than that, I think we are maintaining what Mahendra said between INR 225 crores to INR 275 crores will be our CAPEX year-on-year.

Arvind Sharma: Got it, sir. Thank you so much for answering the questions. That's all from my side. Thank you again.

Moderator: Thank you. The next question is from the line of Vishal from Svan. Please proceed.

Vishal: Thank you for taking my question, sir. And congrats on the decent set of numbers in such a challenging business environment. Sir, I just wanted to know, there has been elevation in inventory and trade receivable. Is this some kind of change in the policy we have adopted? Or there is some one-off there? Can you throw some light on that, please?

M. Kumar: Yes. So inventory, of course, broadly, it is because of the increased scale of operations also. But yes, there are certain actions to be taken to bring it down, which we will be working on.

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As far as the receivables are concerned, there are a combination of factors here. For instance, last year, that is in FY '24, we actually discounted and pulled ahead some of these receivable

collections into the previous year, just to reduce the overall interest cost. So because of that, the opening balance of receivables was small. So that increase is reflecting here.

Plus on top of that, there is a general increase in the overall scale of business also, like what I mentioned, there is a 13% increase in India revenue. So that also has an impact on the overall receivables. Plus, there is also a change in billing methodology in one of our subsidiaries overseas, IMES Italy. So earlier, we used to bill only for the conversion costs. Now we are billing for the total cost, including total value, including material also. So to that extent, the receivable content also will be more. So it's a combination of factors. There is nothing to worry about.

Vishal: Okay, sir. Sir, regarding the proceeds of INR 340 crores, which we will be accounting in the current quarter. So is there any adjustment there which has to be made in terms of cost or something like that? Or will the

INR 340 crores fully will be realized?

M. Kumar: Yes. No, INR 340 crores is already realized. We received the money, as I explained, in the first week of May. As far as the P&L impact is concerned, that was already taken in Q3. A little more towards the se arbitration -related costs is what we recognized in Q4. So that way the P&L impact is already taken.

Vishal: Okay. Okay. Sir, my third question is regarding there is a fundraising you have noted in the BSE, nonconvertible debentures of approximately around, I think, INR 500 crores.

M. Kumar: Yes, it's more of an enabling resolution. We are not going to go for any immediate borrowings.

Vishal: Okay. Okay. Great. That's all from my end. In case I have any additional questions, I will fall back in the queue. Thank you.

M. Kumar: Sure.

Moderator: Thank you. The next question is from the line of Sakshat from Ipru. Please proceed .

Sakshat: Hi. Thanks for the opportunity. Sir, I just have one question. Do we indulge in receivable factoring , because our finance cost looks very high for the net debt which we have? And if you can give a breakup how much is factoring cost and how much is...

M. Kumar: Yes. I think we explained it in the previous calls also. We typically discount about INR 700 crores to INR 725 crores worth of receivables at any point in time. And that is at a cheaper cost compared to the borrowings that we have. So that's the reason we continue it. In future, once we repay all the debt, and that is the last one to be attacked. So at that time, we will reduce it. But for now, yes, this level of discounting will be there.

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Sakshat: Okay. So right now, let's say, for a net debt of around INR 750 crores, the finance cost rate would be around 10%. So out of INR 160 crores, INR 75 crores would be towards...

M. Kumar: Yes, 8.5% to 9%. But what you need to do is you need to take gross debt, not the net debt. So we have about INR 200 crores of cash also. So gross debt as of last year -end, Q4 end, was about INR 950 crores. And of course, that will come down with the China inflow and all gradually. But yes, for your competitive purpose, you need to take the gross debt.

Sakshat: Okay. So we can expect at least INR 80 crores worth of relaxation eventually going forward from the finance cost as finance cost goes down and debt goes down?

M. Kumar: Yes. I don't want to give guidance here. So last year, we ended with INR 170 crores. So somewhere I will put it at around INR 120 crores kind of a number. We will, of course, try to reduce it further.

Sakshat: Got it, great. Thank you so much.

Moderator: Thank you. The next question is from the line of Rahul Kumar from Vaikarya. Please proceed .

Rahul Kumar : What is the share of revenues from EV? And how much of that is from Bajaj?

M. Kumar: No. So share of EV revenue like we explained was 10.3% during Q4. And full year, it was 9.8%. Most of it is from Bajaj only.

Rahul Kumar : Okay. Okay. And what is the target on the debt by FY '26 end?

M. Kumar: No, again, so like how I explained, last year we generated a free cash flow of more than INR 300 crores. More or less, that's the kind of direction we will continue to take in the coming year also. But there will be some land purchases of more than INR 100 crores plus, like how our CMD explained. And there is a China inflow of already there is INR 180 crore reduction of debt, which we did in the last couple of weeks. So broadly, maybe around INR 400 crores to INR 500 crores is what we should safely assume.

Rahul Kumar: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Mihir Vora from Equirus. Please proceed .

Mihir Vora : Yes. Thank you for taking my question . So sir, my question was that now with the China JV now gone, so based on that, how do we work ahead on the technology front. Like there would b

e some tech we would be working with the JV. So now going ahead, what would be our technology road map in the lighting space ? And how are we looking at gaining market share

now with the lighting getting more advanced? So some color on the lighting space?
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Arjun Jain: Yes. So I think from a technology perspective, of course, China definitely brought a lot of technology to the table. However, I think for really the requirements of India, we have always been self-sufficient. I think further in terms of having the right partnerships in place to develop or to drive further advanced engineering, I think this is a practice that we have had in place for the last 3 years and we expect that to continue.

So to summarize, I don't see any major impact in India as a result of the China JV dilution.

Mihir Vora: And sir, currently, in terms of lighting in India, what would be your mix as such? 2-wheeler would be how much of it, sir? 4-wheeler would be how much?

Arjun Jain: So of the total lighting revenue, I would expect 2-wheeler is probably around 60-ish % and passenger car is 40%.

Mihir Vora: All right. And are we seeing some traction on the passenger side as well now? Or do you continue to be more going towards 2-wheeler?

Arjun Jain: I think the focus is in both. And I think we continue to win businesses also in both. So I wouldn't say the focus is one way or the other. We believe we have based on what our customer needs are, we believe we have product-based services for those needs. And I think against those needs, we win further business as well also.

Mihir Vora: Okay. And sir, my second question is just on the aftermarket. Basically, the quarter seems to be weak as such. Based on what I am seeing, it seems to be at around 7% of your revenue, which used to be around 8% to like 9% to 10%. So any call out here? And what is the aftermarket strategy?

M Kumar: No. So no specific weakening or anything. So the overall base is also increasing. So obviously, the aftermarket business generally grows in high single digits. The overall base grew in double digits. So because of that, there was some dilution.

Mihir Vora: All right. Okay, sir. Thank you, that's all.

Moderator: Thank you. The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited. Please proceed.

Jyoti Singh: Yes. Thank you for the opportunity. Sir, just wanted to understand largely on the macro side. So like India what's your outlook on that? And also, if you talk about on the European margin. Plus what is the outlook for '26 during this uncertainty time period? And apart from this, like any other new products that we are targeting in the coming years? And what will lead to growth in the upcoming years? Thank you.

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Arjun Jain: So I think from a macro standpoint, I can probably talk about India. And I think really, I would say some of the macro trends that we focus on is an increasing desire and need for localization, which we look to take advantage of, given that for our core processes, we are already localized. And also from a design perspective, we are already localized. The further trend that we look to leverage is the movement and greater penetration of EV as well, right? So I think both these trends together, I think, create enough opportunities for us to be able to drive content growth in the vehicle.

K. Kumar: What was your second question?

Jyoti Singh: Second question, sir, on the European margin outlook and our plans or FY '26 outlook?

K. Kumar: No. So this we explained in the calls also. So what we are currently focusing on is building the order book. We already had some good order wins in the previous quarter, which we announced and talked about also. So that journey continues. We will continue to build the order book. But then

there will be some gap between the order booking and the sale. So that will take anywhere between 18 to 24 months. So most probably, we should see a good recovery in FY '27. For now, we will continue to have good tight cost control and manage the business.

Jyoti Singh: Okay. Thank you, sir. And sir, just wanted to know your overall outlook on the recent development that is done by Bajaj Auto on the KTM support. So basically, it will help them in a longer term to unlocking globally. So how we will going to benefit, if you can talk about it?

Arjun Jain: No, I think especially from a 2-wheeler perspective, I think KTM vehicles is where we generally deploy the highest levels of technology we have. So KTM doing better is only an extremely positive signal for us, right? One, of course, from a sales standpoint, but also, like I said, really from a technology deployment standpoint.

Tarang Jain: So just to add, see, now that Bajaj has taken control over KTM and related brands of KTM, Husqvarna, et cetera, we see a much greater opportunity for sales growth with KTM in Europe. And we see also opportunity not only in products we do today like lighting, but also on some of

the other products where I think probably we will try to drive more sales.

And Bajaj also being in control, may be more open to Indian suppliers, having a greater contribution in the KTM motorcycles being made in Europe. And that will also help probably the overall BOM costs also for Bajaj. So we are going to anyway be trying to discuss with Bajaj in this regard that whether there can be greater opportunities of the products we supply in India or otherwise also for KTM in Europe. So that's the big opportunity we see with this development. Jyoti Singh: Okay. Thank you so much, sir.

Moderator: The next question is from the line of Vishal from Svan. Please proceed .

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Vishal: Sir, regarding the strategy in exports, so post the exit from Visteon and even in China JV, we have actually struggled with exports. So any strategy change in the team or scale up in the product line or offerings? If you can share some thoughts on that, how we are proceeding to scale up this business?

Tarang Jain: See today, our exports is around 4% of our revenue, which we, of course, definitely are not very excited about. And we definitely want to first reach a double-digit percentage of overall revenues being export.

Also for the reason that exports, we are able to realize slightly better margins also. So our efforts are on. We have also a focused group focusing on a lot of our metallic products which are going, we want to penetrate more there some of our also electronics. So this whole effort is in process and probably the next 2 to 3 years, we would definitely like at least 10% of our revenues coming from export. So this effort is on, and we are extremely focused in trying to realize this particular objective of ours.

Vishal: Great, sir. Sir, my second question is regarding this quarter, there has been improvement in the margins and notably so there has been strict cost control you have done in other expenses as well as employee costs. So from here, do you target some kind of meaningful improvement as well? Or do you see some scope from here on as the scale improves, mix improves?

Tarang Jain: See, the main focus of ours is sales growth. And like we said that we want to grow 6% to 8% more than the market, and that's always going to be our objective going forward. India now, at the moment, almost 90% of our revenues is coming from India. And here, definitely, we would like to have a high double-digit growth in FY '26. That's what we are aiming for. And I think the profitability and other things also is based on us realizing the revenues.

And today, I think we have a good order book. And I do feel that if the market really, in a way, is growing, April was not a ve

ry good month, as you know, overall for automotive. Other than

4-wheelers, which grew at about 5%, I think all other vehicles degrew. So we are just hoping that the markets at least are at the same level as last year. And then I think we can expect a good growth. And then if the growth is good, we can definitely expect a good margin.

Abroad, like what our CFO said, Mahendra said, that this coming year, we have won a lot of good business abroad also. But all those businesses will start getting realized from the second quarter of FY '27.

Till then, of course, in the abroad businesses, we will have to keep focusing on cost controls till that time. But yes, FY '27 onwards, second quarter onwards, we will start seeing that there is a growth in sales, and of course, then the return of profitability. That's for the abroad business, which is about today, 10% of our revenues. But of course, there, we see also a good level of business wins in this year, which will help us also going forward in the overall sales growth.

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Vishal: Perfect, sir. Thanks sir, for answering my question. And all the best for the next financial year.

Moderator: Thank you. The next question is from the line of Aksh from Praj Financial. Please proceed .

Aksh Vora : Sir, I just wanted to have a question on electrical electronics and lighting components. And that we have seen over a 26% decline in electrical overseas revenue. So what is the reason for that?

Tarang Jain: Overseas. Yes, you are talking about business II. There, I think, as you know, generally, the conditions in Europe are quite weak. And even in Vietnam, we have not had the expected sales, because the major customer there continues to be Piaggio. And Piaggio globally, actually, unfortunately, the volumes have dropped. And that's the reason that there has been no growth. But having said that, we have won some good businesses from some 2-wheeler players in Europe.

And also, we are actually also driving hard to win some businesses with some Japanese OEMs, big OEMs. And I think that going forward, I think we do expect, from FY '27, a good level of revenue growth coming in from 2-wheeler lighting. Also, we expect that the electronics capacity, which today is running at quite a low level of about 20%. There also, we see, like I said, that

from the second quarter of FY '27, we will start seeing the return to higher revenues and profitability as we have already won the businesses. We have already won the business, and we continue to win also more business for electronics, 2-wheeler lighting. And also going forward, even we will focus on 4-wheeler lighting.

Aksh Vora : Okay. Sir, because if we see, even if there was a big degrowth in that particular segment. So it was my concern about that. What's your outlook on metallic division? Because even there, we have seen some muted growth of under 5%?

Tarang Jain: Yes. So I think when it comes to metallic, we are quite choosy, like I said, because it's a very high CAPEX and a little bit lower ROCE business compared to our other products. So we are picking and choosing the kind of businesses we want to enter. And we are also focusing on a full capacity utilization, because we still have some capacity underutilized. So we are trying to see how we can also fill up those capacities.

So yes, compared to electricals, electronics, lighting or our plastics business, we are obviously a little bit more conservative when it comes to growth in the metallic business. Not to say that we will not grow, but it will not be the level of growth we see in our other products where our focus is obviously more, because they are not also as much high CAPEX business like in metallic.

Aksh Vora : Okay. Okay. And sir, about the land parcel, what is it related that we are investing? Like you said, it would be there for the next 7, 8 years, we are investing

in some land parcels. So any glimpse you want to share, sir?

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Tarang Jain: So here, see, in the Pune region, we have about 7 factories and largely more in the Chakan area in Pune. And here, we are running out of space. Of course, it's not that immediately we are running out of space, but I think it's not easy to get a land parcel, and we are looking at a bigger land parcel this time, so that we don't have to worry too much. It's not that easy to get land parcels, as you know. So therefore, we are in discussions, and we are trying to get a big land parcel, which will be in excess of INR 100 crores for sure, seeing the land cost today.

And once we are looking at it in the next probably a couple of months to kind of close that transaction. So once we have it, then I think that the kind of land parcel we are looking at, I think we should be okay for next 7 to 8 years in the Pune region, which is a region which is also growing very fast for us.

Aksh Vora : Right. Sir, lastly, what would be our utilization rate?

Tarang Jain: Now I think the utilization rate would be how much?

M. Kumar: Average may be 70% to 75%. Varies from business to business. Electronics maybe on the higher side.

Tarang Jain: Yes, yes. So I think 70% to 75% is fair. And I think we have been disciplined in terms of increasing capacity. But yes, there are places, like MK said, like electronics, where we have to drive capacity increases now.

Aksh Vora: And sir, sorry for one more question. What would be our approximately margins in EVs compared to the traditional ICE? Or the delta, if you can share?

M. Kumar: No, we don't give that product level margin data.

Tarang Jain: Yes, but it's competitive. It's not that the margins are, as a percentage, so much higher or something. Because nowadays, even a lot of the technology products and everything, it is competitive. It's as competitive as the ICE engine. It's only that because of the content, you have a very good revenue growth coming out of such EV products. So that's the good part. But the margins are competitive. I don't think it would be something higher or something like that. But one-odd product may be higher, but generally it's similar.

Aksh Vora: Okay. Got it. Thanks a lot. Thanks for that.

Tarang Jain: Thank you.

Moderator: Thank you. The next question is from the line of Nishant Chouhan from Geojit BNP Paribas.

Please proceed.

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Nishant Chouhan : Yes. Sir, just one question. The question pertains to our overseas subsidiaries, that is the Romania, Vietnam and the lighting plants over there. So could you just provide, how is the year for them? What kind of revenue did we do there compared to the last year?

M. Kumar: Yes, so in terms of the overall percentage, it is around 4% of the total revenue, which is coming from these overseas markets. So what was your question, outlook or...

Nishant Chouhan : Just the revenue number, if you can provide, or the Y-o-Y growth, degrowth that you would have done in our lighting subsidiaries across Vietnam, Romania, Italy and also the Romania

electronics.

Tarang Jain: So basically, see, we have got 2-wheeler lighting plants in Vietnam, Romania and in Italy. And we also have an electronics plant in Romania. So compared to the previous year, there was a degrowth when it came to the sales, which was in a very challenging atmosphere. And the 2 reasons I said was that one was the challenging environment in Europe. And when it comes to Southeast Asia, in our Vietnam plant, a larger customer is Piaggio there also. And Piaggio, if you see the last couple of years, there has been a degrowth in their volumes.

But having said that, we have been winning businesses with other customers in Vietnam, whether it's European or Japanese. But that's something which will start getting rea

lized only

from FY '27 onwards. So till then, I think we are going to be challenged when it comes to the sales. Like if you talk about FY '26 and, let's say, even the first quarter of FY '27, we are not going to see any kind of sales growth from current levels. It could be probably similar or a little lower only. I am talking about plants abroad.

Nishant Chouhan : Right. Got it. Got it. And sir, secondly...

Tarang Jain: Just one second. Yes.

Arjun Jain : Maybe just to add a little bit to that, I will just try to also summarize from my side. So yes, last year versus this year, there has been, I believe, a sales decrease of between 25% to 30%. The reason, of course, is one is the macroeconomic trends in Europe not being the best and also this customer dependency that we have had for the Romania locations as well as the Italy and Vietnam locations.

But what we also announced in the last call is that we have had some significant business wins that will bear fruit in terms of sales in FY '27. So yes, so there is this decrease in revenue, but there is a light at the end of the tunnel from our perspective.

Tarang Jain: So we can expect a good level of growth from FY '27 second quarter, as we have already won businesses for these plants abroad.

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Nishant Chouhan : Got it. Got it. Sir, secondly, on the domestic electric 2-wheeler side, I think what we have seen is the pace of growth has been slowing down. This year, the volumes grew by around 20%, whereas last year we saw like a 30% growth in volumes. And coupled with that, we are also seeing a lot of OEMs going towards a lower priced or more value kind of value price models. So in that scenario, probably the value growth is even lesser for electric 2-wheeler industry as a whole. So how do you see this play out going ahead? And how excited are we in this electric 2-wheeler segment as a whole as a component supplier?

Tarang Jain: Yes. So I would say, really, I think for an electrical electronic component supplier like us, it is really the ultimate opportunity from a content growth perspective, right? The amount of content we would put into a comparable EV scooter versus the comparable ICE engine scooter, I think the content growth is almost 5x, 6x.

Now further to that, fortunately, the content growth is not necessarily driven by the bells and whistles on the vehicle, but is really driven by the core vehicle powertrain, right? So of course, the price point pressure at an OEM level, even at a component supplier level, of course, exists. But the content that we have is not possible to do away with, right? You need repowertrain, you need a BMS if the vehicle has to be EV.

So we continue to be extremely bullish around it from the perspective of our growth. And yes, maybe the growth rate has moderated a little bit, but I don't think that it is not a trend that we see going away anytime soon.

Arjun Jain : So basically to add, see, we are very excited about the penetration of EV in 2-wheelers. Today, we see the penetration more happening in scooters and it will continue for sure. And I think this optimization of the cost in these various models is necessary for higher adoption. So that's in the right direction. And there could be some little bit ups and downs maybe in a quarter or something like that, but the direction is very clear on the EV transition. I am not saying it's going to be 100% of all scooters, but definitely, there is going to be a good level of growth in the scooter segment.

Even I think going forward, I think we can see also EV adoption in the motorcycle segment.

That's also something which I think probably will happen going forward. And I think we are very well placed also. Recently also, we have increased the product portfolio that we added the BMS also a few months back in our portfolio. Plus, we are also adding more customers. Today,

let's say, we have Bajaj.

We are also in discussions with other customers. We have already won some businesses with other customers. So whatever the level of growth may be, it's going to grow. And I think that we as Varroc, we are definitely going to benefit with our strong presence already as an early starter in the EV game, especially on the powertrain side. And so I think you can see a good level of

sales as a percentage increasing for Varroc in the years going forward.

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Nishant Chouhan : Great sir. Thank you for your answers.

Moderator: Thank you. The next question is from the line of Rahul Kumar from Vaikarya. Please proceed .

Rahul Kumar : Sir, can you give us some guidance on the operating margin or EBITDA margin for next year or something like?

M. Kumar: No, we don't give any guidance like that. But you can broadly say, we will try to improve it from now on. Like how our CMD explained, growth will be the major focus for us. On top of that, we are also working on cost reductions and margin improvements. So all this should translate into improvement from the current levels, but it also has a seasonality factor to it. Not all the 4 quarters are equal for the auto component industry, as you know. So there may be some ups and downs, but yes, the journey continues to improve it further.

Rahul Kumar : Okay. And the quantum of improvement which we have seen this quarter versus, let's say, last year, that quantum would obviously reduce, right?

M. Kumar: That's what. We can't predict or we don't want to give any such guidance, but yes, we will try to improve from here.

Rahul Kumar: Okay. Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for the closing comments. Thank you, and over to you, sir.

Tarang Jain: So I just want to thank everyone for joining the call , and for all of you for your continued support to the Varroc Group. Thank you.

M. Kumar: Thank you.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

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VARROC/SE/INT/2025-26/66 August 11, 2025

To,
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The Listing Department, National Stock Exchange of India
Limited
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Bandra-Kurla Complex,
Bandra (East), Mumbai-400 051.
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Phiroze Jeejeebhoy Towers,
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Mumbai-400 001.
BSE Security Code: 541578
[Debt: 975062]

Sub: Transcript of Investor / Conference Call pertaining to Unaudited Financial Results for the quarter ended on June 30, 2025

Please find Transcript of Investors / Conference Call held on Thursday, August 7, 2025, in respect of the Un-audited Financial results for the quarter ended on June 30, 2025.

This is for your information and records.

For Varroc Engineering Limited
Anil Ghatiya Company Secretary Membership No. A-16620
Encl: a/a

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“Varroc Engineering Limited
Q1 FY '26 Earnings Conference Call ”
August 07 , 202 5

MANAGEMENT : MR. TARANG JAIN – CHAIRMAN AND MANAGING
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MR. DHIRUV JAIN – WHOLE -TIME DIRECTOR AND
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MR. MAHENDRA KUMAR – GROUP CHIEF FINANCIAL
OFFICER – VARROC ENGINEERING LIMITED
MR. BIKASH DUGAR – HEAD, INVESTOR RELATIONS
AND FINANCE CONTROLLER OF BUSINESS UNIT II –
VARROC ENGINEERING LIMITED
MR. VISHAL RAVAL – GROUP FINANCE CONTROLLER ,
BUSINESS UNIT I – VARROC ENGINEERING LIMITED

MODERATOR : MS. VISHAKHA MALIWAL – ICICI SECURITIES

Moderator : Ladies and gentlemen, good day, and welcome to Varroc Engineering Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference has been recorded.

I now hand the conference over to Ms. Vishakha Maliwal. Thank you, and over to you, ma'am.

Vishakha Maliwal : Thanks, Avinash Good evening, everyone. From Varroc Engineering, we have with us Mr. Tarang Jain, Chairman and Managing Director; Mr. Arjun Jain, Whole-Time Director and CEO of Business Unit I; Mr. Dhruv Jain, Whole Time Director and CEO of Business Unit II; Mr. Mahendra Kumar, Group CFO Mr. Bikash Dugar, Head, IR and Finance Controller of Business Unit II; and Mr. Vishal Raval, Group Finance Controller for Business Unit I.

We'll start the call with brief opening comments from the management, followed by the Q&A session. I would now like to invite Mr. Tarang Jain for the opening remarks. Thank you, and over to you, sir.

Tarang Jain : Thanks, Vishakha, and thank you, team ICICI Securities for hosting the call, and good evening to everyone. I'm Tarang Jain here.

To start with, the Indian economy is showing resilience and momentum. Real GDP growth reached 7.4% in Q4 of FY '25, up from 6.4% in Q3 and the full year GDP growth was at 6.5% for FY '25. The inflation in India is moderating and in May '25, the CPI dropped to a 75-month low of 2.8%. Considering this, the Central Bank rate reduced repo rate by 50 basis points to 5.5% in June '25.

Globally, the rising tariff barriers, strategic competition and geopolitical tensions are increasing uncertainty for businesses. Supply chain resilience and digitalization are becoming key corporate strategies amid this uncertainty. The automotive industry is also preparing to deal with these challenges. Despite these uncertainties, we remain confident about the medium to the long-term growth prospects of the automotive industry.

In terms of automotive production in India during Q1 of FY '26, all the segment registered moderate growth on a year-on-year basis. 2-wheelers grew by 0.7%, passenger vehicles grew by 3.4%, commercial vehicles grew by 2.6% and 3-wheelers grew by 9.8%. In terms of domestic sales, the 2-wheeler industry registered degrowth of 6% year-on-year.

On a quarter-on-quarter basis, due to the seasonal impact, we saw a degrowth in almost all segments other than 2-wheelers. 2-wheelers grew by 0.9%, 3-wheelers degrew by 1.5%, passenger vehicles degrew by 11.9%, and only commercial vehicles degrew by 13.7%.

Before moving to the operational discussion, I would like to bring to your notice that the annual report for FY '25 is already available on our website, and we would encourage our stakeholders to go through our management letters to the shareholders, to understand our progress so far and our future course of action.

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Coming to the operational performance during Q1 of FY '26, the company registered a consolidated revenue of INR20.3 billion with a growth of 6.8% year-on-year, with India operations growing at 7.2%. Our EBITDA for the quarter was at around 9.5%, as compared to 9.1% on a year-on-year basis. Our PBT before exceptional items and JV profit was at 4.1% of revenue in quarter 1 FY '26, as against 2.8% in quarter 1 of FY '25.

We have also established a dedicated R&D setup in Overseas to support 4-wheeler electronics business, which has also impacted our employee costs in the quarter. We continue to strengthen our balance sheet. The net debt of the company in Q1 of FY '26 was reduced by INR3,002 million

and as a result, the net debt to equity is reduced to below 0.3x. The absolute net debt figure was at INR4,478 million.

In quarter 1 of FY '26, we also achieved net new business wins with annualized peak revenues of INR2,905 million. Our focus will continue to be on timely execution of the new business wins adhering to the best QCDD norms. The near-term outlook in India, especially for electric vehicles, is challenged due to supply of rare earth magnets. However, at Varroc, we are leveraging our supplier relationships, global footprint, and have developed alternative solutions with the help of a strong R&D capability to help the industry and our customers to overcome the challenges at the earliest.

We continue to adopt a positive mindset to find opportunities during this period of uncertainty.

As emphasized earlier, we continue to remain focused on revenue growth, improvement in gross margins, control on our fixed costs, and optimization of capex and working capital. All of this will enable us to generate a healthy free cash flow going forward. In future also, further

strengthening the balance sheet and improving the return ratios.

I will now ask MK, our Group CFO, to walk you through the presentation and give more insights into the financial performance. We have uploaded the investor presentation to the stock exchanges as well as on our website. Thank you.

Mahendra Kumar: Thank you, Tarang. Good evening, everyone. So let me take you to Slide number 7 of the presentation, which has the highlights for Q1. So as our CMD explained, we had a 6.8% growth year-over-year with a revenue of INR2,028 crores, with India operations registering a 7.2% growth.

Now in the context of a moderate growth that we saw in the industry, we were ahead by about close to 6% to 7% ahead of the market. In terms of PBT, if you see, we were at 4.1%, compared to 2.8% in Q1 of last year. EBITDA was at 9.5%, compared to 9.1% same time last year. The net debt was reduced significantly by INR300 crores, bringing the debt down to INR448 crores as of end of Q1.

In terms of the new annual peak revenue for the order that we won in Q1, it was about INR291 crores of peak revenue. And the revenue from supplying to EV customers grew to about 11% of revenue. Now as we announced earlier, the sale of China JV stake brought us about INR340 crores in the month of May. And in terms of patents, we filed another 10 patents, taking the total to more than 130%.

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On the renewable energy, we previously communicated to you that there will be a second phase, which will be starting in May or June. So that has started in June. It will be ramped up further in the month of , in the current month also. So with this, we'll be taking the total sourcing from renewable energy to close to 50%.

Going to the next slide about industry performance. So on a year-over-year basis in Q1, the 2-wheeler grew by just about 0.7%, which is more like a flat growth. 3-wheeler grew by close to 9.8%, and passenger vehicle by 3.4%. Similarly, on a sequential basis, 2-wheeler grew more or less again, flat at around 0.9%.

All the other segments had a degrowth. And the EV 2-wheeler volumes also on a quarter-over-quarter basis, degrew by 6.8%, mainly impacted by the rare earth magnet issue and of course, some seasonality impact also. But year-over-year, it was strong at about 53%.

Coming to our consolidated financials for Q1, which is there in the next slide. So 6.8% growth in the top line, which meant an EBITDA of 9.5%, compared to 9.1% in Q1 of last year. The PBT is INR2 crores. This is without the JV profits, which also means about 4.1% in terms of PBT percentage. We also see an exceptional item of about INR61 crores of gain. This is basically the recognition of exchange gains on the JV value in the investment books.

It is just like a transfer between FCTR and

P&L, so transfer between balance sheet to P & L more

like a book entry. So with that, the PBT is adding up to INR144 crores. Another important point to be noted here is we also set up a dedicated R&D team in certain overseas locations to support our 4-wheeler lighting and electronics business. So that is also one of the reasons we see a moderate growth in employee cost.

Coming to the balance sheet items like net debt and all, INR448 crores was the net debt. So in terms of ratio, if you see the net debt to equity, it was very healthy at 0.3, and net debt to EBITDA was below 0.6, it was 0.58.

The next slide, we talked about the revenue breakdown for Q1. We also changed the classification of different businesses to bring in line with the end-use characteristics, and this is also the way we are operating our businesses now. So if you see the breakup, the three major segments, the lighting solutions now add up to 18% of the total revenue.

Body parts add up to about 34%, which are basically the polymer kind of products. ICE powertrain adds up to 26%, followed by e-mobility, which is 6%. And the other segments are, of course, the smaller segments. Aftermarket, of course, is at around 10%.

In terms of the overall 2-wheeler and 3-wheeler plus 4-wheeler, 2-wheeler and 3-wheeler adds up to 75%, and the rest, 25%. And the business in India is 87% of the total. And Bajaj revenue of the total is at around 45%.

So in terms of the annual peak revenue, we already spoke about, so INR291 crores based on the Q1 order wins with 2- and 3-wheelers constituting about close to 67%. And then Bajaj revenue was only about 38%, with most of it coming from non-Bajaj customers. And revenue from EV customers was close to 25% and the others are 75%.

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So let me stop here. We'll be happy to take your questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.

Jyoti Singh: Thank you for the opportunity, sir. And congratulations on the good show on the PAT side, though it was exceptional from China. So my question majorly, I wanted to understand going forward, how will revenue growth will drive? And another on the order win side, as mentioned in the presentation, INR2,905 million. So can you elaborate how the wings align with your long - term growth strategy and espec ially for the EV segment?

Arjun Jain : Yes. So I think from a growth perspective, I think, you see that we have a relatively healthy order book. And of course, I think the ambition is to, of course, keep building this order book further. And in particular, in some of the places like you mention ed, right, in particular with respect to EV models. I think over the last few years, I think you will have seen that our order book has lent heavily towards EV models.

And I think that has translated also, as you will see in this quarter to significant growth from EV models. So Q1 of last year, we were at around 5%. This year, I think we're at around 11%. And yes, like I said, I think going forward, I think the aspiratio n is to grow faster than market. We are in a sluggish market now, but the aspiration is still to grow at least at double -digit levels going forward as well.

Tarang Jain: So to add on, see, we have always said that we want to grow 6% to 8% more than the market. And okay, one is on the Q1 sales and everything where the sales were -- we grew only by 6.8%. But talking about the business wins going forward, definitely, we have -- I think the Q1 was not so great for us from the point of view of business wins.

But going forward the rest of the year, we are looking at substantial business wins on the EV space, whether it's for 2 -wheeler or it's -- or in the case of 4 -wheeler, even looking at abroad

. So

we are confident that we can kind of declare from Q2 onwards better sales wins numbers. So this we are quite confident going forward, because we are quite well aligned with the various customers from our side.

Jyoti Singh: Understood.

Bikash Dugar : And Jyoti, one more aspect. From this quarter onwards, we will be only declaring annual peak revenue, not the lifetime revenue of any business win. So that's why optically, it might look like that the order win which we are reporting is small, but these ar e annual peak revenue. That is the revenue which we can do in one year. This is not lifetime revenue.

Jyoti Singh: Yes, sir. Sir, just one more question. On the -- like you mentioned order wins from the 2 -wheeler, 3-wheeler and 4 -wheeler side. So major revenue is coming from the 2 -wheeler and 3 -wheeler side. So if you can give us more insight on the 4 -wheeler business win side?

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Tarang Jain: So I think 4 -wheeler when it comes to India, our focus is more on lighting, 4 -wheeler lamps and our plastic molding business, which includes painted parts for various 4 -wheeler customers in India, mainly passenger cars. So this is where we expect a good gr owth and order wins in India. And abroad also, we are in touch with certain customers, especially in America, for some new business wins to do more with electronics. So this is also where we are looking at a good -- a decent amount of business wins in the foreign markets also. And I think that we are fairly confident that we will be reporting some good business wins from Q2 onwards.

Jyoti Singh: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Arvind Sharma from Citigroup. Please go ahead.

Arvind Sharma: Hi. Good evening, sir, and thank you for taking my question. Sir, please pardon me first question is on the presentation because the format has changed. First would be on the peak revenue, which you have highlighted, the INR2,905 million. And then you have -- we have a chart on top left.

Could you please explain how exactly you read this chart, please?

Arjun Jain : Yes. One second. Yes. So, yes, so the annualized peak revenue is essentially the peak value of the business in the particular year that it achieves its peak value. So, generally, whenever we quote -- in automotive, whenever we quote a business, it is not necessarily always base d on lifetime revenue, but the volume is projected over time. And what we have considered is the volume, the steady -state volume at full program ramp -up, right? So that is how we calculate what is the peak annual revenue. The chart on the left...

Bikash Dugar : The chart on the left speaks about that at the end of calendar year, the first bar shows that the end of FY '25, what is the business, the annual peak revenue which will SOP in FY '26. So that is INR8,400 millions. And then on the out of that, how much SOP has already been done in Q1, that is around INR3,800 million, the peak revenue of that. And then in Q1, we have further won more business . So that INR8,400 million now has increased to INR8,500 million, whose SOP will start in FY '26. Similarly, the graphs are for FY '27 and FY '28.

Arvind Sharma: Got it. So this INR3,800 million number, the SOP in 1Q FY '26, shouldn't it be equal to

INR2,905 million number because this is the peak revenue order that you have won?

Bikash Dugar : No.

Arvind Sharma: How do we read these two numbers?

Bikash Dugar : INR2,905 million is the order which we have won in this quarter and the business which SOP has started, that peak revenue will be INR3,800 million.

Arvind Sharma: Got it. Thanks so much. Secondly, you change the methodology. Just a small accounting question. When you've given the revenue breakdown for 1Q FY '26, is that 3% overseas revenue.

However, when we go down, which you are thankful -- thanks so much for sharing the

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previous data, there is no mention of the others business, the 3%. So where is this 3% accounted for in the previous quarter, sir?

Bikash Dugar : So that is accounted this 3% is our IM ES business in Italy. So that is accounted in our ICE powertrain.

Arvind Sharma: Got it. Thanks so much. And just one final question, if I may ask. Given the debt has gone down, definitely FCF should have been good. So what exactly drove the FCF this quarter, the net debt reduction?

Mahendra Kumar : Yes, net debt reduction is a combination of FCF as well as the realization from China sale.

Arvind Sharma: Got it, sir. Thank you so much. That's all from my side. Thanks so much.

Moderator: Thank you. The next question is from the line of Vinay Jain from Karma Capital.

Vinay Jain: Good evening sir. Thank you so much for the opportunity and congratulations for a decent set of numbers against a challenging macro, at least on the domestic front. So I had just two questions? Basically, when I look at the consolidated and standalone numbers, so at the standalone level, if you see, which is largely now our India operations, so to say.

We currently are at around 11% plus EBITDA margins and almost 6.5% PBT margins vis -a-vis at the console level, as you said, it's at around 9.5% and 4.1% PBT. So this difference which is there, is it largely the loss which is coming from the overseas business for us?

Mahendra Kumar: Yes, that's right. So it's a combination of the IMS business in Italy plus the other overseas businesses, which we have. As we explained in the previous calls, the overseas business are going through some kind of a transition now because we are rebuilding the order book. But most of the order book will get converted into -- will start converting into sales starting from next year -- middle of next year. We will see a gradual revival there.

Vinay Jain: So for the current year, we should expect this sort of a run rate to continue. Is that understanding correct?

Mahendra Kumar: Yes, correct because the good news from the new order wins in overseas will only happen next year -- by second half of next year.

Vinay Jain: And so once that comes on board, so once the execution over there starts, what kind of margin trajectory are we looking for especially the overseas business?

Mahendra Kumar: I think we don't want to give any guidance. But yes, it should look better than obviously what it is right now. But let's wait for some time and then talk about it.

Vinay Jain: But on a full year basis, FY '27, should we be able to breakeven on the overseas business?

Mahendra Kumar: Yes, it should be moderately profitable also. So it should be better than breakeven.

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Vinay Jain: Understood. And just one book keeping question. What would be the gross debt as of the quarter end?

Mahendra Kumar: It was about INR825 crores. We also have about close to INR377 crores in cash and cash account.

Vinay Jain: Okay. But do we eventually like envisage to repay this debt with the cash which is there on books?

Mahendra Kumar: Yes, obviously. There are certain restrictions also on bringing the money into India. We need to consider the tax implications and all those other things. So that's what we are working on. Plus, we'll also be using some cash overseas also for our R&D purposes also.

Vinay Jain: So lastly, any -- sorry please go ahead, sir.

Mahendra Kumar: No, that's it. Go ahead.

Vinay Jain: Yes. Last question was on this litigation, which is ongoing with Plastic Omnium in Netherlands court. So if you could just give any update on the same, sir?

Mahendra Kumar: Yes. So it's still in early stages. As we indicated earlier, we actually filed a legal suit against Plastic Omnium for violating certain supply agreement conditions. So then subsequently, they

also raised a few claims against us, which we are disputing. And, of course, this is -- this may go through the arbitration process. We'll update you more on this in the coming quarters.

Vinay Jain: Got it, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Shridhar Kallani from Axis Securities Limited. Please go ahead.

Shridhar Kallani: I just wanted to have -- some few questions. Firstly, regarding the order book, which is INR290 crores annual peak revenue. If you could share a number, excluding Bajaj, what would this number be?

Bikash Dugar : Yes one second. Bajaj was 45% of this new order win.

Shridhar Kallani: Okay. So from the INR290 crores, 45% constitutes Bajaj in the peak order revenue?

Bikash Dugar : Sorry, Bajaj was 38.4%. It's given in Slide 12 of our presentation. Bajaj was 38.4%.

Shridhar Kallani: In the new order win also?

Mahendra Kumar: Yes. This slide is all about new order win only.

Shridhar Kallani: Right. And in the e-mobility space, just wanted to understand because of the non-availability of rare earth magnets, basically for HRE motors, how well do we have expertise on the LRE motors as well and are we -- is it in the production pipeline for us?

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Arjun Jain : Yes. So from a design readiness perspective, I think along with our customers, both on existing and future programs, we are already either on LRE or on in some case rare earth-free motor magnet, let's say, ferrite-based magnet motors. Having said that, I think there are still topics around achieving the supply even for LRE magnets or in general magnets from China. So, of course, we work with our different supply partners in China to build that pipeline. But yes, I think even for the LRE, there are definitely -- the logistics are not as easy as they used to be.

Shridhar Kallani: Okay. So is the understanding correct, there is some supply chain issue with the LRE motors, but we are prepared on the R&D and technology front given availability of right resources?

Arjun Jain Yes. So I mean, in fact, there are some -- I mean, there are some rare earth applications, which we have completely de-risked to, not necessarily on E-Powertrain, but on other electrical products we make. There are certain rare earth applications we have already de-risked and started supply also with ferrite-based magnet solutions. Even with the LRE, I think we have made some level of progress in terms of actual supply.

Having said that, like I said, I think getting magnets from China in general is logistically harder than it used to be. It's not to say that magnets don't come, magnets do come. But the focus right now is to make sure we build a pipeline that is strong enough to really cover existing demand and also potential backlog demand.

Shridhar Kallani: Any disruptions that we could face in the quarter 2 or second half of FY '26?

Arjun Jain : I think in terms of total vehicle production, I think our customers are already talking about what is the level of disruption in Q2. Having said that, I think despite that disruption, our focus would be that as supply chain becomes more streamlined to really be able to recover the backlog also as quickly as possible.

Shridhar Kallani: Understood. And you just mentioned that in Americas, there is possibility of we winning the Lighting Solutions. So just needed some clarity. Are you talking about North America or South America over here?

Arjun Jain : No, we did not say that. We said with electronics, there is potential in the Americas. And even there, we're talking about North America. Again, to be further clear, we mean North American customers. It does not necessarily mean the supply location in North America.

Shridhar Kallani: Okay. Got it. And with Bajaj coming up with a host of new products in the pipeline in the current year, in the KTM 160 segment

the EV 2-wheelers and 3-wheelers. So how well are we placed with these orders? And if you could share any content numbers or directionally our position with these new launches in the coming next quarters?

Arjun Jain : So, of course, I don't want to comment on customer-specific launches. But I think broadly in terms of content that we have shared in the past, on a 2-wheeler, we have -- on a 2-wheeler EV, we have the ability to place anywhere between INR30,000 to INR35,000 worth of content.

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Similarly, on a 3-wheeler EV, it is a little bit higher than that, between INR35,000 to INR40,000 of content.

In the 150cc plus segments, our ability to place content is -- it depends, of course. It depends really on what is the technology level of each individual model, but that ability would be somewhere between INR15,000 to INR20,000. As we go lower to the 100 ccs, 110 ccs, it

reduces, because the technology level in those platforms is a lot lower. So there, I would say we're probably around INR8,000, INR7000.

Shridhar Kallani: Understood. And sir, any comments on your -- directionally, how we are seeing the 2-wheeler and passenger vehicle market being placed in the domestic space? What are your thoughts or any guidance if you could share us with regards to the production levels in general and capacity utilization at your plants?

Tarang Jain: No. See, here, I would just like to say that, see, it's very difficult nowadays to predict what's going to happen going forward. There's so many uncertainties and because of the geopolitical issues and it impacts also the volumes in India. For example, the rare earth magnets is definitely a dampener on the EV production, at least in the short term, until alternate solutions are found. Now Q1 for us, actually, from a volume growth angle was quite a surprise for the Indian market. So I can only say that the coming season, normally when the season is there, maybe September, October the couple of months, we will see definitely an increase because of the season. But other than that, it's very difficult to predict the volumes.

Even nowadays, customers are not really giving us any forward directions on the volumes very clearly because even they don't know what's going to happen. So for us to comment whether Q2 or Q3 is going to be much better is very difficult to say, except during the season time where we feel it should be higher volumes.

Shridhar Kallani: Okay. Thank you so much for your patience answering. Thank you so much.

Moderator: Thank you. The next question is from the line of Rahul Kumar from Vaikarya. Please go ahead.

Rahul Kumar: Just on the RE, how much of the sales or volumes were impacted in the last quarter? And do you expect the resolution by, let's say, next quarter end, this quarter end?

Arjun Jain: Yes. So I think we started to see some level of impact towards the back half of Q1. I mean, the absolute very end of Q1. I think we had a decent stock position before that. And like I said with the previous question, right, I think in terms of the de-risking of design, in terms of the adaptation of manufacturing lines, all this work, both for current as well as future programs is done.

In some cases, we have already not necessarily just in terms of E-Powertrain, but we use rare earth magnets in other places also, and other products also. So in some places, the de-risking is executed and supply has also already begun. Having said that, with magnets, I think the supply chain is definitely more complicated than it has been in the past, even though we are looking to import what is restriction-free, so non-restricted grades.

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So the focus now is really to make sure that as and when magnets arrive, we are able to convert quickly and recover potential backlog.

Rahul Kumar: Okay. S

second question, I think you mentioned about some new order wins, which are expected in -- from quarter 2 onwards. Can you tell us which segment are they? Is it Indian 2-wheeler EV space or international or something else?

Arjun Jain: So I think speaking of India, I think our focus continues to be on e-mobility, lighting and high-end electronics. So -- and I think it is a similar focus globally as well also. So the expectation is that through the balance portion of the year, we should be executing a significant uptick in order wins also.

Rahul Kumar: Understood. Last question, I think if I look at your India business, I think the gross margins were pretty strong, I think this quarter at 35%. What exactly drove this?

Mahendra Kumar: I mean if you are comparing with the previous quarter, Q4 generally has certain special items like we also had a higher level of tool sales, plus there were also certain year-end inventory taking adjustments, et cetera. So that actually reduced the gross margin. But -- so that's why if you compare to last quarter, yes, there was an improvement.

Rahul Kumar: Okay. And the operating margin in the India business, which is 11.3% now. Do we expect this trajectory to now continue for the next two, three quarters?

Mahendra Kumar: Again, we don't give any guidance. But yes, I mean it should sustain, or should even improve. That should be our effort.

Rahul Kumar: Okay. That's all. Thank you.

Moderator: Thank you. The next question is from the line of Arvind Sharma from Citigroup. Please go ahead.

Arvind Sharma: Thank you so much for taking my question again. You've highlighted the new order wins. Is it possible to share some of the segments where these orders would be there like you shared the segment-wise revenue, which ones would see greater share of new order, the new orders over the next couple of years?

Arjun Jain: So it would be really across all segments. I would imagine that the supply into EV models and I think this is called out also. Yes. So the supply into EV model is disproportionately higher. So I think 75% of the new order wins -- no, sorry. 25 in this particular quarter, 25% of the new order wins are into EV models, 75% are into ICE models. But in terms of product segment, I would

say it is relatively evenly split. And I think the leaders would be body parts and lighting.

Arvind Sharma: Got it, sir. Thank you so much. And if I may just clarify once again, sorry for asking this multiple times. When we see the chart, for example, in FY '27, around 13 billion peak revenue, does that essentially mean that FY '27 revenue would be at least 13 billion higher than FY '26? Obviously, like-to-like, you would have some orders exhausting too. But this is what how should -- we should read it?

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Bikash Dugar : As compared to FY '25, at least it should be -- as compared to FY '25.

Arvind Sharma: As compared to FY '25. Got it. Got it. And one quick question on the elevated employee cost.

You said it was because of R&D outside India. Any specific reason for establishing R&D outside India? Because the ex -India revenue is still quite low. And where exactly is this R&D establishment geographically? And this will remain for some time? Is it? Or will it sustain at these levels, the employee cost?

Mahendra Kumar: Yes. So, like we explained earlier also, I think we look for where exactly the competency lies. So, in certain overseas markets, we see this kind of competence in certain areas. So that's where we keep adding. These are more or less like distributed.

Dhruv Jain : And maybe just something to add that -- I think we've also mentioned that for our overseas locations, we are expecting, of course, to announce new order wins in subsequent quarters. And of course, this is also being enabled by some of the -- by the R&D that we have -- by this increase

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in R&D that we have talked about.

Arvind Sharma: Got it. Thank you so much for answering my questions, sir. That's all from my side

Moderator: The next question is from the line of Apurva Mehta from AM Investments. Please go ahead.

Apurva Mehta: Sir, can you quantify the overseas loss on EBITDA basis and on the PBT business for current quarter?

Mahendra Kumar: I mean we don't comment on individual segments. But yes, I mean, you more or less have the stand -alone and you have the consolidated now, so you can derive...

Apurva Mehta : On the consolidated, there are 2 Indian subsidiaries, which are extremely profitable also. And if you remove -- I don't know about that. So, if you want to just quantify the overseas loss, which are specifically to the European side of the business. Because even the -- our subsidiaries in the Asia, subsidiaries are profitable. So, what sense it makes to continue this business?

Is it what kind of ROC we are looking even in next 2 years' time to continue this business? Have we done anything which is -- yes, because we are investing again more into this overseas business to make it profitable. So, does it really make sense in next 2, 3 years to have a substantial ROCE coming from the overseas business, which are extremely loss -making?

Mahendra Kumar: Yes. So, I think we explained it in our previous calls also. So basically, we should not come to this kind of conclusion based on the current performance. Like we explained earlier, these businesses were doing well earlier, then there was some loss of business unexpectedly. So, we are now trying to rebuild the order book. So, if once everything gets converted into sales starting from second half of next year, you will get to see the result.

Apurva Mehta: Okay, and it will be really that it will be ROC accretive businesses, it will be kind of ROCs, which we are doing in India?

Mahendra Kumar: Yes. I mean, see, these are like low capital -intensive businesses. So obviously, the ROC has to be better.

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Apurva Mehta: Okay. And on the EV side, are we getting any 4 -wheeler EV order other than plastic components are like general? But any other components we are looking with 4 -wheeler OEs or something like that for EV?

Dhruv Jain : Maybe just to -- I think it was maybe 2 quarters back that we announced that we had a business win with a North American EV OEM for their front drive unit and rear drive unit inverters, so this is something that we've already secured. It's actually from the overseas -side, I believe the largest -- the largest new business win that we have mentioned over the last year at least. So -- and of course, the plan and we are confident of also duplicating this again or replicating this again.

Apurva Mehta: On the India side, any wins we are looking for any bids we have done, and we are confident of winning on the India side?

Arjun Jain: So, of course, we cannot comment on RFQs that are still live. But...

Apurva Mehta: Only we wanted to know that are we bidding for some RFQs, which are there and we are hopeful of getting some of them, or just to get a sense of what's happening?

Arjun Jain : Yes. So, for passenger car, our products are essentially engine agnostic, right? So, whether it is

light from an India perspective, so whether it is lighting, whether it is plastic, whether it is an ICE vehicle, or an EV vehicle, we pursue all.

Apurva Mehta: Okay. But not on the -- on any other brand like which we are there in -- on the 2 -wheeler side, like motors or traction motors or something like that?

Arjun Jain : No. So far, passenger car, e -powertrain, we have not looked to bid.

Tarang Jain: In India, it's not there on the electronics side, but abroad is where like we have won some of the electronics business with a North American customer. So, that is going to be continuing with some North American

customers going forward on the electronics side, where we will see more wins coming in, on the electronics side.

Apurva Mehta: And that over the period can be brought in India also?

Tarang Jain: No, that is for our electronics plant in Romania, which will see substantial growth going forward. Today, the issues which you mentioned abroad are there because the revenues are very low. But the competency and capability at the plant level is of the highest order.

I mean, it's world -class. The facility is world -class, even our engineering is world -class. And with that -- and that is something we do not want to give up just for short -term losses. We are very -- we are confident that going forward, the business abroad on electronics for us will do very well. And so that's the reason that we want to actually maintain that. Yes, we have to carry on with the losses for a year or so more, and then we can probably see the turnaround.

Apurva Mehta: Great, great, great, great, great, sir, for explaining us in detail, because it was really helpful for us.

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Tarang Jain: Thanks. Thanks a lot. Yes, thanks.

Moderator: Thank you. The next question is from the line of Ketan Sanghvi, an individual investor. Please go ahead.

Ketan Sanghvi: Thank you for the opportunity. Congratulations on a good set of numbers, sir. I just had one question. Now that our net debt is down to about INR450 crores, can we expect any savings on the interest cost? I'm not sure that is, but assuming your net debt is INR450 crores, what kind of savings can we expect on the interest?

Mahendra Kumar: Yes. So, interest cost should be significantly lower than what we saw last year. In fact, it should be lower than what we saw in Q1 also, because most of the repayment happened towards the later part of Q1.

But having said that, like how we explained earlier, we continue to generate free cash flow in - line with the PBT percentage that we see. There will be some additional investment in land and all, which we explained earlier also of close to INR150 crores. So , between now and end of the year, the debt may come down by about INR100 crores to INR150 crores. So, then you can compute the average and that should decide the interest cost for the rest of the year.

Ketan Sanghvi: Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Tarang Jain: So, thank you, ICICI Securities and to all the investors once again for joining the call and also for your continuing support. Thank you.

Management: Thank you.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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VARROC/SE/INT/2025-26/113 November 17, 2025

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NSE Symbol: VARROC
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The Corporate Relation Department,
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BSE Security Code: 541578
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Sub: Transcript of Investor / Conference Call pertaining to Unaudited Financial
Results for the quarter and half year ended on September 30, 2025

Dear Sir/Madam,
Please find Transcript of Investors / Conference Call held on Wednesday, November
12, 2025, in respect of the Un-audited Financial Results for the quarter and half year
ended on September 30, 2025.

This is for your information and records.

For Varroc Engineering Limited

Anil Ghatiya
Company Secretary & Compliance Officer
Encl: A/a

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“Varroc Engineering Limited Q2 FY-26 Earnings
Conference Call”

November 12, 2025

M
ANAGEMENT : MR. TARANG JAIN – CHAIRMAN AND MANAGING
DIRECTOR
MR. ARJUN JAIN – WHOLE -TIME DIRECTOR & CEO
OF BUSINESS UNIT-I
MR. DHRUV JAIN – WHOLE -TIME DIRECTOR AND
CEO OF BUSINESS UNIT-II
MR. MAHENDRA KUMAR – GROUP CHIEF FINANCIAL

OFFICER
MR. BIKASH DUGAR – HEAD, IR & FINANCE
CONTROLLER OF BUSINESS UNIT-II
MR. VISHAL RAVAL – GROUP FINANCE CONTROLLER
FOR BUSINESS UNIT-I
MODERATOR : MR. VIVEK KUMAR – ICICI SECURITIES LIMITED

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November 12, 2025

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Moderator : Ladies and gentlemen, good day, and welcome to the Varroc Engineering Limited Q2 and H1 FY '26 Earnings Conference Call , hosted by ICICI Securities.

As a reminder , all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vivek Kumar from ICICI Securities Limited. Thank you, and over to you, sir.

Vivek Kumar: Thank you, Anushka. Good evening, everyone. From Varroc Engineering, we have with us Mr.

Tarang Jain – Chairman and Managing Director; Mr. Arjun Jain – Whole -Time Director and CEO of Business Unit -I; Mr. Dhruv Jain – Whole -Time Director and CEO of Business Unit -II; Mr. Mahendra Kumar – Group CFO; Mr. Bikash Dugar – Head, IR and Finance Controller of Business Unit-II; and Mr. Vishal Raval – Group Finance Controller for Business Unit -I.

We will start the call with brief opening comments from the Management , followed by the Q&A session.

I would now like to invite Tarang sir for opening remarks. Thank you, and over to you, sir.

Tarang Jain: Thank you, Vivek, and thank you, team, ICICI Securities, for hosting the call, and good evening to everyone. Tarang Jain here.

To start with, the Indian economy continues to perform well, experiencing robust growth and has become the world's fastest -growing major economy. India's real GDP grew by 7.8% in the April to June 2025 quarter. The inflation in India continues to moderate.

Globally, rising tariff barriers, supply chain restrictions and geopolitical tensions are increasingly an uncertainty for businesses. Supply chain resilience and digitalization are becoming key corporate strategies amid this uncertainty. The Automotive industry is also preparing to deal with these challenges. In these uncertain times, it becomes very important for the company to find ways to manage this uncertainty and grow simultaneously during the period. We are moving fast to make our organization more agile, fundamentally strong and customer -focused to succeed in this environment. Over the last 3 years, since the divestment exercise, we have been consistently improving on financial prudence, cost reduction and customer delight. As you all know, we focus on free cash flow generation and managed to reduce our debt significantly.

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As a result, the net debt to EBITDA, which was more than 2x in FY '23 is now below 0.3x. The interest burden, which was close to 3% of revenue in Q2 of FY '23 has been reduced to below 1.5% in Q2 of FY '26. We also improved our gross margins during this period by almost 1%.

We also delayed the organization during Q4 of FY '25, which moderated our manpower costs.

All these improvements reflected in improvement in PBT margin during this period from 1.1% to over 4% now.

We are also continuously improving our speed of response, program management efficacy and delivering first-time right. As indicated earlier, we also established a strong R&D facility in China this financial year to enhance our capabilities and take advantage of skill sets available there.

We are also exploring opportunities to rationalize fixed manpower costs in plants through VRS schemes. In taking these decisions, we are giving more importance to long-term growth rather than short -term impact.

Over the last few years, we have been able to scale our EV products portfolio, and this has resulted in our revenue growth in this segment, helping the overall growth of the company.

Today, more than 11% of revenue comes from supplying to EV customers.

We are also experimenting with artificial

intelligence in areas like quality inspection and corporate functions to improve productivity and cut down inefficiencies. We are also working

on various other initiatives to reduce working capital and improve throughput. We will be sharing more updates on the same in our future discussions with you.

Our growth plan is built mainly on 3 pillars :

- The first opportunity for growth comes from content increases driven by safer, smarter, sustainable and more premium mobility. As an organization, we are focusing significantly on e-mobility, connectivity and ADAS.
- The second pillar of growth comes from portfolio management. Leveraging the China arbitration verdict, we took the call not to have manufacturing footprint in China. Instead, we have set up a location in Thailand, which is a well-established auto manufacturing hub and offers several export opportunities.
- The third pillar of growth is looking through adjacencies and the company is looking to further grow its business in the aftermarket and exports both organically and through M&A. These strategic calls, along with strong financial prudence enabled us to generate a good amount of free cash flow and improve the return ratios. In Q2 of FY '26, the ROCE of the company was at 23.6% as compared to 12% seen in FY '23.

Coming to the performance in this quarter :

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Let's first understand the industry performance in India :

In terms of automotive production in India, during Quarter 2 of FY '26, all the segments registered growth on a year-on-year basis as well as on a quarter-on-quarter basis due to a buoyant economy as well as the early festive season.

On a year-on-year basis, 2-wheeler grew by 10.6%, 3-wheelers grew by 18.3%, passenger vehicles grew by 4.2% and commercial vehicles grew by 11.8%. On a quarter-on-quarter basis, 2-wheelers grew by 17.4%, 3-wheelers grew by 39.3%, passenger vehicles grew by 6.5% and the commercial vehicles grew by 2.9%.

Coming to the operational performance :

During Quarter 2 of FY '26, the company registered a consolidated revenue of INR 22.7 billion with a growth of 6.1% year-on-year with India operation growing at 7%. The Indian revenue was impacted by industry by rare-earth issue. This resulted in a loss of Indian national of INR 750 million of revenue in Quarter 2 of FY '26, while the growth in the Indian operation would have been at 11.8%.

As stated earlier, for future growth perspective, we had established an R&D center in overseas location to support 4-Wheeler Lighting and the Electronics businesses. This has resulted in a higher employee cost starting from Q1 of FY '26. Thus, our EBITDA for the quarter was around 9.1% as compared to 9.7% on a year-on-year basis.

Our PBT before JV profit was at 4.1% of revenue in Q2 of FY '26 as against 4.3% in Q2 of FY '25. However, I would like to bring to your attention the point that the India EBITDA and PBT were strong at 11.5% and 7%, respectively, and grew both on a year-on-year basis as well as sequentially. As explained earlier, the overseas Electronics, Lighting and Forging businesses continue to face challenges due to customer concentration and the macro environment. However, we are winning significant orders for the overseas Electronics and Lighting businesses already, and the turnaround is expected to be visible from half 2 of FY '27.

We continue to strengthen our balance sheet. The net debt of the company in Half 1 of FY '26 was reduced by INR 3,680 million. And as a result, the net debt to equity is reduced to below 0.22x. The absolute net debt figure was at INR 3,800 million.

With significant growth enabling investments planned in H2, the net debt may see only a modest improvement in half 2 of this year. In half 1 of FY '26, we achieved net new business wins with annualized peak revenues of INR 8,928 million.

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Notable business wins among these are 4-Wheeler Lighting business for passenger vehicles and also business wins from existing EV customers for the increased volume in the near future.

We also remain confident to win the high-voltage Electronics for a range of high-performance e-powertrain components for our Romanian plant before the end of this calendar year.

As emphasized earlier, for the transformation to continue in this volatile new normal environment, we continue to build resilience to manage uncertainty while also driving growth.

With this, I will now ask MK – our Group CFO, to walk you through the presentation and give more insights into the financial performance. We uploaded the investor presentation to the stock exchanges as well as on the website.

Mahendra Kumar: Thank you, Tarang. Good evening, everyone. Let me take you through the presentation. This time, we added a few slides more to make the entire presentation more informative to all of you.

So, you see that in Slide # 5, we actually gave an overview of the entire R&D footprint, which is spread across multiple countries, including India, Italy, Poland and China, which is the latest

one which we added.

So, let me take you to Slide # 8, which has the highlights of Q2. As our CMD mentioned, we reported a revenue of INR 2,207 crores, which is 6.1% growth at the consolidated level. India operations registered close to 8% growth.

Now this includes the impact of rare -earth magnets issue that the industry had in Q2, and of course, to some extent, towards end of Q1 also. So, because of this issue, the growth was actually reduced by about 4% in Q2. So, otherwise, we would have almost reported a 12% growth.

The revenue from EV customers also came in at around 11%. Even this could have been more without the rare -earth magnet issue.

Coming to profits :

PBT was at 4.1% versus 4.3%. EBITDA was at 9.1% versus 9.7%. Again, we will explain the reasons for this dip in the subsequent slides. But primarily, this is driven by the increased mix of tool sales and the overall sales, which came in at low margins. Plus we also had this China

R&D setup, which we mentioned earlier also. So, because of that, it appears to be lower. But these 2 initiatives will only improve the growth going forward. So, these are more like investments for the future.

Coming to the peak revenue :

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Revenue from new orders, peak annual revenue. During H1, it actually adds up to about INR 893 crores with 63% of this related to the electric vehicles, which is quite a positive development.

On net debt :

We continue to reduce the net debt further. So, it now stands below INR 400 crores at about INR 380 crores. CAPEX was significant this time, and most of it got front-loaded this time. So, we spent about INR 186 crores. Part of this also is related to the new facility, which we just started in Thailand.

Coming to the patents :

We filed more than 14 patents in H1, taking the total to more than 130. And R&D setup, of course, we discussed already, but the new expansion in R&D is going to focus on growth areas like exterior Lighting , ADAS and also intelligent cockpit for future growth.

Going to the next slide, Slide # 9. So, this is about the industry :

Q2 was a mixed bag with many changes taking place. We had the early onset of festival season.

We also had the GST reduction negative and positive impact. Initially, there was a lot of uncertainty around the timing of it.

But subsequently, when it was reduced, it was well received

by the market. The rare-earth magnet issue also, of course, we discussed already. So, despite all this, the 2 -wheeler industry grew by 10.6% year -over -year, 3 -wheeler by 18.3% and passenger vehicle by close to 4%.

In terms of sequential growth also, it was pretty good, largely helped by the festival dema

nd and GST reduction also. So, 2-wheeler grew by about 17.4% and 3-wheeler by 39% is a significant growth, and passenger vehicle grew by about 6.5%.

The EV 2 -wheeler volume also on a sequential basis, it grew only by 11.2% because the industry got impacted by the rare-earth magnet issue, which is now anyway getting resolved. So, we are hoping that Q3 will be better than what it normally is.

Let me take you to the next slide, which is Slide # 10. So, here, we are giving the consolidated financials :

So, as mentioned earlier, it is 6.1% growth considering all these factors. EBITDA of 9.1% versus 9.7%.

Now the tooling impact and the R&D cost contributed to this kind of a reduction. If you adjust for these 2, we were actually at par with the last year Q2 EBITDA levels of 9.7%. And we also

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reduced the effective tax rate this time, because in consultation with the big 4 consultants, we actually created a centralized model for R&D, so which will be monitored and controlled from India , with India taking all the risk and all these other overseas markets acting as outsourcing R&D units for India. So, because of that, there's going to be some tax benefit also. So, that is reducing the effective tax rate this time.

Talking about the overall H1 performance was 6.4% growth with EBITDA of 9.3% and PBT of 4%.

In the next slide, we have given the breakup between India and overseas. Now this has been the request from many investors in the past. So, considering the expectations, we actually wanted to give this kind of clarity. So, if you really see there are 3 boxes here, the India business, Overseas business and the R&D, which we do for Overseas business.

So, if you look at India business, the growth of 8% is visible there. And EBITDA actually grew by 11% and PBT by 24%. And in terms of percentages also, if you really see, it's coming to almost like 7.2% in terms of the overall PBT.

If you see the Overseas business, this is where we continue to see the dip. So, this time also, we saw about 18% dip in the overall revenues. This comprises of multiple businesses. Of course, we have 2-wheeler Lighting business, which though it is having some kind of a revenue decline, it is still profitable.

But the Electronics business in Romania, which we explained in the past also, so that still saw some kind of a dip. And Forging business because of all the U.S. tariff issues, they are actually seeing some kind of a reduction in the revenue. So, because of all this, the overall Overseas business revenue went down by 18%, which also had the impact on EBITDA and PBT levels.

The third box denotes the R&D spending, which is spread across these multiple overseas centers. Now the important point to be noted here is, of course, we have come out of the non-compete restriction back in October after the divestment. So, which means now we can actually compete

and win businesses across the world. So, this kind of spread out R&D setup is basically to enhance our capabilities in the advanced Electronics and also 4-wheeler Lighting. So, we found the China team to be quite effective and knowledgeable in these areas. That's the reason we have set up the China R&D center, which we explained last time also.

So, basically, this is more like a future investment, investment for future growth, which will start yielding results maybe in the next 1 to 2 years. But the most positive thing here is the India business continues to grow strong, both in terms of top line and bottom line.

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Going to the next slide, which is Slide # 13. So, here, of course, we explained how the journey is continuing to reduce the debt. Right now, it's about INR 380 crores with a very strong net debt to equity of 0.22 and net debt to EBITDA of 0.47.

In the subsequent slides, we give t

he revenue breakdown. And of course, the split between the segments also where you see 2- and 3-wheelers adding up to 74% and 4-wheelers 26%. And geography, of course, 89% continues to come from outside India, 11% is Overseas business plus exports. In terms of customer concentration, 45% is Bajaj and 55% from others.

The next slide, Slide # 15. Here again, we made a slight change to the way we were showing the order book wins. Here, we gave this kind of clear movement. Where did we start the year? So, we started with about INR 1,307 crores of order book, and we won INR 892 crores, all these numbers are in terms of annual peak revenue.

And then during the year, INR 470 crores so far has moved to SoP, start of production. So, that leaves about INR 1,693 crores as outstanding order book end of H1. We also gave the calendarization of these order wins in terms of when we will hit the SoP. So, this is not the annual revenue which we are going to get in the respective years. This is basically about the value of the peak revenue of those orders which are moving to SoP in those years.

And in terms of the business win breakup:

EV customers add up to 63%, which is pretty strong this time. And in terms of the 2-, 3-wheeler and 4-wheeler mix also, it's 61% for 2 and 3-wheelers. You see that the 4-wheeler order win is strengthening. It has now touched 39%. And in terms of customer mix, it's 58% for Bajaj, because of these recent wins and 42% for others.

We also added a couple of slides on business -II, giving the overall description about the products and the footprint. I will request Dhruv to say a few words on this.

Dhruv Jain: Yes. So, I think just coming to this slide, we have already mentioned in the past regarding the Business II locations in Europe and Southeast Asia, particularly the ones, of course, in Vietnam, Romania and Italy, where there have been growth challenges, and of course, profitability challenges as a result as well.

But another key activity that's been happening in Business II are some pretty significant R&D investments. And the main location here would, of course, be our location in China that we have set up recently for R&D, but also locations in Poland and India.

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And really, our expectation in the subsequent quarters is to have significant new business wins.

And of course, this will not just contribute to growth, but also our expectation is to successfully absorb these investments in the coming years as the programs that we win reach SoP.

And in terms of just going into some more information in terms of the main areas that we are focused on. Of course, exterior and interior Lighting is a key area. Here, the center of excellence really for us is our China R&D team. We feel that the combination of technology, cost and speed

that this team brings would be a unique value proposition for most customers globally, whether they are in South East Asia, India, Europe or North America.

Beyond this, we also have a focus on Electronics manufacturing services. This would be for the key high-voltage Electronics in vehicle to do with EV powertrains, but also the key low-voltage Electronics to do with ADAS and cockpit. Even though electronic manufacturing services, there is a key role that R&D plays here as well in terms of design for excellence support, validation support as well.

So, certainly, here as well, our R&D locations will be important. We have already had business wins that we have announced a few quarters back. But definitely, there will be new businesses that we expect to be announcing quite soon.

And then beyond this, we also have our own product areas that we have invested in to do with ADAS, cockpit, fleet management. And here, too, our R&D locations in China, Poland and India are a very important factor.

Next slide, please. So, this slide just goes

into some more information, particularly with respect to a new location that we set up in Thailand. As of October of 2025, we are able to develop business for exterior Lighting outside India as well. And here, our thought process was that a combination of our China R&D capabilities also, and deployed through an export-friendly location like Thailand would be a strong combination, and will be able to address our customers' needs in a unique way.

And here too, we expect in the coming quarters to be announcing some business wins and then, of course, in the coming years to also start production. And beyond this, of course as mentioned already, our overseas locations in China, Poland are also important areas for our endeavors when it comes to ADAS and the intelligent cockpit space. Thank you.

Mahendra Kumar: Okay. So, thank you, Dhruv. So, we will stop here. We will be happy to take any questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. We take the first question from the line of Aditya Jhawar from Investec. Please go ahead

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Aditya Jhawar: Yes. Thanks for the opportunity. And congrats on good set of numbers, especially on the debt reduction. A couple of questions from me. The rare-earth situation, I mean you highlighted that it had a bearing on our performance in Q2. Incrementally, how is the situation now? Do you have a line of sight of a normalized production as we speak? That is my first question.

Arjun Jain: Yes. So, I would say, I think the normalization took place already towards the end of Q2, right?

So, I think we have been in a normal state. And when I say normal state, really a derisked state for the last couple of months. And I think that reflects in the market numbers also that OEMs are putting out now.

Aditya Jhawar: Sure. Sure. That's good to know. And order wins are quite encouraging, almost INR 600 crores in this quarter. Can you please throw some light in terms of products? You have given a disclosure for 2-wheeler, 3-wheeler, 4-wheeler in terms of what product order wins we have got, especially in India?

Arjun Jain: Yes. So, I think I will start with I think passenger car Lighting. I think we have a significant business win for passenger car Lighting, which I think is the bulk of the order win in Q2. We also have further capacity expansions for EV product and particularly powertrain product, which is another significant contributor. And then we have also been able to win some significant business in displays or instrument clusters.

Aditya Jhawar: Okay. That's good to know. And if you can throw some light that typically, we see a little bit of a slowdown in production as we approach the year-end. But this time around, because of GST cut, are you experiencing that the outlook for the next 2, 3 months is shared by OEM is much better than the previous year-end that we have seen?

Arjun Jain: Yes, I would say the period after Diwali so far seems to be stronger than what we have seen in past years. But I would also call out that it is also driven by the fact that rare earth topics created a level of backlog, right? So, I think the combination of filling up that backlog plus I am sure the GST reduction has also had a level of positive impact. So, demand is definitely better post Diwali versus than what the normal is.

Aditya Jhawar: Okay. That's good to know. Final question is on our Overseas business. If you can shed more light, especially on the business, Dhruv, if you can talk about the Electronic business in Romania, but how should we see a ramp-up in some of the order wins?

And the legacy business, are we out of the woods where one of the key customers was facing some challenges, and there were market-related challenges. If you can split and speak on both the new businesses of Electronics and our legacy

business.
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Dhruv Jain: Yes. Yes. So, I will just address our Romania Electronics plant. So, here, the key really will be the new businesses. And so we have already have announced one business win. I think we announced this, I think, 2 quarters back.

And so this program will SoP in the middle of 2026. So, in Fiscal Year '27, we will see the SoP for this program. We had also mentioned an Interior Lighting business win. And this one also will SOP in the middle of 2026.

And definitely, with these 2 programs itself, we expect to be out of the woods when it comes to our Romania plant. There are some advanced discussions that we are presently having for further business wins. We are not announcing it as of right now, but we feel confident that the next time we have this call that this will be announced. And this one will be also a very significant business win.

And of course, at that point, then the Romania plant is not about naturally turning it around, it's about really thriving in this location. So, we expect in calendar year 2027 to be in a completely different situation to where we are right now with this location.

Just to clarify, when it comes to legacy customers, on this one, I think without maybe yes. So, when it comes to legacy customers, I think definitely, we have had a single customer dependence when it comes to some of our other locations like Vietnam and Italy. And this customer has degrown significantly. And so here, I cannot say that there will be a big increase in the sales. So, the key for us will be on the new business win side.

Mahendra Kumar: Just to add, please don't take any of this as a future revenue guidance. The se are...

Aditya Jhawar: Sure. Sure. And final question, if I can squeeze in. So, Tarang, you mentioned that debt reduction in second half of the year will not be significant. Is it because of a higher CAPEX that we plan to do in second half? And what would be your annual CAPEX guidance? That's it for me.

Tarang Jain: Yes, right, Aditya. so let me take this. So, previously, if you remember, we indicated that the CAPEX would be about INR 270 crores on regular CAPEX plus another INR 150 crores for land. We may increase it by maybe another INR 80 crores to INR 90 crores from that level. So, say, close to INR 100 crores is what's going to be the increase. This is mainly for the future growth opportunities.

So, because of this, yes, you are right. So, most of cash flow that we are going to generate in H2, will go to actually fund the CAPEX . So, we don't expect any significant reduction in debt from the current levels.

Aditya Jhawar: Okay. That's it from my side. All the best. Thank you.

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Moderator: We take the next question from the line of Dhaval Pandya from 47 Alpha Capital. Please proceed.

Dhaval Pandya: Yes. Congratulations on great numbers. And I had 2 questions, but one was being addressed previously. So, another question is, as we know, the rare -earth element got some issues. So, can you tell me which were the major product line s that got affected due to rare earth element issue?

Arjun Jain: Yes. So, primary product line that got affected as a result of the issue was the powertrain product line and really the traction motor that we produce. Of course, there was impact across other product lines as well, whether it is topics like TPS or Throttle Position Sensors or other engine electricals like starter motors, AC generators.

But I would say all the other product lines that were impacted, I think the derisking was a lot quicker. I think on the traction motor, it took a little bit longer, which is why we see a certain gap in sales.

Dhaval Pandya: Okay. That's it from my side. Thank you.

Moderator: We take the next question from the line of Ankur Poddar from Svan Investments. Please proceed

Ankur Poddar: Hi. So, commendable job on the debt reduction. So, just wanted to understand what do you see is the future interest cost run rate which you expect for the coming quarters?

Mahendra Kumar: Yes. So, basically , you can compute based on the existing levels, like what I mentioned, there may not be a significant reduction from the current levels in the remaining 6 months. So, there will be interest cost at the rate maybe around 8% on this. Plus , we also like what we mentioned earlier, we also have the receivables discounting, that's close to anywhere between INR 700 crores to INR 750 crores. So, that goes at around 7%.

So, based on this, we can compute. That should be run rate. There will be a few bank charges here and there, but more or less, that should be the run rate.

Ankur Poddar: Understood. And my next question is based on your overall corporate business vision road map. So, for Varroc, where do you see Varroc heading in the next 3 to 5 years horizon in terms of top

line profitability and technology improvements, et cetera?

Mahendra Kumar: See, I think we mentioned in the earlier calls also that our ambition is to basically double the revenue by 2030 and take the PBT also well above 10%. So, that's the overall direction we are working towards.

Ankur Poddar: Thank you.

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Moderator: Thank you. We take the next question from the line of Vishakha Maliwal from ICICI Securities. Please proceed.

Vishakha Maliwal: Hi, thanks for taking my question. Just on EV revenues, the share now stands at 11% of total revenue. So, do you have any internal target for its contribution over the next 1 to 2 years?

Arjun Jain: So, I wouldn't say that there is an internal target, right? I think if I take a step back, we take a fairly balanced view across different potential powertrains that could be in play. Of course, in a core market of 2 - and 3 -wheeler, we see very strong advent o f EV . But I would say our product portfolio across different types powertrains is very strong, right? We have a very strong portfolio for ICE. We have a very strong portfolio for EV.

So, I think with that, I would say we are really in the right spaces and in the right product lines.

And I think we are very satisfied with where we stand in these product lines and the market shares we have in these product lines when we look to the future.

Of course, more the market moves towards EV, the bigger this ratio becomes , and the more significant growth for us is, largely because into an electric vehicle, I think we really put almost 5 to 7x the content we put into an ICE vehicle, right?

So, if I were to summarize, I would say we have strong technology. We have strong positioning across all powertrains. And we now wait to see how the market evolves, and we are in the right place to take advantage regardless of which direction the market moves in.

Moderator: Thank you. We take the next question from the line of Rahul Kumar from Vaikarya Fund.

Rahul Kumar: Yes. Hi. Just one question. Can you tell us the tooling sales in this quarter? And also, was there any cost impact because of the rare earth issue?

Mahendra Kumar: Yes. So, I don't want to give the exact number of tooling sales, but yes, what I said, if you adjust for it, we were more or less there at the previous quarter levels in terms of the EBITDA margins and PBT margins.

Coming to rare earth cost, there will be some additional freight costs or something, but which is recoverable from the customers. So, there's no bottom -line impact on margins because of that, other than loss of sales of course.

Rahul Kumar: Okay. So, when you are comparing your EBITDA margin, you are comparing with the previous year quarter 2 FY '25.

Mahendra Kumar: Correct. Correct.

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Rahul Kumar: Second question on the order wi

ns. I think I see pretty strong wins for your existing EV customers, right? What would that product be ?

Arjun Jain: Yes. So, the large portion of the EV order win is expansion in volumes of current programs, right? So, the next generation of the programs and the further capacity requirement for the programs. And the products that we do for EV are the e -powertrain, of course, which is the motor, the motor controller, the BMS, yes, and some engine agnostic product also tha t goes into those vehicles.

Rahul Kumar: Okay. And do we have any progress on any other 2-wheeler top -tier EV customer in 2 -wheelers?

Arjun Jain: So, I would say we have progress with customers. And like we said before, I think we will SOP with our second customer in this year. In terms of top tier, I am not sure exactly what you mean, but it really the guys in the top 3. Of course, we have engagement, but we don't have a formal business win with anyone other than 1 of the top 3.

Rahul Kumar: Okay. Okay. And this 4-wheeler business win which we have announced for the Lighting business, is that for the Overseas business? Or is it for India business?

Arjun Jain: It is for India.

Rahul Kumar: And I think one fundamental question which I had was I think we had a pretty spare capacity in our Romania plant for the 4-wheeler Lighting , right? And we are now going to expand.

Dhruv Jain: So, I will just clarify, we had spare capacity for Electronics in our Romania plant. And here, we have actually one business that will launch in middle of 2026. And we are in advanced discussions on some other business opportunities as well that will launch at the end of 2026. So, we will be utilizing these capacity. There's a plan to utilize these spare capacities.

Moderator: Thank you. We will take the next question from the line of Priya Ranjan from HDFC AMC.

Priya Ranjan: Just a couple of questions. What is the next year CAPEX thought process? How much we want this year, you said, whatever is the free cash flow, probably we will do that much of the CAPEX . And so what is the next year plan?

Mahendra Kumar: Yes. Next year, we should go back to the normal levels, which is around INR 250 crores or so.

Tarang Jain : That's for India. Plus, I think depending on the business wins abroad, I think that, CAPEX could be more. So, that could be also depending on the extent of the business win, it could be anywhere between INR 50 crores to INR 100 crores for the plants abroad.

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Priya Ranjan: Okay. Got it. Will it be directed to more towards Romania and Thailand? I mean the Thailand, we want to produce Lighting , right? So, what is the thought...

Tarang Jain : For 4-wheeler Lighting , we have already invested about INR 40 crores, which we had announced in this plant. And as we are trying to win more businesses, which probably we will announce in the coming quarters for Lighting . So, that may entail some more CAPEX . So, that will probably come in for next year.

And also, of course, certain investments will also, of course, probably happen in Romania further to whatever the capacities we have, which, as Dhruv mentioned earlier, that they will be utilized in the next financial year. But then if you are winning more business for Electronics , which we are hopeful of, that will require some further investment there.

Mahendra Kumar: Yes. So, those will be linked to the programs.

Tarang Jain : It will be linked to the programs, yes.

Priya Ranjan: Understood. And any thoughts on expanding domestic in the Electronics side, the more SMT lines or any new areas where you want to go in the, say, Consumer Electronics side or something with the Contract Manufacturing or with the PCB or something that kind of thing is in your mind? Or you just wanted to stick to the Automotive side only?

Arjun Jain: So, today, we already operate the equivalent of 17 SMT li

nes in India across 2 locations. I would

say we have a fair amount of scale when it comes to Electronics already. Of course, today, we are largely almost completely Automotive focused, as you mentioned. But we definitely keep our eye on and we start to explore other spaces also, because, especially where there is a level of design content involved, we believe even in non-automotive spaces, we bring strengths to the table. But I think that as things materialize, I think we will talk about it then.

Tarang Jain : Yes. But to answer that question, yes, we are definitely exploring also the non-auto space when it comes to Electronics and Electricals. That's something we are already exploring. So, yes, we do want to get into the non-auto space also.

Priya Ranjan: Okay. Great. Thank you. All the best.

Moderator: Thank you. We take the next question from the line of Vinay Jain from Karma Capital. Please proceed.

Vinay Jain: Hi. Thanks. Congratulations on a decent set of numbers. Heartening to see the net debt reduction trajectory and India business margins at above 11.5%. My question was on the R&D

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expenditure, which we have given for the second half of EBITDA level at around INR 26 crores, INR 27 -odd crores. What would be the number for the first half?

Mahendra Kumar: No, sorry, we didn't indicate anything for second half? Sorry...

Vinay Jain: Sorry, second quarter, it's at around INR 26.8 crores.

Mahendra Kumar: Yes. So, more or less, that kind of pattern will continue in the remaining 2 quarters also.

Vinay Jain: So, this is a recurring number or you expect it to come down in the coming quarters?

Mahendra Kumar: Yes. So, the point here is whatever we indicated here, you are talking about the slide where we showed the R&D expenses separately, right?

Vinay Jain: Right, right.

Mahendra Kumar: Yes. So, that's the recurring thing. That will continue in future also.

Vinay Jain: But in future, right now, there is no revenue which is commensurate revenue, which is coming from this R&D, which you are expecting to come through in the future quarters?

Mahendra Kumar: Yes, yes. That's what I was mentioning that there is more like investment for future growth, like how Dhruv explained, some of them are in advanced stages. So, this will basically pave way for that kind of a growth.

Vinay Jain: On the Overseas business, again, when we are saying that in the second half or second half of calendar year '26, you are expecting the orders to come through. So, can the Overseas business also maybe say not in FY '27, but in FY '28, do margins similar to what the India business is doing right now?

Mahendra Kumar: It's difficult. We don't want to give a kind of prediction. But yes, I mean like we explained, there

are significant order wins expected if all of them materialize and depending upon their SOP time lines also. That's the ambition. That's what we are targeting.

Tarang Jain : That is the objective. But let us see how it pans out.

Vinay Jain: Understood. And the tax benefit, which you mentioned of around INR 11- odd crores. So, that is again with the R&D recurring, the tax expense or the tax benefit also would be recurring in nature? Or was it a one-time thing?

Mahendra Kumar: Yes, yes, correct. That will be recurring. So, that will be linked to the R&D spending we are doing overseas. So, that will be a continuing feature from now on.

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Only thing, is in Q2, we recognized benefit for both Q1 and Q2. So, that way to that extent it may get mitigated. But yes, the benefit will continue in future.

Vinay Jain: Understood, sir . Thank you so much, and all the best.

Mahendra Kumar: Thank you.

Moderator: Thank you. We take the next question from the line of Ronak Jain from Equirus Securities. Please proceed.

Ronak Jain: Good evening, sir. So, I have a few questions. So, firstly, on the Lighting segment. So, the domestic PV orders that you are earlier alluded to, so can you throw some more light like whether it is for front lamp or tail lamp and whether it is in the LED space? And also, I would like to get your insights on how you see the Lighting segment going ahead , given the sharp competitive intensity in the Lighting space?

Arjun Jain: So, it is a rare lamp. From a technology perspective, it is definitely advanced technology rare lamp. And from an LED versus bulb perspective, we only do LED now. We don't quote any bulb. So, it's LED. So, there's a fair few players in the market, right? So, this competitiveness is not something that is new. It is something that has been around. But I think really driven by our global engineering capability, especially when it comes to Lighting , and really I think some of the technology we are able to bring to the table , I think it definitely stands us in good stead. So, of course, the market is competitive, but I think we are quite clear and comfortable with what our strengths are. I think fortunately, our customers also appreciate that.

Ronak Jain: Yes. So, I have a few clarification questions as well. So, for your new Lighting plant from Thailand, so I wanted to understand like which geographies and segment is going to cater to?

Dhruv Jain: Yes. So, the thought process for Thailand, of course, is to target the Southeast Asian geography, but not just that, but we also want to target customers in Europe and North America. We see Thailand is also an export -friendly country, low cost as well. And so yes, the target would be customers globally, not just in Southeast Asia, but also in Europe and North America.

Ronak Jain: Okay. Got it, sir. And just one more last question. So, on the order book side, so the order book, which you mentioned for H1, so are these new orders or replacement orders or a combination of both?

Arjun Jain: No it is a combination, but it is the net new orders, right? So, even if there is a replacement, it is only the delta content increase that we report. So, it is net new...

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Tarang Jain : Net of replacement, yes.

Ronak Jain: Okay. Got it, sir. Thank you so much.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the Management for closing comments.

Tarang Jain: Yes. So, thanks once again to all of you for joining the call and for your continuing support. So, we hope to see you again in the next quarter. Thank you.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

VARROC/SE/INT/2025 -26/156 February 10, 2026

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Sub.: Transcript of Investor / Conference Call pertaining to Un-audited Financial Results of the Company for the quarter and nine months ended on December 31, 2025 .

Dear Sir/ Madam,

Please find Transcript of Investors / Conference Call held on February 5, 2026 , in respect of the Un-audited Financial Results of the Company for the quarter and nine months ended on December 31, 2025 .

This is for your information and records.

For Varroc Engineering Limited

Anil Ghatiya
Company Secretary & Compliance Officer

Encl: A/a

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Conference Call”

February 5, 2026

MANAGEMENT : MR. TARANG JAIN – CHAIRMAN AND MANAGING
DIRECTOR
MR. ARJUN JAIN – WHOLE -TIME DIRECTOR AND
CHIEF EXECUTIVE OFFICER , BUSINESS UNIT 1

MR. DHURUV JAIN – WHOLE -TIME DIRECTOR AND
CHIEF EXECUTIVE OFFICER , BUSINESS UNIT 2
MR. MAHENDRA KUMAR – GROUP CHIEF FINANCIAL
OFFICER
MR. BIKASH DUGAR – HEAD, INVESTOR RELATIONS
AND FINANCE CONTROLLER , BUSINESS UNIT 2
MR. VISHAL RAWAL – HEAD, FINANCIAL
CONTROLLER , BUSINESS UNIT 1
MODERATOR : MR. MIHIR VORA – EQUIRUS SECURITIES PRIVATE
LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to Varroc Engineering Limited Q3 FY '26 Earnings Conference Call , hosted by Equirus Securities Private Limited .

As a reminder , all participant s' lines will be in the listen -only mode and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Mihir Vora from Equirus Securities Private Limited. Thank you, and over to you, sir.

Mihir Vora: Yes. Thank you, Palak. So good evening, everyone. We are pleased to invite you to the Q3 FY '26 Post Results Conference Call of Varroc Engineering Limited.

The Management team will be represented by Mr. Tarang Jain – Chairman and Managing Director; Mr. Arjun Jain – Whole -Time Director and CEO, Business Unit 1; Mr. Dhruv Jain – Whole -Time Director and CEO, Business Unit 2; Mr. Mahendra Kumar – Group CFO; Mr. Bikash Dugar – Head (IR) and Finance Controller, Business Unit 2; and Mr. Vishal Rawal – Head (Financial Controller) , Business Unit 1.

Without further ado, I will now hand over the call to Bikash for the disclaimer. Bikash, over to you.

Bikash Dugar: Thank you, Mihir. Thank you Equirus team for hosting the call. Just a small disclaimer before I request our Chairman to give his opening remarks. So the disclaimer is that the call today may include statements which may constitute forward -looking statement s. All statements that address expectations or projections about the future, including, but not limited to, statements about the strategy for growth, business development, market position, expenditure and financial results are forward -looking statements.

Forward -looking statements are based on certain assumptions and expectations of future events and involve known and unknown risks, uncertainties and other factors. The actual results, performance or achievement could differ materially from those projected in such forward -looking statements. So with that disclaimer, I am handing over the call to our Chairman.

Tarang Jain: Yes. Thank you, Bikash, and good evening to everyone. I am Tarang Jain here. So let me start by stating that India has delivered a robust 8.2% GDP growth in July to September '25 period, the highest in 6 quarters, driven by strong performance in manufacturing, services and construction , despite global uncertainties and tariff -related pressures.

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The GST cut introduced during the festival season gave a significant boost to consumption and enabled strong growth for the manufacturing sector also. The inflation in India continues to moderate, which augurs well for the growth as the Central Bank can fu rther support growth by easing the monetary policy.

The recent retail agreement with the European Union and reductions in reciprocal tariffs with the U.S. shows that the world is recognizing the importance of India, both as a market and as a reliable supply chain partner also. The Automotive industry is also preparing to deal with these uncertainties and geopolitical challenges.

In these uncertain times, it becomes very important for the company to find ways to manage this uncertainty and grow simultaneously during this period. As evident from the recent stock exchange disclosures we made recently about our VRS program , and some of the large order wins from reputed global OEMs, our company is taking some tough decisions to make the cost structure more robust and also focusing on winning large businesses in India and abroad for its future growth.

Coming to the performance in this quarter, let's first understand the industry performance in India :

In terms of autom

otive production in India, during Q3 of FY '26, all segments of the automotive showed strong growth on a year -on-year basis, supported by a strong economic growth and GST reduction.

On a year -on-year basis, 2 -wheelers grew by 15%, 3 -wheelers grew by 34.7%, passenger vehicles grew by 19.1% , and commercial vehicles grew by 17.5%. On a quarter -on-quarter basis, 2-wheelers de -grew by 1.7%, 3 -wheelers de -grew by 4.6%, passenger vehicles grew by 5.4% and only commercial vehicles grew by 9.7%.

Sequentially, that is quarter -on-quarter, the growth was not as strong as a year -on-year due to seasonality effect and generally, Quarter 3 is sluggish in comparison to quarter 2 due to the model year change.

In the first 9 months of Financial Year '2 6 also, we saw a similar positive trend across all the segments. On a year -on-year basis, 9 months of Financial Year '2 6, 2-wheelers grew by 8.8%, 3-wheelers grew by 21.1%, passenger vehicles grew by 9.8% and commercial vehicles grew by 10.4%.

Coming to the operational performance during Q3 FY '26 :

The company registered a consolidated revenue of INR 22.9 billion with a growth of 10.2% year-on-year with the India operation growing at 12.3%. Our EBITDA for the quarter was around Varroc Engineering Limited

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9.3% as compared to 9.2% on a year -on-year basis. Our PBT before JV profits was 4.4% of revenue in Quarter 3 of FY '26 as against 3.2% in Quarter 3 of FY '25. The revenue from supplying to EV vehicles in this quarter was at 14.3% of the revenues and which grew by 50% on a year -on-year basis.

We had some exceptional items in this quarter. The first one is the launch of a voluntary separation scheme in which more than 400 employees opted for the benefits of the scheme, and this resulted in a separation cost of INR 799 million.

We continue to explore such restructuring operations in the near future, which will make the company more and more robust in the medium term and the long term. The second exceptional item pertains to change in the definition of the wage as per the new labour code as a result of which we had to recognize an estimated incremental expense of INR 225 million towards reassessment of gratuity and leave encashment costs.

However, I would like to bring your attention to the point that the India EBITDA and PBT were strong at 11.9% and 7.6%, respectively, and grew both on a year -on-year basis as well as sequentially.

I explained earlier, the Overseas Electronics, Lighting and the Forging business continues to face challenges due to customer concentration and the macro environment. However, we are winning significant orders for the Overseas Electronics and Lighting businesses already, and a turnaround is expected to be visible from half 2 of Financial Year '2 7.

The net debt of the company in the 9 months of Financial Year '2 6 is INR 4,405 million. This has increased for the first time after many quarters to the one -time cash outflow pertaining to our VSS. The net debt to equity is very comfortable at 0.26. With significant growth -enabling investments planned in the coming quarters , on back of strong order wins, the net debt and interest costs will only see modest improvement in the coming quarters.

In 9 months of Financial Year '2 6, we achieved net new business wins with annualized peak revenues of INR 20,636 million. Notable business wins among these in the last quarter are, the High -V oltag e Electronics business for a range of high -performance e -powertrain components for a Romanian plant from a global EV player, the 4 -Wheeler Lighting, Headlamps and Small lamps business for our Thailand plant from a global EV player and the 4 -Wheeler Lighting business for our Indian operations , from an incumbent OEM for its upcoming EV vehicle. All these business wins helps us to fill the existing capacity and sweat our assets even more. In this quarter, we also had some b

usiness wins from the Nonautomotive segment.

As emphasized earlier, in this volatile new normal environment, we continue to strengthen our company for a long -term growth and performance by taking appropriate decisions and meticulously executing them.

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With this, I will now ask MK – our Group CFO, to walk you through the presentation and give more insights into the financial performance in Q3. We have uploaded the investor presentation to the stock exchanges as well as on the website. Thank you.

Mahendra Kumar: Thank you, Tarang. Good evening, everybody.

So I will take you to Slide #7, which is about the highlights of Q3 :

As our CMD explained, the revenue was INR 2,288 crores with a 10.2% growth. Within that,

India operations registered a significant growth of 12.3% year-over-year. The interesting point here is within this, the EV models, the revenue from EV models in Q3 was at 14.3%. As some of you may recollect, it was in the range of 10% to 11% earlier. So this actually amounts to a growth of 53% year-over-year within Q3. And if you take 9 months together, revenue from EV models was at 12.1%, and there was a growth of 38% year-over-year.

Coming to PBT :

It was at 4.4% compared to 3.2% last year in the same period of Q3. EBITDA was 9.3% versus 9.2%. Another significant highlight is the highest ever new order wins in these 9 months, which has the annual peak revenue potential of more than INR 2,000 crores, which is the highest ever order win for us.

And another important point here is 74% of this relates to EV motors. Net debt increased this quarter to INR 441 crores. As you may recollect, in the last 3 years, we have been steadily reducing the net debt quarter-on-quarter. But this time, because of the VRS spending of close to INR 80 crores, there was an increase in net debt. But this particular initiative, as our CMD explained, is going to strengthen our cost structure further, and this will give us a payback within 4 years.

Coming to patents :

In the 9 months, we filed close to 15 patents, taking the tally to 130 plus. Within the order wins, we also have these 3 significant order wins, which we also announced to stock exchanges earlier. There was an HV high-voltage PCBA order, which is going to be met by our Romanian entity for a global EV OEM. We also have order wins in 4-wheeler lighting. One is from a global EV OEM, which will be met from our Thailand entity, and another one is in India.

The next slide is about the industry trends. Our CMD already explained the numbers in detail. So, there was a significant growth in Q3, largely helped by the GST reduction, which we had in Q2. So that also help the industry across different segments to register a significant growth.

Moving to the next slide, which is about the consolidated financials of Q3 :

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So, as I mentioned, 9.3% was the EBITDA. And in terms of PBT, you really see it's about INR 101 crores compared to INR 66 crores of last year, which is more than 50% growth. So PBT went up by almost 53% to be precise.

The exceptional items had two parts. One is the new labour code impact, which most of the companies are picking up this quarter. So that was about close to INR 23 crores. We also had VRS impact of INR 80 crores, as I explained in the previous slides. So significant PBT growth was also enabled by the interest cost reduction over a period of time and also strict capital controls, which enabled us to control the depreciation charge also.

And coming to the 9-month numbers in the next slide, close to 8% growth in the top line, EBITDA at 9.3% and PBT at 4.2%. Here again, about more than 33% growth was there in the PBT in absolute terms.

The next slide, we are continuing this trend which we started last time of showing the split between India business and Overseas business.

As you can see, the India business growth was

pretty strong, top line growth of 12%, but EBITDA growth was 30% and PBT growth was more than 80%.

The Overseas businesses, of course, they have the challenges, but we explained it in the previous meetings also. So this will now be a temporary phenomenon with the strong order wins which we got in the recent times. This picture should look significantly different next year and the following years. And the third box denotes the investment or the spending which we are doing on the R&D activities.

Next slide, we have the net debt trend. As I mentioned, we have been reducing net debt significantly in the last many quarters. This time, we see this as a temporary phenomenon. But before end of the year also, we may not see a significant change in the net debt level. It will more or less continue at this rate, because we are also planning for some land purchase in Q4. Part of that may come this year and part of may come to spill over to next year. But our effort will be to move to a zero-debt status by end of next year.

Next slide, we have the revenue breakdown, more or less similar to what we have been showing earlier. The 2- and 3-wheelers now add up to 76%. And customer segmentation, if you really see Bajaj adds up to 46%. And within India, 89% versus 11% outside.

On your next slide, we have given the details about the order wins. As you can see, the annual peak revenue potential of new orders, which we have taken in the last 9 months adds up to more than INR 2,000 crores. And of this, nearly about INR 982 crores will move to SOP this year.

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In terms of the split, if you really see the 2 -wheeler and 3 -wheeler, that's about 34%. So here is the other way, 4 -wheelers and others add up to more than 60%. And EV orders also add up to 75%, which actually indicates the strength of our EV product portfolio.

So let me stop here. The subsequent slides are more about the product information and other generic details. Thank you.

We are happy to take your questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Preet from InCred AMC. Please go ahead.

Preet : Thank you for the opportunity. My first question would be in line of the revenue growth of the India business. It was around 12%. We have seen that industry -wise revenue growth was somewhat in the range of 15% to 20%. So what led to the underperformance in respect to industry?

Arjun Jain: Yes. So I would say there's a couple of different topics. I think if you think about our portfolio from the perspective of ICE and EV , yes, I think on ICE, I think driven by customer mix, driven also by some significant models undergoing changeovers, we had a muted impact on growth over there. However, if you look at our EV performance, we have grown by almost 53%. So yes, I would say it's a combination of weaker performance on ICE versus EV for us. And also, I would say, driven really by mix and model changeovers.

Preet: Thank you, sir. That was helpful. And second question on the line of the new order win which we have got, when do we expect our Overseas business to be breakeven?

Mahendra Kumar: I think in some of the markets like electronics in Romania, we may reach cash breakeven by next year , full PBT level breakeven may happen in the following year.

Preet: Thank you, sir. I will join back in the queue.

Moderator: Thank you, sir. The next question is from the line of Ankur Poddar from Svan Investments . Please go ahead.

Ankur Poddar: Sir, my first question is regarding the VSS cost, which you have taken of INR 80 crores one -time expense in this quarter. And in the presentation, it's mentioned that the payback period for this is 4 years. So is it safe to assume that this leads to an annual saving of around INR 20

crores

in the employee cost for you?

Tarang Jain: Yes, yes, that's right. It could be a little more than that. But yes, that's a safe number to go with.

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Ankur Poddar: All right. Thank you. And my next question is about our gross margin, which have declined during this quarter. So is it due to increase in RM prices? And if so, will we be able to pass them on with a lag? Or what's the lag with which we can pass it on?

Arjun Jain: So yes , I would say on the raw material, there's definitely a level of topic with respect to certain commodities and also FOREX , but those are largely passed through, and I would say majority is also passed through. Yes. It's largely driven by these product mix as well as market mix.

Ankur Poddar: All right. Understood. And my last question is about our debt levels. So our net debt has increased, which you have explained. So can you give me the gross debt level currently at the end of December 2025? And also what do we see as our total interest expense for the entire year, which for 9 months is close to INR 100 crores. And where do we see this going in FY '27?

Mahendra Kumar: Yes. So gross debt, you can add another INR 300 crores to it, which is what we keep in cash. So about INR 750 crores was the gross debt. In terms of the interest cost, yes, like what I mentioned, there won't be a significant reduction between now and end of the year. It will more or less be in this range. So based on this, you can compute for the rest of the period.

Next year, by next year -end, we should come close to the zero -debt level. So it should be a gradual reduction, maybe largely happening more towards , more between Q2 to Q4 because the Q1 also, part of the consideration for land purchase and all may go during Q1 of next year. So we will again start seeing some good reduction in net debt starting from Q2 of next year to Q4.

Ankur Poddar: All right. Understood. Thank you. That's all from my side.

Moderator: Thank you, sir. The next question is from the line of Ronak Jain from Equirus Securities. Please go ahead.

Ronak Jain: Yes. Thank you so much for giving me this opportunity. So my first question is, so the growth was very strong in the e -mobility and HMI division. So what has driven this growth? And how much of this growth was due to non -Bajaj customers? Like how is the traction with non -Bajaj customers currently , sir?

Arjun Jain: So I would say one big driver for the growth, in particular, in e -mobility is the fact that the crisis around rare earth magnets has been solved for. So there's definitely a level of backlog also that was covered up through this quarter. So that has been one big driver of growth for e -mobility. Further, from the standpoint of Bajaj versus non -Bajaj customers, there is growth in both, right? There is growth in both of these segments.

Ronak Jain: Okay. So during the quarter also, both non -Bajaj customers and Bajaj customers contributed to the growth.

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Arjun Jain: Sorry, I have a clarification. Do you mean the E -Mobility segment we report? Or are you talking about sales into EV models?

Ronak Jain: E-Mobility segment that you report?

Arjun Jain: So E -Mobility segment is driven today purely by Bajaj.

Ronak Jain: Okay. That is purely Bajaj. So are you getting any traction from non -Bajaj customers? Like are you in discussions with non -Bajaj customers?

Arjun Jain: Yes. So we have business wins, one of which we should be SOP -ing sometime soon. We also have further formal engagements with other customers as well. And I think our strength really is the ability to ramp from business win to SOP very quickly. So we feel confident that we will see through FY '27 further customer additions and revenue.

Ronak Jain: Okay. Got it. So my second question was, so Lighting was a dra

g during the quarter. So was it mainly due to the overseas subsidiaries like Overseas business?

Arjun Jain: Yes.

Ronak Jain: Okay. And any colour on the new orders like both in the Domestic and Export segment on the Lighting side, new orders?

Arjun Jain: Yes. So I think as you will have seen in our presentation also, I think 2 of our biggest business wins are actually in the Lighting space, one in India, one abroad. I would say our order pipeline on Lighting is extremely healthy. Passenger car lighting, 2 -wheeler lighting, both is extremely healthy. And from an India perspective, Lighting has grown fairly strongly for us.

Ronak Jain: Okay. So you mentioned in the PPT that one of the orders for Lighting is from the Thailand facility. So like by when do you expect the Thailand capacity to ramp up to optimal levels?

Dhruv Jain : So I would say that definitely in 2027, so I will say in 2027 is when the revenue will increase for this location.

Ronak Jain: From 2027.

Dhruv Jain : Yes.

Ronak Jain: Okay. Thank you so much. So that's it from my side.

Moderator: Thank you, sir. The next question is from the line of Aditya Jhawar from Investec. Please go ahead.

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Aditya Jhawar: Thank you for the opportunity. Congrats on good set of numbers and good order wins, especially in the Overseas business . My first question is the VRS, the quantum seems to be relatively bigger in terms of the number of employees, almost about 5% of our workforce. Do you expect any impact on revenue in the near term? And these employees were part of which business division, if you can throw some light?

Arjun Jain: So the VRS is already fully executed now. So we have been living in the new reality for approximately 1.5 months , and we have not seen any impact. And of course, touch wood, we have been able to transition the workforce quite effectively.

Secondly, I would say 95% of the headcount here really comes from our ICE powertrain product group.

Tarang Jain : let me add, Aditya, that we are not doing this from a point of view of any business going down.

Nowhere has our business gone down. It is just that it's an initiative from our side to make better our cost structure going forward , because a lot of these plants are our older plants. And we just wanted to mitigate the cost impact moving forward.

And we have never done a VSS before in this company. So it was for us the first time , while a lot of the other companies have done it over the years. So we felt it was probably the right time to take a call in this regard.

Aditya Jhawar: Yes. Okay. That's quite helpful. Now second question is in the Overseas business , when you look at it, of course, a lower base will kick in, hopefully, in the next couple of quarters, and you will start seeing some of the new orders from Romania will also start coming on stream in '27. If you can split the business, Overseas overall business into the premium 2 -wheeler lighting, IMES and the Romania part?

And if you can help us understand, so Romania, clearly, as Dhruv also mentioned that second half of next year, you will see start that business flowing into numbers. But the current business that we have, whether it is premium 2 -wheeler lighting, IMES , where are we in terms of the base? Are we seeing the hurdles? For example, one of the customer had started doing in - sourcing. The customer was also losing market share. So what is the way ahead of the other

Overseas business other than the Romania business ?

Dhruv Jain : Yes. So I will just comment on the different overseas locations. So when it comes to premium 2-wheel lighting, I think here you are referring to maybe the Vietnam and the Italy locations. And of course, there was a degrowth here as well. And however, there's actually an upcoming launch of certain programs. So we are expecting actually a revenue growth in the coming

financial

year, compared to the current fiscal year. And I think what we have also mentioned earlier is more with respect to our Romanian plant for Electronics and the Thailand plant for Lighting .

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So while there are new business wins that are coming into production in each of these locations, of course, the bigger growth is going to be with respect to Romania and Thailand , compared with the Vietnam and Italy locations.

And I am not referring to IMES here. I am only referring to the other locations.

Tarang Jain: On this, and also this 2 -wheeler lighting, where the 2 -Wheeler Lighting , Premium Lighting business, we have seen a degrowth last 3 years, I would say. But now we are looking at doubling the growth in the next 4 years. And we have some new customers also here in the 2 -Wheeler Premium Lighting segment starting from the next financial year.

So here also, we have won certain significant orders going forward. So we are looking at a growth not only in the future in Romania and Thailand, where, of course, the revenues will be in a much bigger way , because it's in the 4 -Wheeler segment. But 2 -Wheeler also, we are looking at a good level of growth on the back of new customers and not really relying only on Piaggio over here.

When it comes to, I think, IMES, I think here, we are, of course, looking at the moment of turning around this business from a profit standpoint. A lot of work is going on. We have made investments in the past to recondition some machines, replace some machines. So we will see some good momentum from a point of view of profitability in the next financial year. But going forward, in the long term, we will have to find a good solution over here , because this is also more a Non-Auto business where we are not really that focused.

Aditya Jhawar: Very encouraging to hear. So clearly, we are talking about growth rebound in the Overseas business and also profitability, excluding the Romanian operation, right, in FY '27?

Mahendra Kumar: Yes. Yes. Romanian operation also should show improvement , to be more like a cash breakeven next year.

Aditya Jhawar: Okay. Okay. That's good. And congratulations on the 4 -wheeler Lighting win for BEV . I am sure this would really help in overall our contribution from 4 -wheeler and EV in the next couple of years. So that's it from my side. All the best.

Mahendra Kumar: Thank you, Aditya.

Moderator: Thank you, sir. The next question is from the line of Sachin Kasera from Svan Investment Managers. Please go ahead.

Sachin Kasera: Good evening, everyone. And congratulations on a good number, especially in India. I had 2, 3 questions. One was if you see the India numbers as per the presentation, we seem to have seen

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some margin improvement there. So can you just comment a bit on that? One, is it sustainable? Secondly, was it driven by gross margin or operating efficiencies or both?

Mahendra Kumar: It's a combination of both, but mainly, if you really see the fixed cost part of it, I think there was a good amount of cost control, which we did there. If you really see the year -over-year increase in fixed cost, it was pretty less. We took some tough decisions Q4 of last year in terms of cutting down some headcount, plus we also had some strict controls on the other elements of fixed costs. So that operating leverage is getting magnified because of that. So that's the main reason.

Sachin Kasera: So we should see this more sustainable. There's no one -off in that and the India numbers are more or less something which you can look to be sustained.

Mahendra Kumar: It should give us flexibility to do maybe 0.2%, 0.3% this way or that way. But yes, directionally, yes.

Sachin Kasera: Sure. Secondly, I think there have been a couple of questions that you clarified on the overseas

operations. But just to again get more clarity, I believe your presentation mentions that there are 2 parts which are dragging the profitability. If I see you reported INR 160 crores of PBT in India and around INR 35 crores is the negative delta from overseas operations and some INR 27 crores, INR 28 crores from the R&D initiatives mainly, again, believe for your Global Lighting foray. You mentioned that Romania will start to break even? Or do you mentioned about the entire

after overseas market breaking even in second half of next year?

Mahendra Kumar: I mentioned Romania for cash breakeven next year. See, within the overall businesses, Overseas business es, the 2 -wheeler business is already making profit. So it's not incurring losses. Then the remaining part is IMES . IMES , as our CMD explained, we are taking some actions. That should also improve EBITDA significantly next year. But for it to turn to profits, it will take some time.

Sachin Kasera: So currently, what would be the drag because of Romania in the first 9 months for the quarter, if you could give some sense on that , of the losses that we reported in overseas operations?

Mahendra Kumar: Sorry, come again.

Sachin Kasera: What would be the drag from Romania to the profitability for the quarter? Because that's what you said will turn around from next year?

Mahendra Kumar: That country level breakup, we generally don't give, but you will anyway see the result coming in over the next.

Tarang Jain: Basically, as to say that Romania at present, the utilization is very low of the capacity. And you will see that with a lot of new orders kicking in from the second half, the revenue growth will

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be significant from the second half. And of course, it will then grow even more in the following year. And these are some of the big businesses that we have won actually. So compared to where we are today, it will be a lot more going forward.

So, Romania this thing will do exponentially. 2 -wheeler Lighting is already profitable even at a lower base. That will also see a growth next year , because we have new customer over there, a significant new customer. And when it comes to our Thailand facility, that only will start in the calendar year '27. So that business is in automotive, the cycle is 1.5 -2 years after you win a program. So that wi ll only start in the calendar year '27, somewhere in the second quarter or something. And then you will start seeing that utilization and numbers coming in the Thailand facility.

And a lot of these costs which you see, the R&D and all are actually been incurred in the last 1 year, mostly to win these programs. You need a very strong R&D team. We have created a very strong engineering team in China also. We already had in Poland and in India, people supporting these 4 -wheeler electronics and lighting.

But now, Lighting electronics team in China is for us a game changer because it's cutting edge.

And that's what will drive more of business wins also going forward. And without this investment, we call it as a big investment. It's not a cost for us. It's a big investment fo r future exponential growth. And that's what we already see the wheels coming , because of the team in China also playing a very big role here.

Sachin Kasera: Sure. So just to understand this R&D bit, this R&D, what we have mentioned in the presentation around INR 27 crores, INR 28 crores of negative on the PBT, that will remain. But because of this investment in R&D, we will see improvement in the core EBITDA of the PBT at the India as well as the overseas operations. Is that the way to look at the combined numbers in the next few quarters?

Tarang Jain: I think it will be more abroad, I would say, which is this thing. I think this engineering team is there, of course, even for part of the India projects on 4 -whe

eler. But mainly, including also for

India, definitely for Lighting and all for India also. But basically, yes, it will drive a lot of growth abroad also , which today is quite low. Our revenues abroad are quite low. But I think going forward, we are looking at a much bigger level of revenue abroad.

Sachin Kasera: Sure. But just to understand, you mentioned that Overseas Lighting is already profitable and Romania will see breakeven next year. But despite that, we are seeing overall PBT will still take some time for breakeven. So does it mean that Thailand and Italy are a larger part? And hence, that is the reason why even next seco nd half next year also , overall at the breakeven level will be challenging for us to become breakeven?

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Tarang Jain: See today, the 2 -wheeler Lighting business is already profitable, and that's the main revenue at the moment. Today, we hardly have any revenues from Romania and almost negligible in Thailand. So basically, all this investment in R&D has led to quite a few big business wins, which will star t playing out from the second half of the next financial year for us. And therefore all these business wins and revenues coming out of there will cover a lot of all these R&D costs, which we have incurred alre ady.

Dhruv Jain : And maybe I will just try to clarify something for you. So our 2 -wheeler Lighting plants are the ones that are already profitable. We also have a new 4 -wheel er Lighting plant in Thailand. This

is the one which will ramp up only in calendar year 2027. So maybe I don't know if that clarifies that the entity that we said is profitable is more the 2-wheel Lighting plants where, of course, Vietnam is one of the bigger drivers of the profitability. But the Thailand plant for passenger vehicle lighting is a new plant. So that will only ramp up next year.

Sachin Kasera: Sure. And lastly, on the CAPEX, you mentioned about some land being acquired. So are we looking at a fresh round of greenfield CAPEX? And what is like the plan for the next 2, 3 years on the land that we are looking to acquire?

Mahendra Kumar: I think we explained in the previous calls also. So we plan to invest close to about INR 150 crores in land, yes, of course, greenfield facility near Pune, in Pune. Entire thing may not come and hit us in Q4 this year. Part of it may come this year and part of it may spill over to Q1 of next year.

Sachin Kasera: My question was, sir, over and above the land, how much because land is basically like the basic infra for the greenfield. So my question was more in terms of the CAPEX over and above the land in the next 2, 3 years on that parcel.

Mahendra Kumar: Next year, let's talk about could be in the range of maybe INR 300 crores to INR 350 crores. Then in the outer years, it should moderate to maybe INR 250 to INR 300, but it also depends upon the new programs we win. If we win significant programs overseas, then we may have to invest temporarily for those programs.

Sachin Kasera: Sure. Thank you very much for answering all the questions and wish you all the best.

Mahendra Kumar: Thank you.

Moderator: Thank you, sir. The next question is from the line of Rahul Kumar from Vaikarya Fund. Please go ahead.

As there is no response, we will move to the next question. The next question is from the line of Priya ranjan from HDFC AMC. Please go ahead.

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Priyaranjan: Hi. Thank you. Just a couple of clarifications, Tarang, since we have won decent orders and a lot of probably the programs is going to start for overseas operation probably in '27, '28. So how should we look at in terms of the balance of the business going forward from, say, 88%, 12% to India Overseas. So, do you see substantial change in terms of the mix of the business in the next 2, 3 years down the line?

e?

Tarang Jain: No, definitely, we will see a better share coming from our business abroad. But today, I think largely the revenue is all mostly coming from India. More than 90% is coming from India. So going forward, with all the business wins and all and a focus on select businesses, certain 4-wheeler electronics, certain lighting, both 2-wheeler, 4-wheeler lighting. And so we are going to drive a lot of the revenues out of selected plants abroad.

And here, I am talking about a Forging business. Forging business, we have to look at what to do going forward. It's a noncore area for us at the moment. We don't know what the growth, but the rest will definitely drive more growth, and you will see that the share of the foreign business will grow as we go along. India also, we are looking at a good double-digit growth year-on-year. But then it will be augmented by quite a large growth abroad, where the abroad business, of course, percentage of total overall goes up to a decent percentage.

Mahendra Kumar: And also a negative growth, which has been affecting us in the last 2 years will now become a positive growth. So that will also bring in good improvement.

Priyaranjan: Sure. And just one clarification on this, the 3 charts you have shown India business, overseas and 4-wheeler R&D side. So Overseas business include this 4-wheeler R&D and all? Or it doesn't include the overseas?

Mahendra Kumar: Yes, the 4-wheeler R&D is the last box, third box.

Priyaranjan: Okay. So that is separate. So that is over and above the Overseas business losses, right?

Mahendra Kumar: Correct.

Priyaranjan: Okay. Got it. Thank you. All the best.

Mahendra Kumar: Thank you.

Moderator: Thank you, sir. The next question is from the line of Harshil from AM Investment. Please go ahead.

Harshil: Yes, sir. So based on the order wins in both India and overseas markets, what kind of revenue growth are we projecting going forward, sir?

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Mahendra Kumar: I think we mentioned earlier also, our target is to grow between 15% to 20% ahead of the market, at least 4% to 5% ahead of the market. So that the direction still remains.

Harshil: Okay, sir. That's it from my side. Thank you.

Mahendra Kumar: Thank you.

Moderator: Thank you, sir. The next question is from the line of Mihir Vora from Equirus Securities Private Limited. Please go ahead.

Mihir Vora: Yes. So sir, just a clarificatory question. So on a steady-state basis, the R&D expenditure, which we are mentioning in the overseas part, the Lighting and Electronics, so what will be that amount in a steady-state basis as such? Because we are seeing that amount increasing right now to around INR 25 crores. So some colour on that part.

Mahendra Kumar: No. See, the overseas R&D investment will more or less be around these levels for the near future. So there should not be a significant increase in the overseas R&D spending.

Mihir Vora: And okay. And basically, there's a note in your financials where the arbitration case with the OPMobility is still going on right now, which is roughly around EUR 66 million. So sir, what is basically the issue we are facing there? And what do we think about that part? Like when do we close on that? Some colour on that?

Mahendra Kumar: Yes. So basically, the dispute has 2 parts. One is about the supply agreement, which PO terminated abruptly without enough notice and without proper justification. So for that, we filed a court case against them, which is going through the process now.

And then this arbitration is something which they initiated saying that some of the divestment agreement conditions have not been met and there are some warranty obligations, et cetera. So it's a combination of many issues.

So in terms of time line, if you ask me, it's difficult to put a time line because these ar

bitrations

go on for 2 to 3 years. But we will see how to actually manage this in the coming quarters.

Mihir Vora: Right. And we haven't made any provision for that, right?

Mahendra Kumar: No, it has been. First of all, claims itself were getting disputed. So there's no question of claim.

Tarang Jain: We feel that these claims are very unreasonable. Yes, some of them are frivolous. So we cannot provide for that.

Mahendra Kumar: Okay, sir. Thank you.

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Moderator: Thank you, sir. The next question is from the line of Ritik Chopra from Buoyant Capital. Please go ahead.

Ritik Chopra: Hello, sir. So you mentioned in your opening remarks that you are going towards non-auto side. So what are we doing over there? And how much CAPEX are we putting in? And what is the size of opportunity that we are trying to cater to?

Arjun Jain: Yes. So I would say from a non-auto perspective, I think our primary interest in the space is also to drive alternate utilization for capacities that we have already built for ICE powertrain, which means the primary target applications would be lower voltage motors. And the business wins that we have so far are also really in these motors and in plastic.

In terms of an incremental CAPEX commitment, I would expect it to follow similar economics to what we would have if we were driving automotive growth, for example. And again, I will say, I think it's really because the products we pursue in non-auto are very similar to products or very similar is not the right word because every application is unique. But the products we pursue in non-auto utilize the same competencies we already have from a design development and manufacturing perspective.

Ritik Chopra: Okay. And are the margins similar to our Auto business?

Mahendra Kumar: It's too early to comment on margins, because we are just making a beginning. But yes, in the long term, yes, there should be.

Ritik Chopra: And how much capacity have you built in any customer over there? Any colour?

Arjun Jain: We have won business. So there are customers, and we will SOP in FY '27. And like I said, I think the way we look to mitigate the investment is to redeploy existing capacity. That is the first choice. Of course, you cannot 100% do that, which will mean there will be a level of delta investment. But the first preference is to deploy existing capacity.

Ritik Chopra: All right. Thank you, that was helpful.

Moderator: Thank you, sir. The next question is from the line of Avnish Tiwari from Vaikarya Change LLP. Please go ahead.

Avnish Tiwari: This I mes as forging business, which is noncore for you, would you be open to exit this via sale or other measures?

Tarang Jain: See, we have not decided anything yet. At present, we are trying to see how to make it profitable with the level of business we have. But yes, we will be looking at also all other options in regard to this particular business.

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Avnish Tiwari: This U.S. and European deals, which we have had at a country level, does it create any positive environment for you anywhere?

Tarang Jain: Definitely. Definitely, I think both these deals will definitely encourage auto components exports to Europe. Europe is anyway a very big market for us for quite a few of our products, which we export. We can further grow with various other customers and existing customers here in Europe.

And America, we don't have much of a presence today. North America, we don't have much of a presence today. But then with this new trade deal, which has been signed with a lower tariff, I think that we will have a lot of future potential with various customers.

And some of them we already know, we have been discussing with. But because it had to be stalled because of this 50% tariff by the U.S. But now again, we

are going to start those

discussions. And I think we will win business also in the U.S. export businesses.

Avnish Tiwari: Which products are these going to be?

Tarang Jain: See, largely, I think a lot of these products are the metallic products, including engine valves, which is a very big product for us, a lot of the forged machine products, which we do already.

We see a huge scope of growth more in these products. And then, of course, we are looking at selective things could be in electronic space, electrical space. So we are looking at also at some of the other of our product portfolio. But maximum, we see the potential more on the metallic space presently.

Avnish Tiwari: And lastly, the discussion you are having with non-Bajaj EV 2-wheeler customers, where you are confident that something can fructify in FY '27, will that be a motor-motor controller or non-EV components to --.

Arjun Jain: We are talking about e-components only. We are talking about motor-motor controllers.

Management: See on-EV components, we already do with multiple non-Bajaj customers. So lighting, seats, switches, displays, when we talk about early FY '27 SOP, we are talking primarily about e-Powertrain.

Tarang Jain: And we are already starting an SOP with one of the customers for the e-Powertrain from early next year, and also in discussions with others, and we are very close to winning an e-powertrain business also with one more premier customer going forward. So we are very closely aligned.

Avnish Tiwari: And just to conclude this, these customers you are talking about, they have a reasonable market share in electric 2-wheelers, right? They are not at a smaller rise in the electric 2-wheeler space.

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Tarang Jain: So one of them is actually a newer player, but quite a strong player. And other one, of course, is a very established player. Among the new people, we are going to be dealing with.

Avnish Tiwari: Sorry, I missed your last sentence. What is the second player?

Arjun Jain: Let me clarify. One is fundamentally incumbent. The other is a newer player, but is definitely somebody who is in the top 7, 8.

Avnish Tiwari: Okay. So both of these will significantly expand your target addressable, let's say, 2-wheeler market effectively for motor-motor controllers?

Management: Yes.

Avnish Tiwari: Okay. Great. Thank you, and wish you the best.

Tarang Jain: Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Management for closing comments.

Tarang Jain: So thank you, everyone, for all your questions and for joining the call and also for your continuing support. See you in the next quarter.

Moderator: Thank you, sir. On behalf of Equirus Securities Private Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2026

VARROC/SE/INT/202 6-27/25 June 02, 2026

To,
The Manager - Listing
The Listing Department,
National Stock Exchange of India
Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex,
Bandra (East), Mumbai -400051
NSE Symbol: VARROC The Manager – Listing
The Corporate Relation Department,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai -400001.
BSE Security Code: 541578

Sub: Transcript of Investor / Conference Call pertaining to Audited Financial Results
for the Quarter and Financial Year ended on March 31, 2026.

Dear Sir/ Madam,

Please find Transcript of Investors / Conference Call held on Wednesday, May 27, 2026, in
respect of the Audited Financial results for the Quarter and Year ended on March 31, 2026.

This is for your information and records.

For Varroc Engineering Limited

Anil Ghatiya
Company Secretary & Compliance Officer

Encl: a/a

“Varroc Engineering Limited - Q4FY26 Earnings
Conference Call”
Hosted by

MANAGEMENT :
MR. TARANG JAIN, CHAIRMAN AND MD
MR. ARJUN JAIN, WHOLE TIME DIRECTOR AND CEO, BUSINESS I
MR. DHRUV JAIN, WHOLE TIME DIRECTOR AND CEO, BUSINESS II
MR. K MAHENDRA KUMAR , GROUP CFO
MR. BIKASH DUGAR , HEAD INVESTOR RELATIONS AND FINANCE CONTROLLER ,
BUSINESS II
MR. VISHAL RAVAL. GROUP FINANCE CONTROLLER , BUSINESS I

MODERATOR : MS. SWAPNA BHANDARKAR – INVESTEC CAPITAL SERVICES

Call transcript

Operator : Ladies and gentlemen, good day and welcome to Varroc Engineering Limited Q4
FY 2026 earnings conference call hosted by Investec Capital Services. Before I move to
introduce the management, I would like to remind all participants that they are in the list en-
only mode and there will be an opportunity for you to ask questions after the presentation
concludes. Should you need assistance during the conference call, please raise your virtual
hand. Please note that this conference is being recorded. Today, it gives me great pleasure
to introduce you to the management of Varroc Engineering. Mr. Tarang Jain, Chairman and
MD. Mr. Arjun Jain, Whole Time Director and CEO, Business I. Mr. Dhruv Jain, Whole Time
Director and CEO, Business II. Mr. Mahendra Kumar, Group CFO. Mr. Bikash Dugar, Head,

Investor Relations and Finance Controller, Business II. Mr. Vishal Raval, Group Finance Controller, Business I.

Operator : With that, I now hand over the mic to Mr. Bikash Dugar. Thank you.

Bikash Dugar (Finance Controller for Overseas Operations and Head Investor Relations, Varroc Engineering) : Thank you, Investec. Thank you, Swapna. Good evening, everyone. Just before I ask our Chairman to give opening remarks, just a small disclaimer that today's discussion may include statements which may constitute forward -looking statements. All statements that address expectation or projection about the future, including, but not limited to statements about the strategy for growth, business development, market position, expenditure and financial results are forward -looking statements. Forward -looking statements are based on certain assumptions and expectations of future events and involve known and unknown risks, uncertainties and other factors. No obligation is assumed by the company on this forward -looking statement. With this, I'll ask our Chairman to give the opening remarks.

Tarang Jain (Chairman and Managing Director, Varroc Engineering) : Thank you, Bikash, and thank you team Investec for hosting the call and good evening to everyone. I am Tarang Jain here. To start with, I just want to say that the India macro tailwinds is supporting growth. India continues to remain one of the fastest growing major economies, supported by strong domestic consumption demand, infrastructure investments and policy -led manufacturing initiatives despite global headwinds. The rural consumption growth is driven by increased farm plus non -farm incomes and easing rural inflation. Whereas the urban consumption growth is driven by fiscal stimulus, tax relief and lower finance costs. The synchronized consumption recovery is driving growth in the automotive sector also. In addition to this, mega trends like rising disposable income, increasing vehicle penetration, urbanization trends, and a strong push towards electrification are also driving demand across segments. This was evident during Q4 of FY 2026 with all segments of the auto industry showing strong growth on a year -on-year basis. On a year -on-year basis, two -wheelers grew by 20.7%, three -wheelers grew by 32.4%, passenger vehicles grew by 11.3%, and commercial vehicles grew by 19.5%. On a quarter -on-quarter basis, two -wheelers grew by 3.7%, three -wheelers grew by 1.2%, passenger vehicles grew by 12.5%, and commercial vehicles grew by 23.1%. For the full year of financial year 2026 also, we saw similar positive trends across all segments. Two -wheelers grew for the full year by 11.8%, three -wheelers grew by 23.9%, passenger vehicles grew by 9.4%, and commercial vehicles grew by 13.1%. Coming to the operational performance, during Q4 of FY 2026, the company registered a consolidated revenue of INR 23.7 billion with a growth of 12.8% year -on-year.

As indicated in our earlier calls, the overseas businesses have already started seeing revival in revenue growth, supported by a strong order book. Our EBITDA for the quarter was

as

around 9.7% as compared to 9.3% in the previous quarter. Our PBT before JV profit was at 4.5% of revenues in Q4 of FY 2026, as against 4.4% in Q3 of FY 2026. For the full year FY 2026, the company registered a revenue of INR 88.9 billion, a growth of 9%. The EBITDA margin stood at 9.4% in FY 2026, and PBT before JV profit margin improved by 50 basis points and stood at 4.3%. The revenue from supplying to EV vehicles in this quarter was around 14% of the revenues, and for the full year it was around 13%.

I would like to bring to your attention to the point that the India EBITDA and PBT was strong for FY 2026 at 11.7% and 7.2% respectively and grew both on a year -on-year basis as well as sequentially despite the supply side challenges explained earlier. In overseas electronics and lighting business, we are continuing to win significant orders and a turnaround is expected to be more visible from second half of FY 2027. Our foremost priority remains accelerating revenue growth across both India and the international markets. India, we continue to leverage our strong customer relationships, technology capabilities and expanding product portfolio to capitalize on opportunities emerging from electrification and the premium migration trends. In our overseas markets, we are strengthening our presence through deep customer engagement, enhanced engineering capabilities and focused business wins, positioning ourselves as a reliable global partner.

In financial year 2026, we achieved the highest ever net new business wins with an annualized peak revenue of INR 32,889 billion. Profitable business wins among these in the last quarter are the wall chargers for our Romanian business from a global EV player, gears and crankpins from our ICE powertrain solutions. All this business win helps us to fill the existing capacity and spread our assets even more. In this quarter, again, we also had some business wins from the non -automotive segment. We continue to follow a disciplined and a value -accretive capital allocation strategy with a sharp focus on investments in high growth and technology -led segments, strengthening our R&D and innovation capabilities, particularly in lighting, electric vehicles and electronic domains, ensuring optimal returns on capital employed. Taking steps to correct the cost structure in the company like VRS, which we did in FY 2026.

The net worth of the company in financial year 2026 is INR 4,952 million, which is a reduction of INR 2,528 million from the last year. The net debt to equity is at a very comfortable 0.27. The average ROC of the company stood at 24.4% in financial year 2026. In this volatile new normal environment, we continue to strengthen our company for long-term growth and performance by taking appropriate decisions and meticulously executing them. Please note that the board of directors have recommended a 150% of the face value as dividend for financial year 2026. With this, I will now ask M.K., our Group Chief Financial Officer, to walk you through the presentation and give more insights into our financial performance. We uploaded the investor presentation to the stock exchanges as well as on our website.

Mahendra Kumar (Global CFO, Varroc Engineering) : Thank you, Tarang. Good evening, everyone. Let me take you to the highlights slide, which is slide number seven. Giving Q4, as was previously explained, the revenue was INR 23,681 million or INR 2368 crore. Which was a growth of 1.8% year-over-year. Indian operations within this grew at 12%. The most important point here is the overseas operations grew by 24%. We were explaining earlier that the order book is now going to turn into a strong sales performance this year. We already started seeing it in Q4. Also, the momentum should continue during the current year also. The revenue from EV models in Q4 was at 14%, which actually amounts to a 50% growth year-over-year. and Q4 PBT was

at 4.5% versus 4.4% during Q3 of FY 2026.

EBITDA was also at 9.7% versus 9.3% reported last quarter.

Coming to the full year revenue, it was at INR 8,891 crores with a growth of 9%. Full year profit PBT was at 4.3%, compared to 3.8% of last year, which amounts to a growth of 22%. Within this, again, if you really look at India profit alone, it grew by more than 40%. Revenue from EV models continues to be at around 13%, which again grew by 39% if you take full year. The order intake, it was INR 33 billion, which is I think the highest ever order intake. Nearly 65% of this relating to EV models. One of the notable recent business wins was the wall chargers business, which is going to be manufactured for a Romanian entity, which will further add to the revenue potential in the coming years. Coming to the net debt. it decreased about by INR 253 crore compared to last year, stood at about INR 495 crore. There was a marginal increase in the last couple of quarters in net debt, but that was largely due to the VRS scheme, which we spoke about in the previous quarters. Also some temporary challenges in net working capital, which should get corrected in the coming quarters. As was previously explained, the board has recommended a dividend of 150% of face value, subject to the approval from the shareholders. This compares to 100% dividend which we declared last year. Going to the next slide. Again, as our CMD explained the industry growth numbers. Basically, the momentum continues in the auto industry. Again, Q4 year-over-year growth, the two-wheeler grew by 21%, three-wheeler by 32%, passenger vehicle by 11%. If you see the full year numbers, almost all the segments grew in double digits.

The two-wheeler volume on year-over-year basis also grew by about 54%. The Q4 financials. the total revenue reported was INR 2,368 crores with an EBITDA of 9.7% and PBT of 4.5%. The full year numbers, INR 8,891 crores, which amounts to 9.4% EBITDA and 4.3% PBT. Coming to the split of the performance between the India business overseas and the R&D. you can see that during Q4, the India business top line grew by 1%, EBITDA by 14% and PBT by a strong 27%. Overseas business also delivered a strong growth of 24% . which also improved the overall EBITDA level. At PBT level, the improvement was not significant, but that is going to be visible in the coming quarters. In terms of the R&D spending, it was close to about 34 crores at EBITDA level. The next slide, we explained the movement in net debt.

In the next slide, as you can see, we reached the lowest point of INR 318 crore six months ago, back in September. From there, we had to take an increase in net debt by close to about INR 115 crore, taking it to INR 495 crore. This is a combination of the VRS scheme plus some increase in net working capital. In the subsequent slides, of course, we gave the business breakup. We just changed the format, but contents remain the same. Let me stop here. We are happy to take your questions. Thank you.

Operator : Thank you, sir. We will now begin the question-and-answer session. Anyone who wishes to ask the question, please raise your virtual hand and I will unmute you. Ladies and gentlemen, we will wait for a moment before we get the first question.

We have the first question from Mr. Mihir Vora. I will unmute you, sir. Go ahead, sir.

Mihir Vora: Yeah. Am I audible?

Operator : Yes, you are.

Mihir Vora : Sir, just going through the order book part here, we saw a very good increase in terms of the last quarter in the new order booking part. And can you just also give some split onto whether how much would be the overseas order booking here and more specifically in terms of how are we seeing the ramp-up of specific to overseas order booking?

MR. DHRUV JAIN, WHOLE TIME DIRECTOR AND CEO, BUSINESS II

Yeah. The overseas order book for this year was around close to INR 1,400 crore. In terms of

the ramp-up, we will already start seeing the majority of these programs start production within fiscal year 2027. However, of course, there's a ramp-up period. It's more, I would say, fiscal year 2028 where we'll start seeing the true potential of these wins. However, we already are seeing the, of course, increased revenue in fiscal year 2027 itself, but fiscal year 2028 will be a lot more.

Mihir Vora: All right. Okay. Sir, this also includes, are we getting some traction onto the Thailand plant, the lighting plant orders as well? Some color on that as well.

MR. DHRUV JAIN, WHOLE TIME DIRECTOR AND CEO, BUSINESS II:

Yes. As part of this INR 1,400 crore of revenue that we have mentioned, this would also include business wins for our Thailand location. This would be, of course, within the exterior lighting space.

Mihir Vora: Yeah. This would be predominantly what, two-wheelers or four-wheelers?

MR. DHRUV JAIN, WHOLE TIME DIRECTOR AND CEO, BUSINESS II

It's purely passenger vehicle lighting.

Mihir Vora: Okay. It's purely passenger vehicle. All right. Okay. This is headlamp, to be more specific?

Mr. Bikash Dugar, Head Investor Relations and Finance Controller Business -II: Yeah.

Just to clarify, this would also include a headlamp win.

Mihir Vora: Okay. Sure. Yeah. Very good to see the traction building in onto overseas business now. As we see, as the order book is built up and we have a good start SOP from FY 2027 and 2028 onwards, will we need to see some increase in the CapEx here or our CapEx continues to be at the similar range as what we have guided before?

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : The CapEx, I think overall will be at least to the tune of between INR 450-500 crores, is what we see as the overall CapEx for this year.

Mihir Vora : Okay. This includes the land you are going to proactively purchase before, right?

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : This includes the land. This includes, I would say, a small part of the land. We are looking at other options for the land, because the land availability is not that easy at the moment. We're looking at other options also. Overall, I would say it would be closer to INR 500 crores, including whatever land we can get our hands on.

Mihir Vora: All right. Okay. Okay, sir. That's all from my side. Thank you.

Naman Maheshwari : Hi. Am I audible?

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : Yes.

Naman Maheshwari : Great. Sir, Actually, couple of questions. When we see the quarterly run rate for majority of our businesses, the HMI, the e-mobility, and even the aftermarket, we are seeing some Q oQ dip. Could you highlight what is leading to that, or that was as expected on expected lines?

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : Yeah.

I would say, I think particularly talking about what would be more the OE sales, which is larger in two parts. On HMI and e-mobility, for sure in Q3, we had a significant level of backlog recovery also, which also improved performance of Q3 versus Q4. However, otherwise, volumes have largely been steady. Minor differences in volumes and in mix between two-wheeler and three-wheeler can also have material impact given just the sheer size of content here in these vehicles. HMI, I would say, is largely along expected lines. However, I think for both of these product groups, I think as we look forward, I think given just the sheer increase in appetite for EV post whatever is global macro crisis we have, we see a strong path.

I think even for HMI, I think we see significant content growth taking place through the realization of the order book that we've already declared. From an aftermarket perspective, yes, we say Q4 is generally a little bit light. But, yeah, I think as we look forward, it's not necessarily

ly a trend that we set.

Naman Maheshwari: Just one more point, that what were the under-recovery this time moving to the material inflation that would have happened towards the end of March. Is there an under-recovery and that's why our margins might improve in the quarter once we pass on with the lag? How do we see the current situation of the material inflation impacting us in the near term? That is the question.

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) :

Again, I think we can break it into two, right? One is in terms of talking about Q4 versus talking about what is prospective. In Q4, we do not see an impact in the margin. I don't think there's, of course, some little bit here and there. I'll not say there's a material impact in the

margin yet. Of course, going forward, it is clear that there is inflation across commodities that we use, and also in terms of across commodities that we use. Here, I think we are fairly aligned with our OEMs in terms of how do we derive that cost recovery.

Naman Maheshwari : Would it be like a monthly lag or would it be like a quarterly lag? How has the OEM spoken to you? Any light or any color on that?

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : Every OEM honestly operates differently. The method of recovery in every OEM will be different. Having said that, there is a strong commitment. I mean, the way the industry works, I think there is strong commitment from OEMs and understanding with OEMs that inflation will be compensated.

Mr. Tarang Jain, Chairman and MD : For inflation, clarified, there could be in some of the cases, there would be probably a lag of at least a quarter, but we are expecting to be compensated in full despite this lag.

Naman Maheshwari: Okay. Just last question. We see a very material ramp -up in the order book. That's a very good silver lining this time. As we go in two to three years hence, how are you seeing Varroc emerging over the next two to three years? Probably this is one, two quarters is a very short story, but you know, what our targets would be for the EV components per se that we do, when we are pivoting to more like electronics, wall chargers, how big do we see our contribution in that space to be? Just if you could throw some light around that, it would be very helpful.

Mahendra Kumar (Global CFO, Varroc Engineering) : Basically, as you know that in the last quarter in India, about 14% of revenues came from EV. Now we see some signals that this EV penetration is even going to increase, definitely in our segment of at least the two - wheelers, where we will see actually a major increase and even to an extent also in the passenger car. I do see that there will be a good amount of percentage increase as a part of our sales, overall sales where the EV content is concerned. When it comes to our business abroad, whatever the businesses we have won of inverters, interior lighting, where we've already started our supplies even going forward to wall chargers and everything, a major part of all the electronic, which are largest percentages, all towards EV only. I mean, at the moment, I think probably more than 80%, 90% would be towards - All the wins we've announced is. All the wins in Romania, all towards EV vehicles. Also where the lighting segment is concerned, a major part, of course, is also towards EV segment. Whatever the revenues we see abroad coming out of Romania and later on in Thailand, which will start in a small way from December, all that will be towards EV. Our EV content as an organization will definitely be significant going forward.

Mr. Bikash Dugar, Head Investor Relations and Finance Controller Business -II: Just to add to that, the per vehicle content which we'll have in our overseas business from these EV customers will be very significant.

Naman Maheshwari: Okay. I'll join back in the queue for me

to follow -up questions.

Mahendra Kumar (Global CFO, Varroc Engineering) : Thank you.

Operator : Thanks. The next person is Mr. Rahul Kumar. Mr. Kumar, I'm going to unmute you. Please mention your firm name before you ask the question. Go ahead, Mr. Kumar. You can hear me?

Rahul Kumar, Vaikarya : Hi, this is Rahul from Vaikarya. Just one question on the international business. When do we expect a breakeven in this international business? Which quarter do we expect the breakevens to start from?

Mahendra Kumar (Global CFO, Varroc Engineering) :: International business has two, three parts. As far as the two -wheeler business is concerned, it is already slightly positive from this quarter. Only in Romania we have significant challenge, and we should reach EBITDA breakeven by Q4. That is the target. As far as the Italian forging business is concerned, that may take maybe one more year to get to EBITDA breakeven.

Rahul Kumar, Vaikarya : Okay. For this ATV forging business, we were planning to do some action, either this is the sale or some other corporate actions. Is there any progress on that front?

Mahendra Kumar (Global CFO, Varroc Engineering) : Well, we are working on both internal and external measures. We're also making some small corrections here and there to improve the operational efficiencies and improve profitability. Separately, we are also looking out for suitable opportunities to find a proper buyer. We're not in a hurry to sell it at any cost. The right price comes, we'll recover it and then we'll implement it.

Rahul Kumar, Vaikarya : Okay. On the debt front, what is the guidance you can give us, let's say, over the next four quarters? Where do we expect the debt to settle down?

Mahendra Kumar (Global CFO, Varroc Engineering) : I think we explained it in the previous calls also. This year, because of heavy CapEx we have and the business ramp -up which is happening, we don't expect a reduction in debt from current levels. The average debt could be in the range of INR 500 crore -INR 600 crore, more or less at the current levels

or slightly upwards. We should move to a zero debt status by end of next year.

Rahul Kumar , Vaikarya : By FY 2028?

Tarang Jain (Chairman and Managing Director, Varroc Engineering) : Yeah, FY 2028, that's going to be the objective. See, today we see a lot of growth opportunities and we don't want to lose those opportunities. Whatever the CapEx needed, we're definitely going to incur that kind of CapEx for growth reasons. We have to see how things go depending on all the opportunities. We see a lot of opportunities, we don't want to miss out on those opportunities also. Like he said, we are very mindful, we are very financially disciplined, we'll be mindful of this overall net debt in the organization. Having said that, we don't want to lose on any opportunities also.

Rahul Kumar , Vaikarya : Okay. Can you highlight a couple of opportunities where you're actually doing the CapEx? Which particular segment?

Mahendra Kumar (Global CFO, Varroc Engineering) : Where are we investing?

Rahul Kumar , Vaikarya : Yeah.

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : Like we talked about also, our order book is heavily skewed towards e-mobility and supplying product into EV models. Naturally, of course, the CapEx will also be geared towards these segments. Further to that, of course, we will drive a level of CapEx also to drive expansion in capacities that the market is now demanding.

Rahul Kumar , Vaikarya : Okay. In the comments earlier, you also mentioned that you have won some orders in the non-auto segment. Can you just elaborate a bit more on the quantum, the customers and which segment we are actually doing this?

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : Yeah.

The non-auto wins today are primarily around motors and motor controls. The smaller sized motors

, where essentially you will drive the level of import substitution.

Mahendra Kumar (Global CFO, Varroc Engineering) : This has to be more of experimental or test cases only. It will reach some decent size only next year, sir. You should give it that much time.

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : Of course. That is like with ramp up of any product, right? There will be a gestation period and ramp up. I think the total value of business win that we have, if that's what you mean.

Mahendra Kumar (Global CFO, Varroc Engineering) : Is around INR 50 crores.

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : Yeah.

Mahendra Kumar (Global CFO, Varroc Engineering) : Annual peak revenue.

Rahul Kumar , Vaikarya : Okay. Got you. Just last question. Is there any progress on the order wins for the top three EV two-wheelers, which we were discussing in the previous call?

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) :

Again, I think the status is the same as what we discussed last time, where we continue to be engaged and hope we have something to announce soon.

Rahul Kumar , Vaikarya : Okay. This is potentially with the top three players in the EV segment. Is that correct?

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : Yeah.

Rahul Kumar , Vaikarya : Thank you.

Operator : Thanks, sir. I will now ask Mr. Shubham Jain from Investec to unmute himself and ask the question.

Shubham Jain , Investec : Hey, hi. Thanks for taking my question. Can you please help us understand on how should we think about the growth outlook going into FY 2027, given that we have a strong order book and our overseas business is also seeing a good revival. Also, the momentum in EV is very strong. Should we expect a mid to high teen growth in FY 2027?

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : Yes.

Shubham Jain , Investec : Okay. That's great to hear. Also, can you please elaborate on how has the recent tensions in Middle East impacted us so far, given that we have a contractual pass-through for most of the cost over heads? How should we think about margins in FY 2027? Should it trend higher versus our FY 2026 levels?

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) :

Again, if the question is specific to the Middle East crisis, I would say the impact is two-fold. I think, one is the inflation that you call out. Like you said, we have material cost pass-through arrangements. We expect that these costs will be passed through. The other topics really caused as a result of this equation is, of course, to do with through the supply chain in terms of both commodity as well as labour availability. Even here, I would say we are now largely stable. In terms of margin performance as a result of the Middle East crisis, I don't expect it to have a bearing on the absolute value margin.

Shubham Jain , Investec : Okay. That's it from my side.

Bikash Dugar (Finance Controller for Overseas Operations and Head Investor

Relations, Varroc Engineering) : Yeah. In FY 2027, margins will be higher than what we reported in FY 2026.

Shubham Jain , Investec) : Okay.

Operator : Thank you, sir. As a reminder to all the participants, I would request, if you have any questions for the management, do raise your virtual hand. If you have joined this call by a dial -in, the way to ask your question is to do *5 on your phone, and then I'll unmute you. We'll wait for a minute. We have a few questions on the call. I will now unmute Jyoti Singh. I would request you to please let us know the firm that you are from. Thank you.

Jyoti Singh, Haitong : Yeah.

Jyoti Singh, Haitong : Okay. Thank you so much. One question only on non -Bajaj contribution has increased 44% of the revenue. Which customer is driving incremental growth,

and are we seeing this mix improvement from those? I have another question only EBITDA margin side that has improved to 9.7% but remained below peak levels. What are the key levers to reach there to double -digit PAT for EBITDA by FY 2027 -2028? Also on the raw material inflation side, if you can comment on the recent volatility and largely commodity price, if you can guide us on your side and what kind of pricing pass through is pending with the unions. Another on the body parts remain the largest contributor at 45.6% while the unit is around 6.2%. How do you see this mix changing over the next three to five years? The last question is only make sure that international below 11% now. Going forward, we are expecting to increase further or it will remain like this?

Bikash Dugar (Finance Controller for Overseas Operations and Head Investor Relations, Varroc Engineering) : The first question which she asked was, share of percentage from Bajaj and non -Bajaj.

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : The percentage of share from Bajaj Auto, I would say that is reduced simply based on the execution of the order book. When we declare an order book, as we keep executing it, share will move in line with what we execute versus what we execute second.

Bikash Dugar (Finance Controller for Overseas Operations and Head Investor Relations, Varroc Engineering) : Yeah. From nine months to full year, the percentage of share of Bajaj has remained the same for overall company. That has not gone down. The second question was that we are reporting EBITDA margin below 10%, when we'll go above 10%?

Mahendra Kumar , Global CFO, Varroc Engineering) : Okay. We don't give any guidance like that, but your question was also about the levers which will actually take us to the double -digit EBITDA. Definitely the revenue growth and the operating leverage that comes out of that, we have strong lever for growth. We also talked about the turnaround in overseas operations and growth in overseas operations. That should also help us in coming close to the target. We don't want to give any specific timeframe to it. Yeah, these should be the levers to take us close to that.

Bikash Dugar (Finance Controller for Overseas Operations and Head Investor Relations, Varroc Engineering) : One more question was on the mix between domestic and international, whether that mix revenue percentage will change.

Mahendra Kumar (Global CFO, Varroc Engineering) : Will improve more in favor of the overseas business. Right now, it's around 7%. I think by end of this year, it should move close to 10%.

Bikash Dugar (Finance Controller for Overseas Operations and Head Investor Relations, Varroc Engineering) : The last question was, the revenue mix between HMI, ICE powertrain, e -mobility, body parts, whether that mix will undergo a change over the next three to five years.

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : Yeah, for sure. I think the e -mobility share of the will definitely increase. It's driven by EV penetration. I think that's a trend that we see. I think for e -mobility and HMI, I think that would definitely increase over the next three to five years. ICE powertrain, I think will, as we already seen, continue to lag a little bit.

Jyoti Singh, Haitong: Understood. Sir, just trying to understand, this Bajaj contribution will going to remain the same, or is there any chances that it will improve to a non -Bajaj?

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : We look at our order book, when we declare our order book in terms of what is Bajaj Auto versus non-Bajaj. We will execute in line with that order book. The order book is skewed more towards non -Bajaj, so I would assume, yes, the share will increase.

Jyoti Singh, Haitong: Okay. Understood. Sir, just one last question.

Operator : Sorry. Just one last

question I'll allow because there's a couple of people on the call.

Jyoti Singh, Haitong : Yeah, sure. Thank you. Just one question, sir. We hear a lot of auto and capital diversifying toward the aerospace because lot of opportunity over there. If we see, they are already competing some of the company in the transmission component side and engine rotating assembly side and precision parts side. Are we planning any such kind of acquisition going forward, or it is in any active discussion?

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : If the question is aerospace as an industry, are we looking to drive the answer today is no. I think that non -automotive as a space is something that we continue to explore, and we've declared business wins also in this space. We've achieved our first business wins in the non - automotive space.

Jyoti Singh, Haitong : Okay. Understood, sir.

Operator : Thank you. Thank you very much, sir. I will move to the next person. The person is from a firm called SIMPL. I'm going to unmute you, sir. Please share with us your name. Thank you. Yeah, go ahead.

Viraj Kacharia, SIMPL : Yeah, hi. Thanks for the opportunity. Just a couple of questions . Sure. It's Viraj Kacharia from SIMPL. First question is, if I have to look at the margin and the return structure of the different business segments we are in, what would that typically be? Where do you see maximum scope for margin improvement?

Mahendra Kumar (Global CFO, Varroc Engineering) : Obviously, there's more coming from India, only because India part of the story is strong. Overseas is also recovering, as we explained earlier in the call. The recovery from now, in terms of margins, will largely come from overseas business in the next couple of years. Of course, the India business also, as the growth happens in the top line, the operating leverage also kicks in. That's the way it goes.

Viraj Kacharia, SIMPL : Yeah. EV penetration

Bikash Dugar (Finance Controller for Overseas Operations and Head Investor Relations, Varroc Engineering) : Just to add to that, any new business which we take, we have criteria based on IRR. At least the kind of IRR the new business could meet. Based on that only, we are taking a business into the company.

Viraj Kacharia, SIMPL : Understood. Broadly, if I have to look on an annualized basis, what will be the different margin bands each of the business would be operating in for us right now?

Mahendra Kumar (Global CFO, Varroc Engineering) : We don't disclose margins at the individual segment level. Yeah, broadly, in terms of overall direction, earlier also we mentioned that our intention is to take PBT itself to 10% in the coming years. If you really look at our India business and in Q4 particularly, we are already at 8% plus. Our objective is to take the entire business to 10%, but it will take a few years. It won't happen immediately.

Viraj Kacharia, SIMPL : Okay. Just one more question on the lighting business. I see that business has seen some consolidation or slack, if I look at Q4 also for us. Just trying to understand, what is happening there and how should we see this business evolving for us going forward.

Bikash Dugar (Finance Controller for Overseas Operations and Head Investor Relations, Varroc Engineering) : Lighting business in Q4 over Q3, it has grown. It's mainly because of overseas, the lighting business has also grown and also in India business also it has grown. In coming years, because of the premiumization which is happening, I think this will be one of our growth engine.

Viraj Kacharia, SIMPL : Okay. Fast -forward say three to five years down the line based on the order book we have, how should we understand the mix in the business evolving? Would we have more towards EV and lighting, or traditional business segments like body parts and other ICE powertrains, those will also continue to be a majority share.

Any color you think?

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : For sure. We would expect e -mobility, HMI, and lighting to continue to occupy a larger share of the pie than the others, to be frank. Having said that, it does not mean the others will also not grow. They will also grow, but probably not as quickly as the other three. It is really driven, I would say, by technology change, technology differentiation that is required.

Operator : In the interest of time, I will request everybody to restrict their questions to maybe maximum two, and then come back in the queue for further questions. As a reminder, I want to tell everybody, do raise a virtual hand to ask a question. I'm going to now unmute Mr.

Vinay Jain. Please mention your firm name and go ahead with your question. Thank you. Yeah, Vinay, you can go ahead.

Vinay Jain, Karma Capital : Yeah. Thanks for the opportunity. Vinay Jain here from Karma Capital. Just two questions from my end. Firstly, again, if I look at the domestic growth for the quarter, somehow, we've not been able to participate in the industry growth which we have seen across, say, two -wheeler, three -wheeler and passenger vehicles. Primarily, again, 75% of the business being from two -wheeler, three -wheeler, which has grown at upwards of

20%. Again, coupled to that, if you see the EV business for us growing at 50%. If I discount for that, then the growth seems to be even lower. One, wanted to just understand why the growth lower versus, say, the industry or our largest customer as well. Secondly, on the CapEx, if you could just quantify the CapEx outline for the next two years and the areas in which it would be spent. Thank you.

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : I'll take the first question. Of course, you're right. In terms of, if I think about the path that we have been on for the last two or three years, discussing multiple times, the focus has really been around driving content growth and driving growth in premium vehicles and in electric vehicles. Given where the growth has come from really in Q4, when we look at what is our customer mix and what is our model mix also in the customers where we have mixed, the segment where we have higher content has really not grown as much. That is essentially why I would say through Q4, we are a little bit behind.

Having said that, like we mentioned earlier as well, as we look forward, we definitely see a very strong trend around incremental EV penetration, and we definitely see a strong trend around further premiumization even in, let's say, lower segment vehicles. Continued execution of our order book should allow us to play more significantly in the growth in market that we see as well.

Vinay Jain ,Karma Capital : On the CapEx?

Mahendra Kumar (Global CFO, Varroc Engineering) : This year, it could be in the range of INR 450 -500 crores. Next year it could be lower, maybe around INR 300 -400 crores could be the requirement. Most of it will go to create capacities or to spend on program related CapEx, which is also related to growth.

Vinay Jain , Karma Capital) : Any specific areas you could maybe highlight?

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : It will be, of course, more towards electronics and lighting and obviously, towards EV vehicles is definitely something we would prefer. EV and electronics is the area where the focus would be more. Having said that, when it comes to even body parts or metallic parts, we are seeing growth there also. There also we will continue to grow. One thing also we are focusing is on more of mechanization and automation on the shop floor in India. Going forward, we do not also want to depend too much on the manpower, which we are finding a lot of challenges as we grow. We would like to mechanize and automate more and therefore, a part of

of the CapEx

every year will also be towards some better technology equipments and also towards mechanization automation.

Vinay Jain , Karma Capital) : Got it, sir. That was helpful. Thank you so much.

Operator : Thank you, sir. The next question is from Mr. Naman Maheshwari.

Naman Maheshwari ,Shanghvi Family Office : Yeah, hi.

Operator : Thanks.

Naman Maheshwari ,Shanghvi Family Office : This is Naman from Shanghvi Family Office. Just two follow-ups. One is on to the revenue trajectory. We already clocked close to about INR 9,000 crores. We have SOPs worth INR 3,300 crores coming in FY 2027 and FY 2028. Is this the right way to look that the next two years, we could clock close to about INR 12,500 crores basically from the realization of SOP or are there some adjustments that needs to be made? I'm not asking for the guidance, I'm just asking for the conversion on a like-to-like basis.

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : The order book we are confident in. We don't need to worry. This is the order book we have been saying.

Tarang Jain (Chairman and Managing Director, Varroc Engineering) : We will achieve that, whatever you are saying, INR 9,000 plus that thing will happen.

Naman Maheshwari ,Shanghvi Family Office : Okay. Just onto the margin profile. That would lead to the break -even of our maybe the overseas businesses altogether. The drag that is coming close to about INR 70 crores on the overall, that would also reduce by a lot, right? On a comparable basis.

Tarang Jain (Chairman and Managing Director, Varroc Engineering) : Definitely. Definitely. In two years' time, we do want to break even overall abroad.

Naman Maheshwari ,Shanghvi Family Office : Okay. Just quickly, the last point that I wanted to make. Now, excluding this year, this year could be an anomaly. As we move into a steady state, high performing EV plus electronics manufacturer, the delta change in EBITDA. Would it be like a conversion margin or would it be more towards a technology-oriented solution provider? Could you just explain that? Which side it would bend towards?

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) :

Across the product lines that we do, we operate different models with the OEMs. In general, we own technologies for every product that we supply. In terms of what margin profile would look like, and again, I think like our CFO has said before, our focus is on EBT and our focus

is on return on investment. Here we believe we will continue year to year. We do not believe there's a material change of these metrics versus what is the business profile today.

Naman Maheshwari ,Shanghvi Family Office : Okay. The NCD approval that we have taken, that's an enabling resolution, or are we planning to raise the NCDs in the near term for INR 500 crore?

Mahendra Kumar (Global CFO, Varroc Engineering): No. It's an enabling one.

Naman Maheshwari , Shanghvi Family Office) : Okay. Thanks. I'll just come back.

Operator : Thank you. I will take the question from Mr. Rahul Kumar. Yeah, go ahead, sir. Please ask the question.

Rahul Kumar ,Vaikarya : Yeah, hi. Just one question. Actually, in the previous comment you mentioned the break -even for the international business for two years onwards. Does the break -even means including the R&D business also, or is it only the operational subsidiaries?

Mahendra Kumar (Global CFO, Varroc Engineering : It's only the operational one. R&D one will take some more time.

Rahul Kumar , , Vaikarya : To summarize the operational subsidiary, you mentioned the break -even by Q4 of next year, right?

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : Yeah, that's for the electronic business, Naman, you are talking about. Two -wheeler business is already in the positive. IMES will take one more year.

Rahul Kumar ,Vaikarya : Okay. Out of this 1

4% EV revenues, how much is contribution from non-Bajaj customers?

Mahendra Kumar (Global CFO, Varroc Engineering) : Out of this, nearly 4% -5% is non -Bajaj.

Rahul Kumar , Vaikarya) : Okay. Thank you.

Operator : Thank you. Thank you, everybody, for your questions. We'll wait for a minute if there are any last question. We have a question from Mr. Akash Vora. Go ahead, Mr. Vora.

Akash Vora , NV Alpha : Hello. Yeah, am I audible? Am I audible?

Operator : Yes, sir. You are. You are.

Akash Vora ,NV Alpha : Hi, this is Akash from NV Alpha. Sir, my question will be pertaining to the answer that you gave to one of our earlier participants, wherein you said that growth for us this quarter has not come from the segments where we have a higher content per vehicle, which we can also see to a certain extent in the e -mobility segment. Sir, my question would be in regards to that, since you are confident that those segments will work out positively in the coming quarters. Sir, I just wanted to understand where does that confidence come from? Because that e -mobility piece, I think one of our anchor customers there has also grown superbly well in Q4, but that growth has not replicated for us. Just wanted to understand or reconcile this a bit.

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : Yeah.

I think the first thing I would say is when we are comparing our growth vis -à-vis any particular OEM , so we look at production data rather than the retail data. From a production standpoint, I think we are fairly on track. The further confidence of growth comes from the fact that we are seeing, you all read in the newspaper also, right? That there is a fundamentally larger demand for EVs today versus, let's say, two months ago.

Akash Vora ,NV Alpha : Okay. Basically, if the shift towards EVs increases, our market share, our wallet share with our own customers should keep on increasing from here. Is that what you mean?

Arjun Jain (Whole Time Director and CEO of India Division, Varroc Engineering) : Sorry, I'm not clear what is your definition of wallet share. If you have more, very simply put, our content in an EV is significantly more than what it is in an ICE scooter. The more EV scooters you have, our total addressable market increases. Whatever portion of that market our customers gain, we naturally gain also as a result.

Akash Vora , NV Alpha) : Fair enough, sir. Thanks.

Operator : I will take the next question from Mr. Naman. Yes, Mr. Naman, go ahead.

Naman Maheshwari ,Shanghvi Family Office : Just a bookkeeping question. Now I think with the TYC thing being majorly solved, there's still a point in our auditor's report with regards to that. When do we get to resolve it completely and get it out of the way? Any thoughts on that?

Mahendra Kumar (Global CFO, Varroc Engineering) : Yeah. The arbitration process is going on. I think there are different submissions to be made between now and end of the year. Most probably by end of the year, we should know which direction we are heading towards. This is going to take some time, the subject of arbitration process.

Naman Maheshwari ,Shanghvi Family Office : Yeah. Okay. Likely, we are hopeful that by the end of next year when we get the audited report, we are majorly through with that?

T Mahendra Kumar (Global CFO, Varroc Engineering) : Yeah, that's the objective, that's

what we are working towards.

Naman Maheshwari, Shanghvi Family Office : Okay. Just last thing, are we seeing any major production disruption happening in thus far till May, or has it been kind of on track so far?

Tarang Jain (Chairman and Managing Director, Varroc Engineering) : Basically, what we have seen is issues, not so much with us. We had issues also when it came to shortage in labor because of this war crisis, not material, but I think more or less at our suppliers end, Tier 2, Tier 3, is where we are facing challenges. A f

ter 15th of May, we see improvements

over there. What we are doing is that we are actually proactively working to see that we're getting our supplies from all our suppliers. It's mainly to do with bought-out components, not so much with the raw material. Once that is there, we will also see that we are able to manage the sales the fullest extent. The things have really improved. We have normalized after 15th of May, and we are also seeing more of normalization on the supplier end, which may probably normalize by the end of this month. At the same time, because we see a good growth going forward. We are also now working on our own internal capacity expansion as well as at the supplier end. This will be critical for achieving the higher level of sales which is there in front of us.

Operator : I think with that, we've come to the end of this call in the interest of time. I would like to hand the conference over to Mr. Tarang Jain, Chairman, for his closing remarks.

Thank you.

Tarang Jain (Chairman and Managing Director, Varroc Engineering) : Thank you Investec once again. I would like to again reiterate that with a strong foundation and clear strategic priorities and a committed team, we are confident of delivering sustained growth and a long-term value creation for all our stakeholders. Thanks once again for joining the call and for your continuing support.

Operator : Thank you very much, sir, and thank you for giving Investec the opportunity to host your earning call. With that, ladies and gentlemen, we come to the end of this conversation. You may now hang up the call. Thank you.